



Patil Rail Infrastructure Pvt. Ltd.

Smarter Track Solutions - Safer Mobility



World's Largest Sleeper Manufacturer

Annual Report 2024-25

Table of Contents

Corporate Overview

About Us	1
Guiding Principles	4
Chairman's Message	6
Managing Director's Message	8
Corporate Information	9
Board of Directors	10
Senior Management	12
Group Excellence Model	14
Pril Growth Strategy	15

Our Business

A) Sleeper and Allied Products	16
B) Track Systems	21
Acquisition of Coromandel Concrete Products Private Limited	29
Participation in Fair Trades	30
Natural Capital: Environment and Sustainability	32
Social Responsibility	35
Governance	40
Solar Power: Driving Sustainability at Patil Group	41
DOJO Centre	44
Business Improvements by CME at Patil Group	45
Awards and Recognition	46

Statutory Reports

Director's Report	47
-------------------	----

Financial Statements

Standalone

Independent Auditor's Report	70
Balance Sheet	81
Statement of Profit and Loss	82
Cash Flow Statement	83
Statement of changes in equity	85
Notes to the Financial Statements	86

Consolidated

Independent Auditor's Report	128
Balance Sheet	135
Statement of Profit and Loss	136
Cash Flow Statement	137
Statement of changes in equity	139
Notes to the Consolidated Financial Statements	140

Dedication to Country Care for Customers Growth with Employees



Dedication to Country: Building a Stronger Nation

Patil Group takes immense pride in its role as a contributor to India's infrastructure and economic development. Whether it is through innovative solutions for Indian Railways or adopting sustainable practices like renewable energy generation, our actions reflect our commitment to the nation's progress. By prioritizing self-reliance and leveraging local expertise, we align with the national goals of growth, modernization, and sustainability. Our initiatives are a testament to our dedication to advancing India's journey toward a brighter future.



Care for Customers: Partnering for Progress

Our customers are at the center of everything we do. By understanding their needs, anticipating challenges, and delivering tailored solutions, we establish relationships built on trust and value creation. From developing advanced technologies that improve railway safety and efficiency to offering high-quality products and services, we consistently exceed expectations. Through customer-centric innovation and reliability, Patil Group not only strengthens its market leadership but also contributes to its customers' success.



Growth with Employees: Empowering Our Workforce

Our employees are the driving force behind our achievements. We are committed to fostering a culture of inclusivity, learning, and growth, empowering our workforce to reach their full potential. By investing in training, skill development, and creating a safe, supportive work environment, we ensure our team remains motivated and equipped to drive excellence. Employee growth fuels innovation and productivity, directly contributing to the company's progress.

Patil Group: A Legacy of Excellence Since 1933

Patil Group began its journey in 1933 in Gulbarga, Karnataka, as a trader of agricultural products, primarily pulses, a staple of the Indian diet. Over the five decades since its inception, the Group diversified its portfolio to include cement spun pipes, PCC and RCC poles, pre-stressed concrete sleepers. However, its defining contribution lies in its enduring partnership with Indian Railways, which spans over three decades.

One Stop Railway Track Solution.



Patil Group is an established business house engaged in developing pioneering and innovative Railway Track Engineering Solutions. It started its journey in 1971 by setting up its first sleeper plant to supply concrete sleepers to the Indian Railways. Today it has 20 manufacturing locations with an annual capacity of 5 million sleepers and a Design & Competency Centre in Delhi, catering to the needs of all ballastless track solutions for metros and high speed lines. The adoption of modern technology and major infrastructure upgrade by the Indian Railways has poised the group for a leap into a fast growth trajectory.

Patil Group supplies ballast from its nine crusher units spread across the country and has more than 200 acres of prime mining land under its control. Today, the group is the one-stop solution provider for all railway track needs – heavy haul, high speed or urban metro and also one of the largest manufacturers of HTS wires.

It has several firsts to its record - the first indigenous manufacturer of modern turnouts to RVNL (Railway Vikas Nigam Ltd.) for heavy haul track, first alternate material developed in lieu of steel channels sleepers for girder bridges, first to offer ballastless track solutions and the first to provide alternate designs for railway station aprons thus reducing

maintenance time and improving cleanliness.

With rapid growth of infrastructure in India availability of man-power is becoming a big challenge and technology will play a big role in the growth of infrastructure. Precast is one such enabler bringing in world-class pre-cast technology for various products in any infrastructure project is our key Goal. Whether it is water supply or drainage project or a Bridge and Viaduct project or a complete building and town-ship, we have pre-cast solutions for every application, thereby reducing dependency on labour and depending more on automated technology thereby meeting quality of the product, adding speed and efficiency to infrastructure projects.

Railway projects executed by the group till date

- Fastening system 336 & 300 selected for Delhi Metro project
- Supply to Sri Lanka Railways for various projects
- Major supplier for Konkan Railway, DFCCIL
- Largest Supplier for Bangladesh Railways
- Railway Welding Yard Management with South Central Railway, North East Frontier Railway
- Ballastless Track Selected for Jammu-Kashmir Railway Line

- Delhi Airport Metro Express line from Delhi International Airport T-3 to Connaught place
- Supply of Sleepers for Dhaka Metro, Bangladesh

Key Partnerships

- Rail Welding: SMH, Malaysia
- Turnouts from Alegria, Spain and Ganapathi Industries
- Composite sleeper: Tie-Tek, America
- Slab Track: PORR, Austria

Pioneering Railway Track Engineering in India

Patil Group has been instrumental in the evolution of railway track systems in India, from the era of wooden sleepers to concrete and now composite sleepers. The Group's commitment to innovation has resulted in products and solutions that have set new milestones in the railway sector.

Today, Patil Group is a leading player in railway track engineering, offering a comprehensive range of products and services, including:

Concrete sleepers and rail fittings for standard, elevated, and underground metro rail tracks, including pre-stressed concrete sleepers.

Switches and crossings using thick web technology.

Ballastless track systems tailored for high-speed lines, bridges, tunnels, and aprons.

Cement spun pipes.

Pre-stressed Cement Concrete (PCC) poles and Reinforced Cement Concrete (RCC) poles.

With strategically located manufacturing units across India, the Group actively engages in metro projects in Delhi, Ahmedabad and Mumbai.

Backward Integration for Quality Assurance

Patil Group's in-house capabilities include the production of High Tensile Steel (HTS) wire, a critical component in pre-stressed concrete sleepers. Equipped with state-of-the-art technological facilities, these HTS wire units are a testament to the Group's focus on backward integration, ensuring superior quality and reliability.

Advancing Urban and Metro Rail Infrastructure

Patil Group has expanded its contributions to urban mass transport projects in recent years. The Group supplies fasteners and other components for metro rail systems in cities like Delhi, Ahmedabad and Mumbai. Collaborations with global leaders in sleeper and fastener technologies have further enhanced the technological edge of its offerings.

Global Presence and Turnkey Solutions

Patil Group has extended its expertise beyond India, executing projects in Bangladesh and Sri Lanka. This global footprint underscores the Group's ability to deliver world-class railway infrastructure solutions. Additionally, partnerships with international leaders like SMH Rail (Malaysia), Tytek (USA), and Wegh Group (Italy) enable Patil Group to offer cutting-edge composite sleepers, fasteners, and automation technologies for rail infrastructure projects worldwide.

Future-Ready for Emerging Rail Needs

As Indian Railways undergoes a transformative phase with the expansion of high-speed lines, metro systems, and modernisation projects, Patil Group is well-prepared to meet these challenges. The Group continues to innovate, investing in advanced technologies and exploring new possibilities to redefine rail infrastructure for future generations.

Precast for every Sector:

Our extensive range of high-quality precast products caters to diverse needs across utility, infrastructure, and industrial development projects. Designed to meet specific customer requirements, these products are manufactured using high-precision processes that ensure sustainability and durability. Our products are crafted with premium raw materials and undergo an advanced accelerated curing process, ensuring superior quality, durability and performance.

Enrichment of Product Basket

As a part of business expansion & cater to growing Indian economy, Patil group is putting up a new green field project at Chandrapur (Maharashtra) by investing approx INR 100 crores. Spread across 28 acres of land, the plant is expected to start operation during FY 2026. This plant is going to manufacture Metal Beam Crash Barrier (MBCB) and High Tensile Spring Steel Wire (HTS Wire) with all state-of-the-art modern machinery. MBCB is a type of roadside safety barrier, designed to absorb & redirect the impact of a vehicle collision, minimizing the damage. Indian Railway is guarding the high speed railway corridors with MBCB and we are getting ready to execute long distance track fencing turnkey jobs. HTS wire is going to cater to Auto industry & various other types of engineering industries like Power Distribution, Mining, Construction, Upholstery etc

Commitment to Excellence

Driven by a vision to revolutionise railway engineering, Patil Group's journey is marked by continuous innovation, customer-centric solutions, and a commitment to quality. With its rich legacy and readiness for the future, the Group remains a cornerstone in shaping India's railway network and contributing to the nation's progress.

Guiding Principles



Vision

To Be The World's Largest & Low-Cost Railway Track Component Producer. To Benchmark As Quality Producer Of Track Components By Merging The Efficiencies Of Excellence In Quality, Productivity & Cost. To Make Rail Travel Faster And Safer.



Mission

Increasing The Productivity And Quality By Strictly Adhering To The Manufacturing Excellence Process. Treating Human Resources As Partners. Practicing Continuous Price Discovery Process. Bringing In Customer Delight With On-Time Supply. Predominant Growth By Adding New Customers.





Core Values

Quality	Competitive
Customer Centric	Innovative
Human Centric	Sustainable Growth
Adaptive	



Quality Policy

Our Quality Policy Is To Manufacture And Supply All Kinds Of Pre-Stressed Concrete Sleepers, Precast Plinths, BLT Slab Tracks, HTS Wire, Inserts & Fastenings With High Precision And Within The Established Quality Parameters, By Synergizing Our Manufacturing Excellence Skills And By Optimum Utilization Of Resources.

Our Quality Policy Is To Comply To Quality Management Systems As Per ISO 9001:2015 And Continually Improve In All Areas Of Our Operations.



Chairman's Message



Our growth strategies are woven around the groups expertise and core competency in Railway Sector. With more than five decades of partnership with Indian Railways, the Group contributed to the Industry by making the transition from Wooden Sleepers to Concrete Sleepers and now to Composite Sleepers.

Dear Shareholders,

Patil Group of Industries, one of the leading group in Railway Track Engineering, over the decades, has served the Railway sector with diversified Group activities which includes: Sleeper Business, Wire Business, Foundry Business, Fastening Business, Flash Butt Welding Business, Precast Business and Solutions Business.

Our growth strategies are woven around the groups expertise and core competency in Railway Sector. With more than five decades of partnership with Indian Railways, the Group contributed to the Industry by making the transition from Wooden Sleepers to Concrete Sleepers and now to Composite Sleepers. Each development added another milestone in its quest for exploring new possibilities and making innovative products.

This is our second Integrated Report, through which we want to present our holistic approach to our value creation

journey, detailing our financial growth, sustainability advancements, key operational developments, challenges, and strategic initiatives from the past year. Looking ahead, our focus remains on developing, delivering, and excelling in the competitive landscape, and seizing upcoming opportunities. With a focus on continual improvement and proactive adaptation.

A Year of Strong Performance

In FY25, our consolidate operational revenue achieved a 1.4% y-o-y growth, reaching ₹1,438 crore.

Manufactured Goods contributed the majority, led by Concrete Sleepers (₹91,388 lakh).

- **Total Assets** increased by **12%** to ₹1,31,370 lakh, reflecting expansion in plant capacity and higher inventories.
- **Borrowings** reduced by **20%**, reflecting effective working capital management and improved cash generation.

- **Overall**, the Company maintained a robust financial structure, demonstrating stable operations, lower leverage, and readiness for future growth.

This growth was driven by our strategic expansion into new growth markets, a consistent focus on new business segments.

Our Group is actively making investments in latest technology for bringing out quality and highest safety products, which makes our Group the major organised group in this sector, with high standards of management, professionalism, compliance, quality management, checks, audits, certifications, international funding and business alliances, totally committed to Manufacturing Excellence.

Our group Company Apna Technologies & Solutions Private Limited which provides digital solutions to Indian Railways and Metro is poised for a very big growth by acting as a partner to the railways and metro in the field of digital transformation.

We have also inaugurated the Patil I-Labs office in Bengaluru, the innovation arm of Patil Group. This new facility marks a significant milestone in our journey toward building intelligent, future-ready solutions in the area of IOT, AI/ML & Machine vision for the railway and infrastructure sectors. Located in Dayananda Sagar Entrepreneurship Research & Business Incubator foundation (DERBI Foundation), Bangalore, this centre, with eminent scientist and advisory board from various academic institutions, will serve as a powerhouse for Research & Development, fostering collaboration, creativity, and cutting-edge innovation.

Strategic vision for sustainable growth

In pursuing sustainable growth, our Company has outlined three strategic priorities. First and foremost, we aim to fortify our country first, second is our customer and last but not the least is company and employees. The same Strategy is applied in all our decisions in the company.

At Patil, our competitive edge in our manufacturing capabilities, backward integration, Environmental sustainability is a core component of our operational strategy. Our products are in India is one of the country's first to be fully solar-powered, underscoring our dedication to promoting sustainable practices.

Much Done, Much More to Do

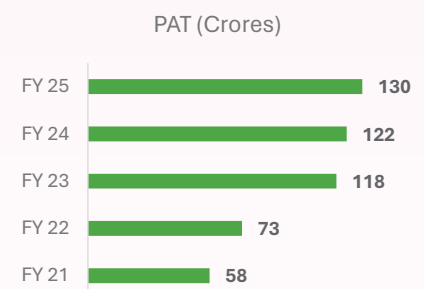
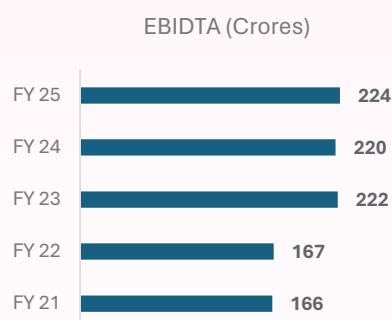
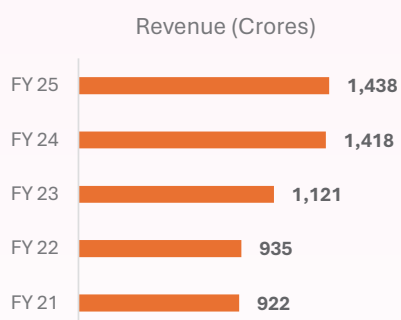
In closing, I sincerely thank our shareholders, employees, customers, and partners for their unwavering support and trust. We will continue to build on our successes, drive sustainable growth and create lasting value for all stakeholders.

Best Regards
L.S. Patil



In pursuing sustainable growth, our Company has outlined three strategic priorities. First and foremost, we aim to fortify our country first, second is our customer and last but not the least is company and employees.

I am delighted to present a summary of the Company's five-year performance.



Managing Director's Message



Dear Shareholders,

It is my privilege to present the Annual Report of Patil Rail Infrastructure Limited for the year 2024-25. The year reflected steady operational performance, disciplined execution, and progress in strengthening our long-term strategic capabilities to support India's expanding railway infrastructure.

Revenue from operations stood at ₹1,438 Cr, supported by a strong contribution from manufactured goods. Concrete Sleepers continued to anchor our portfolio, while High Tensile Steel Wires recorded healthy growth of nearly 28%. Fasteners demonstrated strong traction with a significant rise of over 700%, reflecting the effectiveness of our diversification and product mix strategy. Traded goods grew by over 100%, led by Track Components and Composite Sleepers, reinforcing our integrated supply capabilities.

Other Operating Income more than doubled to ₹44 Cr, supported by optimised service structures

and enhanced logistics efficiency. During the year, we also invested in manufacturing capacity enhancement, with total assets increasing by 12% and property, plant and equipment by 8%. Shareholders' equity strengthened by 22%, and borrowings reduced by 20%, demonstrating disciplined capital allocation, improved working capital efficiency, and a robust financial foundation.

We undertook strategic forward-looking initiatives to build future relevance. The **Automotive Wire Plant in Chandrapur** advances our entry into adjacent steel-based applications, leveraging our metallurgical expertise. We established the foundation for a **Precast Business**, broadening our role in infrastructure components. Our digital innovation and R&D initiative, **iLab in Bengaluru**, focuses on developing Large Language Model (LLM)-based solutions for railway analytics, planning, and decision intelligence—positioning the company as both a manufacturing and digital value partner to the railway ecosystem.

We also strengthened our talent development agenda. The introduction of the **Management Trainee (MT) and Engineering Trainee (ET) policy** supports structured leadership pipeline development, while continuous training initiatives focus on technical capability building across our plants and field operations. Our people remain central to our long-term sustainability and performance.

What to expect going forward

We are entering a period of unprecedented infrastructure expansion in Indian Railways—driven by network capacity enhancement, higher safety standards, and faster mobility solutions. Over the next 3-5 years, our strategic priorities will be:

- To deepen our core leadership in track infrastructure solutions around the rail Orbit
- To expand into high-value engineered rail components and digital asset solutions
- To scale precast and steel-based product capabilities focused multimodal customer and infrastructure
- To embed digital intelligence and automation across manufacturing and planning
- To strengthen a high-skill, performance-driven talent and leadership pipeline
- Bring transparency and efficiency through digital transformation

Our direction is focused, disciplined, and anchored in long-term value creation.

I extend my appreciation to our employees, partners, customers, and to you—our shareholders—for your continued trust and confidence.

Warm regards,

Vikash Kumar Gupta

Managing Director & Group CEO
Patil Rail Infrastructure Limited

Corporate Information

Board of Directors

Mr. Lingaraj Shantalingappa Patil

Chairman & Whole Time Director

Ms. Padmaja Lingaraj Patil

Whole Time Director

Mr. Vikash Kumar Gupta

Managing Director

(Appointed w.e.f. 01st October, 2025)

Mr. Devasigamani Prince Arumairaj

Whole Time Director

(Appointed w.e.f. 20th July, 2024)

(Reappointed w.e.f. 20th July, 2025)

Mr. Chandra Gupta Venkata Arisetty

Executive Director

(Appointed as Executive Additional

Director w.e.f. 01st December, 2024)

(Change in Designation from Executive

Additional Director to Executive

Director w.e.f. 30th September, 2025)

Mr. Manish Ishwarlal Panchal

Executive Director

(Appointed as Executive Additional

Director w.e.f. 01st April, 2024)

(Change in Designation from Executive

Additional Director to Executive

Director w.e.f. 27th September, 2024).

(Reappointed as Executive Director

w.e.f. 01st April, 2025)

Ms. Asha Sampath

Non- Executive Director

(Appointed as Non-Executive

Additional Director w.e.f. 24th

September, 2025)

(Change in Designation from Non-

Executive Additional Director to

Non- Executive Director w.e.f. 30th

September, 2025)

Key Managerial Personnel

Mr. Lingaraj Shantalingappa Patil

Whole Time Director

Ms. Padmaja Lingaraj Patil

Whole Time Director

Mr. Vikash Kumar Gupta

Managing Director

Mr. Devasigamani Prince Arumairaj

Whole Time Director

Mr. Chandra Gupta Venkata Arisetty

Chief Financial Officer (Resigned w.e.f.

29th July, 2024)

Mr. Jawahar Lal Sinhari

Chief Financial Officer (Appointed

w.e.f. 29th July, 2024)

Mr. Aman Purohit

Company Secretary

Registered Office:

6-3-1239/B/111, 4th Floor,

Renuka Enclave,

Raj Bhavan Road, Somajiguda,

Hyderabad, Telangana - 500082.

Phone + 91- 40-3955 6700/6800

E-mail: cs@patilgroup.com

CIN: U60100TG1996PTC023894

Statutory Auditors

M/s. Deloitte Haskins & Sells

Chartered Accountants

Meenakshi Pride Rock Tower III

(Block - M), 8th & 9th Floors

Survey No. 23, Gachibowli,

Serilingampally Municipality,

Ranga Reddy District

Hyderabad - 500 032

Telangana, India.

Cost Auditors

M/s. KJU & Associates

#17-4-537/a/3, Dabeerpura

Hyderabad, Telangana - 500023.

India

Secretarial Auditor

M/s. Arjun Upadhyay & Associates

Practicing Company Secretary

6-3-634, Green Channel Complex,

Khairatabad, Hyderabad - 500004,

Telangana, India.

Bankers

State Bank of India

HDFC Bank Limited

IDBI Bank Limited

YES Bank Limited

ICICI Bank Limited

Union Bank of India

Internal Auditor: (In-House)

MR. SANTANU PATTNAIK

(CHARTERD ACCOUNTANT)

(ICAI MEMBERSHIP NO. 506401)

IN-HOUSE INTERNAL AUDITOR

6-3-1239/B/111, 4th Floor, Renuka

Enclave,

Raj Bhavan Road, Somajiguda,

Hyderabad, Telangana - 500082.

Registrar and Share Transfer Agents:

KFin Technologies Limited

Selenium Tower B, Plot No 31 & 32

Financial District, Nanakramguda,

Serilingampally, Rangareddi,

Hyderabad - 500032,

Telangana, India.

Email: einward.ris@kfintech.com

Phone: + 91 - 40 - 67162222 /

+91 - 40 - 7961 1000

Board of Directors



Lingaraj Shantalingappa Patil
Chairman & Wholetime Director

Dr. L. S. Patil, Executive Chairman of Patil Group, is a visionary leader who has reshaped the company's role in India's railway and infrastructure landscape. With global academic credentials and industry recognition, he champions automation, R&D, and strong governance, guiding large teams and delivering landmark projects with a focus on innovation and sustainable mobility.



Padmaja Lingaraj Patil
Wholetime Director



Vikash Kumar Gupta
Managing Director & Group CEO

Mr. Vikash Kumar Gupta is an accomplished manufacturing leader with three decades of experience across premier global firms. Skilled in lean manufacturing, large-scale operations, and high-performance team building, he brings deep expertise in cost leadership, transformation, and Japanese manufacturing systems. He is also guided by Vedanta principles in his professional approach.



Devasigamani Prince Arumairaj
Wholetime Director

Prince Arumairaj Devasigamani, is a graduate civil engineer with extensive experience in project execution and project Management Consultancy (PMC). He leads Patil Group's sleeper operations with a results driven approach, delivering measurable outcomes through innovative solutions, operational efficiency, and strong execution capabilities.

Board of Directors



Chandra Gupta Venkata Arisetty

Executive Director

A V Chandra Gupta is a qualified CA (India) and CA (Australia & New Zealand) with additional CS (Inter) and CWA (Inter). He brings extensive expertise in M&A, due diligence, FP&A, project financing, and treasury, with experience across power, pharma, aviation, infrastructure, and renewable sectors globally.



Manish Ishwarlal Panchal

Executive Director

Mr. Panchal brings 32 years of experience across P&L leadership in industry and strategy consulting. He serves on several boards, including IL&FS AMC and NESCO, and previously led a senior practice at TATA Strategic Management Group. He mentors at SIIC IIT Kanpur, contributes to CII's Green Hydrogen Task Force, and is a founding trustee of Aaji Care Sevak Foundation.



Asha Sampath

Non Executive Director

Asha is an accomplished leader with extensive global experience in industrial manufacturing, strategic branding, and board governance. As the founder of Brand Horizon, she has led P&L, greenfield projects, and international initiatives. A Fellow Chartered Accountant, she serves on multiple boards across financial services, infrastructure, and health tech, with strong credentials in digital transformation.

Senior Management



Jawahar Lal Sinhari

Chief Financial Officer

Jawahar Lal Sinhari is a seasoned CA with nearly three decades of experience in financial leadership, FP&A, governance, and internal controls. He has steered large-scale financial operations, strengthened systems, led high-value financing initiatives, and transformed business performance across sectors. Open to roles in major Indian metros.



Kaushik Ghosh

Group Managing Director - Track Systems

Kaushik Ghosh, has been with the organisation for over seventeen years, contributing across all business areas. He drives the vertical's success by aligning vision and strategy, steering operations, optimising resources, nurturing talent, fostering culture, and introducing future-ready products to support long-term, sustainable growth.



Dr. Ajay Rajput

Group Marketing Director

Ajay Rajput is a strategic, visionary leader with strong communication, negotiation, and project management capabilities. With deep expertise in international marketing, rail infrastructure and contract administration, he has forged major alliances, introduced transformative technologies, managed high-value projects, expanded export markets, and earned multiple national awards for professional and social contributions.



Rahul Agarwal

Business Head - Foundry

Rahul Agarwal, a BTech in Electronics Engineering, brings over 34 years of expertise in the steel and foundry industry. Throughout his career, he has led transformative projects, solved complex challenges, and collaborated with exceptional teams.



Basawaraj Nagabusappa Sajjan

Business Head: Wire

B.N. Sajjan joined the Patil Group on 1 April 1987 as Store In-Charge at the Guntakal plant, later shifted to Saidapur, Karnataka. He served in various roles, including Purchase In-Charge until November 2000, then progressed through GM-Commercial and Vice President, and now serves as Executive Director – Corporate Affairs and Wire Business.



Satish Chandra Ayla

COO-Track systems & Engineering

Satish Chandra Ayla brings over three decades of expertise in track construction, bridges, and building works, with deep proficiency in surveys, geotechnical investigation, and quality control. He has led major ballastless track projects at Reliance Group and L&T Metro Rail, overseeing successful installation of 150 km of Hyderabad Metro track.

Senior Management



DVR Phani Kumar

CEO -Track Systems, Engineering & Contracting

DVR Phani Kumar is a seasoned metro and railways specialist with 27 years' experience in India and overseas. Skilled in planning, execution, systems interface, O&M, and track technologies, he leads major metro projects, ensuring quality, safety, and timely delivery. A certified engineer, strategist, and award-winning project leader.



Santanu Das

COO - Sales & Marketing

Santanu Das, COO – Wire Business, is a B.E. (Metallurgical Engineering) graduate from Jadavpur University with nearly three decades of experience in steelmaking and related sectors. Beginning his career on the shop floor in steel and wire rod rolling, he later advanced into sales, marketing, and customer relationship management.



Arjya Kumar Mishra

Chief Human Resources Officer

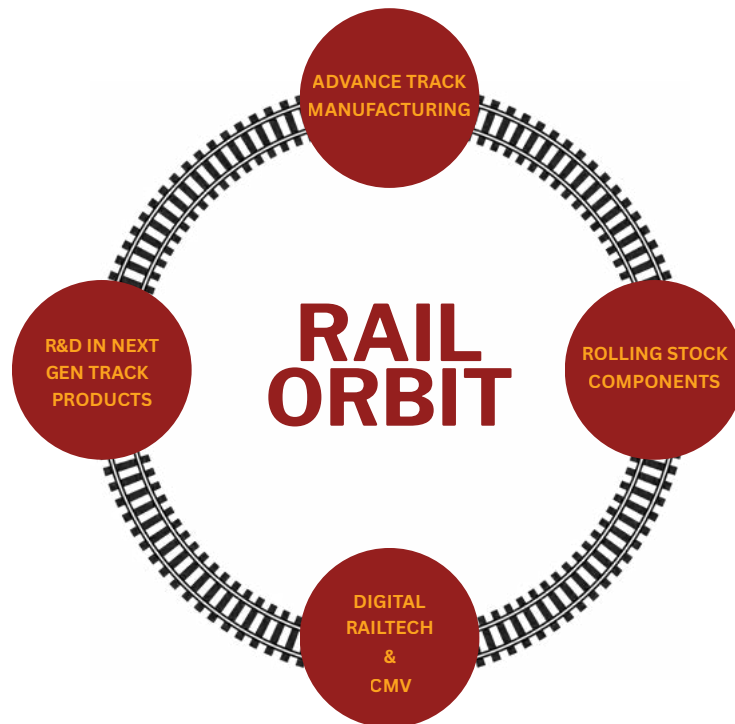
Arjya Kumar Mishra, is a strategic HR leader with 24 years of multisector experience. Armed with advanced HR credentials from Pune University, XLRI, and IIM Lucknow, he excels in talent management, OD, industrial relations, and HR tech. An award-winning professional, he champions TQM, TPM, Lean, automation, and capability-building.

Group Excellence Model

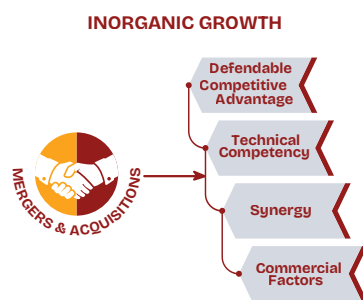
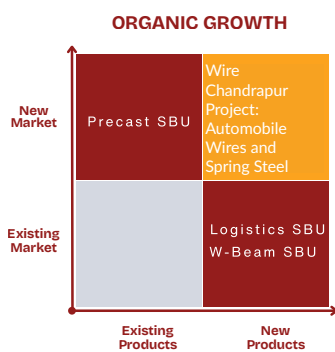


Our pursuit of organizational excellence is deeply rooted in core pillars that drive our operations. By prioritizing quality and cost leadership through the implementation of advanced tools and SOPs, fostering innovation for continuous improvement, and ensuring strict compliance with established standards, we create a foundation of reliability. Our unwavering commitment to safety and environmental responsibility reflects our dedication to sustainability, while our focus on customer delight ensures that we consistently exceed expectations. Finally, our emphasis on well-being fosters a harmonious balance of mind and body, promoting holistic growth and resilience within our organization.

Pril Growth Strategy



GROWTH: DRIVING FORCES



OUR BUSINESS

A) Sleeper and Allied Products

1. Pre-Stressed Concrete Sleepers (PSC Sleepers)

Patil Group is the country's largest supplier of concrete suppliers to the Indian Railways.

Patil Group is the country's largest supplier of concrete suppliers to the Indian Railways. The company manufactures these pre-stressed concrete (PSC) sleepers across its 12 Plants including two new automatic production plants across the country with a total installed capacity of 6.49 million sleepers per annum.

The design for concrete sleepers had been constantly undergoing change in conjunction with the R&D of Indian Railways to suit the changing requirements. With the adoption of M60 grade concrete, the life of these sleepers increased. As the base width increased, the ballast pressure came down by 10% leading to proportionate savings on ballast and maintenance costs.

Indian Railways has plans to go for higher axle loads in coming years and the new design for concrete sleepers will suit future requirements of the railways. The company also envisages

the use of special strand wire with higher UTS by which the overall weight of steel per sleepers will be brought down by 25%.

The Company has manufacturing plants located at Anara (West Bengal), Bhurwal (Uttar Pradesh), Gaya (Bihar), Kaipadar Road Station (Orissa), Kargi Road (Bilaspur, Chhattisgarh), Mirza (Assam), Sholaka (Haryana), Pathri (Uttarakhand), Tirumangalam (Madurai, Tamil Nadu), Udwada (Gujarat), Wadiyaram (Medak, Telangana) and Kovur (Andhra Pradesh). [This includes automated plants at Kargi Road (Bilaspur, Chhattisgarh) and Bhurwal (Uttar Pradesh)]. The Company is also the country's first ISO certified concrete manufacturing plant.

The Group manufactures all types of Special Sleepers and Turnout Sleepers to Indian Railway and Metros.



2. Composite Sleepers

Patil Group has obtained technology and manufacturing license for composite sleepers from Tie Tek, USA.

Patil Group has obtained technology and manufacturing license for composite sleepers from Tie Tek, USA. These sleepers are manufactured using recycled materials. The group developed composite sleepers as an alternative material in lieu of steel channel sleepers for girder bridges.

With its R&D team working in conjunction with Tie Tek, USA – Patil Group has brought a product which has found wide acceptance even for the exacting standards set up by the Indian Railways. With increasing rail traffic and faster train speeds, railway boards across the globe are migrating to composite sleepers because of their increasingly obvious benefits. Also as the loads per car are increasing and availability of old growth hardwood trees is drastically reducing, the use of composite sleepers has witnessed a huge growth trajectory.

The ability to recycle these sleepers due to its composition has won approval from railway boards across countries. Even as the functional properties are similar to wooden sleepers, these are not subjected to corrosion and don't need insulation since they are self-insulated. Composite sleepers have less components than steel channel sleepers, hence rendering inspection and maintenance easier. Painting is also not required on composite sleepers and it possesses the additional benefit of reduced noise pollution due to the natural dampening effect of the product.

Indian Railways have begun laying of composite sleepers in 10 railway zones across the country after successful testing at its laboratory and also at the partner's manufacturing plant in USA.

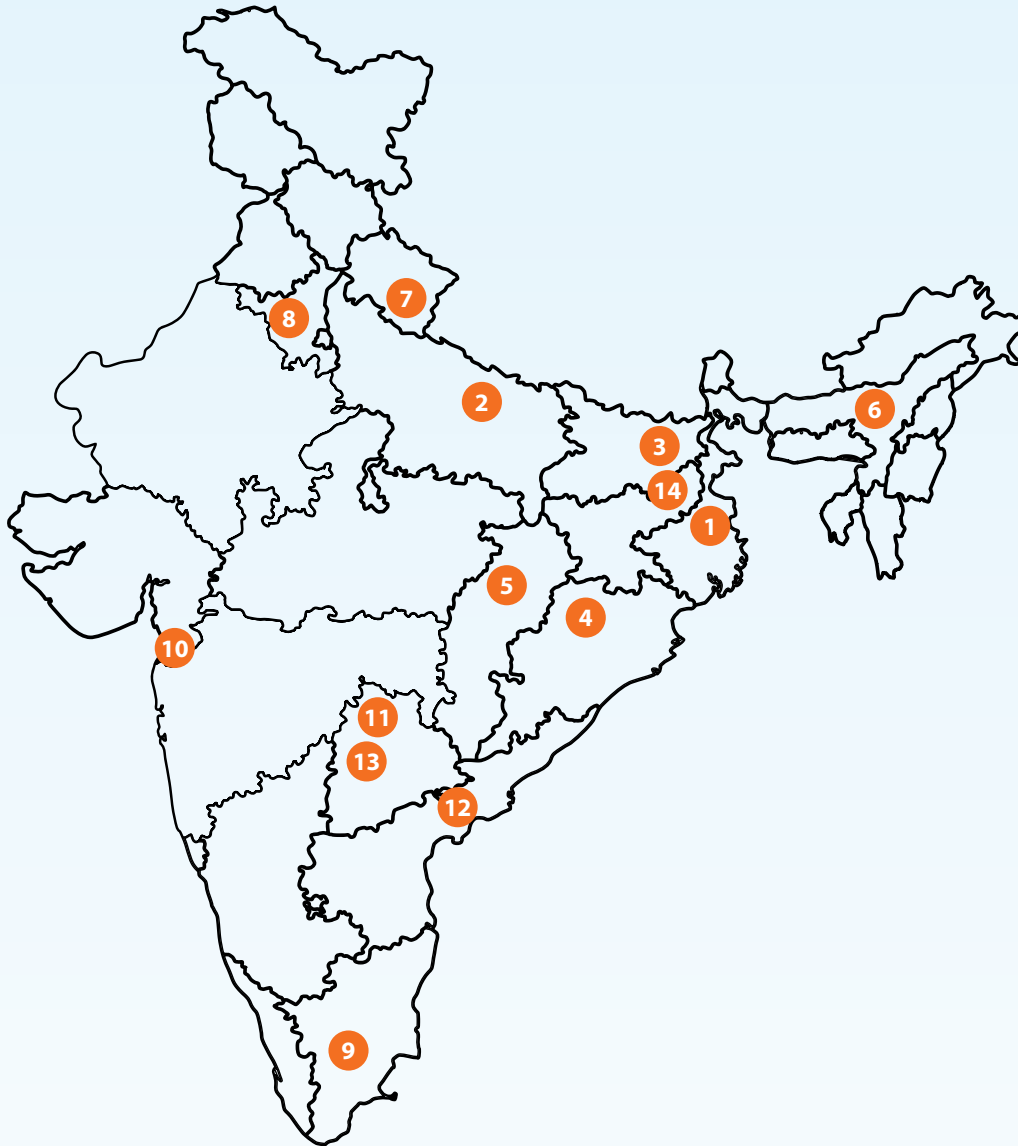
Most importantly, in the process of switching over to 25 ton and more axle loads on the track as proposed by Indian Railways in near future, Our Tie Tek design Composite sleeper is suitable up to 40 Ton axle load (Dynamic Fatigue test done at IIT Chennai for 40 Ton axle load).

With an expected shelf life of over 40 years, composite sleepers score over wooden sleepers due to usage of recycled materials like HDPE, crammer rubber, glass reinforcement and fillers. Also, these sleepers are not susceptible to rupture, decay or insect infestation and drive down the overall operating costs for Indian Railways besides being easy to maintain as well.

Being environmentally friendly since it keeps a check on deforestation, composite sleepers help keep sound pollution low and offer 100% insulation. Even its fasteners are similar to those of wooden sleepers. One of the biggest advantages of these sleepers is that it is 40% cheaper than cost of steel channel sleeper used in girder bridges.



Sleeper Plant Locations



- | | |
|--|--|
| 1 Patil Rail Infrastructure Pvt. Ltd. Railway Yard, Anara Purulia – 723 126, West Bengal | 2 Patil Rail Infrastructure Pvt. Ltd. Bhurwal PO, Behind Burhwal Railway Station, Dist. Barabanki, U.P-225 002 |
| 3 Daya Engineering Works (P) Ltd. Buniyadgunj, Manpur, Gaya Dist Bihar -823003 | 4 Patil Rail Infrastructure Pvt. Ltd. Kaipadar Road Station, Chhatispur PO, Khurda – 752 060, Orissa |
| 6 Daya Engineering Works (P) Ltd. P. O. Mirza, Dist: Kamrup Assam – 781125 | 5 Patil Rail Infrastructure Pvt. Ltd. Patil Rail Infrastructure Pvt. Ltd., Dist. Bilaspur, Chhattisgarh |
| 7 Patil Rail Infrastructure Pvt. Ltd. Railway Yard – Pathri, Ambuwala Laksar, Haridwar, Uttarakhand – 249403 | 8 Patil Rail Infrastructure Private Limited Near Sholaka Railway Station, Vil. Siha, Taluka: Hodal Dist, Palwal, Haryana |
| 9 Patil Rail Infrastructure Pvt. Ltd. Railway Yard, Tirumangalam, Madurai Dist – 625 706, Tamil Nadu | 10 Patil Rail Infrastructure Pvt. Ltd. Udwada Rly., Quarry Area, NH – 8, PO Udwada (R.S.) Dist. Valsad, Gujarat – 396 185 |
| 11 Patil Rail Infrastructure Pvt. Ltd. Railway Yard, Wadiyaram, Chegunta Mandal, Medak Dist – 502 255 | 12 Coromandel Concrete Products Pvt. Ltd, DSK Campus, Near Railway Station, Kovvur, West Godavari, Andhra Pradesh – 534350 |

3. Wire



HTS Wire-3mmX3Ply Usable in
Concrete Sleepers



4mm PC Wire Indented
usable in Electrical Poles



Spring Mattress wire usable in
mattress.

Chandrapur Project in Maharashtra

As a part of business expansion & cater to growing Indian economy, Patil group is putting up a new green field project at Chandrapur (Maharashtra) by investing approx INR 100 crores. Spread across 28 acres of land, the plant is expected to start operation during FY 2026. This plant is going to manufacture Metal Beam Crash Barrier (MBCB) and High Tensile Spring Steel Wire (HTS Wire) with all state-of-the-art modern machinery. MBCB is a type of roadside safety barrier,

designed to absorb & redirect the impact of a vehicle collision, minimizing the damage. Indian Railway is guarding the high speed railway corridors with MBCB and we are getting ready to execute long distance track fencing turnkey jobs. HTS wire is going to cater to Auto industry & various other types of engineering industries like Power Distribution, Mining, Construction, Upholstery etc

Wire Plant Locations



- 1 Patil Rail Infrastructure Pvt. Ltd.
Plot No. 3B, 4 & 5, APIIC, Growth Centre, Bobbili,
Vizianagaram Dist, Andhra Pradesh
- 2 Patil Rail Infrastructure Pvt. Ltd.,
Balidih Phase 4, Bokaro Inds Area,
Gorabali Jaridih Thana, Jharkhand, 827014
- 3 Patil Rail Infrastructure Pvt. Ltd.
Survey No. 700, Roopangarh, Kishangarh Tahsil,
Ajmer Dist. Rajasthan state - 305814
- 4 Patil Rail Infrastructure Pvt. Ltd.
Plot No.: D2 to D5, D8 & D9, Chandrapur
Growth Centre, Chandrapur CGGC, Chandrapur,
Maharashtra - 442406

4. Foundry



RSB Transmission(I) Ltd; Pune
(TIER1 for Ashok Layland)
Steering Housing Casting
503000201
2.55 kg



Nutech Industries; Jamshedpur
(TIER1 for TML)
Spacer Tube P2
1.33 kg



MMRDA Project
Coated 2 hole Base Plate
9.65 kg



MMRDA Project
Coated 4 hole Base Plate
9.30 kg



DMRC Project
4 hole Base Plate
9.30 kg



DAKO-CZ India Pvt Ltd,
Hyderabad
Lining Holder LH & RH
20270-163 & 20270-164
8.10 kg



DAKO-CZ India Pvt Ltd, Hyderabad
Hinge
BK 5551
13.0 kg



DAKO-CZ India Pvt Ltd, Hyderabad
Double Eye
BK 4997
2.80 kg



SGCI INSERT
RT 6901
1.484 kg



Indore Nitriders; Indore Lining
Labyrinthine (8 different Parts)
1209-01-211-027
10.00 to 30.00 kg



SGCI INSERT
RT 381
1.55 kg



SGCI INSERT
RT 3705
1.97 kg



1 Kallakal Foundry Casting Products Private Limited
Plot No: 5/A, Automotive Park, Kallakal (V), Manoharabad (Mdl), Medak (Dist), Telangana - 502336

2 Patil Rail Infrastructure Private Limited
Balidih Phase-4, Bokaro Industrial Area, Gorabali Jaharidih Thana, Bokaro, Jharkhand - 827014

B) Track Systems

1. Fastening

World class fastening manufacturing facility in comparison to anywhere in the world.

Fasteners are the key elements that connect rails to the sleeper or concrete member. Patil Group commenced its journey in rail fastening systems two decades ago, and its long-standing experience with major producers played a significant role in developing the whole fastening systems and related quality plans, customer orientation, and education.

We supplied fastenings for over 500 km of ballastless track, such as System 336 to DMRC, Mumbai Metro, and System 300 to many zonal railways of the Indian railway network and the J&K project.

We have wide experience in design and applications, leading the group towards innovations and indigenised manufacturing of rail fastening under the initiative of Atma Nirbhar Bharat and “Make in India for the world.”

Our new dedicated fastening plant at Medchal, Hyderabad, India, produces all rail fastening components under one roof and offers a single-point system guarantee, enabling us to become a strong player in domestic and global markets.



Patil Group provides development, consulting, production, delivery and service for all the fastening systems used in the following applications:

Standard ballasted and ballastless track

Underground and elevated railways

Heavy haul lines

High speed corridors

All kinds of rail sections in cant

Turnouts

Geometry with sharp curves and gradients



Patil Rail Infrastructure Private Limited
Sy. No. 179 & 180, Yellampet Village, Medchal Mandal, RR District, Telangana.

The fastenings produced by Patil Group are:

- Approved and proven standard systems
- Meeting the customer requirements
- Optimised solutions for adapting to existing networks
- Fit for retrofitting and conversions
- Provided with special surface protections for critical environmental conditions
- Flexible for large-span bridges/tunnels with more significant relative movements
- Provided with high-quality long-term corrosion protection coating
- Designed (SKL series) for anti-tilt protection preventing overloading of tension clamps
- Provided with a high degree of electrical insulation achieved by the use of plastic fastening components

2. Ballastless Track

Patil Rail Infrastructure is into the business of Ballastless Track Solutions suitable for Metros, Indian Railways, Semi and High speed lines.

The following are the three Ballastless Solutions and provided by us:



Patil Rheda System – For Apron on high speed lines



PORR System – For Apron on high speed lines



Pre cast Plinth solution - For Metros

The general advantages of the above ballastless track solutions are as below:

- High degree of prefabrication
- Accurate Track Geometry – The Ballastless solutions are mould cast with accurate gauge and rail inclination.
- Has large load carrying capacity & Large lateral displacement resistance
- Repair concept is available
- Possibility to deliver with pre-assembled fastenings from the factory
- Suitable for installation of retaining rails for curves/ guard rails, as required
- The installation process is time tested and simple. Progress of 100 m per team/day can be achieved, under ideal conditions
- Involves no rear work and loose bolt grouting unlike the conventional in-situ ballastless track, thereby saving lot of time and labour
- Long life time & has low maintenance requirement

3. Under Sleeper Pads

Under Sleeper Pads are resilient pads attached to the soffit of PSC sleepers to provide the resiliency between the sleepers and ballast. The use of “Under Sleeper Pad” is gaining the popularity worldwide due to many advantages such as improvement in railway track resilience, improvement in track quality, ballast protection and noise and vibration mitigation. But Indian Railways is looking for the use of USP for reduction in Ballast cushion up to 100 mm. For this requirement, Patil group has come up with EVA based USP (Ethylene Vinyl Acetate with geotextile) in technical collaboration of M/s Angst + Pfister.



Advantages with the Use of Under Sleeper Pads:

- The load distribution over the track length is better, due to the additional elasticity introduced in the track.
- The contact surface between sleepers and ballast is increased thus the contact pressure between sleeper and ballast is reduced.
- Distribution of load is better over the entirety of the sleeper.
- With use of USP-equipped Sleepers, Cost Savings are generated by:
 - Prolonged tamping cycles
 - Increased track availability
 - Reduced ballast degradation and longer track life
 - Reduction in Ballast thickness
- The material of USP is free from any environmental influence.
- Smooth and better distribution of dynamic loads in case of sudden change in stiffness.

4. Flash Butt Welding

Important advantages of flash butt welding compared with other joining methods

- Reduces maintenance costs
- Saves track time
- Eliminates corrugation
- No weld filler material
- Smaller heat-affected zone
- Smaller annealed zone
- Consistent hardness
- Highest fatigue resistance
- Average life equal to the rail



Patil Group has proved its presence in the field of Flash Butt Welding for Railway through its Flash Butt Welding plants. Patil Group has constructed India's largest welding depots in Moula Ali Secunderabad and in New Bongaigaon Assam, India for Indian Railways. Adequate infrastructural facilities have been provided in these plants to facilitate the welding of 20 Rail panels. These Plants have facilities for mechanized unloading of free rails, movement of welded panels on rollers, loading and unloading of welded panels by motorized gantries. We have imported an advanced Flash Butt Welding Machine from the USA and deployed it in New Bongaigaon Assam FBW depot.

In the Flash Butt welding process of rails, rails are welded by heating, using the Flashing Technique with the help of a Hydraulic Control System. Rail ends are heated as a result of their electrical resistance using current with high amperage at low voltage and forging them at an appropriate temperature and upset force. No foreign material is needed, and the welding

process is continuous. The heat-affected zone is limited to the smallest possible area. The pre-selected configuration best suitable for a particular type of rail in accordance with its metallurgy ensures high-quality weld. The welding cycle takes place by the lateral compression of the rail ends by means of the two pairs of jaws. The jaw-clamped rail ends also act as electrodes for the flow of high-intensity current.

The individual rails of 13 m/26 m length received from steel rolling plants are initially sent to the Flash Butt Welding Plant. The individual rails are then welded into rail panels of 10-rail length by the flash butt welding technique. Flash butt joints have very high fatigue strength and are preferred over other types of welds. The rail panels of 10-rail length and 20-rail length formed by flash butt welding are transported from the Flash Butt Welding Plant to the field locations by loading into specially designed railway flat wagons. These panels are unloaded at the site through specially designed end-unloading chutes fitted to the rearmost wagon.

5. R & D of Track Systems

The Company's innovation has been recognized by the Industry Association as one of the Top 10 Innovation in India.

Patil Rail Infrastructure Limited (PRIL) is at the forefront of innovations for Indian Railways, driven by the 'Make in India' initiative. With a focus on modernization, PRIL's R&D Lab is delivering cutting-edge solutions to enhance operational efficiency, safety, and ride quality, while significantly reducing reliance on imports.



Strategic Partnership with Indian Railways

Indian Railways has partnered with PRIL to spearhead new R&D and design initiatives aimed at improving track safety, speed, and passenger experience. This collaboration reflects the trust placed in PRIL's technological prowess and innovation. As recognition of its efforts, Indian Railways has awarded PRIL an order worth ₹300 crore for various advanced products and solutions. These innovations represent a significant milestone in the modernization of India's railway infrastructure.

Pioneering Homegrown Innovations

PRIL's R&D Lab has consistently delivered breakthrough projects that support the transformation of Indian Railways. These include:

- Modern fastening systems with stricter tolerances
- Liner-less fastening systems
- Under-sleeper pads
- Coating solutions for Elastic Rail Clips (ERC)
- Composite sleepers
- New SGCI inserts with the addition of copper (Cu) and tin (Sn)
- Booted bi-block systems

Empowering Indian Railways with Local Expertise

The R&D initiatives at PRIL emphasize leveraging local expertise and resources to provide customized solutions tailored to the specific needs of Indian Railways. Through its innovative efforts, PRIL aims to:

- Empower Indian Railways with homegrown technologies to enhance operational efficiency.
- Pioneer solutions that reduce dependency on multinational corporations (MNCs).
- Facilitate the modernization of railway infrastructure with indigenous innovations.

Commitment to the 'Make in India' Vision

Under the 'Make in India' initiative, PRIL's R&D Lab has made remarkable strides in advancing the capabilities of Indian Railways. These groundbreaking projects are significantly contributing to the modernization of India's rail infrastructure, driving forward the nation's self-reliance and progress.



6. Precast Business



Box Culverts



U Drains



Columns And Beams



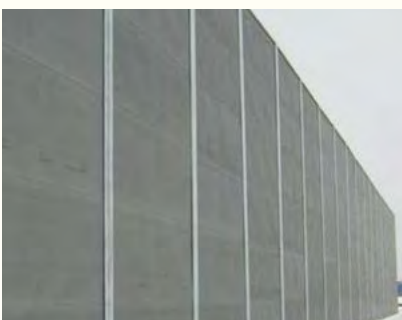
Walls



Slabs



Toilet Blocks



Noise Barriers



Road Barriers



RE Walls



Platform Walls



Septic Tanks

7. Fleet Transportation

Patil Group has started Sleeper Dispatches using Company owned vehicles to reduce the dependency on outside hire transport vehicles.



As part of Patil Group's ongoing commitment to operational excellence and efficiency, we have successfully initiated the use of company-owned vehicles for sleeper dispatches, significantly reducing dependency on external transport providers.

This strategic move aligns with our long-term vision of enhancing control over logistics and ensuring the timely delivery of critical infrastructure materials. We have introduced Bharat Benz trucks equipped with hydraulic Palfinger cranes, specially deployed at our sleeper manufacturing units. These vehicles are capable of transporting sleepers directly to designated project locations, adhering to strict timelines and safety standards.



By integrating crane-mounted trucks, we have streamlined the loading and unloading process, reduced turnaround time, and optimized truck utilization. This innovation ensures that sleepers are delivered efficiently, reliably, and in compliance with railway specifications.

Beyond sleeper dispatches, this logistics model supports the transportation of aggregates and plant-specific materials, contributing to a fully integrated supply chain.

Looking ahead, Patil Group plans to expand its in-house logistics capacity and return load network, positioning fleet management as a strategic pillar in infrastructure execution. This approach not only ensures timely project delivery but also reinforces our commitment to a sustainable, self-sufficient, and cost-efficient logistics ecosystem.



Acquisition of Coromandel Concrete Products Private Limited:

Coromandel Concrete Products Private Limited ("the Company") incorporated on October 03, 1986 is engaged in the business of manufacture of Prestressed Concrete Sleepers predominantly for Indian Railways.

During the Financial Year 2024-25, M/s. Daya Engineering Works Private Limited (Wholly owned subsidiary of M/s. Patil Rail Infrastructure Private Limited), acquired entire equity shareholding of the Company and accordingly, the Company became a step down subsidiary of M/s. Patil Rail Infrastructure Private Limited.

The acquisition happened in two tranches – 51% equity shares were acquired on 01st April, 2024; while the remaining shares were acquired on 16th August, 2024.

The Registered Office of Coromandel Concrete Products Private Limited was shifted from Andhra Pradesh to 6-3-1239/B/111, 2nd Floor, Renuka Enclave, Raj Bhavan Road, Somajiguda, Hyderabad, Telangana, India, 500082; with effect from 01st March, 2025.

The manufacturing unit is situated at DSK Campus, Near Railway Station, Kovvur, West Godavari, Andhra Pradesh – 534350.



Participation in Trade Fair

Patil Rail Infrastructure Pvt. Ltd. is actively showcasing its **key strengths, extensive footprint across Indian Railways, latest group developments, and new innovations** to address critical challenges faced by Indian Railways by **sponsoring and participating** major events in India viz. **IREE, NewDelhi & INNORAIL, Lucknow.**

Through these platforms, Patil Rail Infrastructure is reinforcing its commitment to **safety, quality, and customer-focused solutions**, while positioning itself as a trusted partner in modernizing rail systems **within India and beyond.**

In **2024**, our team attended exhibition outside India viz. **InnoTrans, Berlin and RAILWAYTECH, Indonesia**, exploring global opportunities and potential partnerships to bring **world-class solutions** to India—supporting the vision of a **modern, safe, and high-quality Indian Railway system.**





Natural Capital: Environmental and Sustainability

(Aligned with SDGs: 6 – Clean Water & Sanitation, 7 – Affordable & Clean Energy, 12 – Responsible Consumption & Production, 13 – Climate Action, 15 – Life on Land)

Energy Management

Patil Rail Infrastructure continues to advance its clean energy transition, embedding renewable power generation at multiple locations to strengthen energy security and reduce carbon intensity. Solar installations are central to this strategy, contributing a growing share to total energy consumption and displacing grid-based power.

Highlights:

5.4 MW of installed solar capacity across 18 locations enables the avoidance of approximately 6,642 tons of CO₂ emissions annually, lowering Scope 2 emissions.

The recently commissioned 525 kWp solar plant generates approximately 766,500 units per year, resulting in a reduction of 613 tons of CO₂ emissions.

14% of the group's energy requirement is now met through solar power, with up to 40% in solar-enabled locations.

Adoption of alternate fuels for boilers and DG sets is underway to reduce Scope 1 emissions.

Solar Installed Capacity Progression (MWp)

Financial Year	Solar Capacity Installed (MWp)	Total Solar Capacity (MWp)
2022–2023	2.4	2.4
2023–2024	1.9	4.3
2024–2025	0.5	4.8
2025–2026	0.5	5.3

The company's solar roadmap targets surpassing 6 MW capacity by FY2026, reinforcing its renewable energy transition plan.

The Company uses Electric vehicles (EVs) for its operations and for use by leadership team, which offers significant environmental benefits by producing zero tailpipe emissions, which reduces local air pollution and greenhouse gases.

Environmental benefits of Electric Vehicles

- Zero tailpipe emissions:** EVs do not have an exhaust pipe, so they don't release pollutants like carbon dioxide, carbon monoxide, or other harmful gases while driving. This significantly improves local air quality, especially in urban areas.
- Reduced greenhouse gas (GHG) emissions:** By replacing fossil

Water Conservation

Water stewardship is integral to operational resilience. The company's facilities are designed to promote the reuse and recycling of water through treatment and monitoring systems. These initiatives ensure reduced freshwater dependency and efficient water utilisation across operations.

Highlights

Multiple Water Treatment Plants (WTPs) enable the reuse of water in curing, washing, and process operations, conserving freshwater resources.

Rainwater harvesting structures and real-time flow meters have been installed to improve monitoring and accountability.

Circular water systems and energy-efficient fixtures contribute to minimising freshwater draw and enhancing water-use efficiency.



fuels, EVs help reduce the overall greenhouse gas emissions that contribute to climate change. Their lifecycle emissions are typically lower than those of internal combustion engine vehicles, even when accounting for electricity generation.

- Quieter operation:** EVs are much quieter than traditional cars, which reduces noise pollution.

Carbon Emissions and Climate Action

Through renewable energy initiatives, the company continues to make measurable progress in reducing greenhouse gas emissions. Increasing solar capacity and clean energy adoption form the backbone of its decarbonization strategy.

Highlights

Approximately 5,606 tons of CO₂ emissions are avoided annually through the use of renewable energy.

The expansion of solar energy has enabled significant carbon reduction over the years.

The roadmap includes expanding solar capacity beyond 6 MW by FY2026.

Implementation of carbon accounting protocols aligned with the GHG Protocol is planned.

Long-term ambition is to achieve carbon neutrality by 2045.

CO₂ Emissions Avoided (TCO₂E)

Financial Year	CO ₂ Emissions Avoided (TCO ₂ E)
2021–2022	0
2022–2023	651
2023–2024	3,083
2024–2025	4,366

Pollution Control and Air Quality

Patil Rail Infrastructure ensures compliance with environmental norms through effective pollution control systems and preventive measures. Investments in cleaner technologies continue to strengthen workplace safety and air quality.

Highlights:

1. All facilities are equipped with Dust Extraction Systems (DES) to maintain clean and safe working environments.
2. Periodic environmental audits and preventive maintenance ensure regulatory compliance.
3. Future initiatives include deploying smart dust monitoring sensors and low-emission machinery.

Commitment to Environmental Stewardship

The company's environmental approach aligns with national sustainability goals and global SDGs, focusing on the responsible use of natural resources. Continuous improvements in energy, water, and emission management are enabling sustained environmental performance.

Highlights

A strategy built around clean energy, water conservation, and carbon reduction reflects responsible growth.

Future focus areas include enhancing waste management and implementing comprehensive carbon accounting.

The company aims to scale up clean technologies to ensure a resilient, low-carbon future.



Plantation Activities

Our Group believes that protecting the environment is not just a responsibility, it is a duty that we owe to our planet, to ourselves, and to future generations. We all have the power to make a difference, and by taking simple steps, we can protect our planet and ensure a brighter future for all our stakeholders. With this vision, Patil Group had organized several plantation activities throughout the year across all our sites, nearby schools and villages, with active participation of all our employees. As a responsible corporate group, we have contributed to the Environmental Sustainability by planting more than 5000 trees during the year.



Social Responsibility

Patil Group has institutionalised learning and development through Patil Academy, positioning it as a strategic pillar for capability enhancement rather than a compliance activity. The Academy drives technical excellence, safety awareness, and leadership capacity across the organisation. Supported by the Dr. S. S. Patil Centre for Manufacturing Excellence and the Skill Development Centre at Kargi Road, it delivers structured, role-based training to strengthen workforce readiness and operational competence.

Highlights:

Patil Academy functions as the dedicated learning and development arm of the Group, integrating technical, functional, and behavioural training across all levels.

75+ programs were conducted in the past year, covering technical, functional, behavioural, leadership, and safety topics.

83 employees were trained at Corporate Headquarters, and 482 employees across plants, totalling 565+ participants.

New programs introduced include Contract and Claims Management, Critical Thinking and Leadership Evolution, Behavioural Training for Contract Workforce, and Advanced Safety Training Modules.

The Group aims to scale training hours per employee and develop a centralised reporting metric to measure learning impact.

SDG Alignment

SDG	Focus Area	Key Contribution
SDG 3	Good Health & Well-being	Safety and emergency training to build awareness and prevent workplace incidents
SDG 4	Quality Education	Continuous skilling through Patil Academy and role-specific training centres
SDG 5	Gender Equality	Inclusion of contract workforce and leadership programs for women, with plans for further scale-up
SDG 8	Decent Work & Economic Growth	Creation of an industry-ready workforce through continuous skill development
SDG 10	Reduced Inequalities	Bridging employability gaps and extending training to contract staff

Global Manufacturing Hub

Bridging Skill Gaps & Employability

The Group ensures every employee is industry-ready through structured onboarding, skill enhancement, and behavioural training. Training programs focus on functional efficiency, technical depth, and adaptability to evolving manufacturing and safety standards.

Highlights

Programs encompass technical functions, soft skills, and behavioural competencies aligned to operational needs.

Training modules are tailored for specific roles and designed to improve productivity, safety, and performance.

Regular refresher sessions ensure an up-to-date understanding of modern production technologies and workplace best practices.

Continuous Improvement & Process Excellence

Patil Academy promotes a culture of lean thinking and operational efficiency. Through initiatives such as 5S and Kaizen, the organisation embeds continuous improvement principles into everyday operations.

Highlights

Employees across levels are trained to apply lean tools for waste reduction and efficiency improvement.

Supervisors and operators sustain 5S and Kaizen practices through peer-driven monitoring.

Process automation and data-driven performance reviews are gradually integrated into plant operations.

Leadership & Behavioural Development

Leadership programs nurture critical thinking, decision-making, and emotional intelligence to prepare future-ready leaders. The structured journeys combine classroom learning, mentoring, and experiential exercises.

Highlights

Leadership journeys of 3–6 months focus on developing analytical and interpersonal capabilities.

Programs are delivered for senior management, supervisors, and the contract workforce.

The flagship “Self-Discovery to Elevate – A New Beginning” initiative is designed for senior leaders to drive transformative leadership behaviour.

Industrial Exposure & Industry Partnerships

Through collaborations and exposure visits, Patil employees gain insights into modern manufacturing environments and benchmark their practices against industry leaders.

Highlights

Industry visits and CII-led partnerships expose employees to automation, quality control, and process innovation.

Participation in peer learning events strengthens alignment with evolving industrial standards.

Cross-learning helps integrate new ideas into Patil’s production systems and quality frameworks.

In-House Technical & Safety Training

Patil Academy conducts intensive in-house programs to enhance technical and safety proficiency. These focus on operational accuracy, hazard awareness, and safe workplace practices.

Highlights

Training covers pre-stressing, casting, welding, and concrete handling.

Safety modules include PPE use, fire safety, electrical safety, material handling, and emergency drills.

Regular sessions ensure employees are equipped to work safely in digitally instrumented environments.

Digital Transformation Training

As part of the transition to Industry 4.0, Patil Academy is embedding digital competencies into its training framework.

Highlights

AI, ML, and SAP modules have been introduced to prepare employees for tech-enabled manufacturing.

Digital literacy programs aim to enhance data awareness, system integration, and readiness for automation.

Continuous digital skilling supports future-proofing of the workforce and enhances productivity.

Safety Management & Employee Well-being

(Aligned with SDG 3 – Good Health & Well-being, SDG 8 – Decent Work & Economic Growth)

Safety is rooted in the Group’s “Zero Harm” philosophy – ensuring no injuries, no incidents, and no compromise on health, safety, or environment. Every employee shares responsibility for safety, supported by structured programs that reinforce awareness, preparedness, and accountability.

Highlights:

Tool Box Talks at Wadiyaram and Kallakal Foundry reinforce hazard identification and safe work practices.

PPE Sustainability Drives ensure 100% compliance across all sites.

Instant Gratification Programs at Wadiyaram, Hubli, and Kaipadar recognize proactive safety behaviour.

Mock drills are conducted quarterly, both planned and unplanned, to assess emergency readiness.

Safety signages displayed in three languages enhance communication across diverse teams.

Safety Training Highlights (FY25)

Training Topic	Mode	Trainer	Participants	Duration
Safety & Near Miss Reporting	Online	Venu Gopal / Vamsi	21	80 min
Firefighting (4–5 rounds)	Online	Venu Gopal / Vamsi	36	90 min
Gas Cylinder Safety	Online	Venu Gopal / Vamsi	40	90 min
Incident Awareness	Offline	Venu Gopal	18	20 min
Firefighting Live Demo	Offline	Venu Gopal / Vamsi	17	45 min

Employee Health & Insurance Coverage

(Aligned with SDG 3 – Good Health & Well-being, SDG 10 – Reduced Inequalities)

Patil Group’s welfare programs offer comprehensive protection through multiple insurance and medical coverage schemes, ensuring the holistic well-being of employees and their dependents.

Highlights:

Group Medical Coverage (GMC) is extended to 830 non-ESI staff and approximately 2,700 dependents, with coverage limits of ₹3 lakh, ₹6 lakh, or ₹10 lakh, depending on the grade.

The scope includes pre-existing diseases, as well as pre- and post-hospitalisation coverage (30/60 days), with defined room rent caps.

Group Personal Accident (GPA) covers 1,200 on-roll employees with a sum insured ranging from ₹5 lakh to ₹ 50 lakh and OPD fracture coverage of up to ₹15,000.

Group Term Life (GTL) coverage provides ₹5–50 lakh per grade for 1,200 on-roll employees.

Coverage excludes alcohol, dental, drug-related, and cosmetic procedures to maintain ethical and health-focused standards.

Patil Skill Development Centre

Located at Kargi Road, Bilaspur (Chhattisgarh), our Skill Development Centre has been operational for more than 10 years. The centre provides hands-on training to unskilled, semi-skilled, and skilled individuals, as well as to ITI'S, diploma & graduate engineers, equipping them with specialized skills essential for railway manufacturing.

To ensure a seamless transition into the industry, the program includes assured employment upon successful completion of training. Candidates are selected through job melas conducted across India, in collaboration with colleges, government agencies, and NGOs.

We have a tailor-made syllabus and structured training modules designed for all levels — from unskilled workers to Senior General Managers. Along with technical skills, special focus is given to safety training to build a strong foundation of workplace discipline and awareness.

The training centre manages the complete process — from induction, background verification, and appointment to training, placement, and post-placement support during the first year of employment.

Importantly, the Skill Development Centre is an independent initiative of the Patil Group and is not funded by any government organization.

Recognizing the growing demand for skilled professionals in the railway sector and biggest challenge of availability of human resource for this large manufacturing facility, Patil Group decided to play a humble role in upskilling rural youth and preparing them for emerging opportunities in the industry.

In addition to foundational programs, the centre also provides classroom and on-the-job training, along with annual refresher courses for skilled operators, ITI graduates, diploma engineers, and supervisors who are already employed at different units of the company.

Various Programme undertaken in the centre are – Batching plant Operation, Casting, Pre stressing, Concrete Lab training, Machine maintenance, Safety, all other skill required for manufacturing of Prestressed concrete sleeper, HTS Wire, Foundry & Quality Control. Training on manufacturing of railway track component like clips, rubber pads, turnout & Rail welding. Each batch size of 25 members is taken.

Facilities at Training Centre – 4 classrooms and concrete lab.



Employee Happiness

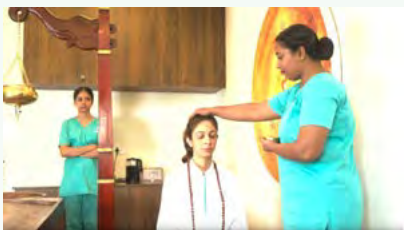
At Patil Group, we focus on fostering a positive and inclusive environment by promoting factors like work-life balance, opportunities for growth, open communication, recognition, and a sense of belonging. Our Employees derive a profound sense of fulfillment as they perceive their tasks as meaningful, contributing to a larger purpose and societal impact.



Maanaveeya Kalyana Trust

The Promoters of Patil Group have established Maanaveeya Kalyana Trust at Kalaburagi, which is a dedicated social welfare organization committed to enhancing community wellbeing through holistic, service-oriented initiatives. Under its leadership and governance, the Trust operates two key institutions: Arujiva Ayurveda Hospital, a centre of authentic, traditional healing that provides accessible and evidence-based Ayurvedic healthcare; and Anand Kutumb, a senior assisted-living community that offers compassionate, dignified care for the elderly. Together, these initiatives reflect the Trust's mission to uplift society by promoting health, dignity, and overall quality of life for individuals across all age groups.

MKT Section



Patil Group promotes “Make in India” vision of Indian Government.

We have linked our business goals with this government initiative which was launched in September 2014 to transform India into a global hub for manufacturing, design, and innovation.

We focus on creating a business-friendly environment by improving the ease of doing business, fostering innovation, and building world-class infrastructure to attract both domestic and foreign investment.

Our products like pre-stressed concrete sleeper is manufactured with a backward integration concept which makes us a One Stop Railway Track Solution thereby promoting “Make in India” vision.

GOVERNANCE

All our Group Companies are managed with a goal to achieving better Corporate Governance to ensure protection and transparency to the stakeholders.

SECRETARIAL

The Board consists of competent Directors and has a good balance of Executive and Non Executive Directors. The Board of Directors meet at regular intervals at Board Meetings where key decisions regarding business operations, compliance and future strategies are taken. Notice, Agenda and Notes to Agenda of the Board Meetings are circulated to all directors timely. All directors attend the meetings to contribute their opinion on the agendas transacted. At Board level, opinion of all directors are taken into account to arrive at suitable decision.

Secretarial Compliances relating to the Board Meetings are taken care by our Secretarial Team . From maintaining Attendance Registers to preparation and circulation of Minutes of the meeting – all activities are executed in line with Companies Act, 2013. Half Yearly, Annual and Event Based Forms are regularly filed on Ministry of Corporate Affairs Portal.

Secretarial Audit is conducted for every financial year by Secretarial Auditor in M/s. Patil Rail Infrastructure Private Limited in accordance with Companies Act, 2013.

All mergers, acquisitions, incorporations, allotment of shares etc. within our group companies are handled taking utmost care of the compliances under relevant laws.

INTERNAL AUDIT

The Internal Audit function operates as an independent assurance mechanism, evaluating the adequacy and effectiveness of internal controls, risk management, and governance processes across all functions. Periodic internal audits are conducted as per the Management approved Annual Audit Plan, covering financial, operational, and compliance aspects. Audit observations are reported to the Management, and corrective actions are monitored until closure. This continuous review process ensures transparency, strengthens compliance culture, and supports the organisation's commitment to sound governance and ethical business conduct.

GST

We have total 36 GST registrations for 10 different companies, and 2 GST registrations as TDS deductor for 2 companies. Section 22 of CGST is followed for the GST registration process, considering the threshold limits (Rs.20 lakh for service providers, Rs.40 lakh TO for goods supplier for regular states). ITC is claimed as per section 16 of CGST, considering the eligibility and ineligible. ITC is to be claimed based on purchases, reconciled with GSTR2B populated 14th of every month (IMS to be done before computing ITC). Invoice for the outward sales / service is followed as per section 31 of CGST. E-invoice is mandatory for the dealers where TO crossed INR 5 cr / year. GSTR1 for outwards sales / services, and GSTR3B to claim ITC and setoff liabilities are the monthly returns filed u/s section 39, filing is done by 11th and 20th of every succeeding month. GST TDS registration is done u/s 51 of CGST, monthly returns are filed in form GSTR7 by 10th of every month. Annual returns are filed in form GSTR 9 and 9C by 31st Dec of every succeeding year. ITC-04 is filed for job work for once in every six months where there is job work. E-way bill is generated for movement of goods which is to be accompanied with road vehicle u/s 138.

Solar Power: Driving Sustainability at Patil Group

Our Patil Group's environmental journey installed capacity in 4No's of manufacturing plants for the FY-2024-25 is 525KWp with total solar installed capacity of 4.8MWp in 17 No's locations.

The installed Solar Plant of 525kWp generates approx 7,66,500 Units of electricity and reduces approx 613 tons of carbon emissions into the atmosphere every year.

We reaffirm our commitment to sustainability and innovation in the energy sector. The commissioning of the 525kWp Solar Plant is not just a milestone for our company but also a testament to our shared vision of a greener and more

sustainable future. The total installed capacity of 4.8MWp generates approx 70,08,000 Units of electricity and reduces approx 5606 tons of carbon emissions into the atmosphere every year.

The installed solar capacity of 4.8MWp reduces our energy requirement dependency of 40% on grid in installed solar plants & 14% in our total consumption of the group.

A Greener Future

The commissioning of Solar Plant, is a milestone in our sustainability journey and a testament to our shared vision for a greener future. By aligning innovation with environmental responsibility, Patil Group continues to lead in integrating renewable energy solutions into its operations.



Plant Name: PRIL

Location: TUMKUR, KARNATAKA

Capacity: 105 kWp

Status: Completed on 23/09/2024



Solar Plant Installation at Plants



Plant Name: PRIL

Location: TIRUMANGALAM, TAMILNADU

Capacity: 70 kWp EXTENSION

Status: Completed on 30/03/2025



Plant Name: CHQ

Location: HYDERABAD, TELANGANA

Capacity: 50 kWp

Status: Completed on 03/08/2024





Plant Name: COROMANDEL

Location: KOVVUR, AP

Capacity: 80kWp

Status: Completed on 30/03/2025



Plant Name: PRIL

Location: UDVADA, GUJARAT

Capacity: 220 kWp

Status: Completed on 30/03/2025



DOJO Centre

DOJO CENTRE CONCEPT

A Dojo center is known for the manufacturing companies where newly hired team members can get professional training and acclimate to take on their responsibility effectively to work on the manufacturing shop floors.

To complete a particular task in a dojo center, he or she should get trained again and again with the help of replica models/ stimulator and mock-ups until they become perfect at their task. Actual Shopfloor environment with all the simulator & actual training environment for newly hired workers who give confidence to the new operators and give time-to-time guidance to correct them.

After taking training from Dojo Training Center, a worker

feels more comfortable and confident on the shop floor and performs his work better

DOJO center was first created in Kallakal foundry plant in May'2025

The concept of DOJO was implemented to provide basic training to all the new & existing employees (On role / Contract) wrt

- Safety
- Process
- Quality
- Kaizen concept
- Types of breakdown
- Process / methods improvement

INAUGURATION OF DOJO



Business Improvements by CME at Patil Group



Dr. S.S. Patil Centre for Manufacturing Excellence (CME) was inaugurated in March 2019. It came to existence due to the long-sight vision of the Executive Chairman Dr. L.S. Patil. Our motto is to become a world-class manufacturing organization, by adopting and implementing the Lean manufacturing principles.

This CME was set up to enhance the people development and process improvement by various programs such as Quality circle team formation and training, encouraging employees to think beyond by executing various kaizens across our manufacturing locations. The uniqueness of this Centre is that it promotes self & mutual learning of various quality Tools & techniques of Lean manufacturing practices are carried out in manufacturing units with continuous handholding to the plant operation and maintenance teams.

In the recent past years, this center has created a large pool of well-experienced Excellence coordinators at each plant site. These experts are now capable & have the expertise of driving independently the manufacturing excellence activities in their respective plants.

Continuous training to managers, engineers, & grassroots level technicians, workmen are taken up for skill upgradation of all our employees.

The uniqueness of this Centre is that it promotes learning through small groups & intensive interaction with the Corporate CME team. Practical implementation of many Tools & techniques of Lean manufacturing practices are carried out in manufacturing units with continuous handholding to the plant operation team.

What CME does

- Encouraging Employees in implementing Kaizens
- Training and Handholding on Various Problem Solving Tools and Techniques
- Creating Future Leaders
- Make plants self-resilient and self sustaining on their cost and other losses by implementing various projects.

CME Way, Objectives

CME focuses on manufacturing excellence to implement initiatives that:

- Support to develop excellence culture in the plants
- Facilitate making Excellence champions, Site leaders & make the site a mini CME itself
- Improve individuals' & teams' manufacturing competitiveness
- Forge alliances with various industry experts, consultants & organizations
- Encourage & provide continuous support to build a self-sufficient & well-trained "Young Smart Force" (future young leaders)
- Promote a healthy competitive mindset to outperform each other
- Extend a helping hand & refresher training to new manufacturing sites whenever particular issues surface
- Be instrumental in bringing cultural & behavioral changes with improved professionalism

Goal & Approach



Awards and Recognition



Gold Winner
CII Circle competition (Quality Circle) – Bokaro (Foundry)



Gold Award
Q.C.F.I. Bokaro Chapter – Bokaro (Foundry)



Silver Award
CII Circle Competition 5S – Tirumangalam



Gold Award
CII Circle Competition 5S – Kargi



Gold Award
CII Circle Competition 5S – Kargi



Gold Winner
CII National Poke-Yoke Competition – Bokaro (Foundry)



Silver Award
CII National KAI-ZEN Competition – Tirumangalam



1st Runner Up Award
CII Inter Industry Kaizen Competition – Gaya

DIRECTOR'S REPORT

To
The Members of
Patil Rail Infrastructure Private Limited

Your Directors have pleasure in presenting the 29th Board's Report on the business and operations of the Company for the financial year ended 31st March, 2025.

1. FINANCIAL RESULTS:

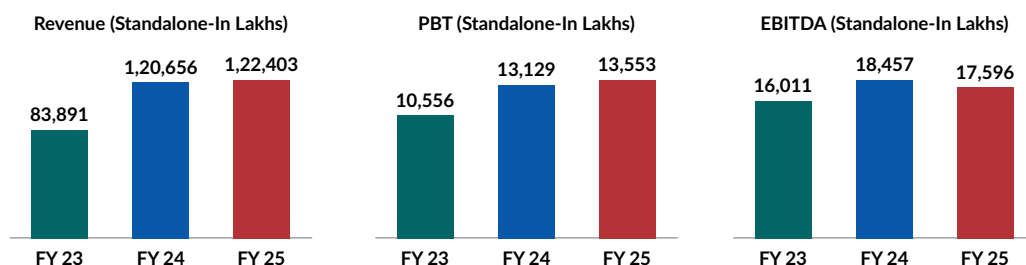
In accordance with the provisions of the Companies Act, 2013, as amended ("the Act"), your company has prepared its financial statement for the financial year ended 31st March 2025 as per the Indian Accounting Standards ('Ind AS') as notified by the Ministry of Corporate Affairs and as amended from time to time. Key highlights of the financial performance of your company on standalone and consolidated basis are provided below:

(Amount in Rs. in Lakhs)

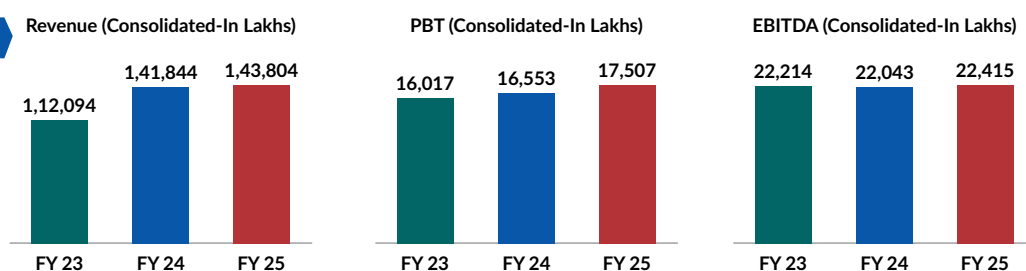
Particulars	STANDALONE		CONSOLIDATED	
	FY 2024-25	FY 2023-24	FY 2024-25	FY 2023-24
Revenue from Operations (net)	1,22,403.40	120,656.48	1,43,804.26	1,41,844.38
Other Income	1,163.22	1,041.12	1,707.37	672.84
Total Income	123,566.62	121,697.60	1,45,511.63	1,42,517.22
Cost of materials consumed	59,181.01	53,075.15	68,932.27	62,050.48
Purchase of stock-in-trade	14,563.46	8,850.21	14,173.20	9,034.78
Changes in Inventories	509.19	3,613.10	(2,119.24)	3,908.57
Contract execution Expenses	1,209.93	11,381.63	1,401.21	11,623.28
Employee Benefits Expense	8,768.51	7,201.89	11,723.80	9,406.18
Finance costs	2,171.78	3,570.62	2,233.53	3,296.88
Depreciation and amortisation expense	1,870.74	1,757.00	2,674.58	2,193.22
Other expenses	21,738.72	19,118.41	28,985.09	24,451.21
Total expenses	1,10,013.34	108,568.01	1,28,004.44	1,25,964.60
Profit before Tax	13,553.28	13,129.59	17,507.19	16,552.62
Total Tax expenses	3,372.30	3,263.73	4,201.51	4,207.79
Profit after Tax	10,180.98	9,865.86	13,305.68	12,344.83
EPS - Basic and Diluted	40.84	39.57	53.03	49.55

FY-2025 PRIL-PERFORMANCE HIGHLIGHTS

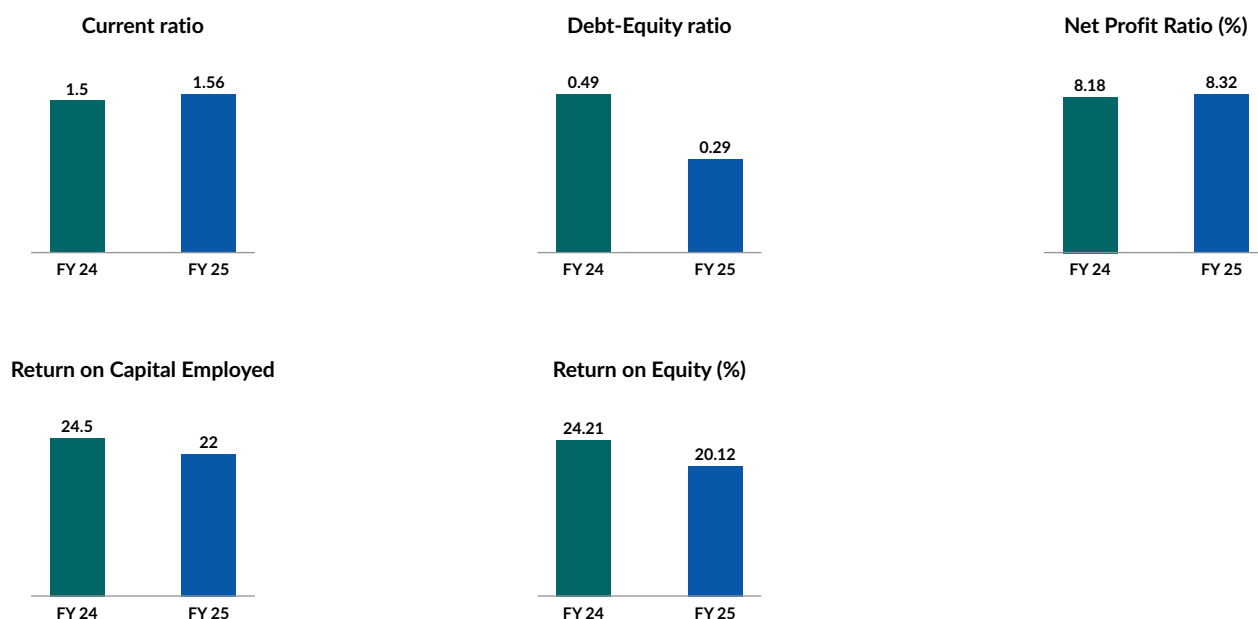
Standalone



Consolidated



KEY FINANCIAL RATIOS



2. STATE OF AFFAIRS AND FINANCIAL PERFORMANCE:

Patil Rail Infrastructure Private Limited ("the Company"), incorporated on April 25, 1996 is engaged in the business of railway track engineering, manufacturing of various types of pre-stressed concrete sleepers, rail fittings for normal track, elevated and underground track for Metro Rail, Switches and Crossings (Thick Web Technology), Ballastless track suitable for High-Speed Lines, Bridges, Tunnels and Aprons, installation of precast boundary walls and metal beam crash barriers along railway lines, etc.

The registered office of the Company is situated at 6-3-1239/B/111, 4th Floor, Renuka Enclave, Raj Bhavan Road, Somajiguda, Hyderabad – 500 082, Telangana. The Company has eight operating sleeper manufacturing facilities, three high tensile steel wire ("Wire") manufacturing facilities, one railway track fastening systems manufacturing facility, one railway track component i. e. Spheroidal Graphite Cast Iron (SGCI) inserts of all types manufacturing facility and two precast boundary wall manufacturing facilities spread across India. The major supplies are made to Indian Railways.

During the financial year ended as on 31st March 2025 on a standalone basis, the Company has recorded a total revenue from operations of Rs. 1,22,403.40/- Lakhs as against the previous year total revenue from operations of Rs. 120,656.48 /-Lakhs and booked a Net profit after taxes of Rs. 10,180.98/- Lakhs as against the Previous year profit after tax of Rs. 9,865.86/-Lakhs.

During the financial year ended as on 31st March 2025 on a consolidated basis, the Company recorded a total revenue from operations of Rs. 1,43,804.26/-Lakhs as against the previous year total revenue from operations of Rs.1,41,844.38/- Lakhs and booked a Net profit after taxes of Rs. 13,305.68/- Lakhs as against the previous year profit after tax of Rs. 12,344.83/- Lakhs.

The Board of Directors will make their possible efforts to achieve more profits with a sustainable growth in the future years.

3. CHANGE IN THE NATURE OF BUSINESS IF ANY:

As per the requirements Rule 8 (5) (ii) of Companies (Accounts) Rules, 2014, we want to declare that, there is no significant change in the nature of business of the company during the last financial year.

4. DIVIDEND:

In view of the planned business growth, your Directors deem it proper to preserve the resources of the Company for its activities and therefore, do not propose any dividend for the Financial Year ended March 31, 2025.

5. AMOUNT TRANSFERRED TO RESERVES:

During the year under review, the Company has not transferred any amount to General reserve.

6. SUBSIDIARY/ JV/ ASSOCIATE COMPANY:

Your company has the following Subsidiaries as mentioned below. Further there has been no material change in the nature of business of the Subsidiaries and Associates:

Sl No.	Name of company	CIN
1.	*Icon Sleeper Track Private Limited	U26959TG2007PTC092551
2.	Daya Technical Services Private Limited	U74140BR1982PTC001682
3.	Daya Engineering Works Private Limited	U00339TG1963PTC126053
4.	Kallakal Foundary Casting Products Private Limited	U27100TG2017PTC120879
5.	Patil SMH JV Private Limited	U74999TG2018PTC125044
6.	Apna Technologies & Solutions Private Limited	U52335TN2004PTC053200
7.	**Coromandel Concrete Products Private Limited	U60100TS1986PTC196421

*Company is merged with Patil Rail Infrastructure Private Limited vide Merger Order dated 14th August, 2025 received from Regional Director, South East Region, Ministry of Corporate Affairs.

**Company is a step-down subsidiary w.e.f. 01.04.2024.

During the year under review, Coromandel Concrete Products Private Limited (CIN: U60100TS1986PTC196421) has become a Step Down Subsidiary of the Company w.e.f. 01st April, 2024.

During the year under review, there is no Body Corporate which has become or ceased to be its Joint Venture/ Associates Companies as per the provisions of the Act, 2013.

During the year under review, the following subsidiaries have been struck off from the Register of the Companies and the said Companies are dissolved under provision of Section 248 (2) of the Companies Act, 2013.

S. No	Name of Subsidiary Company	CIN	Effective Date of closure
1.	Patil Rail Fastening Systems Private Limited	U28999TG2020PTC145145	30/11/2024
2.	***Apna Patil Rail Diagnostics Private Limited	U51909TG2022PTC160360	30/11/2024
3.	Patil Digital Systems Private Limited	U72900TG2019PTC135500	06/01/2025

*** Company was a step-down subsidiary.

In terms of proviso to sub section (3) of Section 129 of the Act, 2013 read with Companies (Accounts) Rules, 2014, a report on the performance and financial position of each of the subsidiaries, associates and joint venture companies as per the Companies Act, 2013 is provided in Form AOC-1 as **Annexure I**.

Disclosure of Information related to Icon Sleeper Track Private Limited (CIN: (U26959TG2007PTC092551), Wholly owned Subsidiary of the Company: The Board of Directors of the Company at its meeting held on 04.12.2024 & 15.03.2025, considered and approved the Scheme of Amalgamation and Revised Scheme of Amalgamation, respectively; pursuant to Sections 233 and other applicable provisions of the Companies Act, 2013, providing for the merger of its wholly owned subsidiary Icon Sleeper Track Private Limited with the Company.

The Regional Director, South East Region, Ministry of Corporate Affairs, vide its order dated 14th August, 2025, approved the Revised Scheme of Amalgamation. Accordingly, the Company has accounted for the merger of M/s. Icon Sleeper Track Private Limited with M/s. Patil Rail Infrastructure Private Limited with appointed date being 01st April, 2024. The Company has accounted the merger as a common control business combination as required under Ind AS 103 'Business Combinations' and the effect has been given from April 01, 2023 (beginning of the preceding period).

7. CONSOLIDATED FINANCIAL STATEMENTS:

The consolidated financial statements are prepared and annexed in accordance with the Accounting Standards 21 and 23 as prescribed under Section 133 of the

Companies Act, 2013, read with Rule 7 of Companies (Accounts) Rules, 2014.

As per the provisions of Section 136 of the Companies Act, 2013, a copy of the financial statements, including consolidated financial statements, auditor's report, Board's Report and every other document required by law to be annexed or attached to the financial statements, which are to be laid before a company in its general meeting, shall be sent to every member of the company and copy of separate audited financial statements of its subsidiaries will be provided to the shareholders at their request.

8. DEPOSITS:

During the year under review, your Company did not accept any deposits in terms of the provisions of section 73 of the Companies Act, 2013 read with Companies (Acceptance of Deposits) Rules, 2014 nor there are any outstanding deposits as on March 31, 2025.

The required details relating to deposits, covered under Chapter V of the Act,-

- Deposits Accepted during the year- Nil.
- Deposits remained unpaid or unclaimed as at the end of the year- Nil
- Amount of default in repayment of deposits or payment of interest
 - beginning of the year- Nil
 - maximum amount of default during the year- Nil
 - at the end of year- Nil

- d) Number of cases of default in repayment of deposits or payment of interest thereon -
- at the beginning of the year- Nil
 - maximum cases of default during the year- Nil
 - at the end of the year- Nil
- Details of Deposits which are not in compliance with requirements of Chapter V of Act- Nil

9. SHARE CAPITAL:

a) Authorized Capital:

After taking into effect the Merger Order dated 14th August, 2025 received from Regional Director, South East Region, Ministry of Corporate Affairs for the merger of M/s. Icon Sleeper Track Private Limited with M/s. Patil Rail Infrastructure Private Limited, during the financial year under review, the Authorised share capital of the Company has increased from Rs. 38,00,00,000/- divided into 3,80,00,000 equity shares of Rs. 10/- each; to Rs 49,00,00,000/- divided into 4,90,00,000 equity shares of Rs. 10/- each.

b) Issued, Subscribed & Paid – up Capital:

During the financial year under review, there was no change in the Issued, Subscribed and Paid up share capital of the Company.

The Issued, subscribed and paid-up capital of the company as on March 31, 2025, was Rs. 24,93,16,010/- divided into 2,49,31,601 equity shares of Rs. 10/- each.

c) Shares with Differential Rights

The Company has not issued any shares with differential rights and hence no information as per provisions of Section 43(a)(ii) of the Act read with Rule 4(4) of the Companies (Share Capital and Debenture) Rules, 2014 is furnished.

d) Sweat Equity Shares

The Company has not issued any kind of sweat equity shares during the financial year under review.

e) Employees Stock Option Plan

During the year under review, the Company has not issued any kind of security(s) under Employee Stock Option Plan.

10. WEB LINK OF ANNUAL RETRUN:

Pursuant to the provision of section 92(3) of the Companies Act, 2013, every Company shall place a copy of Annual return on the website of the Company, if any and disclose the web-link of such Annual return in the Board's report.

The copy of the Annual Return for Financial Year 2024-25 is placed on the website of the Company and the same is available at www.patilgroup.com.

11. DIRECTORS AND KEY MANAGERIAL PERSONNEL:

The members of the Company's Board of Directors are eminent persons of proven competence and

integrity. Besides experience, strong financial acumen, strategic astuteness and leadership qualities, they have a significant degree of commitment towards the Company and devote adequate time to the meetings and preparation.

During the period under review the following changes took place in the Directors and Key Managerial Personnel:

- The Board of Directors of the Company at their meeting held on 01st April, 2024, have re- appointed Mr. Kokkonda Subrahmaniam (DIN: 05103213), as Managing Director of the company, on the expiry of his tenure, to hold office as Managing Director with effect from 01st April, 2024 to 30th June, 2024.
- The Board of Directors of the Company at their meeting held on 01st April, 2024, have appointed Mr. Manish Ishwarlal Panchal (DIN: 08431492), as an Executive Additional Director on the Board of the Company with effect from 01.04.2024.
- The Board of Directors of the Company at their meeting held on 01st July, 2024, have re- appointed Mr. Kokkonda Subrahmaniam (DIN: 05103213), as Managing Director of the company, on the expiry of his tenure, to hold office as Managing Director with effect from 01st July, 2024 to 19th July, 2024.
- The Board of Directors of the Company at their meeting held on 01st July, 2024, have taken note of the resignation of Mr. Durga Prasad Subramanyam Anapindi (DIN: 00911306), Independent Director of the Company, with effect from 14th May, 2024, vide Resignation Letter dated 14th May, 2024..
- The Board of Directors of the Company at their meeting held on 20th July, 2024, have appointed Mr. Devasigamani Prince Arumairaj (DIN: 10711632), as an Executive Additional Director on the Board of the Company with effect from 20.07.2024.
- The Board of Directors of the Company at their meeting held on 20th July, 2024, have appointed/ designated Mr. Devasigamani Prince Arumairaj (DIN: 10711632), as an Wholtime Director on the Board of the Company with effect from 20.07.2024 for a term of 1 year, i.e., upto 19th July, 2025.
- The Board of Directors of the Company at their meeting held on 20th July, 2024, have taken note of the cessation of office of Mr. Kokkonda Subrahmaniam (DIN: 05103213) as Managing Director of the Company, with effect from 20th July, 2024, due to expiry of his tenure as Managing Director, vide his resignation letter dated 18th July, 2024.
- The Board of Directors of the Company at their meeting held on 29th July, 2024, have accepted the resignation of Mr. Chandra Gupta Venkata Arisetty, as Chief Financial Officer (CFO) of the Company with effect from 29th July, 2024, vide his resignation letter dated 25th July, 2024.

- The Board of Directors of the Company at their meeting held on 29th July, 2024, have appointed Mr. Jawahar Lal Sinhari, as Chief Financial Officer of the Company with effect from 29th July, 2024.
- Members of the Company at the 28th Annual General Meeting held on 27th September, 2024 have regularised the appointment of Mr. Manish Ishwarlal Panchal (DIN: 08431492), from Executive Additional Director to Executive Director of the Company; to hold office till 31st March, 2025.
- Members of the Company at the 28th Annual General Meeting held on 27th September, 2024 have:
 - regularised the appointment of Mr. Devasigamani Prince Arumairaj (DIN: 10711632) from Executive Additional Director to Executive Director; and
 - approved his appointment as Wholetime Director for a term of one year w.e.f. 20th July, 2024 upto 19th July, 2025.
- The Board of Directors of the Company at their meeting held on 13th September, 2024, has appointed Mr. Chandra Gupta Venkata Arisetty (DIN: 09745008) as an Executive Additional Director of the Company with effect from 01st December, 2024.

Post closure of Financial Year

Mr. Manish Ishwarlal Panchal (DIN: 08431492) has been reappointed as Executive Director w.e.f. 01st April, 2025 to hold office till 31st March, 2026 through recommendation of the Board at its meeting held on 01st April, 2025; which was approved by Ordinary Resolution passed by the shareholders at the Extra Ordinary General Meeting of the Company held on 22nd April, 2025.

The Board of Directors of the Company at their meeting held on 24.09.2025 have appointed Ms. Asha Sampath (DIN: 02160962) as Non -Executive Additional Director of the Company with effect from 24th September, 2025.

The Board of Directors of the Company at their meeting held on 16th July, 2025 have re-appointed Mr. Devasigamani Prince Arumairaj (DIN: 10711632) as Wholetime Director of the Company for a further term of 1 year effective from 20.07.2025 upto 19.07.2026.

The Board of Directors of the Company at their meeting held on 24.09.2025 have recommended the members of the Company at the ensuing 29th Annual General Meeting to

- Regularise the appointment of Mr. Chandra Gupta Venkata Arisetty (DIN: 09745008) from Executive Additional Director to Executive Director of the Company.
- Regularise the appointment of Ms. Asha Sampath (DIN: 02160962) from Non-Executive Additional Director to Non-Executive Director of the Company, to hold office till 31st August, 2026.
- Approve the -reappointment of Mr. Devasigamani Prince Arumairaj (DIN: 10711632) as Wholetime

Director of the Company for a further term of 1 year effective from 20.07.2025 upto 19.07.2026.

- Appoint Mr. Vikash Kumar Gupta (DIN: 08739169) as Managing Director of the Company for a term of 1 year effective from 01.10.2025 upto 30.09.2026.

None of the Directors of the company are disqualified under the provisions of the Act and rules made thereunder.

As on the date of this report, the Board of Directors and the Key Managerial Personnel of the Company constitute the following:

Mr. Lingaraj Shantalingappa Patil	: Whole Time Director
Mrs. Padmaja Lingaraj Patil	: Whole Time Director
Mr. Devasigamani Prince Arumairaj	: Whole Time Director
Mr. Manish Ishwarlal Panchal	: Executive Director
Mr. Chandra Gupta Venkata Arisetty	: Executive Additional Director
Ms. Asha Sampath	: Non-Executive Additional Director
Mr. Jawahar Lal Sinhari	: Chief Financial Officer
Mr. Aman Purohit	: Company Secretary

12. DECLARATIONS BY INDEPENDENT DIRECTORS

The Company has received declarations from the Independent Directors under Section 149(6) of the Companies Act, 2013 confirming their independence vis-à-vis the Company.

The Board is of the opinion that, all our Independent Directors possess requisite qualifications, experience, expertise and hold high standards of integrity for the purpose of Rule 8(5)(iii)(a) of the Companies (Accounts) Rules, 2014.

13. APPOINTMENT/ RE-APPOINTMENT OF INDEPENDENT DIRECTORS:

The Company doesn't fall in the criteria for appointment of independent Director as provided in Section 149(6) of the Act and however in order to ensure the better corporate governance practice the Board of Directors of the Company at their meeting held on 09th June, 2021 had appointed Mr. Durga Prasad Subramanyam Anapindi as Independent Director of the Company and members of the Company had approved the said appointment at the Annual General meeting held on 29th November, 2021.

Mr. Durga Prasad Subramanyam Anapindi (DIN: 00911306) resigned as Independent Director of the Company has with effect from 14th May, 2024.

14. PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS:

As per the requirements of Section 134 (3) (g) of the Companies Act, 2013; Company has not made any investments in the body corporate under Section 186 of the Companies Act, 2013 during the year under review. Further, the Company has extended loans

during the year under review under Section 186. The Company has not granted any guarantees except the guarantees given in earlier years under Section 186 of the Companies Act, 2013. Details of the same as covered under Section 186 of the Companies Act, 2013 is provided under notes to the financial statements.

15. MATERIAL CHANGES AND COMMITMENTS AFFECTING THE FINANCIAL POSITION OF THE COMPANY:

There are no significant material changes and commitments occurred between the end of the financial year of the company to which the financial statements relate and the date of the report, affecting the financial position of the company.

The Board of Directors of the Company at its meeting held on 04.12.2024 & 15.03.2025, considered and approved the Scheme of Amalgamation and Revised Scheme of Amalgamation, respectively; pursuant to Sections 233 and other applicable provisions of the Companies Act, 2013, providing for the merger of its wholly owned subsidiary Icon Sleeper Track Private Limited with the Company.

The Regional Director, South East Region, Ministry of Corporate Affairs, vide its order dated 14th August, 2025, approved the Revised Scheme of Amalgamation. Accordingly, the Company has accounted for the merger of M/s. Icon Sleeper Track Private Limited with M/s. Patil Rail Infrastructure Private Limited with appointed date being 01st April, 2024. The Company has accounted the merger as a common control business combination as required under Ind AS 103 'Business Combinations' and the effect has been given from April 01, 2023 (beginning of the preceding period).

16. BOARD AND COMMITTEE MEETINGS:

During the year under review, the Board of Directors duly met 13 (Thirteen) times at Board Meetings, which were duly convened and held. The intervening gap between the meetings was within the period prescribed under the Companies Act, 2013.

The dates of the Board Meetings are as follows:

Sl. No.	Date of meeting	Number of Directors Entitled to attend	Number of Directors attended	% of Attendance of Directors
1.	01st April, 2024	3	3	100.00
1.	01st July, 2024	3	2	66.67
2.	20th July, 2024	3	2	66.67
3.	29th July, 2024	4	3	75.00
4.	17 th August, 2024	4	3	75.00
5.	13 th September, 2024	4	4	100.00
6.	27 th September, 2024	4	3	75.00
7.	07 th November, 2024	4	3	75.00
8.	04 th December, 2024	5	5	100.00
9.	24 th December, 2024	5	4	80.00
10.	02 nd February, 2025	5	4	80.00
11.	04 th February, 2025	5	4	80.00
12.	15 th March, 2025	5	4	80.00

The number of Board meetings attended by the Directors during the FY 2024-25 is as follows:

Name of the Directors	Number of Meeting entitled to attend	Number of meetings attended
Mr. Lingaraj Shantalingappa Patil	13	13
Mrs. Padmaja Lingaraj Patil	13	13
Mr. Devasigamani Prince Arumairaj	10	9
Mr. Manish Ishwarlal Panchal	12	3
Mr. Chandra Gupta Venkata Arisetty	5	5
Mr. Durga Prasad Subramanyam Anapindi	1	1

During the year under review, the Executive Committee of the Board met 29 (Twenty-Nine) times at their meetings, which were duly convened and held as per the below mentioned dates:

Sl. No.	Date of meeting	Number of Meeting entitled to attend	Number of meetings attended	% of Attendance
1.	15 th April, 2024	3	3	100.00
2.	30 th April, 2024	3	3	100.00
3.	02 nd May, 2024	3	3	100.00
4.	15 th May, 2024	3	3	100.00
5.	20 th May, 2024	3	3	100.00
6.	21 st May, 2024	3	3	100.00
7.	31 st May, 2024	3	3	100.00
8.	05 th June, 2024	3	3	100.00
9.	26 th June, 2024	3	3	100.00
10.	10 th July, 2024	3	3	100.00
11.	27 th July, 2024	3	3	100.00
12.	13 th August, 2024	3	3	100.00
13.	16 th August, 2024	3	3	100.00
14.	26 th August, 2024	3	3	100.00
15.	03 rd September, 2024	3	3	100.00
16.	20 th September, 2024	3	3	100.00
17.	04 th October, 2024	3	3	100.00
18.	24 th October, 2024	3	3	100.00
19.	28 th October, 2024	3	3	100.00
20.	06 th November, 2024	3	3	100.00
21.	27 th November, 2024	3	3	100.00
22.	02 nd December, 2024	4	3	75.00
23.	11 th December, 2024	4	4	100.00
24.	25 th December, 2024	4	4	100.00
25.	02 nd January, 2025	4	4	100.00
26.	21 st January, 2025	4	4	100.00
27.	03 rd February, 2025	4	4	100.00
28.	06 th March, 2025	4	4	100.00
29.	20 th March, 2025	4	4	100.00

During the year under review, the Corporate Social Responsibility Committee of the Board met 2 (Two) times at their meetings, which were duly convened and held.

Sl. No.	Date of meeting	Number of Members of the Committee Entitled to attend	Number of Members of the Committee attended
1.	09 th August, 2024	3	3
2.	19 th September, 2024	3	3

The number of meetings of the Corporate Social Responsibility Committee of the Board attended by the Directors who were members of the Corporate Social Responsibility Committee during the FY 2024-25, are as follows:

Name of the Directors	Number of Meeting entitled to attend	Number of meetings attended	% of Attendance
Ms. Padmaja Lingaraj Patil	2	2	100.00%
Mr. Lingaraj Shantalingappa Patil	2	2	100.00%
Mr. Devasigamani Prince Arumairaj	2	2	100.00%

In respect of each meeting of the Board and its Committees, proper notices were given, the proceedings of which were properly recorded and signed in the Minutes Book maintained for the purpose.

17. DIRECTORS' RESPONSIBILITY STATEMENT:

In pursuant to 134 (5) of the Companies Act, 2013 ("the Act"), the Directors hereby confirm:

- i. that in the preparation of the annual accounts for the year ended March 31, 2025, the applicable accounting standards had been followed along with proper explanation relating to material departures;
- ii. that the directors had selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company at the end of the financial year 2024-25 and of the profit and loss of the company for that period;
- iii. that the directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities;
- iv. that the directors have prepared the annual accounts for the financial year ended March 31, 2025 on a going concern basis.
- v. that the directors have laid down internal controls to be followed by the Company and that such internal financial controls are adequate and were operating effectively;
- vi. that the directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

18. RELATED PARTY TRANSACTIONS:

All related party transactions entered into by the Company during the financial year under review were in the ordinary course of business and on arm's length basis and the same were in compliance with the applicable provisions of the Companies Act, 2013. The transactions entered into during the financial year were in conformity with the Company's Policy on Related Party Transactions.

During the year 2024-25, your Company has entered into material Related Party Transactions which are in ordinary course of business, and at arm's length basis.

Accordingly, disclosure with respect to the Related Party Transactions in the Form AOC - 2 in terms of Section 134 of the Companies Act, 2013 read with Rule 8 of the Companies (Accounts) Rules, 2014, is applicable to the Company and has been attached to the Boards' Report as **Annexure - II**.

19. SECRETARIAL STANDARDS:

The Directors state that applicable Secretarial Standards, i.e., SS-1 and SS-2, relating to 'Meetings of the Board of Directors' and 'General Meetings', respectively, have been duly followed by the Company.

20. AUDITOR AND AUDITORS REPORT:

A. STATUTORY AUDITORS:

M/s. Deloitte Haskins & Sells, Chartered

Accountants (Firm's Registration No. 008072S), were appointed as the Statutory Auditors of the Company as per the provisions of the Companies Act, 2013 for a term of five (5) years from the conclusion of the 27th Annual General Meeting of the Company till the conclusion of the 32nd Annual General Meeting of the Company i.e. from the FY 2023-24 to FY 2027-28, on such remuneration as may be fixed by the Board from time to time with the consent of the Auditor.

DETAILS IN RESPECT OF FRAUDS REPORTED BY AUDITORS UNDER SECTION 143(12)

The Auditors have not reported any offense involving fraud committed against the Company by the officers or employees of the Company under sub section (12) of section 143.

The Statutory Audit report for the financial year 2024-25 forms part of the Annual report.

EXPLANATION TO STATUTORY AUDITOR'S REMARKS:

During the year under review no observations were raised by the Statutory Auditor of the Company for which Board's explanation is required.

B. SECRETARIAL AUDITOR:

During the year, the Company has re-appointed M/s. Arjun Upadhyay & Associates, Company Secretaries (Membership No. 50879, Certificate of Practice Number: 24701; and Peer Review Certificate No. 2861/2022), as Secretarial Auditor of the Company for the financial year 2024-25. The Secretarial Audit Report for the financial year 2024-25 is annexed herewith as **Annexure IV** to this Report.

MANAGEMENT RESPONSES TO OBSERVATIONS IN SECRETARIAL AUDIT REPORT:

During the year under review no observations were raised by the Secretarial Auditor of the Company for which Board's explanation is required.

C. COST AUDITOR:

Pursuant to the provisions of Section 148 of the Companies Act, 2013 read with the Companies (Cost Records and Audit) Rules, 2014, the Board of Directors have appointed M/s. KJU & Associates, Cost Accountants (Firm Registration Number 000474), as the Cost Auditors of the Company for auditing the cost accounting records of the Company for the Financial Year Ended March 31, 2025, at a remuneration of Rs.1,30,000/- (One Lakhs Thirty Thousand Rupees Only) per annum plus applicable taxes and out of pocket expenses, which was ratified by the shareholders at the 28th Annual General Meeting of the Company held on 27th September, 2024.

Further, the Board at its meeting held on 16.07.2025, have appointed M/s. KJU & Associates, Cost Accountants (Firm Registration

Number 000474), as the Cost Auditors of the Company for auditing the cost accounting records of the Company for the Financial Year Ending March 31, 2026, at a remuneration of Rs.1,30,000/- (One Lakhs Thirty Thousand Rupees Only) per annum plus applicable taxes and out of pocket expenses, which is subject to ratification by shareholders at the ensuing 29th Annual General Meeting of the Company.

D. INTERNAL AUDITOR:

The Board of Directors at its meeting held on 27.09.2024 have re-appointed Mr. Santanu Pattnaik, Chartered Accountant (ICAI Membership No. 506401) as In House Internal Auditor of the Company for the Financial Year 2024-25.

21. COST RECORDS

The maintenance of cost records has been specified by the Central Government under Section 148(1) of the Companies Act, 2013 for manufacture of High Tensile Steel (HTS) Wires. The Company has maintained the proper books of account pursuant to the Companies (Cost Records and Audit) Rules, 2014, as amended, prescribed by the Central Government for maintenance of cost records under Section 148(1) of the Companies Act, 2013.

22. CORPORATE SOCIAL RESPONSIBILITY:

a) Corporate Social Responsibility (CSR)

As per Section 135 of the Companies Act 2013, the Company has constituted CSR Committee and needs to spend in every financial year, at least two per cent of the average net profits of the company made during the three immediately preceding financial years, in pursuance of its Corporate Social Responsibility Policy.

As per the policy the Committee would evaluate the recommendations from the team on various initiatives which would be presented to the CSR Committee in line with the CSR Activities as defined by Schedule VII of the Companies Act 2013 in compliance with Companies (Corporate Social Responsibility Policy) Rules, 2014.

The detail of the CSR Committee of the Company as on 31.03.2025 is herein given below:

1. Ms. Padmaja Lingaraj Patil
2. Mr. Lingaraj Shantalingappa Patil
3. Mr. Devasigamani Prince Arumairaj

The Company was required to spend INR **195.78 Lakhs** (which is 2% of the average of profit before tax after certain adjustments as prescribed in section 198 of the Companies Act, 2013) on CSR activities as listed in Schedule VII to the Companies Act, 2013. The detailed report on the CSR is annexed herewith as **ANNEXURE- III** to this Report.

During the year 2024-25 the Company has spent INR 817.51 Lakhs on the activities mentioned under Schedule VII of the Companies Act, 2013.

23. ANNUAL EVALUATION OF PERFORMANCE BY THE BOARD:

Formal Annual Evaluation pursuant to Section 134(3)(p) of the Companies Act, 2013 read with Rule 8 (4) of the Companies (Accounts) Rules, 2014, is not applicable to the Company.

24. ADEQUACY OF INTERNAL FINANCIAL CONTROL:

The Company has an adequate Internal Financial Control Mechanism consistent with the nature of business and size of the operations, to effectively provide for safety of its assets, reliability of financial transactions with adequate checks and balances, adherence to applicable statutes, accounting policies, approval procedures and to ensure optimum use of available resources. These systems are reviewed and improved on a regular basis. It has a comprehensive budgetary control system to monitor revenue and expenditure against approved budget on an ongoing basis.

25. RISK MANAGEMENT:

The Company's senior management identifies reviews and evaluates the risks applicable to the Company at its periodical internal review meetings and the risk mitigation plan is also developed which is built into the internal controls. The internal controls are periodically reviewed by the internal audit teams. The identified risks and mitigation plans are properly communicated at all levels in the organisation through internal meetings and the implementation of the risk mitigation plans is also monitored continuously.

26. DISCLOSURE PERTAINING TO SEXUAL HARASSMENT OF WOMEN AT WORKPLACE:

The Company has adopted zero tolerance for sexual harassment at workplace and has formulated a policy on prevention, prohibition and redressal of sexual harassment at workplace in line with the provisions of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 and the rules framed thereunder for prevention and redressal of complaints of sexual harassment at workplace. The Company has complied with provisions relating to the constitution of Internal Committee under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

During the year under review, the Company has not received any complaint under Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. There were no complaints pending as on 31st March 2025.

S. No	Particulars	Remarks
1	Number of complaints of sexual harassment received in the Calendar year 2024	Nil
2	Number of complaints disposed off during the Calendar year 2024	Nil
3	Number of cases pending for more than ninety days	Nil

27. DISCLOSURE PERTAINING TO COMPLIANCE OF THE PROVISIONS RELATING TO THE MATERNITY BENEFIT ACT 1961:

The Company affirms that it has duly complied with all provisions of the Maternity Benefit Act, 1961.

28. DETAILS OF NUMBER OF EMPLOYEES AS ON CLOSURE OF FINANCIAL YEAR

As on the closure of financial year 2024-2025 the details of persons employed by the Company are given hereunder.

Male Employees	:	795
Female Employees	:	14
Transgender Employees	:	0

29. COMPANY'S POLICY ON DIRECTORS' APPOINTMENT AND REMUNERATION INCLUDING CRITERIA FOR DETERMINING QUALIFICATIONS, POSITIVE ATTRIBUTES, INDEPENDENCE OF A DIRECTOR AND OTHER MATTERS PROVIDED UNDER SUB-SECTION (3) OF 178 OF THE COMPANIES ACT, 2013

The provisions of Section 178(1) relating to constitution of Nomination and Remuneration Committee are not applicable to the Company. Therefore, the Company does not have a policy on Nomination and Appointment of Directors / Criteria for appointment of senior management and Remuneration as per the provision of Section 178(3) of the Companies Act, 2013.

30. DISCLOSURE OF COMPOSITION OF AUDIT COMMITTEE:

The provisions of Section 177 of the Companies Act, 2013 read with Rule 6 of the Companies (Meetings of the Board and its Powers) Rules, 2014 is not applicable to the Company.

31. VIGIL MECHANISM:

The Company has adopted the Whistle Blower Policy to report concerns about unethical behavior, actual or suspected fraud, or violation of Company's Policies and applicable laws.

During the financial year under review, no whistle blower complaints were received by the Company.

32. CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO:

PARTICULARS OF CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUT GO:

The particulars relating to energy conservation, technology absorption, foreign exchange earnings and outgo, as required to be disclosed under Section 134 of Companies Act, 2013 read with Rule 8(3) of Companies (Accounts) Rules, 2014, are as follows:

(A) Conservation of energy- (Amount in INR)

The steps taken or impact on conservation of energy	1) Installed Water treatment plant in Wadiyaram to reuse the water approx 30KLD 2) Utilizing solar energy during its generation so that losses can be minimized 3) Installed DG Sync in Pathri plant to utilize solar power even in power cut conditions 4) Replacing normal taps with energy efficient taps. 5) Installed maximum demand control meter in Roopangarh wire plant. 6) Rail Track made for 3MM Bobbin Movement - Earlier using EOT Capacity of 2.0 Ton at Bokaro Wire Plant 7) Relay outing done in Stranding Machine area to reduce EOT movement for shifting of 3.0 mm Bobbin at Bokaro Wire Plant. 8) Automation of dryer Blower capacity (5.5kw) with induction furnace at Bobbili Plant 9) Automation of wire drawing drum cooling blower with wire drawing block (capacity 5.5 kw) at Bobbili Plant 10) Two drum cooling blower motor capacity 20 HP (excess capacity) reduce to 7.5 hp at Bobbili Plant 11) Automation of cooling tower fan and water circulation pump with temp (each motor capacity of 10 HP means 7.6kw) at Bobbili Plant
The steps taken by the company for utilizing alternate sources of energy;	12) Three phase 1KW, wire grinding machine converted into 1HP grinding machine at Bobbili Plant 13) Semi-automatic wire drawing machine installation, capacity of 800 MT at Bobbili Plant 1) Installed 220kwp solar power plant in Udvada site 2) Installed 70kwp solar power plant in TMQ site 3) Installed 50kwp solar power plant in CHQ, Hyderabad office 4) Planned for Solar expansion 500KWP in Roopangarh wire plant 5) Installed 80kwp solar power plant in Tumkur site
The capital investment on energy conservation equipments;	1) Rs. 11 Lakh/- for water treatment plant, 2) Rs 1/- Lakh for DG Sync 3) Rs 1.7/- Cr for alternate source of energy 4) Rs. 61,793/- total investment on MD meter & installation in Roopangarh wire plant 5) Rs.1,54,127/- MS Rail purchased - 30 & 45 LBS at Bokaro Wire Plant

(B) Technology absorption-

(Amount in INR)

The efforts made towards technology absorption;	Company has made efforts towards retrofitting Cooling Tower for proper cooling water for machines in Roopangarh wire plant and Innovation & Modification towards operator fatigueless & Time saving at Bokaro Wire Plant and Efficient solar modules.
The benefits derived like product improvement, cost reduction, product development or import substitution	The benefit derived from technology absorption are Improved cooling with optimize overall product quality in Roopangarh wire plant and Product improvement towards innovation & modification activity at Bokaro Wire Plant and Higher generation of solar energy.
In case of imported technology (imported during the last three years reckoned from the beginning of the financial year)-	Not Applicable
(a) the details of technology imported;	
(b) the year of import;	
(c) whether the technology been fully absorbed;	
(d) if not fully absorbed, areas where absorption has not taken place, and the reasons thereof	
The expenditure incurred on Research and Development	Nil

(C) Foreign exchange earnings and Outgo-

The Foreign Exchange earned and the Foreign Exchange outgo during the year is provided as under:

(Amount in INR)

Particulars	2024-25	2023-24
Foreign Exchange Earnings	Nil	1,62,12,000
Foreign Exchange Outgo	33,03,21,945	23,42,54,693

33. DETAILS OF SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS, COURTS AND TRIBUNALS

No significant and material order has been passed by the regulators, courts, tribunals impacting the going concern status and Company's operations in future.

34. THE DETAILS OF APPLICATION MADE OR ANY PROCEEDING PENDING UNDER THE INSOLVENCY AND BANKRUPTCY CODE, 2016:

During the period under review, there was no application made or any proceeding initiated or pending under the Insolvency and Bankruptcy code, 2016.

35. THE DETAILS OF DIFFERENCE BETWEEN AMOUNT OF THE VALUATION DONE AT THE TIME OF ONE TIME SETTLEMENT AND THE VALUATION DONE WHILE TAKING LOAN FROM THE BANKS OR FINANCIAL INSTITUTIONS ALONG WITH THE REASONS THEREOF

During the period under review, there was no one time settlement with Bank.

36. GENERAL:

Your Directors state that no disclosure or reporting is required in respect of the following items as there were no transactions on these items during the year under review or they are not applicable to the Company:

1. Issue of equity shares with differential rights as to dividend, voting or otherwise.
2. Issue of shares (including sweat equity shares) to employees of the Company under any scheme.

37. PERSONAL:

Your Directors place on record their appreciation for the services rendered by the employees. The relationship between the management and the employees has been cordial throughout the year.

38. ACKNOWLEDGMENTS:

Your directors place on records their gratitude to the Central Government, various State Governments and Company's Bankers and advisors for the valuable advice, guidance, assistance, cooperation and encouragement they have extended to the Company from time to time.

The Directors also take this opportunity to thank the company's customers, suppliers and shareholders for their consistent support to the Company. We place on record our appreciation of the contribution made by our employees at all levels. Our consistent growth was made possible by their hard work, solidarity, cooperation and support.

**For and on behalf of the Board of Directors
Patil Rail Infrastructure Private Limited**

Sd/-

Lingaraj Shantalingappa Patil
Whole Time Director
DIN: 00731663

Sd/-

Padmaja Lingaraj Patil
Whole-Time Director
DIN: 00731574

Place: Hyderabad
Date: 30.09.2025

ANNEXURE - I

FORM NO. AOC.1

Statement containing salient features of the financial statement of Subsidiaries/Associate companies/Joint ventures
(Pursuant to first proviso to sub-section (3) of section 129 read with Rule 5 of the Companies (Accounts) Rules, 2014)

(Rs. In Lakhs)

Part "A": Subsidiaries

1	S. No	1	2	3
2	Particulars	Daya Engineering Works Private Limited	*Icon Sleeper Track Private Limited	Kallakal Foundry Casting Products Private Limited
3	Reporting period for the subsidiary concerned, if different from the holding company's reporting period	Same as Holding Company	Same as Holding Company	Same as Holding Company
4	Reporting currency and Exchange rate as on the last date of the relevant financial year in the case of foreign subsidiaries.	N/A	N/A	N/A
5	Share capital	75.17	1,040.00	450.00
6	Reserves & surplus	14,904.67	Refer Note *	802.88
7	Total assets	25,485.89		3,030.84
8	Total Liabilities	25,485.89		3,030.84
9	Investments	4,429.98		0
10	Turnover	16,064.28		11,379.89
11	Profit before taxation	2,203.71		1,393.88
12	Provision for taxation	572.94		282.98
13	Profit after taxation	1,630.77		1,110.90
14	Proposed Dividend	-	-	-
15	% of shareholding	99.99	99.99	88.66

* M/s. Icon Sleeper Track Private Limited is Merged with M/s. Patil Rail Infrastructure Private Limited vide Merger order dated 14th August, 2025 received from Regional Director, South East Region, Ministry of Corporate Affairs.

The Company has accounted for the merger of M/s. Icon Sleeper Track Private Limited with M/s. Patil Rail Infrastructure Private Limited with appointed date being 01st April, 2024. The Company has accounted the merger as a common control business combination as required under Ind AS 103 'Business Combinations' and the effect has been given from April 01, 2023 (beginning of the preceding period).

1	S. No	4	5	6
2	Particulars	Patil SMH JV Private Limited	Daya Technical Services Private Limited	Apna Technologies & Solutions Private Limited
3	Reporting period for the subsidiary concerned, if different from the holding company's reporting period	Same as Holding Company	Same as Holding Company	Same as Holding Company
4	Reporting currency and Exchange rate as on the last date of the relevant financial year in the case of foreign subsidiaries.	N/A	N/A	N/A
5	Share capital	1.00	22.81	1238.72
6	Reserves & surplus	615.50	109.37	(1,786.57)
7	Total assets	750.32	133.06	1,682.47
8	Total Liabilities	750.32	133.06	1,682.47
9	Investments	0	0	0
10	Turnover	719.22	0	701.57
11	Profit before taxation	378.90	(0.96)	(451.22)
12	Provision for taxation	95.84	1.10	(143.96)
13	Profit after taxation	283.06	(2.06)	(307.26)
14	Proposed Dividend	-	-	-
15	% of shareholding	99.99	99.99	86.63

1	S. No	7
2	Particulars	*Coromandel Concrete Products Private Limited
3	Reporting period for the subsidiary concerned, if different from the holding company's reporting period	Same as Holding Company
4	Reporting currency and Exchange rate as on the last date of the relevant financial year in the case of foreign subsidiaries.	N/A
5	Share capital	113.04
6	Reserves & surplus	1,688.20
7	Total assets	2,561.15
8	Total Liabilities	2,561.15
9	Investments	0
10	Turnover	3283.30
11	Profit before taxation	1,024.81
12	Provision for taxation	284.33
13	Profit after taxation	740.48
14	Proposed Dividend	-
15	% of shareholding	Refer Note *

*M/s. Coromandel Concrete Products Private Limited is a Step down subsidiary of M/s. Patil Rail Infrastructure Private Limited as it is a wholly owned subsidiary of M/s. Daya Engineering Works Private Limited.

- Names of subsidiaries which are yet to commence operations: Nil
- Names of subsidiaries which have been liquidated or sold during the year: During the year under review, the following subsidiaries have been struck off from the Register of the Companies and the said Companies are dissolved under provision of Section 248 (2) of the Companies Act, 2013.

S. No	Name of Subsidiary Company	CIN	Effective Date of closure
1.	Patil Rail Fastening Systems Private Limited	U28999TG2020PTC145145	30/11/2024
2.	*Apna Patil Rail Diagnostics Private Limited	U51909TG2022PTC160360	30/11/2024
3.	Patil Digital Systems Private Limited	U72900TG2019PTC135500	06/01/2025

* Company was a step-down subsidiary.

Part B - Associates and Joint Ventures

Statement pursuant to Section 129(3) of the Companies Act, 2013 related to Associate Companies and Joint Ventures

Name of Associates/Joint Ventures	
1.	Latest audited Balance Sheet Date
2.	Shares of Associate/Joint Ventures held by the company on the year end
	Number
	Amount of Investment in Associates/Joint Venture
	Extend of Holding %
3.	Description of how there is significant influence
4.	Reason why the associate/joint venture is not consolidated
5.	Net worth attributable to Shareholding as per latest audited Balance Sheet
6.	Profit / Loss for the year
i.	Considered in Consolidation
ii.	Not Considered in Consolidation

Not Applicable

1. Names of associates or joint ventures which are yet to commence operations: NA

2. Names of associates or joint ventures which have been liquidated or sold during the year: Nil

For and on behalf of the Board of Directors
Patil Rail Infrastructure Private Limited

Place: Hyderabad
Date: 30.09.2025

Sd/-
Lingaraj Shantalingappa Patil
Whole Time Director
DIN: 00731663

Sd/-
Padmaja Lingaraj Patil
Whole-Time Director
DIN: 00731574

ANNEXURE - II

FORM NO. AOC.2

(Pursuant to clause (h) of sub-section (3) of section 134 of the Act and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arms length transactions under third proviso thereto

1. Details of contracts or arrangements or transactions not at arm's length basis: NOT APPLICABLE.

- Name(s) of the related party and nature of relationship:
- Nature of contracts/arrangements/transactions:
- Duration of the contracts/arrangements/transactions:
- Salient terms of the contracts or arrangements or transactions including the value, if any:
- Justification for entering into such contracts or arrangements or transactions:
- Date of approval by the Board:
- Amount paid as advances, if any:
- Date on which the special resolution was passed in general meeting as required under first proviso to section 188:

2. Details of material contracts or arrangement or transactions at arm's length basis:

(a) Name(s) of the related party and nature of relationship:

Name of Related Party	M/s. Sangam Wires
Nature of Relationship	Firm in which KMP's Relative is a Partner

(b) Nature of contracts/arrangements/transactions:

Purchase of goods (HTS Wires and SGCI Inserts for manufacture of pre-stressed concrete sleepers) from M/s. Sangam Wires.

(c) Duration of the contracts/arrangements/transactions:

One Year (Financial Year 2024-25 i.e., from April 1, 2024 and ending on March 31, 2025)

(d) Salient terms of the contracts or arrangements or transactions including the value, if any:

The Company has purchased goods (HTS Wires and SGCI Inserts) for manufacture of pre-stressed concrete sleepers from M/s. Sangam Wires for Financial Year 2024-25. The Board at its meeting held on 01st April, 2024, have approved an Omnibus Value of Purchase Expenditure of INR 270,00,00,000 (Rupees Two Hundred and Seventy Crores Only) whereas the actual transaction as per **Note 37** of the Financial Statements is INR 19,866.21 Lakhs which is in excess of 10% of turnover of the Company. The said transaction is in ordinary course and also at Arms' Length Basis, hence shareholders' approval is not required as per Companies Act, 2013.

The duration of the Contract is for Financial Year 2024-25 (i.e., one year commencing from 01st April, 2024 and ending on 31st March, 2025).

Some of the salient features of the agreement entered into between both the parties are as follows:

- When Sangam Wires sales / supplies HTS Wire and / or SGCI Inserts to various sleeper manufacturing units of Patil Rail Infrastructure Private Limited at different locations, Sangam Wires shall be responsible for making delivery of HTS Wire and / or SGCI Inserts at the plant premises of Patil Rail Infrastructure Private Limited. The price for such sale by Sangam Wires shall be at or about market price, if available. If such price is not available, the price shall not be more than the landed cost to Sangam Wires plus 10%. The cost shall include the cost of purchase of HTS Wire and / or SGCI Inserts by Sangam Wires including taxes but excluding those taxes for which Sangam Wires will be receiving input credits, cost of loading, unloading and cost of transportation. After the receipt of HTS Wire and / or SGCI Inserts in the Sleeper manufacturing units of Patil Rail Infrastructure Private Limited, the unloading shall be done by Patil Rail Infrastructure Private Limited at its own cost.
- Sangam Wires shall be liable to pay penalty at the rate of 2% of the Value of the Purchase Order excluding taxes if it makes delay in delivery of HTS Wire and /or SGCI Inserts beyond the time prescribed in the Purchase Order which shall be deducted by Patil Rail Infrastructure Private Limited from any amount payable to Sangam Wires.
- Both the parties shall provide advance to each other to enable the other party to execute the Purchase Order and the amount of such advance subject to the maximum of Rs. 20 Crore (Rupees Twenty Crore only) shall be of a revolving nature bearing no interest which shall be adjusted against the supplies made by one party to the other. If the amount of advance is not sufficient to adjust the price of any Purchase Order, the Selling Party shall provide maximum credit period of 180 (one hundred and eighty days) from the date of each such transaction. Any advance above the maximum amount of Rs. 20 Crore

(Rupees Twenty Crore only) as on March 31, 2025 shall be treated as short term loan to the other party on which interest shall be payable at the rate equivalent to the yield on government bonds for the similar tenure and shall be repayable within a period of one year.

4. All the transactions between Patil Rail Infrastructure Private Limited and Sangam Wires shall be carried out on a principal to principal basis only and neither party shall deemed to be an agent of the other.

(e) Date(s) of approval by the Board, if any:

Board Meeting held on 01st April, 2024

(f) Amount paid as advances, if any:

Not Applicable

II) (a) Name(s) of the related party and nature of relationship:

Name of Related Party M/s. Sangam Wires

Nature of Relationship Firm in which KMP's Relative is a Partner

(b) Nature of contracts/arrangements/transactions:

Sale of goods (HTS Wires and SGCI Inserts) to M/s. Sangam Wires.

(c) Duration of the contracts/arrangements/transactions:

One Year (Financial Year 2024-25 i.e., from April 1, 2024 and ending on March 31, 2025)

(d) Salient terms of the contracts or arrangements or transactions including the value, if any:

The Company has sold goods (HTS Wires and SGCI Inserts) to M/s. Sangam Wires for Financial Year 2024-25 as Sangam Wires is engaged in the business of trading of HTS Wire and Wire of all types. The Board at its meeting held on 01st April, 2024, have approved an Omnibus Value of Sales Amount of INR 350,00,00,000 (Rupees Three Hundred and Fifty Crores Only) whereas the actual transaction as per **Note 37** of the Financial Statements is INR 25,000.97 Lakhs which is in excess of 10% of turnover of the Company. The said transaction is in ordinary course and also at Arms' Length Basis, hence shareholders' approval is not required as per Companies Act, 2013.

The duration of the Contract is for Financial Year 2024-25 (i.e., one year commencing from 01st April, 2024 and ending on 31st March, 2025).

Some of the salient features of the agreement entered into between both the parties are as follows:

1. Patil Rail Infrastructure Private Limited

shall sale such quantity of HTS Wire and / or SGCI Inserts to Sangam Wire as mentioned in each purchase order placed by Sangam Wire at or near to market price, if available and if the market price cannot be determined or is not available, Patil Rail Infrastructure Private Limited shall make sales to Sangam Wires at a price which shall be 10% plus on cost of manufacturing of Patil Rail Infrastructure Private Limited. If the exact cost of manufacturing cannot be determined by Patil Rail Infrastructure Private Limited at the time of supply, Patil Rail Infrastructure Private Limited shall make supplies at a tentative price which shall be finally adjusted when the actual cost of manufacturing of HTS Wire and / or SGCI Inserts is determined by Patil Rail Infrastructure Private Limited. The actual cost of manufacturing of HTS Wire / SGCI Inserts certified to be true by an independent Cost Accountant in practice shall be agreed upon by the parties for determination of parties.

2. Both the parties shall provide advance to each other to enable the other party to execute the Purchase Order and the amount of such advance subject to the maximum of Rs. 20 Crore (Rupees Twenty Crore only) shall be of a revolving nature bearing no interest which shall be adjusted against the supplies made by one party to the other. If the amount of advance is not sufficient to adjust the price of any Purchase Order, the Selling Party shall provide maximum credit period of 180 (one hundred and eighty days) from the date of each such transaction. Any advance above the maximum amount of Rs. 20 Crore (Rupees Twenty Crore only) as on March 31, 2025 shall be treated as short term loan to the other party on which interest shall be payable at the rate equivalent to the yield on government bonds for the similar tenure and shall be repayable within a period of one year.

3. All the transactions between Patil Rail Infrastructure Private Limited and Sangam Wires shall be carried out on a principal to principal basis only and neither party shall deemed to be an agent of the other.

(e) Date(s) of approval by the Board, if any:

Board Meeting held on 01st April, 2024

(f) Amount paid as advances, if any:

Not Applicable

**For and on behalf of the Board of Directors
Patil Rail Infrastructure Private Limited**

Sd/-

Lingaraj Shantalingappa Patil
Whole Time Director
DIN: 00731663

Sd/-

Padmaja Lingaraj Patil
Whole-Time Director
DIN: 00731574

Place: Hyderabad
Date: 30.09.2025

ANNEXURE - III

ANNUAL REPORT ON CSR ACTIVITIES

FOR THE YEAR ENDED 31ST MARCH, 2025

1. A brief outline of the company's CSR policy:

The main objective of the CSR Policy is to contribute to the needs of the society out of the profits earned by the Company. This Policy covers current as well as proposed CSR activities to be undertaken by the Company and examining their alignment with Schedule VII of the Act as amended from time to time. It covers the CSR activities which are being carried out in India only.

The Company proposes to implement its CSR activities in various sectors stated hereunder:

- Women empowerment
- Education
- Health care
- Skill Development
- Rural Development
- Natural Resource Management

- Setting up old age homes, day care centres and such other facilities for senior citizens
- Environmental Sustainability

The Policy makes it open to accommodate any activities as defined in Schedule VII of the Act as and when required. The Company shall give preference to local areas and the surrounding areas where the Company operates, for spending the earmarked CSR funds.

CSR activities shall be implemented by the Company either directly or by partnering with companies incorporated under Section 8 of the Act, registered public Trust and a registered Societies with proven track record and excellence, set up by the Company either singly or jointly with any other company or by the Central Government or State Government or any entity established under an Act of Parliament or a State Legislature or an entity having an established track record of at least three years in undertaking similar activities.

2. The Composition of the CSR Committee:

Sl. No.	Name of the Director	Designation / Nature of Directorship	Number of meeting of CSR Committee held during the year	Number of meeting of CSR Committee attended during the year
1	Mr. Lingaraj Shantalingappa Patil	Wholetime Director & Chairman of the Board	2	2
2	Ms. Padmaja Lingaraj Patil	Wholetime Director	2	2
3	Mr. Devasigamani Prince Arumairaj	Wholetime Director	2	2

3. Provide the Web link where Composition of CSR committee, CSR Policy and CSR projects approved by the Board are disclosed on the website of the Company: <https://www.patilgroup.com>

4. Provide the executive summary along with web-link(s) of Impact Assessment of CSR Projects carried out in pursuance of sub-rule (3) of rule 8, if applicable. **Not Applicable**

5. (a) Average Net Profit of the Company as per sub-section (5) of 135: **Rs. 97,89,18,000/-**

(b) Two percent of average net profit of the company as per sub-section (5) of 135: **Rs. 1,95,78,360/-**

(c) Surplus arising out of the CSR projects or programs or activities of the previous financial years: **Not Applicable.**

(d) Amount required to be set off for the financial year, if any: **Rs. 1,95,78,360/-***

*(During the Financial Year 2023-24, the Company has spent excess CSR amount of Rs. 2,01,14,900, out of which Rs. 1,95,78,360/- was set-off for the CSR Liabilities of the Current financial year i.e. 2024-25.)

(e) Total CSR obligation for the financial year [(b) + (c) - (d)]: **Rs. Nil**

6. (a) Amount spent on CSR Projects (both Ongoing Project and other than Ongoing Project): **Rs. 8,17,51,000/-**

(b) Amount spent in Administrative Overheads: **Nil**

(c) Amount spent on Impact Assessment, if applicable: **Nil**

(d) Total amount spent for the Financial Year [(a)+(b)+(c)]: **Rs. 8,17,51,000/-**

(e) CSR amount spent or unspent for the Financial year:

Total amount spent for the financial year (in Rs.)	Amount unspent (in RS)				
	Total amount transferred to unspent CSR account as per Section 135(6) of the Act		Amount transferred to any fund specified under Schedule VII as per second proviso to Section 135(5)		
	Amount	Date of Transfer	Name of the fund	Amount	Date of Transfer
Rs. 8,17,51,000/-	Nil	NA	NA	NIL	NA

(f) Excess amount for set-off, if any:

Sl. No	Particular	Amount (Rs. In Lakhs)
(1)	(2)	(3)
(i)	Two percent of average net profit of the company as per sub-section (5) of section 135	Rs. 1,95,78,360/-
(ii)	Total amount spent for the Financial Year	Rs. 8,17,51,000/-
(iii)	Excess amount spent for the Financial Year [(ii)-(i)]	Rs. 8,17,51,000/- (Refer Note-2)
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous Financial Years, if any	Nil
(v)	Amount available for set off in succeeding Financial Years [(iii)-(iv)]	i) Rs. 8,17,51,000/- pertaining to Financial Year 2024-25, available for setoff in succeeding financial years. ii) Rs. 5,36,540/- pertaining to Financial Year 2023-24, available for setoff in succeeding financial years. Total Amount: Rs 8,22,87,540 (Refer Note -1 and Note 3)

Note 1: Two percent of average net profit of the Company for the current Financial Year i.e., 2024-25 is Rs. 1,95,78,360/-. During the Financial Year 2023-24, the Company has spent excess CSR amount of Rs. 2,01,14,900/-; out of which Rs. 1,95,78,360/- was set-off for the CSR Liabilities of the Current financial year i.e. 2024-25. As a result, the existing balance of CSR amount which was spent in excess of the CSR obligation pertaining to Financial Year 2023-24 amounts to Rs. 5,36,540/- which is available for set off in succeeding financial years.

Note 2: During the Financial Year 2023-24, the Company has spent excess CSR amount of Rs. 2,01,14,900/-; out of which Rs. 1,95,78,360/- was set-off for the CSR Liabilities of the Current financial year i.e. 2024-25. As a result the CSR Obligation during Financial Year 2024-25 is Nil. Therefore, entire Rs. 8,17,51,000/- spent during Financial Year 2024-25 is excess CSR amount spent during Financial Year 2024-25.

Note 3 - Amount available for set off relating to financial year 2023-24 amounts to Rs. 5,36,540/- Further, during the financial year 2024-25, the Company has spent excess amount of Rs. 8,17,51,000. As a result, the total amount available for set off in succeeding financial years equals to Rs 8,22,87,540/-

7. Details of Unspent Corporate Social Responsibility amount for the preceding three Financial Years:

Sl. No.	Preceding Financial Year (s)	Amount transferred to Unspent CSR Account under section 135 (6) (in Rs.)	Balance amount in unspent CSR Account under Section 135 (6) (in Rs.).	Amount spent in the Financial year (Rs. In Lakhs)	Amount transferred to any fund specified under Schedule VII as per second proviso to section 135(5), if any.		Amount remaining to be spent in succeeding financial years. (Rs. In Lakhs)	Deficiency if any
					Amount (in Rs.)	Date of transfer.		
1.	2023-24	Nil	Nil	0	0	0	0	0
2.	2022-23	Nil	Nil	0	0	0	0	0
3.	2021-22	Nil	Nil	0	0	0	0	0

8. Whether any capital assets have been created or acquired through Corporate Social Responsibility amount spent in the Financial Year: **Yes**

If Yes, enter the number of Capital assets created/ acquired: **1 (One)**

Furnish the details relating to such asset(s) so created or acquired through Corporate Social Responsibility amount spent in the Financial Year:

Sl. No	Short Particulars of the property or assets (including complete address and location of the property)	Pincode of the Property or assets	Date of creation	Amount of CSR Amount Spent	Details of entity / Authority / Beneficiary of the registered owner		
(1)	(2)	(3)	(4)	(5)	(6)		
					CSR Registration Number if applicable	Name	Registered Address
1	Name: Maanaveeya Kalyana Trust {Old Age Home & Education (Wellness Centre)} Address: Survey No. 512/1A, Srinivas Saradagi Sedam Road, Near Airport, Kalaburagi - 585102. Tq: & District: Kalaburagi. (Gram Panchayat: Srinivas Saradagi) Land: Total Built up Area: 2608.52 Sq. mt. Boundaries: North side: The trust is very close to Gulbarga Airport and the fast-developing Srinivasa Saradagi area. This makes it easy to reach, especially for people coming from different cities by air. East side: There are mostly homes and farmlands on this side, so the area feels peaceful and natural, which is great for rest and healing. South side: There are mostly farmlands on this side, so the area feels peaceful and natural, which is great for rest and healing. West side: You'll find calm, open spaces here, with very little city noise or development, helping create a quiet and soothing atmosphere ideal for recovery and relaxation.	585102	04/02/2025	Aggregate CSR Amount of Rs 12,31,80,000 spent during Financial Year 2022-23 to Financial Year 2024-25 as Ongoing Project.	CSR00052812	Maanaveeya Kalyana Trust	H. No. 8-1276, Nehru Gunj, Kalaburagi - 585104

(All the fields should be captured as appearing in the revenue record, flat no, house no, Municipal Office/Municipal Corporation/ Gram panchayat are to be specified and also the area of the immovable property as well as boundaries)

9. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per sub-section (5) of section 135.: **Not Applicable**

**For and on behalf of the Board of Directors
Patil Rail Infrastructure Private Limited**

Place: Hyderabad
Date: 30.09.2025

Sd/-
Lingaraj Shantalingappa Patil
Wholetime Director & Chairman
DIN: 00731663

Sd/-
Padmaja Lingaraj Patil
Whole-Time Director
DIN: 00731574

ANNEXURE IV

FORM NO. MR-3 SECRETARIAL AUDIT REPORT

FOR THE FINANCIAL YEAR ENDED MARCH 31ST, 2025

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule No. 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To
The Members,
Patil Rail Infrastructure Private Limited,
6-3-1239/B/111, 4th Floor, Renuka Enclave,
Raj Bhavan Road, Somajiguda,
Hyderabad -500082, Telangana.

I have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Patil Rail Infrastructure Private Limited** (hereinafter called the “Company”). Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.

Based on my verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of Secretarial Audit, I hereby report that in my opinion, the Company has during the audit period covering the Financial Year beginning from April 1, 2024 and ended on March 31, 2025, complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on March 31, 2025 according to the provisions of:

- (i) The Companies Act, 2013 (the “Act”) and the rules made there under and other applicable provisions of the Companies Act, 1956 which are still in force;
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made there under;
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed under that Act.
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made there under to the extent of Foreign Direct Investments, Overseas Direct Investment and External Commercial Borrowings;
- (v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):- Not Applicable to the Company during the audit period
- (6) Other laws applicable to the Company –Further to information and explanation provided, Company is engaged in manufacturing of Concrete Sleepers, Rail

Fittings for normal track, elevated and underground track, as such there are no specific industrial laws which are applicable to the Company.

I have also examined compliance with the applicable clauses of the Secretarial Standards- 1 and 2 issued by The Institute of Company Secretaries of India.

I report that, during the year under review, the Company has complied with the provisions of the Acts, Rules, Regulations, Guidelines and Standards mentioned above.

I further report that:

The compliance by the Company of applicable financial laws such as direct and indirect tax laws and maintenance of financial records and books of accounts have not been reviewed in this audit since the same have been subject to review by the statutory financial auditors, tax auditors, and other designated professionals.

The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non- Executive Directors, Company being a Private Limited, the provision of section 149 (4) read with Rule 4 of Companies (Appointment and Qualification of Directors) Rules, 2014 with respect to appointment of independent directors is not applicable. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.

Adequate notice is given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

As per the minutes of the meetings duly recorded and signed by the Chairman, the decisions of the Board were unanimous and no dissenting views have been recorded.

I further report that there are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

I have separately given our recommendations/suggestions towards good corporate governance practices.

During the Audit period the Board of Directors of the Company at its meeting held on 04.12.2024 & 15.03.2025, considered and approved the Scheme of Amalgamation pursuant to Sections 233 and other applicable provisions of the Companies Act, 2013, providing for the merger of its wholly owned subsidiary Icon Sleeper Track Private Limited with the Company. The Regional Director, South East Region,

Ministry of Corporate Affairs, vide its order dated 14th August, 2025, has approved the Scheme of Amalgamation.

For M/s. Arjun Upadhyay & Associates.,

Sd/-

Arjun Upadhyay

Practicing Company Secretary

FCS Membership No.: 12896

Certificate of Practice No.: 24701

Peer Review Certificate No. 6303/2024

UDIN: F012896G001332104

Hyderabad, 24th September, 2025.

Note: This report is to be read with our letter of even date which is annexed as 'Annexure A' and forms an integral part of this report;

‘ANNEXURE A’

To
The Members,
Patil Rail Infrastructure Private Limited,
6-3-1239/B/111, 4th Floor, Renuka Enclave,
Raj Bhavan Road, Somajiguda,
Hyderabad -500082, Telangana.

My report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the Company. My responsibility is to express an opinion on these secretarial records based on our audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial Records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. I believe that the processes and practices, I followed provide a reasonable basis for our opinion.
3. I have not verified the correctness and appropriateness of Financial Records and Books of Accounts of the Company.
4. Wherever required, I have obtained the Management Representation about the compliance of laws, rules and regulations and happening of events etc.

5. The compliance of the provisions of Corporate and other applicable Laws, Rules, Regulations, Standards is the responsibility of the Management. My examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

For M/s. Arjun Upadhyay & Associates.,

Sd/-

Arjun Upadhyay
Practicing Company Secretary
FCS Membership No.: 12896
Certificate of Practice No.: 24701
Peer Review Certificate No. 6303/2024

UDIN: F012896G001332104

Hyderabad, 24th September, 2025.

Independent Auditors' Report on Standalone Financial Statements

To The Members of Patil Rail Infrastructure Private Limited

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the accompanying standalone financial statements of Patil Rail Infrastructure Private Limited (the "Company"), which comprise the Standalone Balance Sheet as at March 31, 2025, and the Standalone Statement of Profit and Loss (including Other Comprehensive Income), the Standalone Statement of Cash flows and the Standalone Statement of Changes in Equity for the year ended on that date, and notes to the standalone financial statements, including a summary of material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 (the "Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2025, and its profit, total comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the standalone financial statements in accordance with the Standards on Auditing ("SA's") specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibility for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the standalone financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sr. No.	Key Audit Matter	Auditor's Response
1	Revenue recognition — Sale of goods — Concrete Sleepers Refer Note 2.15 (i) "Revenue Recognition" to the Standalone Financial Statements under Significant Accounting Policies. Revenue from sale of goods is recognised when control of the products being sold is transferred to the customer, which is mainly upon delivery and receipt of proof of delivery and when there are no longer any unfulfilled obligations. There is a risk of revenue from sale of concrete sleepers being recognised prior to receipt of proof of delivery evidencing transfer of control over such goods to the customer.	We have performed the following principal audit procedures in relation to revenue recognised which include a combination of testing internal controls and substantive testing as under: - Understanding the revenue recognition process involving walkthrough of the inspection and delivery process, invoicing and dispatches and evaluating the design and implementation of Company's controls in respect of revenue recognition. - Assessing the appropriateness of the Company's revenue recognition accounting policies in line with Ind AS 115 ("Revenue from Contracts with Customers") and testing thereof. - Performed test of details of transactions on a sample basis including inspection of supporting documentation for revenue recognised viz. customer purchase order, inspection certificates issued by customer, delivery instructions, dispatch certificates, and sales invoices. - Performed analytical procedures involving reconciliation of quantities of concrete sleepers certified as per the inspection certificates issued by the customer with the quantities as per the sales register.

Sr. No.	Key Audit Matter	Auditor's Response
2	Transactions with Related Parties (Refer Note 37 "Related Party Disclosures" to the Standalone Financial Statements) The Company undertakes transactions with its related parties which are in the ordinary course of business and at arm's length. These transactions include making new or additional investments in its subsidiaries; granting and taking loans to and from related parties; sales and purchases to and from related parties, etc. as disclosed in Note 37 to the standalone financial statements. We have identified, accuracy and completeness of related party transactions and its disclosure as a key audit matter owing to the significance of the transactions with related parties during the year ended March 31, 2025.	We performed the following audit procedures in relation to transactions with related parties to test the accuracy and completeness of transactions and disclosures thereof: • Obtained an understanding of the Company's processes and procedures in respect of identifying related parties, obtaining approvals, recording and disclosure of related party transactions; • Inspected minutes of shareholder meetings, board meetings in connection with Company's assessment of related party transactions being in the ordinary course of business and at arm's length; • Tested, related party transactions with the underlying contracts, confirmation letters and other supporting documents; and • Evaluating the disclosures of interest made by the Directors in determining the completeness of related parties identified for disclosure.

Information Other than the Financial Statements and Auditor's Report Thereon

- The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Director's report, but does not include the consolidated financial statements, standalone financial statements and our auditor's report thereon.
- Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.
- In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.
- If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Board of Directors for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including Ind AS specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of

the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intend to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Company's Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibility for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to standalone financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the standalone financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the standalone financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the standalone financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal financial controls that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143(3) of the Act, based on our audit, we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books, except for not complying with the requirement of audit trail as stated in (i)(vi) below.
 - c) The Balance Sheet, the Statement of Profit and Loss including Other Comprehensive Income, the Cash Flow Statement and Statement of Changes in Equity dealt with by this Report are in agreement with the books of account.
 - d) In our opinion, the aforesaid standalone financial statements comply with the Ind AS specified under Section 133 of the Act.
 - e) On the basis of the written representations received from the directors as on March 31, 2025 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2025 from being appointed as a director in terms of Section 164(2) of the Act.
 - f) The modification relating to the maintenance of accounts and other matters connected therewith, is as stated in paragraph (b) above.
 - g) With respect to the adequacy of the internal financial controls with reference to standalone financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls with reference to standalone financial statements.
 - h) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of Section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the Company being a private company, Section 197 of the Act related to the managerial remuneration is not applicable.
 - i) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company has disclosed the impact of pending litigations on its financial position in its standalone financial statements. Refer note 33 to the standalone financial statements.
 - ii. The Company did not have any long-term contracts for which there were any material

foreseeable losses. The Company did not have any derivative contracts.

- iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
- iv. (a) The Management has represented that, to the best of its knowledge and belief, as disclosed in the note 44 (v) to the standalone financial statements no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (b) The Management has represented, that, to the best of its knowledge and belief, as disclosed in the note 44 (iv) to the standalone financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (c) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations

under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.

- v. The Company has not declared or paid any dividend during the year and has not proposed final dividend for the year.
- vi. Based on our examination, which included test checks, the Company has used accounting software for maintaining its books of account for the financial year ended March 31, 2025 which has a feature of recording audit trail (edit log) facility wherein in respect of the accounting software, audit trail feature was enabled at the application level and operated throughout the year for all relevant transactions recorded in the software except that audit trail was not enabled for direct data changes to transaction tables and master tables for the period April 1, 2024 to March 31, 2025 and accordingly we are unable to comment whether there were any instances of audit trail feature being tampered with. (Refer note 41 to the standalone financial statements).

Additionally, the audit trail that was enabled and operated for the year ended March 31, 2024, has been preserved by the Company as per the statutory requirements for record retention, as stated in note 41 to the financial statements.

2. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government in terms of Section 143(11) of the Act, we give in "Annexure B" a statement on the matters specified in paragraphs 3 and 4 of the Order.

For **Deloitte Haskins & Sells**
Chartered Accountants
Firm Registration Number:008072S

Madhavi Kalva
Partner
Membership Number: 213550
UDIN: 25213550BMJNRO9195

Place: Bengaluru
Date: September 30, 2025

ANNEXURE “A”

TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 1(g) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

Report on the Internal Financial Controls with reference to standalone financial statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (the “Act”)

We have audited the internal financial controls with reference to standalone financial statements of Patil Rail Infrastructure Private Limited (the “Company”) as at March 31, 2025 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's and Board of Directors' Responsibilities for Internal Financial Controls

The Company's management and Board of Directors are responsible for establishing and maintaining internal financial controls with reference to standalone financial statements based on the internal control with reference to standalone financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to standalone financial statements of the Company based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the “Guidance Note”) issued by the Institute of Chartered Accountants of India and the Standards on Auditing prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls with reference to standalone financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to standalone financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to standalone financial statements and their

operating effectiveness. Our audit of internal financial controls with reference to standalone financial statements included obtaining an understanding of internal financial controls with reference to standalone financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to standalone financial statements.

Meaning of Internal Financial Controls with reference to standalone financial statements

A company's internal financial control with reference to standalone financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to standalone financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to standalone financial statements

Because of the inherent limitations of internal financial controls with reference to standalone financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to standalone financial statements to future periods are subject to the risk that the internal financial control with reference to standalone financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls with reference to standalone financial statements and such internal financial controls with reference to standalone financial statements were operating effectively as at March 31, 2025, based on the criteria for internal financial control with reference to standalone financial statements established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For **Deloitte Haskins & Sells**
Chartered Accountants
Firm Registration Number:008072S

Madhavi Kalva
Partner
Membership Number: 213550
UDIN: 25213550BMJNRO9195

Place: Bengaluru

Date: September 30, 2025

ANNEXURE “B”

TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 2 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

In terms of the information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

- (i) (a) A. The Company has maintained proper records showing full particulars, including quantitative details and situation of property, plant and equipment, capital work-in-progress and relevant details of right-of-use assets.
- B. The Company has maintained proper records showing full particulars of intangible assets.
- (b) The Company has a program of verification of property, plant and equipment, capital work-in-progress and right-of-use assets so as to cover all the items once every three years, which, in our opinion, is reasonable having regard to the size of the Company and the nature of its

assets. Pursuant to the program, all Property, Plant and Equipment were due for verification during the year and were physically verified by the Management during the year. According to the information and explanations given to us, no material discrepancies were noticed on such verification.

- (c) With respect to immovable properties (other than immovable properties where the Company is the lessee and the lease agreements are duly executed in favour of the Company) disclosed in the standalone financial statements included in property, plant and equipment, according to the information and explanations given to us and based on the examination of registered sale deed/ transfer deed/ conveyance deed provided to us, we report that, the title deeds of such immovable properties are held in the name of the Company as at the balance sheet date, except for the following:

Description of the property	As at March 31, 2025		Held in the name of	Whether promoter, director or their relative or employee	Period held	Reason for not being held in the name of the Company
	Gross carrying value (₹ in Lakhs)	Carrying value in the standalone financial statements (₹ in Lakhs)				
Freehold land located at Anara, Purulia, West Bengal admeasuring 1.17 acres	11.70	11.70	M/s. Isco Track Sleepers Private Limited	No	From November 2012 till the balance sheet date	The title deeds are in the name of M/s. Isco Track Sleepers Private Limited, erstwhile Company that was merged with the Company under Sections 391 to 394 of the Companies Act, 1956 in terms of the approval of the Honourable High Court of Judicature of Andhra Pradesh at Hyderabad.
Freehold land located at Anara, Purulia, West Bengal admeasuring 3.96 acres	52.65	52.65	Mr.Lingaraj Shantilingappa Patil, Chairman and Whole-time Director of the Company	Yes	From September 2000 till the balance sheet date	The title deeds are in the name of Mr. Lingaraj Shantilingappa Patil, Chairman and Whole-time Director of the Company, pending registration in the name of the Company.

Description of the property	As at March 31, 2025		Held in the name of	Whether promoter, director or their relative or employee	Period held	Reason for not being held in the name of the Company
	Gross carrying value (₹ in Lakhs)	Carrying value in the standalone financial statements (₹ in Lakhs)				
Freehold land located at Karigiroad, Chattisgarh admeasuring 5.43 acres	33.94	33.94	M/s Rayalseema Concrete Sleepers Private Limited	No	From December 2012 till the balance sheet date	The title deeds are in the name of M/s. Rayalseema Concrete Sleepers Private Limited, erstwhile Company that was merged with the Company under Sections 391 to 394 of the Companies Act, 1956 in terms of the approval of the Hon'ble High Court of Judicature of Andhra Pradesh at Hyderabad.
Freehold land located at Barabanki, Bhurwal, Chattisgarh admeasuring 3.00 acres	225.17	225.17	M/s Annavram Concrete Private Limited	No	From November 2012 till the balance sheet date	The title deeds are in the name of M/s. Annavram Concrete Private Limited, erstwhile Company that was merged with the Company under Sections 391 to 394 of the Companies Act, 1956 in terms of the approval of the Hon'ble High Court of Judicature of Andhra Pradesh at Hyderabad.
Quarry land located at Tirumangalam admeasuring 13.83 acres	79.38	79.38	M/s. Rayalseema Concrete Sleepers Private Limited	No	From December 2012 till the balance sheet date	The title deeds are in the name of M/s. Rayalseema Concrete Sleepers Private Limited, erstwhile Company that was merged with the Company under Sections 391 to 394 of the Companies Act, 1956 in terms of the approval of the Hon'ble High Court of Judicature of Andhra Pradesh at Hyderabad.
Freehold land located at Bajpur, Kaipadar admeasuring 0.93 acres	23.25	23.25	Mr.Lingaraj Shantilingappa Patil, Chairman and Whole-time Director of the Company	Yes	From April 2008 till the balance sheet date	The title deeds are in the name of Mr. Lingaraj Shantilingappa Patil, Chairman and Whole-time Director of the Company, pending registration in the name of the Company.

Immovable properties of land and buildings whose title deeds have been pledged as security for loans taken, are held in the name of the Company based on the confirmations directly received by us from lenders.

- (d) The Company has not revalued any of its property, plant and equipment (including right- of-use assets) and intangible assets during the year.
- (e) No proceedings have been initiated during the year or are pending against the Company as at March 31, 2025 for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (as amended in 2016) and rules made thereunder.

- (ii) (a) The inventories except for goods-in-transit, were physically verified during the year by the Management at reasonable intervals. In our opinion and according to the information and explanations given to us, the coverage and procedure of such verification by the Management is appropriate having regard to the size of the Company and the nature of its operations. In respect of goods-in-transit, the goods have been received subsequent to the year end. No discrepancies of 10% or more in the aggregate for each class of inventories were noticed on such physical verification of inventories / alternate procedures performed as applicable, when compared with books of account.
- (b) According to the information and explanations given to us, at any point of time of the year, the Company has been sanctioned working capital limits in excess of ₹ 5 crores, in aggregate, from banks or financial institutions on the basis of security of current assets of the Company. In our opinion and according to the information and explanations given to us, the quarterly statements comprising stock statements and book debt statements filed by the Company are based on estimated numbers with such banks or financial institutions. The Company is yet to submit the statements for these quarters based on actual numbers with the banks or financial institutions.
- (iii) The Company has granted loans, unsecured, to companies and other parties, during the year, in respect of which:
- (a) The Company has provided loans or advances in the nature of loans and stood guarantee during the year and details of which are given below:

Particulars	Loans (in ₹ lakhs)
A. Aggregate amount granted/ provided during the year	
- Subsidiaries	30.72
- Others (Related parties)	0.44
- Others (Other entities)	2,970.07
- Others (to employees)	96.13
B. Balance outstanding as at Balance Sheet date in respect of above cases*:	
- Subsidiaries	20.43
- Others (Related Parties)	0.44
- Others (Other entities)	1,581.64
- Others (to employees)	15.95

*The amounts reported are at gross amounts, without considering provisions made.

The Company has not made any investments and provided guarantees and securities to any other entity during the year.

- (b) The terms and conditions of the grant of all the above-mentioned loans, during the year are, in our opinion, prima facie, not prejudicial to the Company's interest.
- (c) In respect of employee loans granted by the Company, the schedule of repayment of principal and payment of interest has been stipulated and the repayments of principal amounts and receipts of interest are regular as per stipulation. The Company has granted other loans which are payable on demand. During the year the Company has recovered a portion of the loan which was demanded and for the balance outstanding as at March 31, 2025, the Company has not demanded such loan. Having regard to the fact that the repayment of principal or payment of interest on the balance amount of loan outstanding has not been demanded by the Company, in our opinion the repayments of principal amounts and receipts of interest are regular. (Refer reporting under clause 3(iii)(f) below)
- (d) According to information and explanations given to us and based on the audit procedures performed, in respect of loans granted by the Company, there is no overdue amount remaining outstanding as at the balance sheet date.
- (e) No loan granted by the Company which has fallen due during the year, has been renewed or extended or fresh loans granted to settle the overdues of existing loans given to the same parties.
- (f) The Company has granted loans which are repayable on demand, details of which are given below:

Particulars	Related Parties (in ₹ lakhs)	Other entities
Aggregate of loans		
- Repayable on demand	720.71	1,602.51
Percentage of loans to the total loans	30%	65%

- (iv) The Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013 in respect of loans granted and investments made, as applicable. The Company has not provided guarantees and securities.
- (v) The Company has not accepted any deposit or amounts which are deemed to be deposits. Hence, reporting under clause (v) of the Order is not applicable.
- (vi) The maintenance of cost records has been specified by the Central Government under Section 148(1) of the Companies Act, 2013 for manufacture of High Tensile Steel (HTS) Wires. We have broadly reviewed the books of account maintained by the Company pursuant to the Companies (Cost Records and Audit) Rules, 2014, as amended, prescribed by the Central Government for maintenance of cost records under Section 148(1) of the Companies Act, 2013, and are of the opinion

that, prima facie, the prescribed cost records have been made and maintained by the Company. We have, however, not made a detailed examination of the cost records with a view to determine whether they are accurate or complete.

(vii) In respect of statutory dues:

- (a) Undisputed statutory dues, including Goods and Services Tax, Provident Fund, Employees' State Insurance, Income-tax, Sales Tax, duty of Custom, duty of Excise, Value Added Tax, cess and other material statutory dues applicable to the Company have been regularly deposited by it with the appropriate authorities in all cases during the year.

There were no undisputed amounts payable in respect of Goods and Services Tax, Employees' State Insurance, Income-tax, Sales Tax, Service Tax, duty of Customs, Duty of Excise, Value added Tax, Cess and Other material statutory dues in arrears as at March 31, 2025 for a period of more than six months from the date they became payables except in respect of Provident Fund which are in arrears as at March 31, 2025 for a period of more than six months from the date they became payable, as given below:

Name of Statute	Nature of the Dues	Amount* (₹ Lakhs)	Period to which the amount relates	Due Date	Date of Payment
The Employee's Provident Fund and Miscellaneous Provisions Act, 1952	Provident Fund	28.46	April 2018 to March 2019	15 th of the next month in respect of the month to which the liability relates	Not yet paid
		89.26	April 2019 to March 2020		
		44.22	April 2020 to March 2021		
		37.28	April 2021 to March 2022		
		32.85	April 2022 to March 2023		

*Determined consequent to the Supreme Court ruling dated February 28, 2019 on inclusion of certain allowances as part of wages for the purposes of provident fund.

- (b) Details of statutory dues referred to in sub-clause (a) above which have not been deposited as on March 31, 2025 on account of disputes are given below:

Name of Statute	Nature of dues	Forum where dispute is Pending	Period to which the amount relates	Amount involved (₹ Lakhs)	Amount unpaid (₹ Lakhs)
The Customs Act, 1962	Customs duty	Commissioner (Appeals)	2012-13	86.06	82.06
Central Excise Act, 1944	Excise duty	Customs, Excise and Service tax Appellate Tribunal	2006-07 to 2015-16	340.37	311.58
		Joint Commissioner (Appeals)	2015-16 to 2016-17	2.03	1.89
Orissa Value Added Tax Act, 2004	Sales tax	Customs, Excise and Service tax Appellate Tribunal	2010-11 to 2012-13	1.40	1.40
		Additional Commissioner	2005-06 to 2006-07 2013-14 to 2017-18	6.52	5.86
Bihar Value Added Tax Act, 2005	Sales tax	Joint Commissioner (Appeals)	2012-13 to 2014-15	21.88	14.43
Uttarakand Value Added Tax, 2005	Sales tax	Commissioner (Appeals)	2015-16	31.26	15.61
Tamilnadu value Added Tax Act, 2006	Sales tax	Commissioner (Appeals)	2010-11, 2012-13 to 2013-14	47.01	32.77
			2013-14	23.11	12.44
Gujarat Value Added Tax Act, 2003	Sales Tax	Deputy Commissioner (Appeals)	2016-17 to 2017-18	4.69	3.75
Entry Tax Laws	Entry Tax	Joint Commissioner	2005-06	21.24	15.03
			2006-07 to 2007-08	25.62	25.62
Goods and Services Tax Act, 2017	Goods and Services Tax	Commissioner (Appeals)	2017 - 18	270.86	257.32
			2017-18 and 2018-19	7.03	7.03

- (viii) There were no transactions relating to previously unrecorded income that were surrendered or disclosed as income in the tax assessments under the Income-tax Act, 1961 (43 of 1961) during the year.

- (ix) (a) In our opinion, the Company has not defaulted in the repayment of loans or other borrowings or in the payment of interest thereon to any lender during the year.
- (b) The Company has not been declared wilful defaulter by any bank or financial institution or Government or any Government authority.
- (c) The Company has not taken any term loan during the year and there are no unutilised term loans at the beginning of the year and hence, reporting under clause 3(ix)(c) of the Order is not applicable.
- (d) On an overall examination of the standalone financial statements of the Company, funds raised on short-term basis have, not been used during the year for long-term purposes by the Company.
- (e) On an overall examination of the standalone financial statements of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligation of its subsidiaries.
- (f) The Company has not raised loans during the year on the pledge of securities held in its subsidiaries.
- (x) (a) The Company has not issued any of its securities (including debt instruments) during the year and hence reporting under clause (x)(a) of the Order is not applicable.
- (b) During the year, the Company has not made any preferential allotment or private placement of shares or convertible debentures (fully or partly or optionally) and hence reporting under clause (x)(b) of the Order is not applicable to the Company.
- (xi) (a) To the best of our knowledge, no fraud by the Company and no material fraud on the Company has been noticed or reported during the year.
- (b) To the best of our knowledge, no report under sub-section (12) of Section 143 of the Companies Act, 2013 has been filed in Form ADT-4 as prescribed under Rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government, during the year and upto the date of this report.
- (c) As represented to us by the Management, there were no whistle blower complaints received by the Company during the year.
- (xii) The Company is not a Nidhi Company and hence reporting under clause (xii) of the Order is not applicable.
- (xiii) In our opinion, the Company is in compliance with Section 188 of the Companies Act, 2013 for all transactions with the related parties and the details of related party transactions have been disclosed in the standalone financial statements etc., as required by the applicable Indian Accounting Standards. The Company is a private company and hence the provision of Section 177 of the Companies Act, 2013 are not applicable to the Company.
- (xiv) (a) In our opinion the Company has an adequate internal audit system commensurate with the size and the nature of its business.
- (b) We have considered, the draft internal audit reports issued to the Company during the year covering the period upto March 31, 2025.
- (xv) In our opinion, during the year the Company has not entered into any non-cash transactions with any of its directors or directors of its subsidiary company or persons connected with such directors and hence provisions of Section 192 of the Companies Act, 2013 are not applicable to the Company.
- (xvi) (a), (b), (c) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause (xvi) (a), (b) and (c) of the Order is not applicable
- (d) The Group does not have any Core Investment Company ('CIC') as part of the group and accordingly reporting under clause (xvi)(d) of the Order is not applicable.
- (xvii) The Company has not incurred cash losses during the financial year covered by our audit and the immediately preceding financial year.
- (xviii) There has been no resignation of the statutory auditors of the Company during the year.
- (xix) On the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements and our knowledge of the Board of Directors and Management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report indicating that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.
- (xx) The Company has fully spent the required amount towards Corporate Social Responsibility (CSR) and there are no unspent CSR amount for the year requiring a transfer to a Fund specified in Schedule VII to the Companies Act or special account in compliance with the provisions of sub-section (6) of Section 135 of the said Act. Accordingly, reporting under clause (xx) of the Order is not applicable for the year.

For **Deloitte Haskins & Sells**
Chartered Accountants
Firm Registration Number:008072S

Madhavi Kalva
Partner
Membership Number: 213550
UDIN:25213550BMJNRO9195

Place: Bengaluru
Date: September 30, 2025

Balance Sheet

as at March 31, 2025

All amounts are in ₹ lakhs, except share data and where otherwise stated

	Notes	As at March 31, 2025	As at March 31, 2024 [#]
A. ASSETS			
1 Non-current assets			
(a) Property, plant and equipment	3.1	25,740.37	25,035.70
(b) Right-of-use assets	3.2	888.06	295.71
(c) Capital work-in-progress	3.1	776.77	174.26
(d) Other intangible assets	4	129.64	146.63
(e) Financial assets			
(i) Investments	5	4,744.28	4,746.52
(ii) Loans	6	51.46	85.91
(iii) Other financial assets	7	1,054.09	941.05
(f) Income tax assets (net)	21.1	161.19	161.19
(g) Deferred tax assets (net)	21	-	231.00
(h) Other non-current assets	12	2,081.62	856.30
Total non-current assets		35,627.48	32,674.27
2 Current assets			
(a) Inventories	8	35,457.94	33,038.19
(b) Financial assets			
(i) Investments	5	507.19	-
(ii) Trade receivables	9	14,332.68	16,250.91
(iii) Cash and cash equivalents	10	1,646.26	248.48
(iv) Bank balances other than (iii) above	11	4,253.46	3,903.02
(v) Loans	6	1,653.17	1,476.58
(vi) Other financial assets	7	4,000.88	1,523.11
(c) Other current assets	12	4,969.17	6,298.50
Total current assets		66,820.75	62,738.79
Total assets		1,02,448.23	95,413.06
B. EQUITY AND LIABILITIES			
1 Equity			
(a) Equity share capital	13	2,493.16	2,493.16
(b) Other equity	14	53,088.05	43,133.11
Total equity		55,581.21	45,626.27
Liabilities			
2 Non-current liabilities			
(a) Financial liabilities			
(i) Borrowings	15	2,440.10	6,695.55
(ii) Lease liabilities	16	48.61	73.94
(b) Provisions	17	1,626.08	1,305.28
(c) Deferred tax liabilities (net)	21	32.34	-
Total non-current liabilities		4,147.13	8,074.77
3 Current liabilities			
(a) Financial liabilities			
(i) Borrowings	18	13,408.96	15,793.12
(ii) Lease liabilities	16	39.75	27.93
(iii) Trade payables	19		
- Total outstanding dues of Micro enterprises and Small enterprises		1,285.15	1,657.14
- Total outstanding dues of creditors other than Micro enterprises and Small enterprises		8,335.33	6,101.37
(iv) Other financial liabilities	20	1,765.46	872.06
(b) Provisions	17	346.12	299.08
(c) Other current liabilities	22	16,811.56	15,903.48
(d) Current tax liabilities (net)	21.2	727.56	1,057.84
Total current liabilities		42,719.89	41,712.02
Total equity and liabilities		1,02,448.23	95,413.06
Corporate information	1		
Material accounting policies	2		

Refer Note 45.

See accompanying notes to the financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For Deloitte Haskins & Sells

Chartered Accountants
(F.R.N. : 008072S)

Madhavi Kalva
Partner
M.No. 213550

L.S. Patil
Chairman & Whole-time Director
DIN: 00731663

Padmaja Patil
Whole-time Director
DIN: 00731574

Aman Purohit
Company Secretary
Membership No.: A59345

Jawahar Lal Sinhari
Chief Financial Officer

Place: Hyderabad
Date: September 30, 2025

Place: Hyderabad
Date: September 30, 2025

Statement of Profit and Loss

for the year ended March 31, 2025

All amounts are in ₹ lakhs, except share data and where otherwise stated

	Notes	For the year ended March 31, 2025	For the year ended March 31, 2024 [#]
I Income			
Revenue from operations	23	1,22,403.40	1,20,656.48
Other income	24	1,163.22	1,041.12
Total income		1,23,566.62	1,21,697.60
II Expenses			
Cost of materials consumed	25	59,181.01	53,075.15
Purchase of stock-in-trade	26	14,563.46	8,850.21
Changes in inventories of finished goods, stock-in-trade and work-in-progress	27	509.19	3,613.10
Contract execution expenses	28	1,209.93	11,381.63
Employee benefits expense	29	8,768.51	7,201.89
Finance costs	30	2,171.78	3,570.62
Depreciation and amortisation expense	31	1,870.74	1,757.00
Other expenses	32	21,738.72	19,118.41
Total Expenses		1,10,013.34	1,08,568.01
III Profit before tax (I - II)		13,553.28	13,129.59
IV Tax expense	21.3		
(i) Current tax		3,219.13	3,223.40
(ii) Taxation of earlier years		(186.19)	(114.35)
(iii) Deferred tax		339.36	154.68
Total tax expense		3,372.30	3,263.73
V Profit for the year (III - IV)		10,180.98	9,865.86
VI Other comprehensive income			
(i) Items that will not be reclassified to profit or loss:			
(a) Remeasurements of defined benefit plans		(302.06)	(147.78)
(ii) Income tax relating to items that will not be reclassified to profit or loss		76.02	37.19
Total other comprehensive income / (loss) [(i)+(ii)]		(226.04)	(110.59)
VII Total comprehensive income for the year (V + VI)		9,954.94	9,755.27
Earnings per share (of ₹ 10 each)			
Basic and Diluted (₹)	38	40.84	39.57
Corporate information	1		
Material accounting policies	2		

Refer Note 45.

See accompanying notes to the financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For Deloitte Haskins & Sells

Chartered Accountants

(F.R.N. : 008072S)

Madhavi Kalva

Partner

M.No. 213550

L.S. Patil

Chairman & Whole-time Director

DIN: 00731663

Padmaja Patil

Whole-time Director

DIN: 00731574

Aman Purohit

Company Secretary

Membership No.: A59345

Jawahar Lal Sinhari

Chief Financial Officer

Place: Hyderabad

Date: September 30, 2025

Place: Hyderabad

Date: September 30, 2025

Cash Flow Statement

for the year ended March 31, 2025

All amounts are in ₹ lakhs, except share data and where otherwise stated

	For the year ended March 31, 2025	For the year ended March 31, 2024 [#]
A. Cash flows from operating activities		
Profit before tax	13,553.28	13,129.59
Adjustments for:		
Depreciation and amortisation expense	1,870.74	1,757.00
Loss / (Gain) on sale/write-off of property, plant and equipment (net)	373.06	(0.18)
Net gain arising on financial assets mandatorily measured at FVTPL	(6.25)	-
Gain on sale of investments	(10.98)	-
Liabilities no longer required written back	(7.23)	(57.73)
Net foreign exchange gain / (loss)	(2.01)	(0.12)
Provisions no longer required written back	(249.36)	(142.31)
Provision for doubtful trade receivables	148.29	12.62
Provision for doubtful assets	72.05	1.25
Bad trade receivables, deposits, loans and other receivables written off (net)	3.73	62.71
Investments written off	2.24	-
Finance costs	2,171.78	3,570.62
Interest income	(660.11)	(339.23)
	3,705.95	4,864.63
Operating profit before working capital changes	17,259.23	17,994.22
Movements in working capital		
Adjustments for (increase)/decrease in operating assets:		
-Trade receivables	1,769.94	(7,938.73)
-Inventories	(2,419.75)	6,735.98
-Other assets	(1,263.31)	1,764.64
Adjustments for increase/(decrease) in operating liabilities:		
-Trade payables	1,856.65	1,638.04
-Other liabilities	1,890.41	(8,479.72)
-Provisions	65.78	100.39
	1,899.72	(6,179.40)
Cash generated from operations	19,158.95	11,814.82
Income taxes paid (net)	(3,372.24)	(2,493.58)
Net cash generated from operating activities (A)	15,786.71	9,321.24
B. Cash flows from investing activities		
Purchase of property, plant and equipment	(5,696.45)	(2,758.57)
Proceeds from sale of property, plant and equipment	343.16	128.65
Purchase of non-current investments	-	(468.94)
Purchase of current investments	(1,489.96)	-
Proceeds from sale of current investments	1,000.00	-
Loans recovered from related parties (Refer Note 37)	289.00	722.90
Loans granted to related parties (Refer Note 37)	(31.16)	(687.92)
Loans granted to others	(2,970.07)	(1,061.59)
Loans recovered from others	2,747.30	1,432.52
Bank balances not considered as cash and cash equivalents (net)	(350.44)	(385.89)

	For the year ended March 31, 2025	For the year ended March 31, 2024 [#]
Interest received	647.04	946.51
Net cash generated from / (used in) investing activities (B)	(5,511.58)	(2,132.33)
C. Cash flows from financing activities		
Proceeds from long-term borrowings	-	11,393.65
Repayment of long-term borrowings	(4,964.47)	(14,516.01)
Short-term borrowings utilised [net]	(1,654.24)	889.85
Loans from related parties (Refer Note 37)	6,948.26	10,537.98
Loans repaid to related parties (Refer Note 37)	(6,969.16)	(10,614.30)
Finance costs (including in relation to lease liabilities)	(2,193.80)	(4,936.17)
Repayment of lease liabilities	(44.04)	(20.27)
Net cash used in financing activities (C)	(8,877.45)	(7,265.27)
Net decrease in cash and cash equivalents (A+B+C)	1,397.68	(76.36)
Add: Cash and cash equivalents at the beginning of the year	248.48	324.72
Effects of exchange rate changes on the balance of cash and cash equivalents held in foreign currencies	0.10	0.12
Cash and cash equivalents at the end of the year (Refer Note 10)	1,646.26	248.48

Refer Note 45.

Notes :

- The above cash flow statement has been prepared under the "Indirect Method" as set out in the Indian Accounting Standard (Ind AS -7) - Statement of Cash Flows.
- Reconciliation of liabilities from financing activities for the year ended March 31, 2025 :

	As at March 31, 2024	Additions during the year	Cash Flows	Non-cash changes	As at March 31, 2025
Borrowings	22,488.67	-	(6,639.61)	-	15,849.06
Lease liabilities	101.87	20.99	(44.04)	9.54	88.36
	22,590.54	20.99	(6,683.65)	9.54	15,937.42

Reconciliation of liabilities from financing activities for the year ended March 31, 2024 :

	As at March 31, 2023	Additions during the year	Cash Flows	Non-cash changes	As at March 31, 2024
Borrowings	24,432.47	-	(2,308.83)	365.03	22,488.67
Lease liabilities	107.84	14.30	(29.67)	9.40	101.87
	24,540.31	14.30	(2,338.50)	374.43	22,590.54

See accompanying notes to the financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For Deloitte Haskins & Sells

Chartered Accountants
(F.R.N. : 008072S)

Madhavi Kalva
Partner
M.No. 213550

L.S. Patil
Chairman & Whole-time Director
DIN: 00731663

Padmaja Patil
Whole-time Director
DIN: 00731574

Aman Purohit
Company Secretary
Membership No.: A59345

Jawahar Lal Sinhari
Chief Financial Officer

Place: Hyderabad
Date: September 30, 2025

Place: Hyderabad
Date: September 30, 2025

Statement of changes in equity

for the year ended March 31, 2025

All amounts are in ₹ lakhs, except share data and where otherwise stated

Equity share capital	Amount
Balance at March 31, 2023	2,493.16
Changes in equity share capital during the year	-
Balance at March 31, 2024	2,493.16
Changes in equity share capital during the year	-
Balance at March 31, 2025	2,493.16

	Other equity (Refer Note 14)					
	Capital reserve	Capital reserve on Common Control Transaction	Securities premium	General reserve	Retained earnings	Total
Balance as at April 01, 2023	194.03	(823.59)	12,125.68	2,406.54	19,475.18	33,377.84
Profit for the year	-	-	-	-	9,865.86	9,865.86
Other comprehensive income for the year, net of income tax	-	-	-	-	(110.59)	(110.59)
Total comprehensive income for the year 2023-24					9,755.27	9,755.27
Balance as at March 31, 2024	194.03	(823.59)	12,125.68	2,406.54	29,230.45	43,133.11
Profit for the year	-	-	-	-	10,180.98	10,180.98
Other comprehensive income for the year, net of income tax	-	-	-	-	(226.04)	(226.04)
Total comprehensive income for the year 2024-25					9,954.94	9,954.94
Balance as at March 31, 2025	194.03	(823.59)	12,125.68	2,406.54	39,185.39	53,088.05

See accompanying notes to the financial statements

In terms of our report attached

For Deloitte Haskins & Sells
Chartered Accountants
(F.R.N. : 008072S)

Madhavi Kalva
Partner
M.No. 213550

Place: Hyderabad
Date: September 30, 2025

For and on behalf of the Board of Directors

L.S. Patil
Chairman & Whole-time Director
DIN: 00731663

Aman Purohit
Company Secretary
Membership No.: A59345

Place: Hyderabad
Date: September 30, 2025

Padmaja Patil
Whole-time Director
DIN: 00731574

Jawahar Lal Sinhari
Chief Financial Officer

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

1. Corporate Information

Patil Rail Infrastructure Private Limited ("the Company"), incorporated on April 25, 1996 is engaged in the business of railway track engineering, manufacturing of various types of pre-stressed concrete sleepers, rail fittings for normal track, elevated and underground track for Metro Rail, Switches and Crossings (Thick Web Technology), Ballastless track suitable for High-Speed Lines, Bridges, Tunnels and Aprons, installation of precast boundary walls and metal beam crash barriers along railway lines, etc.

The registered office of the Company is situated at 6-3-1239/B/111, 4th Floor, Renuka Enclave, Raj Bhavan Road, Somajiguda, Hyderabad – 500 082, Telangana. The Company has eight operating sleeper manufacturing facilities, three high tensile steel wire ("Wire") manufacturing facilities, one railway track fastening systems manufacturing facility, one railway track component i. e. Spheroidal Graphite Cast Iron (SGCI) inserts of all types manufacturing facility and two precast boundary wall manufacturing facilities spread across India. The major supplies are made to Indian Railways.

2. Material Accounting Policies

2.1 Statement of compliance

The standalone financial statements of the Company which comprise the Balance sheet, Statement of Profit and Loss, Cash Flow Statement and Statement of changes in equity ("Standalone Financial Statements") have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under Section 133 of Companies Act, 2013 (the 'Act') read together with the Companies (Indian Accounting Standards) Rules, 2015 (as amended) and other relevant provisions of the Act. The standalone financial statements have also been prepared in accordance with the relevant presentation requirements of the Act.

The accounting policies are applied consistently to all the periods presented in the financial statements.

2.2 Basis of preparation and presentation:

These standalone financial statements are prepared in Indian Rupees (₹) which is also the Company's functional currency and have been prepared on a historical cost convention and on an accrual basis, except certain financial instruments that are measured at fair values at the end of each reporting period, as explained in the accounting policies set out below.

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or liability, the Company takes into account

the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these financial statements is determined on such a basis, except for leasing transactions that are within the scope of Ind AS 116, 'Leases' and measurements that have some similarities to fair value but are not fair value, such as net realisable value in Ind AS 2, 'Inventories' or value in use in Ind AS 36 'Impairment of Assets', as applicable.

In addition, for financial reporting purposes, fair value measurements are categorised into Level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which are described as follows:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 inputs are inputs, other than quoted prices included within Level 1, that are observable for the asset or liability, either directly or indirectly; and
- Level 3 inputs are unobservable inputs for the asset or liability.

2.3 Common control transactions

Transactions arising from transfers of assets / liabilities, interest in entities or businesses between entities that are under the common control, are accounted at their carrying amounts. The difference, between any consideration paid / received and the aggregate carrying amounts of assets / liabilities and interests in entities acquired / disposed (other than impairment, if any), is recorded in capital reserve / retained earnings, as applicable.

2.4 Operating cycle

All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle (not exceeding twelve months) and other criteria set out in the Schedule III to the Act and Ind AS 1 – Presentation of Financial Statements, based on the nature of the products and the time between the acquisition of assets for processing and their realization in cash and cash equivalents.

2.5 Critical estimates and judgements

In the application of the Company's accounting policies, the directors of the Company are required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

The following are the critical estimates and judgements that have been made in the process of applying the Company's accounting policies that have the most significant effect on the amounts recognised in the financial statements.

(i) Revenue Recognition

In making their judgement, the management considered the detailed criteria for recognition of revenue from sale of goods and services set out in Ind AS 115 and, in particular, whether the Company has transferred control over the goods to the buyer and has completed its performance obligation for the services provided to the customer.

(ii) Impairment of Trade Receivables

The Management estimates the probability of collection of accounts receivable by analysing historical payment patterns, customer concentrations, customer credit-worthiness and current economic trends. The impairment provisions for trade receivables are based on assumptions about risk of default and expected loss rates. The Management uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on Company's past history, credit risk, and existing market conditions as well as forward looking estimates at the end of each reporting period. If the financial condition of a customer deteriorates, additional allowances may be required.

(iii) Actuarial Valuation

The determination of Company's liability towards defined benefit obligation to employees is made through independent actuarial valuation including determination of amounts to be recognised in the Statement of Profit and Loss and in other comprehensive income. Such valuation depends upon assumptions determined after taking into account inflation, seniority, promotion and other relevant factors. Information about such valuation is provided in the notes to the financial statements.

(iv) Contingencies

In the normal course of business, contingent liabilities may arise from litigation and other claims against the Company. Guarantees are also given in the normal course of business.

There are certain obligations which management has concluded based on all available facts and circumstances as contingent liabilities and disclosed in the Notes but are not provided for in the financial statements. Although there can

be no assurance of the final outcome of the legal proceedings in which the Company is involved it is not expected that such contingencies will have a material effect on its financial position or profitability.

2.6 Inventories

Inventories are stated at the lower of cost and net realisable value after providing for obsolescence and other losses, where considered necessary. Net realisable value represents the estimated selling price in the ordinary course of business, less all estimated costs of completion and costs necessary to make the sale. The method of determination of cost of various categories of inventories is as follows:

(i) Raw materials	Weighted average cost which includes purchase price, inward freight and other incidental expenses net of refundable duties, levies and taxes, where applicable.
(ii) Finished Goods and Work-in-progress	Weighted average cost of production which comprises direct material cost, labour cost and manufacturing overheads absorbed on the basis of normal capacity of production.
(iii) Stores and Spares	Weighted average cost of input material plus conversion cost as applicable
(iv) Stock-in-trade	Weighted average cost

2.7 Investment in subsidiaries:

Investment in subsidiaries are carried at cost less accumulated impairment, if any.

2.8 Property, plant and equipment

(i) Recognition and measurement:

Property, plant and equipment are measured at cost less accumulated depreciation/ amortization and impairment losses, if any. Cost includes deemed cost which represents the fair value of property, plant and equipment recognised as at April 1, 2016 measured as per the Accounting Standards notified under Section 133 of the Act, read together with Rule 7 of the Companies (Accounts) Rules, 2014, which the Company elected in accordance with Ind AS 101.

Cost comprises the purchase price net of any trade discounts and rebates, any import duties and other taxes (other than those subsequently recoverable from the tax authorities), any directly attributable expenditure in making the asset ready for its intended use. Machinery spares which can be used only in connection with an item of property, plant and equipment and whose use is expected to be irregular are capitalised and depreciated over the useful life of the spares

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

or the principal item of the relevant assets, whichever is lower.

The cost of a self-constructed item of property, plant and equipment comprises the cost of materials, direct labour and any other costs directly attributable to bringing the item to its intended working condition and estimated costs of dismantling, removing and restoring the site on which it is located, wherever applicable.

Capital work in progress are items of property, plant and equipment which are not yet ready for their intended use and are carried at cost, comprising direct cost and related incidental expenses.

(ii) Depreciation:

Depreciation is recognised so as to write off the cost of assets (other than freehold land and properties under construction) less their residual values over their useful lives, using the straight line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis. The estimate of the useful life of the assets has been based on technical advice, taking into account the nature of the asset, the estimated usage of the asset, the operating conditions of the asset, past history of replacement, anticipated technological changes, etc.

Assets individually costing ₹ 5,000 and below are fully depreciated in the year of acquisition.

The estimated useful lives of Property, Plant and Equipment is mentioned below:

Asset	Useful lives (in years)
Buildings	30 years
Roads	5 years
Computers	3-6 years
Software	6 years
Furniture & Fixtures	1-10 years
Office Equipments	1-10 years
Plant & Machinery	5-15 years
Vehicles	8-10 years
Railway Sidings	15 years

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the Statement of Profit and Loss when the asset is de-recognised.

2.9 Intangible assets

Intangible assets that the Company controls and from which it expects future economic benefits are capitalised upon acquisition and measured initially for separately acquired assets, at cost comprising of the purchase price (including import duties and non-refundable taxes) and directly attributable costs to prepare the assets for its intended use. The useful life of an intangible asset is considered finite where there is a likelihood of technical and technological obsolescence.

Intangible assets that have finite lives are amortised over their estimated useful lives on a straight line basis unless it is practical to reliably determine the pattern of benefits arising from the asset.

All intangible assets are tested for impairment. Amortisation expenses, impairment losses and reversal of impairment losses are considered in the Statement of Profit and Loss. Thus, after initial recognition an intangible asset is carried at its costs less accumulated amortization and /or impairment losses.

2.10 Impairment of assets

Impairment loss, if any, is provided to the extent, the carrying amount of assets or cash generating units exceed their recoverable amount.

Recoverable amount is higher of an asset's net selling price and its value in use. Value in use is the present value of estimated future cash flows expected to arise from the continuing use of an asset or cash generating unit and from its disposal at the end of its useful life.

Impairment loss recognised in prior years are reversed when there is an indication that the impairment losses recognised no longer exist or have decreased. Such reversals are recognised as an increase in carrying amounts of assets to the extent that it does not exceed the carrying amounts that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised in previous years.

2.11 Foreign currency transactions and translations

Transactions in foreign currencies are initially recorded by the Company at their functional currency spot rates at the date of the transaction. The date of transaction for the purpose of determining the exchange rate on initial recognition of the related asset, expense or income (part of it) is the date on which the entity initially recognises the non-monetary asset or non-monetary liability arising from payment or receipt of advance consideration. Monetary assets and liabilities denominated in foreign currency are translated at the functional currency spot rates of exchange at the reporting date. Exchange differences that arise on settlement of monetary items or on reporting at each balance sheet date of the Company's monetary items at the closing rates are recognised as income or expenses in the period in which they arise. Non-monetary items which are carried at historical cost denominated in a foreign currency are reported using the exchange rates at the date of transaction. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

the fair value is determined.

2.13 Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Finance expenses are recognised immediately in the Statement of Profit and Loss, unless they are directly attributable to qualifying assets, in which case they are capitalised in accordance with the Company's general policy on borrowing costs.

All other borrowing costs are recognised in the Statement of Profit and Loss in the period in which they are incurred.

2.14 Employee benefits

(i) Defined contribution plans

The Company's contributions to Provident Fund (Government administered) and Employees State Insurance Scheme, considered as defined contribution plans are charged as an expense in the Statement of Profit and Loss when the employees have rendered services entitling them to the contributions.

(ii) Defined benefit plans

For defined benefit retirement plans (unfunded), the cost of providing benefits is determined using the projected unit credit method, with actuarial valuation being carried out at the end of each annual reporting period. Re-measurement, comprising actuarial gains and losses, is reflected immediately in the Balance Sheet with a charge or credit recognised in other comprehensive income in the period in which they occur and are not reclassified to the Statement of Profit and Loss in the subsequent periods. Past service cost is recognised in profit or loss in the period of plan amendment. Net interest is calculated by applying the discounted rate at the beginning of the period to the net defined benefit asset or liability. Defined benefit cost are categorised as follows:

- Service cost (including current service cost, past service cost, as well as gains and losses on curtailments and settlements);
- Net interest expense or income; and
- Remeasurement

The Company presents the first two components of defined benefit cost in statement of profit or

loss in the line item 'Employee Benefit Expense'. Curtailment gains and losses are accounted for as past service cost.

(iii) Short term and other long term employee benefits

Short term employee benefits as at the Balance Sheet date are recognised as an expense based on expected obligation on an undiscounted basis. The employees of the Company are entitled to compensated absences. The employees can carry forward a portion of the unutilised accumulating compensated absences and utilise it in future periods or receive cash at retirement or termination of employment. The Company records an obligation for compensated absences in the period in which the employee renders the services that increases this entitlement. The Company measures the expected cost of compensated absences as the additional amount that the Company expects to pay as a result of the unused entitlement that has accumulated at the end of the reporting period. The Company recognises accumulated compensated absences based on actuarial valuation. Non-accumulating compensated absences are recognised in the period in which the absences occur. The Company recognises actuarial gains and losses immediately in the Statement of Profit and Loss.

2.15 Revenue recognition

(i) Sale of goods and services:

Revenue from sale of goods is recognised when the control over goods is transferred either when the product is delivered to the customer or when the product is shipped, depending on terms of the contract. However, for some contracts, control is transferred upon acceptance of goods, consequent to its inspection by the customers. In these cases, the customer obtains control over the goods even though the goods remain in the Company's physical possession where delivery is kept pending at the instance of the customers.

Revenue is measured at the transaction price that the Company receives or expect to receive as consideration for sale of goods and also includes adjustments made towards price variations and liquidated damages where applicable. Escalation and other claims which are not ascertainable/ acknowledged by customers are not taken into account. The portion of revenue recognised not billed to the customer is shown as contract asset i.e., "unbilled revenue".

(ii) Other income:

Interest income is recognised using effective interest (EIR) method.

The "effective interest rate" is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

- a. the gross carrying amount of financial asset;
or
- b. the amortised cost of financial liability

2.16 Financial instruments

(i) Recognition and initial measurement

The Company initially recognises financial assets and financial liabilities when it becomes a party to the contractual provisions of the instrument. All financial assets and liabilities are measured at fair value on initial recognition except for trade receivables that do not contain a significant financing component which are measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities [other than financial assets and financial liabilities at fair value through Statement of Profit and Loss (FVTPL)] are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit and loss are recognised immediately in Statement of Profit and Loss. Regular way purchase and sale of financial assets are accounted for at trade date.

(ii) Classification and subsequent measurement

(a) Financial Assets

Financial assets carried at amortised cost

A financial asset is subsequently measured at amortised cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at fair value through other comprehensive income

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets. Such assets are subsequently measured at fair value, with unrealised gains and losses arising from changes in the fair value being recognised in other comprehensive income.

Financial assets at fair value through profit and loss

A financial asset which is not classified in any of the above categories are subsequently fair valued through profit or loss. Financial assets at FVTPL are measured at fair value

at the end of each reporting period, with any gains and losses arising on remeasurement recognised in statement of profit or loss. The net gain or loss recognised in statement of profit or loss incorporates any dividend or interest earned on the financial asset and is included in the 'other income' line item.

(b) Financial liabilities

Financial liabilities at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in Statement of Profit and Loss. The net gain or loss recognised in Statement of Profit and Loss incorporates any interest paid on the financial liability.

Other financial liabilities are subsequently carried at amortised cost using the effective interest method.

(iii) Derecognition

Financial assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party.

Financial liabilities

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

The Company also derecognises a financial liability when its terms are modified and the cash flows under the modified terms are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and a new financial liability with modified terms is recognised in the statement of profit and loss.

(iv) Impairment

In accordance with Ind AS 109, the Company applies expected credit loss (ECL) model for measurement and recognition of impairment loss. The Company follows 'simplified approach' for recognition of impairment loss allowance on trade receivables. The application of simplified approach does not require the Company to track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition. For recognition of impairment loss on other financial assets and risk exposure, the Company determines that whether there has been a significant increase in the credit risk since initial recognition. If credit risk has not increased significantly, 12-month ECL is used to provide for impairment loss. However, if credit risk has

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

increased significantly, lifetime ECL is used. If in subsequent period, credit quality of the instrument improves such that there is no longer a significant increase in credit risk since initial recognition, then the entity reverts to recognising impairment loss allowance based on 12 month ECL.

(v) Offsetting

Financial assets and financial liabilities are offset and the net amount is presented in the balance sheet when, and only when, the Company currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or realise the asset and settle the liability simultaneously.

2.17 Leases

The Company assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether, (i) the contract involves the use of an identified asset (ii) the Company has substantially all of the economic benefits from use of the asset through the period of the lease and (iii) the Company has the right to direct the use of the asset.

At the date of commencement of the lease, the Company recognizes a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short-term leases) and low value leases. For these short-term and low value leases, the Company recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

Certain lease arrangements includes the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liabilities includes these options when it is reasonably certain that they will be exercised.

The right-of-use assets are initially recognized at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset. Right of use assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use)

is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

The lease liability is initially measured at amortized cost at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates in the country of domicile of these leases. Lease liabilities are remeasured with a corresponding adjustment to the related right of use asset if the Company changes its assessment if whether it will exercise an extension or a termination option.

Lease liability and ROU asset have been separately presented in the Balance Sheet and lease payments have been classified as financing cash flows.

2.18 Income Taxes

Income tax expense represents the sum of the tax currently payable and deferred tax. Current and deferred tax are recognised in the Statement of Profit and Loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively.

Current Tax

Current tax is measured at the amount expected to be paid to or recovered from the taxation authorities based on the taxable profit for the year. Taxable profit differs from "Profit before tax" as reported in the Statement of Profit and Loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible under the Income Tax Act, 1961. The tax rates and tax laws used to compute the current tax amount are those that are enacted by the reporting date and applicable for the period. The Company offsets current tax assets and current tax liabilities, where it has a legally enforceable right to set off the recognized amounts and where it intends either to settle on a net basis or to realize the asset and liability simultaneously.

Deferred Tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from the initial recognition (other than in a business combination) of assets and liabilities in a transaction that affects neither the taxable profit nor

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

the accounting profit.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of such deferred tax assets to be utilised.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. Deferred tax assets are recognised for all deductible temporary differences, unused tax losses and credits only if, it is probable that future taxable amounts will be available to utilise those temporary differences and losses. Deferred tax assets and liabilities are offset when there is legally enforceable right to offset the corresponding current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority.

2.19 Provisions, contingent liabilities and contingent assets

(i) General

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the Company will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Company expects some or all of a provision to be reimbursed, the expense relating to a provision is presented in the statement of profit and loss net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

(ii) Contingent liabilities

Contingent liabilities are disclosed for (i) possible obligations which will be confirmed only by future events not wholly within the control of the Company or (ii) present obligations arising from past events where it is not probable that an outflow of resources will be required to settle the

obligation or a reliable estimate of the amount of the obligation cannot be made. Contingent assets are not recognised in the financial statements, but are disclosed where an inflow of economic benefits is probable.

(iii) Onerous Contracts

Provision for onerous contracts i.e. contracts where the expected unavoidable cost of meeting the obligations under the contract exceed the economic benefits expected to be received under it, are recognised when it is probable that an outflow of resources embodying economic benefits will be recognised to settle a present obligation as a result of an obligating event based on the reliable estimate of such an obligation.

2.20 Earnings per share

Basic earnings per share is computed by dividing profit or loss attributable to equity shareholders by the weighted average number of equity shares outstanding during the year.

Diluted earnings per share is determined by adjusting the profit or loss attributable to equity shareholders and the weighted average number of equity shares outstanding for the effects of all dilutive potential equity shares.

2.21 Cash and cash equivalents

Cash and cash equivalents for purposes of cash flow statement include cash on hand, in banks and demand deposits with banks, net of outstanding bank overdrafts that are repayable on demand, book overdraft and are considered part of the Company's cash management system.

2.22 Application of new accounting pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules which are issued from time to time. For the year ended March 31, 2025, MCA has notified Ind AS - 117 Insurance Contracts and amendments to Ind AS 116 - Leases, relating to sale and leaseback transactions, applicable to the Company w.e.f. April 1, 2024. The Company has reviewed the new pronouncements and based on its evaluation has determined that it does not have any significant impact on account of this standards in its financial statements.

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

3.1 Property, plant and equipment and capital work-in-progress

	As at March 31, 2025	As at March 31, 2024
Carrying amounts of:		
Land (Refer Note (ii) below)	5,208.28	5,106.40
Leasehold improvements	26.16	29.86
Buildings	4,863.17	4,404.75
Roads	148.62	161.97
Plant and equipment (including electrical installations)	13,498.87	13,770.85
Furniture and fixtures	37.42	35.37
Vehicles	1,682.19	1,237.84
Office equipment	204.83	213.98
Computers	54.19	52.46
Railway sidings	16.64	22.22
	25,740.37	25,035.70
Capital work-in-progress (Refer Note (iii) below)	776.77	174.26

Details of Property, plant and equipment

	Land	Leasehold improvements	Buildings	Roads	Plant and equipment (including electrical installations)	Furniture and fixtures	Vehicles	Office equipment	Computers	Railway sidings	Total
(A) Cost or deemed cost											
Balance at March 31, 2023	5,106.40	218.63	5,868.43	193.85	18,533.42	142.24	1,229.24	410.74	281.38	333.04	32,317.37
Additions	-	-	97.84	-	1,697.25	11.45	697.86	138.33	28.70	-	2,671.43
Disposals	-	-	-	-	(170.81)	-	(117.21)	(3.06)	(2.03)	-	(293.11)
Balance at March 31, 2024	5,106.40	218.63	5,966.27	193.85	20,059.86	153.69	1,809.89	546.01	308.05	333.04	34,695.69
Additions	101.88	-	690.25	-	1,644.65	12.09	661.70	55.07	30.27	-	3,195.91
Disposals	-	-	(116.01)	-	(1,297.12)	(21.06)	(31.71)	(59.93)	(56.96)	-	(1,582.79)
Balance at March 31, 2025	5,208.28	218.63	6,540.51	193.85	20,407.39	144.72	2,439.88	541.15	281.36	333.04	36,308.81
(B) Accumulated depreciation and impairment											
Balance at March 31, 2023	-	177.70	1,387.36	18.53	5,060.56	112.86	561.45	290.54	228.82	304.74	8,142.56
Depreciation expense	-	11.07	174.16	13.35	1,279.88	5.46	119.21	44.18	28.68	6.08	1,682.07
Disposals	-	-	-	-	(51.43)	-	(108.61)	(2.69)	(1.91)	-	(164.64)
Balance at March 31, 2024	-	188.77	1,561.52	31.88	6,289.01	118.32	572.05	332.03	255.59	310.82	9,659.99
Depreciation expense	-	3.70	181.83	13.35	1,256.88	8.93	215.75	61.01	27.99	5.58	1,775.02
Disposals	-	-	(66.01)	-	(637.37)	(19.95)	(30.11)	(56.72)	(56.41)	-	(866.57)
Balance at March 31, 2025	-	192.47	1,677.34	45.23	6,908.52	107.30	757.69	336.32	227.17	316.40	10,568.44
(C) Carrying Amount											
Balance at March 31, 2024	5,106.40	29.86	4,404.75	161.97	13,770.85	35.37	1,237.84	213.98	52.46	22.22	25,035.70
Balance at March 31, 2025	5,208.28	26.16	4,863.17	148.62	13,498.87	37.42	1,682.19	204.83	54.19	16.64	25,740.37

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Notes:

- (i) Refer Notes 15 and 18 for details of assets pledged.
- (ii) (a) Land admeasuring 1.17 acres amounting to ₹ 11.70 lakhs is registered in the name of M/s Isco Track Sleepers Private Limited; Land admeasuring 19.26 acres amounting to ₹ 113.32 lakhs is registered in the name of M/s. Rayalseema Concrete Sleepers Private Limited; Land admeasuring 3.00 acres amounting to ₹ 225.17 lakhs is registered in the name of M/s Annavaram Concrete Private Limited; erstwhile Companies that were merged with the Parent Company under Sections 391 to 394 of the Companies Act, 1956 in terms of the approval of the Honourable High Court of judicature of Andhra Pradesh at Hyderabad. The aforementioned land parcels are pending registration in the name of the Parent Company. (b) Land admeasuring 4.89 acres amounting to ₹ 75.90 lakhs is registered in the name of Mr. Lingaraj Shantalingappa Patil, Chairman and is pending registration in the name of the Parent Company.
- (iii) Capital work-in-progress ageing schedule *

Particulars	Amount in capital work-in-progress for a period of				As at March 31, 2025
	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	
Projects in Progress	776.77	-	-	-	776.77
	776.77	-	-	-	776.77

Particulars	Amount in capital work-in-progress for a period of				As at March 31, 2024
	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	
Projects in Progress	172.46	1.80	-	-	174.26
	172.46	1.80	-	-	174.26

* There are no capital work-in-progress where completion is overdue against original planned timelines or where estimated cost exceeded its original planned cost as on March 31, 2025 and March 31, 2024. Project execution plans are calibrated annually on the basis of Management's judgement and estimates w.r.t future business, technology developments / economy / industry / regulatory environment and all the projects are assessed as per rolling annual plan.

3.2 Right-of-use asset

	As at March 31, 2025	As at March 31, 2024
Right-of-use asset	888.06	295.71
	888.06	295.71

Particulars	Leasehold Land	Buildings	Total
(A) Cost or deemed cost			
Balance at March 31, 2023	417.56	-	417.56
Additions	10.00	14.30	24.30
Disposals/adjustments	(2.14)	-	(2.14)
Balance at March 31, 2024	425.42	14.30	439.72
Additions	625.56	16.81	642.37
Disposals/adjustments	(5.28)	-	(5.28)
Balance at March 31, 2025	1,045.70	31.11	1,076.81
(B) Accumulated amortisation and impairment			
Balance at March 31, 2023	114.35	-	114.35
Amortisation expense	31.50	0.30	31.80
Elimination on disposal/adjustments	(2.14)	-	(2.14)
Balance at March 31, 2024	143.71	0.30	144.01
Amortisation expense	37.27	12.75	50.02
Elimination on disposal/adjustments	(5.28)	-	(5.28)
Balance at March 31, 2025	175.70	13.05	188.75

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Particulars	Leasehold Land	Buildings	Total
(C) Carrying Amount			
Balance at March 31, 2024	281.71	14.00	295.71
Balance at March 31, 2025	870.00	18.06	888.06

4. Other intangible assets

	As at March 31, 2025	As at March 31, 2024
Carrying amounts of:		
Software	129.64	146.63
Goodwill	-	-
	129.64	146.63
Intangible assets under development	-	-

Details of intangible assets

	Software	Goodwill	Total
(A) Cost or deemed cost			
Balance at March 31, 2023	314.92	350.00	664.92
Additions	11.95	-	11.95
Disposals/ adjustments	-	-	-
Balance at March 31, 2024	326.87	350.00	676.87
Additions	28.71	-	28.71
Disposals/ adjustments	-	-	-
Balance at March 31, 2025	355.58	350.00	705.58
(B) Accumulated amortisation and impairment			
Balance at March 31, 2023	137.11	350.00	487.11
Amortisation expense	43.13	-	43.13
On Disposals/ adjustments	-	-	-
Balance at March 31, 2024	180.24	350.00	530.24
Amortisation expense	45.70	-	45.70
On Disposals/ adjustments	-	-	-
Balance at March 31, 2025	225.94	350.00	575.94
(C) Carrying Amount			
Balance at March 31, 2024	146.63	-	146.63
Balance at March 31, 2025	129.64	-	129.64

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

5. Investments

	As at March 31, 2025	As at March 31, 2024
Non-current		
Investments in subsidiaries (at cost)		
(I) Investments in equity instruments (Unquoted)		
(i) Daya Engineering Works Private Limited 751,735 (March 31, 2024: 751,735) equity shares of ₹ 10 each fully paid-up	3,271.17	3,271.17
(ii) Daya Technical Services Private Limited Less: Provision for impairment in the value of investment 228,130 (March 31, 2024: 228,130) equity shares of ₹ 10 each fully paid-up	255.78 (255.78)	255.78 (255.78)
(iv) Kallakal Foundry Casting Products Private Limited 3,989,900 (March 31, 2024: 3,989,900) equity shares of ₹ 10 each fully paid-up	398.99	398.99
(v) Patil SMH JV Private Limited 10,000 (March 31, 2024: 10,000) equity shares of ₹ 10 each fully paid up	1.00	1.00
(vi) Patil Digital Systems Private Limited 7,500 (March 31, 2024: 7,500) equity shares of ₹ 10 each fully paid up	-	0.75
(vii) Patil Rail Fastening Systems Private Limited 9,999 (March 31, 2024: 9,999) equity shares of ₹ 10 each fully paid up	-	1.00
(viii) Apna Technologies and Solutions Private Limited 10,731,189 (March 31, 2024: 6,041,770) equity shares of ₹ 10 each fully paid up	1,073.12	1,073.12
(ix) Apna Patil Rail Diagnostics Private Limited 4,900 (March 31, 2024: 4,900) equity shares of ₹ 10 each fully paid up	-	0.49
	4,744.28	4,746.52
Aggregate book value of unquoted investments (at cost)	4,744.28	4,746.52
Aggregate carrying value of unquoted investments	4,744.28	4,746.52
Aggregate impairment in value of investments	255.78	255.78
Current		
Investments in units of Mutual fund (unquoted) mandatorily measured at fair value through profit or loss (FVTPL)		
SBI Liquid Fund Direct Growth 7,378.68 units of ₹ 4,055.95 each (March 31, 2024: Nil)	299.27	-
Baroda BNP Paribas Liquid Fund - Direct Growth (LQ-D2-G) 6,952.19 units of ₹ 2,990.69 each (March 31, 2024: Nil)	207.92	-
	507.19	-
Aggregate book value of unquoted investments	500.95	
Aggregate carrying value of unquoted investments	507.19	

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

6. Financial assets - Loans

	As at March 31, 2025	As at March 31, 2024
Unsecured, considered good		
(i) Employee advances*	51.46	85.91
	51.46	85.91
Current		
Measured at amortised cost		
Secured, considered good		
(i) Loans to other entities (Refer note (i) & (ii) below)	1,581.64	1,236.00
Unsecured, considered good		
(i) Loans to related parties (repayable on demand)		
- Patil SMH JV Private Limited (Refer Note (v) below)	-	8.92
- Patil Digital Systems Private Limited (Refer Note (iv) below)		9.14
Less: Allowance for doubtful loan	-	(9.04)
- Pagita Leasing and Finance Company Limited (Refer Note (iii) below)	72.05	71.61
Less: Allowance for doubtful receivable	(72.05)	-
- Apna Technologies and Solutions Private Limited (Refer Note (vi) below)	648.66	898.02
Less: Allowance for doubtful receivable	(648.66)	(898.02)
(ii) Employee advances*	67.73	154.55
(iii) Others	3.80	5.40
	1,653.17	1,476.58

Notes:

- The loan had been advanced during the financial year ended March 31, 2021, under the operating service agreement entered into by the Company with Swarnaa Techno Constructions Private Limited ('Swarnaa') carrying an interest of 10% p.a. (March 31, 2024 : 10% p.a.). The loan is secured by way of charge created on the current and movable assets of rail sleepers manufacturing division of Swarnaa and is repayable at the end of the fourth year from the date of granting the loan. The charge is pending registration.
- The Company has advanced Inter corporate deposit to DTL Ancillaries Limited which is repayable on demand. The loan carries interest rate of 10.50% p.a. (March 31, 2024: Nil). The loan is secured by way of charge created on the 51% equity shares of the share holders of the company.
- The Company has advanced working capital loans to Pagita Leasing and Finance Company Limited which is repayable on demand and carries an interest of 10% p.a. (March 31, 2024: 10% p.a.)
- The Company has advanced working capital loan to Patil Digital Systems Private Limited which is repayable on demand. The loan carries interest rate of 10% p.a. (March 31, 2024: 10% p.a.)
- The Company has advanced working capital loan to Patil SMH JV Private Limited which is repayable on demand. The loan carries interest rate of 7.75% p.a.
- The Company has advanced working capital loan to Apna Technologies and Solutions Private Limited which is repayable on demand.

*Includes an amount of ₹ Nil (March 31, 2024 : ₹ 26.70 Lakhs) receivable from related parties (Refer Note 37).

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

7. Other financial assets

	As at March 31, 2025	As at March 31, 2024
Non-current		
(a) Security deposits	747.83	636.39
(b) Incentives receivable	306.26	218.42
(c) Others	-	86.24
	1,054.09	941.05
Current		
(a) Interest accruals		
-Interest accrued on deposits	47.58	34.84
-Interest accrued on loans to others	9.89	9.56
(b) Contractually reimbursable expenses	4.52	15.11
(c) Unbilled revenue (Refer note below)	681.63	722.10
(d) Security deposits	283.15	96.14
(e) Insurance claims	-	24.19
(f) Contract assets	2,974.11	617.68
(g) Others*	-	19.66
Less: Allowance for doubtful receivable	-	(16.17)
	4,000.88	1,523.11

Note: Unbilled revenue includes escalation claims/price variations as per the terms of the contract with customers which is billable upon determination of final price indices.

* Includes an amount of ₹ Nil (March 31, 2024 : ₹ 16.17 Lakhs) receivables from related parties (Refer Note 37).

8. Inventories

(at lower of cost and net realisable value)

	As at March 31, 2025	As at March 31, 2024
(a) Raw materials and components*	10,209.40	7,176.00
(b) Work-in-progress	2,370.08	2,612.57
(c) Finished goods	20,769.05	19,174.20
(d) Stock-in-trade	627.23	2,488.78
(e) Stores and spares	1,482.18	1,586.64
	35,457.94	33,038.19
*Includes material-in-transit	204.39	497.60

Notes:

- The cost of inventories recognised as an expense during the year has been disclosed in Note 25, Note 26, Note 27, Note 28 and Note 32.
- There are no inventories expected to be liquidated after more than twelve months.
- The mode of valuation of inventories has been stated in Note 2.6
- For details of inventories pledged refer Note 15 and Note 18.

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

9. Trade receivables

	As at March 31, 2025	As at March 31, 2024
(a) Unsecured, considered good*	14,800.41	16,250.91
(b) Credit impaired	242.11	561.55
	15,042.52	16,812.46
Allowances for doubtful receivables	(709.84)	(561.55)
	14,332.68	16,250.91

* Includes amount receivable from related parties ₹ 749.30 lakhs (March 31, 2024: ₹ 363.50 lakhs). Also refer Note 37.

Notes:

(i) Trade receivables ageing schedule

Trade receivables-Unsecured	Not Due	Outstanding for following periods from due date of payment					As at March 31, 2025
		Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	
(i) Undisputed, considered good	2,905.00	8,552.03	1,904.99	973.10	183.96	281.33	14,800.41
(ii) Undisputed, which have significant increase in credit risk	-	-	-	-	-	-	-
(iii) Undisputed, credit impaired	-	-	-	-	-	-	-
(iv) Disputed, considered good	-	-	-	-	-	-	-
(v) Disputed, which have significant increase in credit risk	-	-	-	-	-	-	-
(vi) Disputed, credit impaired	-	-	-	-	-	242.11	242.11
	2,905.00	8,552.03	1,904.99	973.10	183.96	523.44	15,042.52
Less : Allowance for doubtful receivables							(709.84)
Total							14,332.68

Trade receivables-Unsecured	Not Due	Outstanding for following periods from due date of payment					As at March 31, 2024
		Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	
(i) Undisputed, considered good	5,252.21	9,810.62	603.83	406.73	177.52	-	16,250.91
(ii) Undisputed, which have significant increase in credit risk	-	-	-	-	-	-	-
(iii) Undisputed, credit impaired	-	-	-	0.41	17.99	301.04	319.44
(iv) Disputed, considered good	-	-	-	-	-	-	-
(v) Disputed, which have significant increase in credit risk	-	-	-	-	-	-	-
(vi) Disputed, credit impaired	-	-	-	-	-	242.11	242.11
	5,252.21	9,810.62	603.83	407.14	195.51	543.15	16,812.46
Less : Allowance for doubtful receivables							(561.55)
Total							16,250.91

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

- (ii) The average credit period for sales made to Indian Railways ranges between 45 to 60 days and for sale to other customers ranges between 30 to 60 days. No interest is charged on overdue receivables.
- (iii) The Company has receivables amounting to ₹ 8,562.31 lakhs from Railways the Company's largest customers constituting 57% of the gross receivable balance. In the previous year the Company had a receivable of ₹ 11,851.99 lakhs from Railways the Company's large customers constituting 70% of the gross receivable balance. There are no other customers who represent more than 10% of the total balance of trade receivables.
- (iv) The Company has used a practical expedient by computing the expected credit loss allowance for doubtful trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and adjusted for forward looking estimates. The expected credit loss allowance is based on the ageing of the receivables which are due and the rates used in the provision matrix.
- (v) Movement in the expected credit loss allowance:

	As at March 31, 2025	As at March 31, 2024
Balance at the beginning of the year	561.55	551.63
Add: Impairment allowances recognised on receivables during the year	148.29	12.62
Less: Amount written off during the year as uncollectible	-	(2.70)
Balance at the end of the year	709.84	561.55

10. Cash and cash equivalents

	As at March 31, 2025	As at March 31, 2024
(a) Balances with banks		
- in current accounts	1,635.39	243.06
- in EEFC accounts	1.07	1.02
(b) Cash on hand	9.80	4.40
Cash and cash equivalents as per the cash flow statement	1,646.26	248.48

11. Other bank balances

	As at March 31, 2025	As at March 31, 2024
In earmarked accounts		
(i) Balances in current account*	-	15.86
(ii) Balances held as margin money or security against borrowings, guarantees and other commitments**	4,253.46	3,887.16
	4,253.46	3,903.02

* Represents amount in bank accounts attached by sales tax department in respect of demands which are under litigation.

** Includes deposits aggregating ₹ 499.07 lakhs (March 31, 2024: ₹ 912.83 lakhs) with remaining maturity of more than 12 months from the Balance Sheet date.

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

12. Other assets

	As at March 31, 2025	As at March 31, 2024
Non-current		
(a) Capital advances	1,258.77	68.63
(b) Prepaid expenses	68.77	96.99
(c) Balances with government authorities	199.76	202.81
(d) Security deposits		
(i) With related parties-		
Mr. L. S. Patil	130.00	130.00
(ii) With others	424.32	357.87
	2,081.62	856.30
Current		
(a) Commercial advances		
(i) To related parties:		
- Kallakal Foundry Casting Products Private Limited	228.38	1,726.59
(ii) Others	1,352.00	2,203.89
(b) Prepaid expenses	246.14	269.56
(c) Balances with government authorities (GST credit receivable)	2,282.07	1,885.56
(d) Security deposits	6.64	3.16
(e) Loans and advances to employees	18.88	8.59
(f) CSR asset	835.06	201.15
	4,969.17	6,298.50

13. Share capital

	As at March 31, 2025	As at March 31, 2024
Authorised Share capital :		
4,90,00,000 equity shares of ₹10 each (March 31, 2024: 3,80,00,000 equity shares of ₹ 10 each)	4,900.00	3,800.00
Issued, subscribed and fully paid-up:		
2,49,31,601 fully paid equity shares of ₹ 10 each (March 31, 2024: 2,49,31,601 equity shares of ₹ 10 each)	2,493.16	2,493.16

Notes:

i) Reconciliation of number of equity shares and amount outstanding at the beginning and at the end of the year:

	Number of shares	Share Capital
Balance at March 31, 2023	2,49,31,601	2,493.16
Changes during the year	-	-
Balance at March 31, 2024	2,49,31,601	2,493.16
Changes during the year	-	-
Balance at March 31, 2025	2,49,31,601	2,493.16

ii) Rights, preferences and restrictions attached to the equity shares:

The Company has only one class of shares referred to as equity shares having a face value of ₹ 10 each. Each holder of equity share is eligible for one vote per share held. The Company declares and pays dividends in Indian rupees. The

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

dividend proposed by the Board of Directors is subject to the approval of the Shareholders in the ensuing Annual General Meeting, except in the case of interim dividend. In the event of liquidation, the holders of equity shares will be entitled to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to the number of equity shares held by the shareholders.

iii) Details of equity shares held by each shareholder holding more than 5% of the equity shares:

	As at March 31, 2025		As at March 31, 2024	
	Number of shares	%	Number of shares	%
L. S. Patil	1,86,23,001	74.70	1,86,23,001	74.70
Padmaja Patil	41,96,923	16.83	41,96,923	16.83

iv) Details of equity shares held by promoters at the end of the year:

Promoter Name	As at March 31, 2025		As at March 31, 2024		% change during the year
	Number of shares	%	Number of shares	%	
L. S. Patil	1,86,23,001	75%	1,86,23,001	75%	-
Padmaja Patil	41,96,923	17%	41,96,923	17%	-
Kartikeyan Patil	8,33,738	3%	8,33,738	3%	-
Sangam Patil	7,11,666	3%	7,11,666	3%	-
Vaishnavi Patil	5,66,273	2%	5,66,273	2%	-

14. Other equity

	As at March 31, 2025	As at March 31, 2024
(a) General reserve	2,406.54	2,406.54
This reserve is created by an appropriation from one component of equity (generally retained earnings) to another, not being an item of Other Comprehensive Income. The same can be utilised by the Company in accordance with the provisions of the Companies Act, 2013.		
(b) Retained earnings	39,185.39	29,230.36
Retained earnings represents the cumulative undistributed profits of the company and can be utilised in accordance with the provisions of the Companies Act, 2013.		
[Includes ₹ 2,174.82 lakhs recognised on account of fair valuation of property, plant and equipment and reduced by ₹ 68.61 lakhs on account of fair valuation of financial instruments as on the Ind AS transition date i.e. April 1, 2016 carried out under the exemptions available on first time transition to Ind AS in accordance with the Indian Accounting Standard (Ind AS - 101) - First-time Adoption of Indian Accounting Standards.]		
(c) Capital reserve	194.03	194.03
This reserve represents the difference between the value of net assets transferred to the Company in the course of business combinations and the consideration paid for such combinations.		
(d) Securities premium	12,125.68	12,125.68
This reserve represents the premium on issue of shares and can be utilised in accordance with the provisions of the Companies Act, 2013.		
(e) Capital reserve on common control transaction	(823.59)	(823.59)
This reserve pertains to capital reserve acquired pursuant to the scheme of arrangements under the Companies Act, 2013 accounted under pooling of interest method. This reserve is not available for distribution as dividend.		
	53,088.05	43,133.02

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

15. Borrowings

	As at March 31, 2025	As at March 31, 2024
Non-current		
Secured-at amortised cost		
Term loans from banks [Refer Note (i)]	5,964.31	11,241.93
Vehicle and equipment loans from banks [Refer Note (ii)]	599.12	460.72
Vehicle loans from others [Refer Note (ii)]	256.08	81.33
	6,819.51	11,783.98
Less: Current maturities of long term borrowings disclosed in Note 18 under Short Term Borrowings	(4,379.41)	(5,088.43)
	2,440.10	6,695.55

Notes:

(i) Details of terms of repayment and security provided in respect of term loan from banks:

HDFC Bank Limited - Term Loans

The loan is secured by:

- Exclusive charge on the Plant and Machinery of fastening, forging & plastic units of Medchal plant and solar installed across all plants;
- Fixed deposits of ₹ 483.93 lakhs;
- Mortgage of property located at (i) Flat No 202, Second Floor, Krishna Apartments, Road No 4, Banjara Hills, Hyderabad owned by M/s. Pagita Leasing and Finance Company Limited and (ii) No 79/2, situated at Nandidurga Road, Division No 46, Sangam Towers, 2nd Cross, Ramaiah Reddy layout owned by Mr. L.S. Patil;
- Personal guarantee of Mr. L.S Patil and corporate guarantee of M/s. Pagita Leasing and Financing Company Limited.

Borrowing Repayable	Rate of Interest	Remaining Number of Instalments [#]	Balance amount as at March 31, 2025 (₹ in Lakhs)
(a) ₹ 1,224 lakhs term loan repayable in 48 monthly instalments commencing from February 7, 2022 after considering moratorium period of 6 months	8.75%-10.20%	5	154.62
(b) ₹ 1,700 lakhs term loan repayable in 42 monthly instalments commencing from June 7, 2022	8.75%-10.20%	10	408.23
(c) ₹ 3,000 lakhs term loan repayable in 77 monthly instalments commencing from September 23, 2023	8.42%-9.85%	58	1,651.46

ICICI Bank - Term loan

The loan is secured by:

- First Pari-passu charge on all the movable fixed assets of the company other than the assets charged to existing lenders.
- Personal guarantee of Mr. L.S Patil and Mrs. Padmaja Patil.
- Corporate guarantee of M/s. Daya Engineering works private limited and M/s. Icon Sleeper track private limited.
- First charge over the immovable fixed assets situated
 - i. Industrial building located at Kaipadar, Odisha.
 - ii. Industrial building located at Udvada, Gujarat.
 - iii. Industrial building located at Pathri
 - iv. Industrial land and building located at Tirumangalam, Tamil Nadu
 - v. Industrial land and building located at Wadiyaram, Telangana
 - vi. Industrial land and building located at Kargi, Chattisgarh

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

- vii. Industrial land and building located at Bhurwal, Uttar Pradesh
- viii. Industrial land and building located at Anara, West Bengal
- ix. Industrial land and building located at Badhikatu, Rajasthan.

Borrowing Repayable	Rate of Interest	Remaining Number of Instalments #	Balance amount as at March 31, 2025 (₹ in Lakhs)
₹ 5,000 lakhs term loan repayable in 36 monthly instalments commencing from May 31, 2023	9.95%-10.60%	13	1,805.56

Yes Bank - Term loan

The loan is secured by:

- First Pari-passu charge on all the movable fixed assets of the company other than the assets charged to existing lenders.
- Personal guarantee of Mr. L.S Patil and Mrs. Padmaja Patil.
- Corporate guarantee of M/s. Daya Engineering works private limited and M/s. Icon Sleeper track private limited.
- First Pari-passu charge over immovable fixed assets situated at
 - i. Railway Yard, Anara (S.E. Rly) Purulia 723126, West Bengal.,
 - ii. Bhurwal PO, Behind Burhwal Railway Station Dist. Barabanki, U.P 225002
 - iii. Railway Yard, Tirumangalam Madurai Dist 625 706, T.N
 - iv. Railway Yard, Wadiyaram, Chegunta Mandal Medak Dist 502255, Telangana
 - v. Opp. Railway Station, Kargi Road, Kota b 495113 Dist. Bilaspur, Chhattisgarh
 - vi. Survey No. 700, Badikhathu Rajasthan

Borrowing Repayable	Rate of Interest	Remaining Number of Instalments #	Balance amount as at March 31, 2025 (₹ in Lakhs)
₹ 5,000 lakhs term loan repayable in 36 monthly instalments commencing from June 30, 2023	9.95%-10.28%	14	1,944.44

- (ii) Vehicle and equipment loans taken from banks and others are secured by hypothecation of such vehicles and equipments. The loans carry an interest ranging from 7.5% - 13.40% and are repayable in equated monthly instalments ranging from 3 -5 years.

16. Lease liabilities

	As at March 31, 2025	As at March 31, 2024
Non-current		
Lease liabilities (Refer Note 39)	48.61	73.94
	48.61	73.94
Current		
Lease liabilities (Refer Note 39)	39.75	27.93
	39.75	27.93

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

17. Provisions

	As at March 31, 2025	As at March 31, 2024
Non-current		
Gratuity (Refer Note 35)	1,603.22	1,292.57
Leave encashment	22.86	12.71
	1,626.08	1,305.28
Current		
Gratuity (Refer Note 35)	314.85	259.49
Leave encashment	31.27	39.59
	346.12	299.08

18. Borrowings

	As at March 31, 2025	As at March 31, 2024
Current		
Secured		
(i) Loans repayable on demand from banks [Refer Note (i) below]	6,381.16	6,594.33
(ii) Current maturities of Non-Current borrowings [Refer Note 15]	4,379.41	5,088.43
(iii) Short-term loans from banks [Refer Note (ii) below]	245.59	4,089.46
Unsecured-at amortised cost		
(i) Loans from banks	2,402.80	-
(ii) Loans from related parties [Refer Note 37]		
- Daya Technical Services Private Limited	-	20.73
- Patil Rail Fastening Systems Private Limited	-	0.17
	13,408.96	15,793.12

Notes:

- (i) The aforementioned facilities under cash credit are with SBI Bank, ICICI Bank, IDBI Bank, Yes Bank Limited, HDFC Bank and UBI Bank. These banks have entered into an inter creditor agreement on July 19, 2021 and amended and restated on October 20, 2022 as per which these banks have formed a consortium with SBI Bank being the lead banker. SBI CAP Trustee Company Limited has been identified as a Security Trustee under this agreement. The lenders have renewed the credit facilities vide respective sanction letters and in relation the credit sanctioned have pooled the securities on pari passu basis against the lenders. The details of security are as under:
- First pari-passu charge by way of hypothecation on all current assets of the Company, both present and future;
 - Lien on fixed deposits aggregating ₹ 4.62 crores;
 - Pari-passu charge by way of hypothecation on movable fixed assets at:
 - Unit 2 of Anara plant located at Purulia, West Bengal and Unit 2 of Kaipadar plant located at Khurda, Odisha;
 - Unit 1 & 2 of Bobbili plant located at Vizianagaram district, Andhra Pradesh;
 - Tirumangalam crusher unit located at Madurai, Tamil Nadu;
 - First pari-passu charge by way of equitable mortgage on immovable properties more particularly described herein below:
 - Property situated at Flat No. 104, 205 and 206, in Amar Chand Sharma Complex, 9-1-83 & 84, Sardar Patel Road, Secunderabad, 500012, owned by Pagita Leasing and Finance company limited;
 - Property situated at Flat No. 207, in Amar Chand Sharma Complex, 9-1-83 & 84, Sardar Patel Road, Secunderabad, 500012, owned by L. S. Patil;

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

- Immovable property bearing survey no. 40/7, 40/9, 40/12, 40/13, 41/3, 41/5, situated at Habbatthanahally, KasabaHobli, Tumkur Taluk, Tumkur, 572107, admeasuring 8.13 acres;
 - Commercial Property bearing survey no. 93 and 93/3C: Plot No. 126 and 97 to 103, situated at Industrial Park, Jaggayapet Mandal, Tirumalagiri Village, Krishna District, Jaggayapet;
 - Commercial property bearing survey no. 51/1, 51/2 and 51/3, Kilangulam Village, Kilangulam Panchayat, Peraiyur sub division, Madhuri District;
 - Factory land and building bearing survey no. 700, 700/1, 700/2, 700/3, 700/4, 700/5, 700/6, 700/7 and 3170/700, Gram Roopangarh, Tehsil-Kishangarh, District Ajmer;
 - Residential plot situated at survey nos. 179/C, 180/B, Yellampeta Village, Medchal Mandal, R.R District, Hyderabad, Telangana;
 - Commercial plot bearing survey no. 6 and Plot no. 3B, 4 and 5 at Sitaramapuram, Bobbili, Vizianagaram District;
 - Residential Property bearing survey no. 355, 355/A, 355/A7/AA & 384, Kallakal Village, Toopran Mandal, Medak District owned by L.S. Patil and Padmaja Patil;
 - Residential property situated at Municipal No. 8-2-618/L/G/N-3 & 4, Lake view Apartments, Road No. 11, Banjara Hills, Hyderabad owned by M/s Pagita Leasing and Finance Company Limited;
 - Residential Building bearing Flat No 40, Block A2, situated at no. A-2/40 Safdarjung Enclave, New Delhi-110016, (Urban), owned by L.S. Patil;
 - Residential Plot bearing Survey number No. 102/1 situated at MPL No. 8-2-293./82/L/76/C/2 part of Plot No. 76C, Hakeempet Village, Shaikpet Mandal, M.L.A Colony, Banjara Hills, Hyderabad, Telangana 500034 owned by Smt. Padmaja Patil;
 - The residential site bearing site Nos. 1-6 formed in Sy No. 55/3, situated at Kallipalya Grama, Kasaba Hubli, Tumkur;
 - Immovable property situated at Plot No 155, 145, 152, 160, 151, 154, 153, 150 at Khurdha, Odisha, in the name of L S Patil;
 - Company Corporate Office located at 4th & 5th Floors, Safe Legend, 6-3-1239/B/111, Renuka Enclave, Rajbhavan road, Somajiguda, Hyderabad-500 082 owned by M/s Patil Rail Services;
- (e) First pari passu charge by way of hypothecation on unencumbered movable fixed assets of the Company, both present and future along with other working capital lenders in the consortium
- (f) Personal Guarantee of Shri. L.S. Patil and Smt. Padmaja Patil;
- (g) Corporate Guarantee of M/s Pagita Leasing and Finance Company Limited and M/s Patil Rail Services;
- (ii) Includes bills discounted and outstanding as at March 31, 2025. The Company, under the terms of arrangement with the customer, will be liable to make the payment against these bills discounted in the event of default.

19. Trade payables

	As at March 31, 2025	As at March 31, 2024
Acceptances	498.95	209.28
Other than Acceptances		
- Total outstanding dues of micro enterprises and small enterprises	1,285.15	1,657.14
- Total outstanding dues of creditors other than micro enterprises and small enterprises*	7,836.38	5,892.09
	9,620.48	7,758.51

* Includes amount payable to related parties ₹ 758.63 lakhs (March 31, 2024: ₹ 629.63 lakhs). Also refer Note 37.

Dues to MSME have been determined to the extent such parties have been identified on the basis of information collected by the Management. This has been relied upon by the auditors. Refer Note 34.

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Note:

(i) Trade Payables ageing schedule:

Particulars	Unbilled	Outstanding for following periods from due date of payment					As at March 31, 2025
		Not Due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
(i) MSME	-	480.60	787.67	9.15	6.10	1.63	1,285.15
(ii) Other than MSME	1,216.83	2,351.30	4,159.21	154.87	93.78	111.34	8,087.33
(iii) Disputed dues - MSME	-	-	-	-	-	-	-
(iv) Disputed dues - Other than MSME	248.00	-	-	-	-	-	248.00
	1,464.83	2,831.90	4,946.88	164.02	99.88	112.97	9,620.48

Particulars	Unbilled	Outstanding for following periods from due date of payment					As at March 31, 2024
		Not Due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
(i) MSME	-	799.65	835.04	19.42	3.03	-	1,657.14
(ii) Other than MSME	1,340.49	1,980.82	2,454.09	185.69	70.02	70.26	6,101.37
(iii) Disputed dues - MSME	-	-	-	-	-	-	-
(iv) Disputed dues - Other than MSME	-	-	-	-	-	-	-
	1,340.49	2,780.47	3,289.13	205.11	73.05	70.26	7,758.51

20. Other financial liabilities

	As at March 31, 2025	As at March 31, 2024
Current		
Interest accrued but not due on borrowings	42.53	73.57
Payables on purchase of property, plant and equipment	34.14	92.03
Other financial liabilities	113.97	21.48
Contract liabilities (Refer Note (i) below)	892.22	68.29
Employee related payables (Refer Note (ii) & (iii) below)	682.60	616.69
	1,765.46	872.06

Note:

- Contract liabilities includes deescalation claims / price variations as per the terms of the contract with customers which is billable upon determination of final price indices.
- During the current year the company reassessed the nature and classification of certain accruals and payables relating to employee benefits and has classified this as employee related payables under other Financial liabilities. Accordingly, the comparative figures for the previous year has been regrouped from Trade payables to compare with the current year's presentation. This reclassification has no impact on the total liabilities or profit of the periods.
- Includes amount payable to related parties ₹ 22.44 lakhs (March 31, 2024: ₹ 35.78 lakhs). Also refer Note 37.

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

21. Deferred tax assets / (liabilities) (net)

	As at March 31, 2025	As at March 31, 2024
Deferred tax assets	830.59	823.66
Less: Deferred tax liabilities	(862.93)	(592.66)
Total	(32.34)	231.00

2024-25	Opening balance	Recognised in Profit and loss	Recognised in other comprehensive income	MAT credit utilised	Closing balance
Deferred tax assets / (liabilities) in relation to:					
Property, plant and equipment	(592.66)	(270.27)	-	-	(862.93)
Provision for employee benefits	403.78	72.85	76.02	-	552.65
Allowance for doubtful trade receivable	39.56	139.09			178.65
Others	380.32	(281.03)	-	-	99.29
	231.00	(339.36)	76.02	-	(32.34)

2023-24	Opening balance	Recognised in Profit and loss	Recognised in other comprehensive income	MAT credit utilised	Closing balance
Deferred tax assets / (liabilities) in relation to:					
Property, plant and equipment	(229.65)	(363.01)	-	-	(592.66)
Provision for employee benefits	466.56	(99.97)	37.19		403.78
Allowance for doubtful trade receivable	37.07	2.49			39.56
Others	74.51	305.81	-	-	380.32
	348.49	(154.68)	37.19	-	231.00

21.1 Income tax assets (net)

	As at March 31, 2025	As at March 31, 2024
Non-current		
Advance tax/TDS receivable	161.19	161.19
	161.19	161.19

21.2 Current tax liabilities (net)

	As at March 31, 2025	As at March 31, 2024
Income tax payable (net)	727.56	1,057.84
	727.56	1,057.84

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

21.3 Income tax expense:

	For the year ended March 31, 2025	For the year ended March 31, 2024
(a) Amounts recognised in statement of profit and loss		
Current tax		
- In respect of the current year	3,219.13	3,223.40
- In respect of the earlier years	(186.19)	(114.35)
Deferred tax	339.36	154.68
	3,372.30	3,263.73
(b) Amounts recognised in other comprehensive income		
Tax effect on remeasurement of defined benefit plans	76.02	37.19
	76.02	37.19
The income tax expense for the year can be reconciled to the accounting profit as follows:		
Profit before tax	13,553.28	13,129.59
Income tax expense calculated at 25.168% (2023-24: 25.168%)	3,411.09	3,304.46
Tax effects of amounts which are not deductible in determining taxable profit (net)	147.41	73.62
	3,558.50	3,378.08
Adjustment recognised in the current year in relation to tax of prior years (net)	(186.19)	(114.35)
Income tax expense recognised in the Statement of Profit and Loss	3,372.31	3,263.73

22. Other liabilities

	As at March 31, 2025	As at March 31, 2024
Current		
Statutory remittances	697.53	919.21
Advances from customers (including mobilisation advance received)	16,114.03	14,984.27
	16,811.56	15,903.48

23. Revenue from Operations

	For the year ended March 31, 2025	For the year ended March 31, 2024
a. Sale of products (Refer Note (i) below and Note 37)	1,14,892.93	1,08,446.56
b. Income from contracts and services	3,491.88	10,149.03
c. Other operating revenues (Refer Note (ii) below)	4,018.59	2,060.89
	1,22,403.40	1,20,656.48
Notes:		
(i) Sale of products comprises:		
<u>Manufactured goods:</u>		
- Concrete Sleepers	72,520.61	84,225.43
- High Tensile Steel Wires	17,284.75	13,155.38
- SGCI Inserts	2,037.23	2,193.08
- Fasteners	6,114.77	754.37
	97,957.36	1,00,328.26

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

	For the year ended March 31, 2025	For the year ended March 31, 2024
Traded goods:		
- Track Components & Composite Sleepers	16,540.06	7,792.95
- Others (comprising SGCI Inserts, PVC Dowels, etc.)	395.51	325.35
	16,935.57	8,118.30
	1,14,892.93	1,08,446.56
(ii) Other operating revenue:		
- Sale of scrap	530.65	640.21
- Service commission*	1,745.28	453.30
- Transportation income	1,742.66	967.38
	4,018.59	2,060.89

*Includes amount to related parties ₹ 201.40 lakhs (March 31, 2024: ₹ 200.65 lakhs). Also refer Note 37.

24. Other income

	For the year ended March 31, 2025	For the year ended March 31, 2024
a) Interest income		
Interest income earned on financial assets that are not designated as at FVTPL		
- Bank deposits (at amortised cost)	258.29	221.70
	258.29	221.70
b) Other non-operating income		
(i) Interest income on loans and other deposits*	401.82	117.53
(ii) Rental income (Refer Note 37)	79.53	232.68
(iii) Liabilities no longer required written back	7.23	57.73
(iv) Provisions no longer required written back	249.36	142.31
(v) Others (Including bad debts written off realised)	149.76	268.99
	887.70	819.24
c) Other gains and losses		
(i) Net gain on sale of property, plant and equipment	-	0.18
(ii) Net gain arising on financial assets mandatorily measured at FVTPL	6.25	-
(iii) Gain on sale of investments	10.98	-
	17.23	0.18
	1,163.22	1,041.12

* Includes ₹ 300.99 lakhs (March 31, 2024: ₹ 4.42 lakhs) on loans and advances to related parties. Refer Note 37.

25 Cost of material consumed

	For the year ended March 31, 2025	For the year ended March 31, 2024
Opening stock	7,176.00	10,567.13
Add: Purchases	62,214.41	49,684.02
Less: Closing stock	10,209.40	7,176.00
	59,181.01	53,075.15

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

26. Purchase of stock in trade (traded goods)

	For the year ended March 31, 2025	For the year ended March 31, 2024
Stock-in-trade - track components & composite sleepers	14,167.95	8,511.77
Stock-in-trade - others (SGCI inserts, PVC Dowels etc.)	395.51	338.44
	14,563.46	8,850.21

27. Changes in inventories of finished goods, work-in-progress and stock-in-trade

	For the year ended March 31, 2025	For the year ended March 31, 2024
Inventories at the beginning of the year		
Finished goods	19,174.20	25,768.56
Work-in-progress	2,612.57	1,989.40
Stock-in-trade	2,488.78	130.69
[A]	24,275.55	27,888.65
Inventories at the end of the year		
Finished goods	20,769.05	19,174.20
Work-in-progress	2,370.08	2,612.57
Stock-in-trade	627.23	2,488.78
[B]	23,766.36	24,275.55
Increase in inventories of finished goods, work-in-progress and stock-in-trade [A-B]	509.19	3,613.10

28. Contract execution expenses

	For the year ended March 31, 2025	For the year ended March 31, 2024
Contract execution expenses	1,209.93	11,381.63
	1,209.93	11,381.63

29. Employee benefits expense

	For the year ended March 31, 2025	For the year ended March 31, 2024
(a) Salaries and wages	7,573.22	6,051.79
(b) Contribution to provident fund and other funds	410.64	372.62
(c) Staff welfare expenses	559.60	583.84
(d) Gratuity expenses (Refer Note 35)	225.05	193.64
	8,768.51	7,201.89

30. Finance costs

	For the year ended March 31, 2025	For the year ended March 31, 2024
(a) Interest expense (Refer Notes below)	1,745.24	3,053.20
(b) Interest expense on delayed payment of Income-tax	9.02	63.29
(c) Interest on lease liability (Refer Note 39)	9.54	9.40
(d) Other borrowing costs	407.98	444.73
	2,171.78	3,570.62

Notes:

- (i) Includes ₹ 171.24 lakhs (March 31, 2024: ₹ 490.18 lakhs) on loans and advances from related parties. Refer Note 37.

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

31. Depreciation and amortisation expense

	For the year ended March 31, 2025	For the year ended March 31, 2024
Depreciation on property, plant and equipment [Refer Note 3.1]	1,775.02	1,682.07
Amortisation of right-of-use assets [Refer Note 3.2 and Note 39]	50.02	31.80
Amortisation of intangible assets [Refer Note 4]	45.70	43.13
	1,870.74	1,757.00

32. Other expenses

	For the year ended March 31, 2025	For the year ended March 31, 2024
Consumption of stores and spares	1,843.40	2,381.91
Power and fuel	2,991.65	2,821.00
Rent (Refer Note 37)	465.21	292.47
Crane and machinery hire charges	181.83	327.34
Repairs and maintenance		
- Plant and machinery	1,667.63	1,763.38
- Buildings	124.54	135.84
- Others	305.53	216.24
Insurance charges	210.42	127.17
Rates and taxes	195.89	387.53
Communication	103.54	95.19
Travelling and conveyance [Refer Note (iv) below]	879.78	866.26
Printing and stationery	35.78	103.08
Manpower charges [Refer Note (v) below]	5,805.59	4,969.57
Sleeper inspection expenses	293.88	274.58
Sleeper transportation expenses	2,042.09	736.87
Outward freight and handling charges	924.97	730.78
Advertisement and sales promotion	48.88	73.02
Donations [Refer Note (iii) below]	7.08	7.16
Legal and professional fees [Refer Note (vi) below]	2,210.55	2,092.92
Payment to auditors [Refer Note (i) & (ii) below]	48.93	35.53
Expenditure on Corporate Social Responsibility [Refer Note 42]	208.60	190.44
Deposits, loans and other receivables written off (net)	3.73	62.71
Investments written off	2.24	-
Loss on sale/write-off of property, plant and equipment (net)	373.06	-
Net foreign exchange loss	2.73	44.51
Provision for doubtful trade receivables	148.29	12.62
Provision for doubtful assets and loans	72.05	1.25
Miscellaneous expenses	540.85	369.04
	21,738.72	19,118.41
Notes:		
(i) Payment to auditors comprise (net of GST)		
(a) To statutory auditors		
- Statutory audit fee	47.50	35.00
- Reimbursement of expenses	1.43	0.53
	48.93	35.53

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

- (ii) During the current year the company reassessed the nature and classification of amount paid to auditors and has transferred the same to Legal and professional fees. Accordingly, the comparative figures for the previous year has been regrouped from payment to auditors to Legal and professional fees to compare with the current year's presentation. This reclassification has no impact on the total profit of the periods.
- (iii) Donations include ₹ 0.05 lakhs (March 31, 2024: ₹ 0.71 lakhs) given to a political party.
- (iv) Includes ₹ 28.28 lakhs (March 31, 2024: ₹ 20.71 lakhs) to related parties. Refer Note 37.
- (v) Includes ₹ 5.29 lakhs (March 31, 2024: ₹ 31.23 lakhs) to related parties. Refer Note 37.
- (vi) Includes ₹ 1,428.57 lakhs (March 31, 2024: ₹ 1,507.51 lakhs) to related parties. Refer Note 37.

33. Contingent Liabilities and Commitments:

Sl No	Particulars	As at March 31, 2025	As at March 31, 2024
(i)	Contingent Liabilities (to the extent not provided for):		
	Claims against the Company not acknowledged as debt		
	Matters under dispute*:		
(a)	Excise Duty	344.22	344.22
(b)	GST / Sales Tax / Value Added Tax / Entry Tax	460.60	453.58
(c)	Customs Duty	86.06	86.06
(d)	Civil Suits	23.98	23.98
	Corporate Guarantees given on behalf of its subsidiaries	5,700.00	5,700.00
	* Balances as at March 31, 2025 exclude interest computed on the aforementioned demands amounting to ₹ 802.98 lakhs.		
	It is not practicable for the Company to estimate the closure of these issues and the consequential timings of cash flows, if any, in respect of the above.		
(ii)	Commitments:		
	Estimated amount of contracts remaining to be executed on capital account and not provided for (net of capital advances)	4,643.92	332.52

34. Based on and to the extent of information available with the Company under Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act), the relevant particulars as at the reporting date are furnished below:

Sl No	Particulars	As at March 31, 2025	As at March 31, 2024
(i)	Principal amount due to suppliers under MSMED Act, as at the end of the year	1,285.15	1,657.14
(ii)	Interest accrued and due to suppliers under MSMED Act, on the above amount as at the end of the year	28.58	22.93
(iii)	Payment made to suppliers (other than interest) beyond the appointed day, during the year	-	-
(iv)	Interest paid to suppliers under MSMED Act (other than Section 16)	-	-
(v)	Interest paid to suppliers under MSMED Act (Section 16)	-	-
(vi)	Interest due and payable to suppliers under MSMED Act, for payments already made	-	-
(vii)	Interest accrued and remaining unpaid at the end of the year to suppliers under MSMED Act (ii) + (vi)	28.58	22.93

Dues to Micro, Small and Medium Enterprises have been determined to extent such parties have been identified on the basis of information collected by the Management. This has been relied upon by the auditors.

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

35. Employee Benefits

(a) Defined Contribution Plans

The Company makes Provident fund and Employees' State Insurance Scheme contributions which are defined contribution plans, for qualifying employees. The Company recognised ₹350.51 lakhs (Year ended March 31, 2024: ₹312.98 lakhs) for provident fund contributions, and ₹ 60.13 lakhs (Year ended March 31, 2024: ₹59.64 lakhs) towards Employees' State Insurance Scheme contributions in the Statement of Profit and Loss.

(b) Defined Benefit Plans

The Company provides to the eligible employees defined benefit plans in the form of gratuity. The gratuity plan provides for a lump sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 days' salary payable for each completed year of service. Vesting occurs upon completion of five continuous years of service. The measurement date used for determining retirement benefits for gratuity is March 31.

These plans typically expose the Company to actuarial risks such as investment risk, interest rate risk, longevity risk and salary risk.

Risk Management:

Investment risk: The probability or likelihood of occurrence of losses relative to the expected return on any particular investment.

Interest rate risk: The plan exposes the Company to the risk of fall in interest rates. A fall in interest rates will result in an increase in the ultimate cost of providing the above benefit and will thus result in an increase in the value of the liability.

Longevity risk: The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk: The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. Increase in salaries due to adverse inflationary pressures might lead to higher liabilities.

(i) **Balance Sheet:** The assets, liabilities and surplus / (deficit) position of the defined benefit plans at the Balance Sheet date were:

Particulars	As at March 31, 2025	As at March 31, 2024
Net Liability / (Asset) recognised in the Balance Sheet	1,918.07	1,552.06

(ii) Movement in Present Value of Obligation:

Particulars	As at March 31, 2025	As at March 31, 2024
Present value of DBO at the beginning of the year	1,552.06	1,312.46
Current service cost	122.62	106.74
Interest cost	102.43	86.90
Actuarial (gain)/loss arising from changes in financial assumptions	244.60	12.70
Actuarial (gain)/loss arising from changes in experience assumptions	57.46	135.08
Actual benefits payments	(161.10)	(101.82)
Present value of DBO at the end of the year	1,918.07	1,552.06

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

(iii) **Statement of Profit and Loss:** The charge to the Statement of Profit and Loss comprises:

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Employee Benefit Expenses		
Current service cost	122.62	106.74
Interest cost	102.43	86.90
Net impact on profit before tax	225.05	193.64
Remeasurement of the net defined benefit plans		
Actuarial (gain)/loss arising from changes in financial assumptions	244.60	12.70
Actuarial (gain)/loss arising from changes in experience assumptions	57.46	135.08
Net impact on other comprehensive income before tax	302.06	147.78

(iv) **Assumptions:**

With the objective of presenting the plan assets and plan obligations of the defined benefits plans at their fair value on the Balance Sheet, assumptions under Ind AS 19 are set by reference to market conditions at the valuation date.

Particulars	As at March 31, 2025	As at March 31, 2024
Discount rate	6.60% p.a. to 6.80% p.a.	7.20% p.a.
Salary escalation rate	5.00% p.a. to 7.00% p.a.	5.00% p.a.
Attrition rate	7.00% p.a. to 8.00% p.a.	7.00% p.a. to 8.00% p.a.

The estimates of future salary increase, considered in actuarial valuation, takes into account inflation, seniority, promotion and other relevant factors such as supply and demand factors in the employment market.

Demographic assumptions Mortality in Service: Indian Assured Lives Mortality (2012-14) table.

(v) **Sensitivity analysis**

The sensitivity of the overall plan obligations to changes in the weighted key assumptions are:

Particulars	As at March 31, 2025		As at March 31, 2024	
	Increase	Decrease	Increase	Decrease
Discount rate (0.5% movement)	1,858.75	1,972.98	1,511.05	1,595.31
Salary escalation rate (0.5% movement)	1,966.18	1,863.55	1,592.41	1,513.10

The sensitivity analysis above has been determined based on reasonably possible changes of the respective assumptions occurring at the end of the year and may not be representative of the actual change. It is based on a change in the key assumption while holding all other assumptions constant. When calculating the sensitivity to the assumption, the same method used to calculate the liability recognised in the Balance Sheet has been applied. The methods and types of assumptions used in preparing the sensitivity analysis did not change compared with the previous year.

(vi) **Maturity Analysis**

Maturity profile of defined benefit obligation:

Particulars	As at March 31, 2025	As at March 31, 2024
Year 1	311.01	259.49
Year 2	205.99	210.12
Year 3	267.17	179.47
Year 4	191.60	228.84
Year 5	180.57	142.14
Next 5 years	805.25	689.94

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

36. Segment Reporting

The Company publishes Standalone Financial Statements along with Consolidated Financial Statements. In accordance with Ind AS 108, Operating segments, the Company has disclosed the segment information in the Consolidated Financial Statements. Accordingly, the segment information is given in the Consolidated Financial Statements of Patil Rail Infrastructure Private Limited and its subsidiaries for the year ended March 31, 2025.

Geographical information

The Company operates in India and makes certain sales to customers situated outside India. The revenue from external customers by location of customers is detailed below. All the non-current assets of the Group are situated within India.

Revenue

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
India	1,22,403.40	1,20,494.36
Outside India	-	162.12
Total	1,22,403.40	1,20,656.48

37. Related Party Disclosures:

(A) Details of related parties

Particulars	Nature of Relationship	Percentage of holding as at	
		March 31, 2025	March 31, 2024
a) Entities where control exists			
Daya Engineering Works Private Limited	Subsidiary	100.00	100.00
Daya Technical Services Private Limited	Subsidiary	100.00	100.00
Kallakal Foundry Casting Products Private Limited	Subsidiary	88.66	88.66
Patil SMH JV Private Limited	Subsidiary	100.00	100.00
Patil Digital Systems Private Limited	Subsidiary	-	75.00
(Struck off w.e.f. January 06, 2025)	Subsidiary		
Patil Rail Fastening Systems Private Limited	Subsidiary	-	99.00
(Struck off w.e.f. November 30, 2024)	Subsidiary		
Apna Technologies & Solutions Private Limited	Subsidiary	86.63	86.63
Apna Patil Rail Diagnostics Private Limited	Subsidiary	-	49.00
(Struck off w.e.f. November 30, 2024)	Associate		
Coromandel Concrete Products Private Limited	Step Down Subsidiary	100.00	-

b) Key Management Personnel (KMP)

Lingaraj Shantalingappa Patil	Executive Chairman and Whole-time Director
Kokkonda Subrahmaniyam	Managing Director (Resigned w.e.f. July 20, 2024)
Padmaja Lingaraj Patil	Whole-time Director
Devasigamani Prince Arumairaj	Wholetime Director (Appointed w.e.f. July 20, 2024)
Durga Prasad Subramanyam Anapindi	Independent Director (Resigned w.e.f. May 14, 2024)
Chandra Gupta Venkata Arisetty	Chief Financial Officer (Resigned w.e.f. July 29, 2024)
Executive additional Director (Appointed w.e.f. December 01, 2024)	Company Secretary (Resigned w.e.f. October 4, 2023)
Jawahar Lal Sinhari	Chief Financial Officer (Appointed w.e.f. July 29, 2024)

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

c) Relatives of KMP

Tekalkode Kalyani

Vaishnavi Patil

Company Secretary (Resigned w.e.f. October 04, 2023)

Wife of Kokkonda Subrahmaniyam

Daughter of Lingaraj Shantalingappa Patil & Padmaja Lingaraj Patil

d) Entities in which KMP / Relatives of KMP exercise significant influence

Pagita Leasing and Finance Company Limited

(Converted into Private Limited Company named Pagita Leasing and Finance Company Private Limited w.e.f. May 06, 2025)

Rayalseema Concrete Sleepers Private Limited

Sangam Wires

Patil Rail Services

LS Consulting Services LLP

Maanaveeya Kalyana Trust

Note: Related parties have been identified by the Management to the extent of transactions with such related parties.

(B) Transactions with the above related parties during the year were:

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Sale of goods/services (Net of Sales Returns)		
Daya Engineering Works Private Limited	212.25	227.16
Kallakal Foundry Casting Products Private Limited	295.74	347.31
Patil SMH JV Private Limited	-	4.09
Sangam Wires	25,000.97	24,746.66
Rayalseema Concrete Sleepers Private Limited	970.01	1,000.78
Coromandel Concrete Products Private Limited	661.77	-
Interest Income		
Kallakal Foundry Casting Products Private Limited	300.99	-
Apna Technologies & Solutions Private Limited	-	2.57
Kokkonda Subrahmaniyam	-	1.85
Rental Income		
Daya Engineering Works Private Limited	7.08	3.54
Patil SMH JV Private Limited	14.16	228.37
Kallakal Foundry Casting Products Private Limited	14.16	12.69
Sangam Wires	1.42	1.42
Other income		
Daya Engineering Works Private Limited	157.56	180.70
Coromandel Concrete Products Private Limited	20.97	-
Patil SMH JV Private Limited	56.21	56.06
Apna Technologies & Solutions Private Limited	3.13	-
Purchase of goods/services (including Stock-in-Transit)		
Daya Engineering Works Private Limited	571.98	187.35
Coromandel Concrete Products Private Limited	78.97	-
Kallakal Foundry Casting Products Private Limited	11,308.98	8,555.95
Sangam Wires	19,866.21	20,332.70
Tekalkode Kalyani	-	3.33
LS Consulting Services LLP	1,641.97	1,778.86

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Reimbursement of Expenses		
Lingaraj Shantalingappa Patil	14.25	12.04
Kokkonda Subrahmaniyam	0.57	8.67
Padmaja Lingaraj Patil	9.08	-
Manish Ishwarlal Panchal	0.09	-
Vaishnavi Patil	4.30	-
Interest Expense		
Daya Engineering Works Private Limited	156.62	480.45
Patil SMH JV Private Limited	14.62	9.73
Icon Sleeper Track Private Limited		-
Rent Expense		
Lingaraj Shantalingappa Patil	-	33.60
Padmaja Lingaraj Patil	3.18	1.80
Daya Engineering Works Private Limited	13.13	10.92
Payment for Corporate Social Responsibility (CSR) Expenses		
Maanaveeya Kalyana Trust	842.10	391.59
Remuneration		
Lingaraj Shantalingappa Patil	500.00	350.00
Padmaja Lingaraj Patil	371.67	125.00
Kokkonda Subrahmaniyam	137.28	121.89
Manish Ishwarlal Panchal	48.00	-
Chandra Gupta Venkata Arisetty	36.25	-
Devasigamani Prince Arumairaj	83.49	-
Vaishnavi Patil	200.00	100.00
Manish Kumar Tripathi	-	6.67
Aman Purohit	12.98	5.80
Jawahar Lal Sinhari	50.74	-
Director Sitting Fee		
Durga Prasad Subramanyam Anapindi	0.50	3.00
Commission		
Durga Prasad Subramanyam Anapindi	-	8.50
Sale of Property, Plant and Equipment		
Daya Engineering Works Private Limited	143.53	193.13
Rayalseema Concrete Sleepers Private Limited	4.95	-
Coromandel Concrete Products Private Limited	2.61	-
Purchase of Property, Plant and Equipment		
Daya Engineering Works Private Limited	230.94	209.47
Advance given		
Kallakal Foundry Casting Products Private Limited	656.23	3,286.95
Lingaraj Shantalingappa Patil	-	12.04
Padmaja Lingaraj Patil	-	3.47

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Advance recovered		
Kallakal Foundry Casting Products Private Limited	427.86	1,560.36
Padmaja Lingaraj Patil	-	3.47
Kokkonda Subrahmaniyam	26.70	5.15
Advance received		
Coromandel Concrete Products Private Limited	99.48	-
Advance repaid		
Coromandel Concrete Products Private Limited	99.48	-
Loans granted		
Daya Engineering Works Private Limited	-	99.83
Pagita Leasing and Finance Company Limited	0.44	0.20
Patil SMH JV Private Limited	10.29	11.47
Patil Digital Systems Private Limited	-	0.17
Apna Technologies & Solutions Private Limited	20.43	576.25
Loans recovered		
Daya Engineering Works Private Limited	-	99.83
Patil SMH JV Private Limited	19.21	2.55
Apna Technologies & Solutions Private Limited	269.80	583.20
Loans received		
Daya Engineering Works Private Limited	5,888.45	9,707.43
Patil SMH JV Private Limited	1,059.81	830.55
Loans repaid		
Daya Engineering Works Private Limited	5,888.45	9,761.22
Daya Technical Services Private Limited	20.73	-
Patil SMH JV Private Limited	1,059.81	830.55
Patil Rail Fastening Systems Private Limited	0.17	0.32
Corporate Guarantee taken		
Daya Engineering Works Private Limited	-	10,000.00

Note: The above transactions are inclusive of Goods and Services Tax wherever applicable.

(C) Balances receivable or payable to related parties are as follows:

Particulars	As at March 31, 2025	As at March 31, 2024
Loans & Advances		
Kallakal Foundry Casting Products Private Limited	228.38	1,726.59
Patil SMH JV Private Limited	-	8.92
Pagita Leasing and Finance Company Limited	72.05	71.61
Patil Digital Systems Private Limited	-	9.14
Apna Technologies & Solutions Pvt Ltd	648.66	898.02
Kokkonda Subrahmaniyam	-	26.70
Trade receivables/ Other assets		
Patil Digital Systems Private Limited	-	16.17
Coromandel Concrete Products Private Limited	0.22	-

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Particulars	As at March 31, 2025	As at March 31, 2024
Lingaraj Shantalingappa Patil	130.00	130.00
Daya Engineering Works Private Limited	-	160.43
Apna Technologies & Solutions Pvt Ltd	2.87	-
Rayalseema Concrete Sleepers Private Limited	265.86	186.90
Sangawam Wire	480.35	-
Borrowings/ Advances received		
Daya Technical Services Private Limited	-	20.73
Patil Rail Fastening Systems Private Limited	-	0.17
Trade payables/Other payables		
Daya Engineering Works Private Limited	150.88	1.87
Lingaraj Shantalingappa Patil	-	20.58
Padmaja Lingaraj Patil	-	6.49
Kokkanda Subrahmaniyam	-	2.14
Patil SMH JV Private Limited	0.62	-
Chandra Gupta Venkata Arisetty	13.07	-
Devasigamani Prince Arumairaj	6.93	-
LS Consulting Services LLP	83.16	276.92
Sangam Wires	523.97	350.84
Vaishnavi Patil	-	5.72
Aman Purohit	0.91	0.85
Jawahar Lal Sinhari	1.53	-
Corporate Guarantee given		
Daya Engineering Works Private Limited	5,700.00	5,700.00
Corporate Guarantee taken		
Daya Engineering Works Private Limited**	10,000.00	10,000.00
Pagita Leasing and Finance Company Limited#	38,141.00	38,141.00
Patil Rail Services#		

The Company, has issued comfort letter dated November 11, 2019 to the Board of Directors of Patil SMH JV Private Limited (SMH) to provide financial support towards completion of contract number CON/N-K-2462 dated August 16, 2018 by SMH.

** Corporate guarantee of ₹ 10,000 lakhs taken from subsidiary for term loans availed from banks.

Joint guarantee of ₹ 35,217 lakhs from Lingaraj Shantalingappa Patil, Padmaja Lingaraj Patil, Pagita Leasing and Finance Company Limited and Patil Rail Services taken for the credit facilities under Consortium arrangement with State Bank of India, the lead bank, ICICI Bank Ltd, Union Bank of India, Yes bank, IDBI Bank Ltd and HDFC Bank Ltd.

38. Earnings Per Share

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Profit for the year (in ₹ lakhs) [A]	10,180.98	9,865.86
Weighted average number of equity shares outstanding during the year (No's) [B]	2,49,31,601	2,49,31,601
Earnings per share (Face Value of ₹ 10 per share)		
Basic and diluted (in ₹) [A/B]	40.84	39.57

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

39. Leases

Particulars	As at March 31, 2025	As at March 31, 2024
(i) The following is the breakup of current and non-current lease liabilities		
Current liabilities	39.75	27.93
Non-current liabilities	48.61	73.94
Total	88.36	101.87
(ii) The following is the movement of lease liabilities during the year ended March 31		
Balance at the beginning	101.87	107.84
Additions during the year	20.99	14.30
Finance cost during the year	9.54	9.40
Payment of lease liabilities	(44.04)	(29.67)
Balance at the end	88.36	101.87
(iii) Maturity analysis of lease liabilities		
Less than one year	39.75	27.93
One to five years	42.37	66.75
More than five years	6.24	7.19
Total	88.36	101.87

40. Financial Instruments and Related Disclosures

A. Capital Management

The Company's financial strategy aims to support its strategic priorities and provide adequate capital to its businesses for growth and creation of sustainable stakeholder value. The Company determines the amount of capital required on the basis of annual operating plan and long-term strategic plans. The funding requirements are met through internal accruals and long-term/short-term borrowings. The Company aims at maintaining a strong capital base largely towards supporting the future growth of its businesses as a going concern. The capital structure of the Company is based on Management's judgment of its strategic day-to-day needs with a focus on proper mix of total equity and debt so as to maintain investor, creditors and market confidence.

The Management and the Board of Directors monitor the return on capital as well as the level of dividends to shareholders. The Company may take appropriate steps in order to maintain, or if necessary, adjust its capital structure.

For the purpose of capital management, capital includes issued equity capital, securities premium and all other resources. Net debt includes all long and short-term borrowings as reduced by cash and cash equivalents. The following table summarises the capital of the Company:

Particulars	As at March 31, 2025	As at March 31, 2024
Equity [A]	55,581.21	45,626.27
Borrowings - Non-current	2,440.10	6,695.55
Borrowings - Current	13,408.96	15,793.12
Net debt [B]	15,849.06	22,488.67
Net debt to capital ratio [B/A]	0.29	0.49

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

B. Categories of Financial Instruments

Particulars	Carrying Value		Fair Value	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
Financial Assets				
Measured at Amortised Cost				
(i) Cash and cash equivalents	1,646.26	248.48	1,646.26	248.48
(ii) Other bank balances	4,253.46	3,903.02	4,253.46	3,903.02
(iii) Trade receivables	14,332.68	16,250.91	14,332.68	16,250.91
(iv) Loans	1,704.63	1,562.49	1,704.63	1,562.49
(v) Other financial assets	5,054.97	2,464.16	5,054.97	2,464.16
(vi) Investments	507.19	-	507.19	-
Measured at cost				
(i) Investment in subsidiaries	4,744.28	4,746.52	4,744.28	4,746.52
Total Financial Assets	32,243.47	29,175.58	32,243.47	29,175.58
Financial Liabilities				
Measured at amortised cost				
(i) Borrowings	15,849.06	22,488.67	15,849.06	22,488.67
(ii) Trade Payables	9,620.48	7,758.51	9,620.48	7,758.51
(iii) Lease Liabilities	88.36	101.87	88.36	101.87
(iv) Other financial liabilities	1,765.46	872.06	1,765.46	872.06
Total Financial Liabilities	30,702.09	32,745.56	30,702.09	32,745.56

C. Financial risk management objectives

The Company has a system-based approach to risk management, anchored to policies and procedures and internal financial controls aimed at ensuring early identification, evaluation and management of key financial risks (such as market risk, credit risk and liquidity risk) that may arise as a consequence of its business operations as well as its investing and financing activities. Accordingly, the Company's risk management framework has the objective of ensuring that such risks are managed within acceptable and approved risk parameters in a disciplined and consistent manner and in compliance with applicable regulation. It also seeks to drive accountability in this regard. The key risks and mitigating actions are overseen by the Board of Directors of the Company.

D. Liquidity Risk

The Board of Directors of the Company have established an appropriate liquidity risk management framework for the management of the Company's short-term, medium-term and long-term funding and liquidity management requirements. The Company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows, and by matching the maturity profiles of the financial assets and liabilities. Cash flow from operating activities provides the funds to service the financial liabilities on a day to day basis.

The following table details the Company's remaining contractual maturity for its financial liabilities with agreed repayment periods. The table has been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Company can be required to pay. The table includes both interest and principal cash flows. To the extent that interest flows are linked to floating rate, the undiscounted amount is derived from interest rate at the end of the reporting period. The contractual maturity is based on the earliest date on which the Company may be required to pay.

	As at March 31, 2025				
	Carrying Amount	Upto 1 year	1-3 years	More than 3 years	Total
Borrowings	15,849.06	13,483.22	1,789.55	1,026.78	16,299.55
Trade payables	9,620.48	9,620.48	-	-	9,620.48
Lease liabilities	88.36	46.20	45.28	16.92	108.40
Other financial liabilities	1,765.46	1,765.46	-	-	1,765.46
Total	27,323.36	24,915.36	1,834.83	1,043.70	27,793.89

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

The table below provides details of financial assets as at March 31, 2025:

	Carrying amount
Other Investments	507.19
Loans	1,704.63
Trade receivables	14,332.68
Cash and cash equivalents	1,646.26
Other bank balances	4,253.46
Investment in Subsidiary	4,744.28
Other financial assets	5,054.97
Total	32,243.47

	As at March 31, 2024				
	Carrying Amount	Upto 1 year	1-3 years	More than 3 years	Total
Borrowings*	22,488.67	16,992.50	6,052.55	1,384.77	24,429.82
Trade payables	7,758.51	7,758.51	-	-	7,758.51
Lease liabilities	101.87	36.29	62.12	30.52	128.93
Other financial liabilities	872.06	872.06	-	-	872.06
Total	31,221.11	25,659.36	6,114.67	1,415.29	33,189.32

The table below provides details of financial assets as at March 31, 2024:

	Carrying amount
Loans	1,562.49
Trade receivables	16,250.91
Cash and cash equivalents	248.48
Other bank balances	3,903.02
Investment in Subsidiary	4,746.52
Other financial assets	2,464.16
Total	29,175.58

* Included in above in Borrowings and interest thereon are certain borrowings which are subject to variable interest rates. Amount included in the above maturity analysis assumes interest outflows based on the year end benchmark interest rates, the actual interest rates may differ based on the changes in the benchmark interest rates.

The Company has access to various fund/non-fund based bank financing facilities. The unutilised limit of fund based and non-fund based limits available as at March 31, 2025 is ₹ 13,872 lakhs (as at March 31, 2024: ₹ 14,467.00 lakhs)

E. Foreign Currency Risk:

The Company is not exposed to any material foreign currency risk on account of the fact that the major sourcing of raw materials, stores and spares and items of property, plant and equipment is indigenous.

There are no material foreign currency exposures as at March 31, 2025 and March 31, 2024.

F. Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. The Company is exposed to credit risk from its operating activities (primarily trade receivables) and from its financing activities, including deposits with banks and other financial instruments. The Company's major customers includes Indian Railways. For private customers, the Company evaluates the creditworthiness based on publicly available financial information and the Company's historical experiences. The Company's exposure to its counterparties are continuously reviewed and monitored by the Chief Operating Decision Maker (CODM).

In addition, the Company is exposed to credit risk in relation to financial guarantees given by the Company on behalf of its subsidiaries. The Company's maximum exposure in this respect is the maximum amount the Company could have to pay if the guarantee is called on as at March 31, 2025 is ₹ 5,700.00 lakhs (as at March 31, 2024: ₹ 5,700.00 lakhs). These financial guarantees have been issued to the banks on behalf of the subsidiaries under the agreements entered into by the subsidiaries with the banks. Based on management's assessment as at the end of the reporting period, the Company considers the likelihood of any claim under the guarantee is remote.

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

The credit risk on cash and bank balances is limited because the counterparties are banks with high credit ratings.

G. Interest rate risk:

The Company is exposed to interest rate risk because the Company borrows funds at both fixed and floating interest rates.

Interest rate sensitivity

The sensitivity analysis below has been determined based on the exposure to interest rates for non-derivative instruments at the end of the reporting period. For floating rate liabilities, the analysis is prepared assuming the amount of the liability outstanding at the end of the reporting period was outstanding for the whole year and using the interest rate applicable at the end of the reporting period. A 50 basis point increase or decrease is used for the purpose of sensitivity analysis.

If interest rates had been 50 basis points higher/lower and all other variables were held constant, the Company's profit for the year ended March 31, 2025 would decrease/increase by ₹ 30.26 lakhs (for the year ended March 31, 2024: ₹ 27.22 lakhs). This is mainly attributable to the Company's exposure to interest rates on its variable rate borrowings. During the year, the Company's sensitivity in interest rate has increased due to increase in variable debt instruments compared to previous year.

H. Fair Value Measurement

The following table presents the fair value hierarchy of financial assets and liabilities that are not measured at fair value (but fair value disclosures are required):

Particulars	Fair value hierarchy (Level)	As at March 31, 2025	As at March 31, 2024
Financial Assets			
Measured at amortised cost			
(i) Cash and cash equivalents	Level 3	1,646.26	248.48
(ii) Other bank balances	Level 3	4,253.46	3,903.02
(iii) Trade receivables	Level 3	14,332.68	16,250.91
(iv) Loans	Level 3	1,704.63	1,562.49
(v) Other financial assets	Level 3	5,054.97	2,464.16
Financial Liabilities			
Measured at amortised cost			
(i) Borrowings	Level 3	15,849.06	22,488.67
(ii) Trade Payables	Level 3	9,620.48	7,758.51
(iii) Lease liabilities	Level 3	88.36	101.87
(iv) Other financial liabilities	Level 3	1,765.46	872.06

- In case of trade receivables, cash and cash equivalents, trade payables, other financial assets and liabilities it is assessed that the fair values approximate their carrying amounts largely due to their short-term nature.
- The fair values of the financial assets and financial liabilities included above have been determined in accordance with generally accepted pricing models based on a discounted cash flow analysis, with the most significant inputs being the discount rate that reflects the credit risk of counterparties.
- There were no transfers between Level 1 and Level 2 during the year.

41. As per the proviso to Rule 3(1) of Companies (Accounts) Rules, 2014, for the financial year commencing on or after the 1st day of April 2024, every company which uses accounting software for maintaining its books of account, shall use only such accounting software which has a feature of recording audit trail of each and every transaction, creating an edit log of each change made in the books of account along with the date when such changes were made and ensuring that the audit trail cannot be disabled.

The Company used accounting software for recording all the accounting transactions viz., sales, purchases, production/ costing, fixed assets, other expenses, cash and bank transactions, journal entries and all other general ledger accounting transactions for the year ended March 31, 2025. Such accounting software has a feature of recording audit trail (edit log) facility. However, the edit logs were not enabled at application level for direct data changes to transaction tables and master tables throughout the year.

The Management has adequate general information technology controls including access controls, change management controls, and manual controls which are operating, to prevent inappropriate/unauthorized changes to the accounting software(s). The Management will work towards enabling edit logs in the aforesaid software(s) in the near future.

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

42. As per Section 135 of the Companies Act, 2013, a Company, meeting the applicability threshold needs to spend atleast 2% of its average net profits for the immediately preceding three financial years on Corporate Social Responsibility (CSR) activities. Accordingly, the gross amount required to be spent during the year is ₹ 208.60 lakhs (March 31, 2024: ₹ 163.06 lakhs). Against this, the Company has spent an amount of ₹ 842.51 lakhs (for the year ended March 31, 2024: ₹ 391.59 lakhs) on activities specified under Schedule VII of the Companies Act, 2013 and has disclosed under Note 32 of the Standalone Financials Statements.

	Particulars	For the Year ended March 31, 2025	For the Year ended March 31, 2024
(i)	Gross amount required to spent by the Company during the year	208.60	163.06
(ii)	Amount spend during the year	842.51	391.59
(iii)	Related party transactions in relation to Corporate Social Responsibility	842.51	391.59
(iv)	Balance brought forward from Previous year	201.15	(13.74)
(v)	Excess amount spent and eligible carried forward	835.06	201.15
(vi)	Nature of CSR activities undertaken by the Company:		
	- Setting up of old age homes	842.51	391.59

43. (a) Key Financial Ratios

Sl. No.	Particulars	Numerator	Denominator	As at March 31, 2025	As at March 31, 2024	% Variance	Reasons for variance
a.	Current ratio	Current assets	Current liabilities	1.56	1.50	4%	
b.	Debt-Equity ratio	Total Debt (borrowings)	Total Equity	0.29	0.49	-42%	Decrease is on account of reduction in borrowings
c.	Debt service coverage ratio	Earnings available for debt service #	Finance costs (excluding costs pertaining to lease liabilities and delayed payment of income-tax) + Repayment of Borrowings	2.19	0.83	165%	Increase is on account of reduction in borrowings
d.	Return on equity (in %)	Profit for the year	Average Total Equity	20.12%	24.21%	-17%	
e.	Inventory turnover ratio	Cost of goods sold	Average Inventory	2.17	1.80	20%	
f.	Trade receivables turnover ratio	Revenue from operations	Average Trade receivables	8.00	9.82	-18%	
g.	Trade payables turnover ratio	Net Purchases of raw material and stock-in-trade	Average Trade Payables	8.84	8.40	5%	
h.	Net capital turnover ratio	Revenue from operations	Working Capital (Current Assets - Current Liabilities)	5.08	5.74	-11%	
i.	Net profit ratio (in %)	Profit for the year	Revenue from operations	8.32%	8.18%	2%	

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Sl. No.	Particulars	Numerator	Denominator	As at March 31, 2025	As at March 31, 2024	% Variance	Reasons for variance
j.	Return on Capital employed (%)	Profit before interest (excluding interest on lease liabilities) and tax	Capital employed [Total Equity + Total Debt (Borrowings)]	22.00%	24.50%	-10%	

Earnings available for debt service = Net profit after taxes + depreciation and amortization expense + finance costs (excluding interest on lease liabilities and delayed payment of income-tax)+/(-) Net loss / (gain) on sale of property, plant and equipment

Note: Given the nature of the industry, Investments made are in long-term nature hence the ratio "Return on Investment" is not applicable. There are no treasury investments.

- (b) Loans and advances in the nature of loans granted to promoters, directors and related parties that are repayable on demand or have been granted without specifying any terms or period of repayment as at March 31, 2025:

Particulars	Promoters	Related Parties	Total	% of total loans and advances in the nature of loans
Repayable on demand	-	720.71	720.71	42%

44. Other Statutory Information

- (i) No proceedings have been initiated on or are pending against the Company for holding benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder.
- (ii) The Company has below transactions / balances with the companies struck off under Companies Act, 2013 or Companies Act, 1956.

Nature of Transaction	Particulars	Amount ₹
Patil Rail Fastening Systems Private Limited		
Borrowings	Balance as at March 31, 2024	0.17
Borrowings	Repaid during the year	0.17
	Balance as at March 31, 2025	-
Patil Digital Systems Private Limited		
Trade receivables / other assets	Balance as at March 31, 2024	25.31
	Balances written off during the year	25.31
	Balance as at March 31, 2025	-

- (iii) No Schemes of Arrangements have been applied or approved by the Competent Authority in terms of Section 230 to 237 of the Companies Act, 2013.
- (iv) The Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:
- (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
- (b) provide any guarantee, security or the like on behalf of the ultimate beneficiaries
- (v) The Company has not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
- (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Group (Ultimate Beneficiaries) or
- (b) provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries

Notes to the standalone financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

- (vi) There are no charges or satisfaction yet to be registered with the Registrar of Companies beyond the statutory period.
- (vii) The Company has complied with the number of layers prescribed under the Companies Act, 2013, read with the Companies (Restriction on number of layers) Rules, 2017
- (viii) There is no income surrendered or disclosed as income during the current or previous year in the tax assessments under the Income Tax Act, 1961, that has not been recorded in the books of account
- (ix) The Company has not traded or invested in Crypto Currency or Virtual Currency during the financial year.

45. Significant transactions / new developments

During the year ended March 31, 2025, upon approval of Ministry of Corporate Affairs, Office of the Regional Director, South east region, Hyderabad vide its order received on August 20, 2025 in certified copy, the scheme of merger between Icon Sleeper Track Private Limited ('Icon'), their shareholders and the Company, under Sections 233 along with other applicable provisions of the Companies Act, 2013 for merger of Icon, wholly-owned subsidiary, with the Company ('Scheme') has become effective from September 04, 2025, with an appointed date of April 1, 2024 in accordance with the Scheme. As prescribed by the Scheme, no consideration was paid as Icon is the wholly-owned subsidiary of the Company.

Icon is engaged in the business of railway track engineering, manufacturing of various types of pre-stressed concrete sleepers and rail fittings for normal track.

The Company has accounted the merger as a common control business combination as required under Ind AS 103 'Business Combinations' and the effect has been given from April 1, 2023 (beginning of the preceding period). The excess of carrying value of investments over the net value of assets, liabilities and reserves of Icon amounting to ₹823.59 Lakhs has been debited to Capital Reserve on Common control as on April 1, 2023.

Consequently, the authorised share capital of Icon has been added to the authorised share capital of the Company. Accordingly, as on effective date of the Scheme, the authorised equity share capital of the Company is ₹ 4,900 dividend into 4,90,00,000 equity shares of ₹ 10 each.

- 46. The figures for the corresponding previous year have been regrouped wherever necessary to make them comparable.
- 47. These financial statements are approved for issue by the Board of Directors at its meeting held on September 30, 2025.

For and on behalf of the Board of Directors

L.S. Patil

Chairman & Whole-time Director
DIN: 00731663

Padmaja Patil

Whole-time Director
DIN: 00731574

Aman Purohit

Company Secretary
Membership No.: A59345

Jawahar Lal Sinhari

Chief Financial Officer

Place: Hyderabad

Date: September 30, 2025

Independent Auditors' Report on Consolidated Financial Statements

To The Members of Patil Rail Infrastructure Private Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of Patil Rail Infrastructure Private Limited ("the Parent") and its subsidiaries, (the Parent and its subsidiaries together referred to as "the Group"), which comprise the Consolidated Balance Sheet as at March 31, 2025, and the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Cash Flows and the Consolidated Statement of Changes in Equity for the year ended on that date, and notes to the financial statements, including a summary of material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, and based on the consideration of reports of other auditors on separate financial statements of the subsidiaries referred to in the Other Matters section below, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act, ("Ind AS") and other accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at March 31, 2025, and their consolidated profit, their consolidated total comprehensive income, their consolidated cash flows and their consolidated changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the consolidated financial statements in accordance with the Standards on Auditing ("SAs") specified under Section 143 (10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibility for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the consolidated financial statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matters section below, is sufficient and appropriate to provide a basis for our audit opinion on the consolidated financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sr. No.	Key Audit Matter	Auditor's Response
1	Revenue recognition – Sale of goods – Concrete Sleepers Refer Note 2.15 (i) "Revenue Recognition" of the Consolidated Financial Statements under Significant Accounting Policies. Revenue from sale of goods is recognised when control of the products being sold is transferred to the customer, which is mainly upon delivery and receipt of proof of delivery and when there are no longer any unfulfilled obligations. There is a risk of revenue from sale of concrete sleepers being recognised prior to receipt of proof of delivery evidencing transfer of control over such goods to the customer.	We have performed the following principal audit procedures in relation to revenue recognised which include a combination of testing internal controls and substantive testing as under: - Understanding the revenue recognition process involving walkthrough of the inspection and delivery process, invoicing and dispatches and evaluating the design and implementation of Group's controls in respect of revenue recognition. - Assessing the appropriateness of the Company's revenue recognition accounting policies in line with Ind AS 115 ("Revenue from Contracts with Customers") and testing thereof. - Performed test of details of transactions on a sample basis including inspection of supporting documentation for revenue recognised viz. customer purchase order, inspection certificates issued by customer, delivery instructions, dispatch certificates, and sales invoices. - Performed analytical procedures involving reconciliation of quantities of concrete sleepers certified as per the inspection certificates issued by the customer with the quantities as per the sales register.

Information Other than the Financial Statements and Auditor's Report Thereon

- The Parent's Board of Directors is responsible for the other information. The other information comprises the information included in the Director's Report and the annexures thereto, but does not include the consolidated financial statements, standalone financial statements and our auditor's report thereon.
- Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.
- In connection with our audit of the consolidated financial statements, our responsibility is to read the other information, compare with the financial statements of the subsidiaries audited by the other auditors, to the extent it relates to these entities and, in doing so, place reliance on the work of the other auditors and consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated. Other information so far as it relates to the subsidiaries, is traced from their financial statements audited by the other auditors.
- If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Board of Directors for the Consolidated Financial Statements

The Parent's Board of Directors is responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these consolidated financial statements that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated cash flows and consolidated changes in equity of the Group in accordance with the accounting principles generally accepted in India, including Ind AS specified under Section 133 of the Act. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Parent, as aforesaid.

In preparing the consolidated financial statements, the respective Management and Board of Directors of the companies included in the Group are responsible for assessing the ability of the respective entities to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intend to

liquidate their respective entities or to cease operations, or has no realistic alternative but to do so.

The respective Board of Directors of the companies included in the Group are also responsible for overseeing the financial reporting process of the Group.

Auditor's Responsibility for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Parent has adequate internal financial controls with reference to consolidated financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and

events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of entities included in the consolidated financial statements of which we are the independent auditors. For the other entities included in the consolidated financial statements, which have been audited by the other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

Materiality is the magnitude of misstatements in the consolidated financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the consolidated financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the consolidated financial statements.

We communicate with those charged with governance of the Parent and such other entities included in the consolidated financial statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal financial controls that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

We did not audit the financial statements of five subsidiaries, whose financial statements reflect total assets of ₹ 8,145.43 lakhs as at March 31, 2025, total revenues of ₹ 16,436.52 lakhs and net cash inflows amounting to ₹ 1,269.08 lakhs for the year ended on that date, as considered in the consolidated financial statements. These financial statements have been audited by other auditors whose reports have been furnished to us by the Management and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries and our report in terms of subsection (3) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries is based solely on the reports of the other auditors.

Our opinion on the consolidated financial statements above and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143(3) of the Act, based on our audit and on the consideration of the reports of the other auditors on the separate financial statements of the subsidiaries referred to in the Other Matters section above, we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated financial statements.
 - b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept by the Group including relevant records so far as it appears from our examination of those books and the reports of the other auditors, except in relation to compliance with the requirements of audit trail, refer paragraph (i) (vi) below.
 - c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss including Other Comprehensive Income, the Consolidated Statement of Cash Flows and the Consolidated Statement of Changes in Equity dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated financial statements.
 - d) In our opinion, the aforesaid consolidated financial statements comply with the Ind AS specified under Section 133 of the Act.
 - e) On the basis of the written representations received from the directors of the Parent as on March 31, 2025 taken on record by the Board of Directors of the Company and the reports of the statutory auditors of its subsidiary companies incorporated in India, none of the directors of the Group companies, incorporated in India is disqualified as on March 31, 2025 from being appointed as a director in terms of Section 164 (2) of the Act.
 - f) The modification relating to the maintenance of accounts and other matters connected therewith, is as stated in paragraph (b) above.
 - g) With respect to the adequacy of the internal financial controls with reference to consolidated financial statements and the operating effectiveness of such controls, refer to our separate report in "Annexure A" which is based on the auditors' reports of the Parent, subsidiary companies incorporated in India. Our report expresses an unmodified opinion on the adequacy and operating effectiveness of internal financial controls with reference to consolidated financial statements of those companies.

- h) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of Section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us and based on the auditor's reports of subsidiary companies, incorporated in India, the Parent and said subsidiary companies being private companies, Section 197 of the Act related to the managerial remuneration is not applicable.
- i) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:
- i) The consolidated financial statements disclose the impact of pending litigations on the consolidated financial position of the Group.
 - ii) The Group did not have any long-term contracts for which there were any material foreseeable losses. The Group did not have any derivative contracts.
 - iii) There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Parent, and its subsidiary companies incorporated in India.
 - iv)
 - (a) The respective Managements of the Parent and its subsidiaries which are companies incorporated in India, whose financial statements have been audited under the Act, have represented to us and to the other auditors of such subsidiaries respectively that, to the best of their knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Parent or any of such subsidiaries to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Parent or any of such subsidiaries ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
 - (b) The respective Managements of the Parent and its subsidiaries which are companies incorporated in India, whose financial statements have been audited under the Act, have represented to us and to the other auditors of such subsidiaries respectively that, to the best of their knowledge and belief, no funds have been received by the Parent or any of such subsidiaries from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Parent or any of such subsidiaries shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
 - (c) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances performed by us and that performed by the auditors of the subsidiaries which are companies incorporated in India whose financial statements have been audited under the Act, nothing has come to our or other auditor's notice that has caused us or the other auditors to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
 - v) The Parent and its subsidiaries which are companies incorporated in India, whose financial statements have been audited under the Act, have not declared or paid any dividend during the year and have not proposed final dividend for the year.
 - vi) Based on our examination which included test checks and based on the other auditor's reports of its subsidiary companies incorporated in India whose financial statements have been audited under the Act, the Parent and its subsidiary companies incorporated in India have used accounting software for maintaining their respective books of account for the financial year ended March 31, 2025 which has the feature of recording audit trail (edit log) facility wherein in respect of the accounting software, audit trail feature was enabled at the application level and operated throughout the year for all relevant transactions recorded in the software except that audit trail feature was not enabled for direct data changes to transaction tables and master tables for the period April 1, 2024 to March 31, 2025 and accordingly we are unable to comment whether there were any instances of audit trail feature being tampered with. (Refer note 47 to the consolidated financial statements).
- Additionally, the audit trail that was enabled

and operated for the year ended March 31, 2024, has been preserved by the Group as per the statutory requirements for record retention, as stated in Note 47 to the consolidated financial statements .

2. With respect to the matters specified in clause (xxi) of paragraph 3 and paragraph 4 of the Companies (Auditor's Report) Order, 2020 ("CARO"/ "the Order") issued by the Central Government in terms of Section 143(11) of the Act, according to the information and explanations given to us, and based on the CARO reports issued by us and the auditors of respective companies included in the consolidated financial statements to which reporting under CARO is applicable, as provided to us by the Management of the Parent, we report that there are no qualifications or adverse remarks by

the respective auditors in the CARO reports of the said companies included in the consolidated financial statements.

For **Deloitte Haskins & Sells**
Chartered Accountants
Firm Registration Number: 008072S

Madhavi Kalva
Partner
Membership Number: 213550
UDIN: 25213550BMJNRP6942

Place: Bengaluru
Date: September 30, 2025

ANNEXURE “A”

TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 1(f) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

Report on the Internal Financial Controls with reference to consolidated financial statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (the “Act”)

In conjunction with our audit of the consolidated financial statements of the Company as at and for the year ended March 31, 2025, we have audited the internal financial controls with reference to consolidated financial statements of Patil Rail Infrastructure Private Limited (hereinafter referred to as “Parent”) and its two subsidiary companies, which are companies incorporated in India and to whom reporting on internal financial controls with reference to the financial statements is applicable, as of that date. Reporting on adequacy of internal financial controls with reference to the consolidated financial statements of four subsidiary companies, which are incorporated in India and the operating effectiveness of such controls, under Section 143 (3)(i) of the Act is not applicable in the view of exemption available to the subsidiary companies in terms of the notification no. G.S.R. 583 (E) dated June 13, 2017 issued by the Ministry of Corporate Affairs, Government of India read in the general circular No. 08/2017 date July 25, 2017.

Management's and Board of Directors' Responsibilities for Internal Financial Controls

The respective Company's Board of Directors of the Parent and its two subsidiary companies, which are companies incorporated in India and to whom reporting on internal financial controls with reference to financial statements is applicable, are responsible for establishing and maintaining internal financial controls with reference to consolidated financial statements based on the internal control with reference to consolidated financial statements criteria established by the respective Companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (ICAI). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the internal financial controls with reference to consolidated financial statements of the Parent and its two subsidiary companies, which are companies incorporated in India and to whom reporting on the internal financial controls with reference to financial statements is applicable, based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the “Guidance Note”) issued by the Institute of Chartered Accountants of India and the Standards on

Auditing, prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls with reference to consolidated financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to consolidated financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to consolidated financial statements and their operating effectiveness. Our audit of internal financial controls with reference to consolidated financial statements included obtaining an understanding of internal financial controls with reference to consolidated financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors of the subsidiary companies to whom reporting on internal financial controls with reference to financial statements is applicable and which are companies incorporated in India, in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls with reference to consolidated financial statements of the Parent and its subsidiary companies, to whom reporting on internal financial controls with reference to financial statements is applicable and which are companies incorporated in India.

Meaning of Internal Financial Controls with reference to consolidated financial statements

A company's internal financial control with reference to consolidated financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to consolidated financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to consolidated financial statements

Because of the inherent limitations of internal financial controls with reference to consolidated financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to consolidated financial statements to future periods are subject to the risk that the internal financial control with reference to consolidated financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanations given to us and based on the consideration of the reports of other auditors referred to in the Other Matters paragraph below, the Parent and its two subsidiary companies to whom reporting on internal financial controls with reference to financial statements is applicable and which are companies incorporated in India, have, in all material respects, adequate internal financial controls with reference to consolidated financial statements and such internal financial controls with reference to consolidated financial statements were operating effectively as at March 31, 2025, based on the criteria for internal financial control with reference to consolidated financial statements established by the

respective companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

Other Matters

Our aforesaid report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls with reference to consolidated financial statements insofar as it relates to one subsidiary company to whom reporting on the internal financial controls with reference to financial statements and which is a companies incorporated in India, is based solely on the corresponding reports of the auditor of such companies incorporated in India.

Our opinion is not modified in respect of the above matter.

For **Deloitte Haskins & Sells**
Chartered Accountants
Firm Registration Number: 008072S

Madhavi Kalva
Partner
Membership Number: 213550
UDIN: 25213550BMJNRP6942

Place: Bengaluru
Date: September 30, 2025

Consolidated Balance Sheet

as at March 31, 2025

All amounts are in ₹ lakhs, except share data and where otherwise stated

	Notes	As at March 31, 2025	As at March 31, 2024
A. ASSETS			
1 Non-current assets			
(a) Property, plant and equipment	3.1	30,482.50	28,173.00
(b) Right-of-use assets	3.2	1,448.67	759.79
(c) Capital work-in-progress	3.1	941.62	197.90
(d) Goodwill	4	5,205.56	3,471.16
(e) Other intangible assets	5	498.38	197.10
(f) Intangible assets under development	5	-	183.76
(g) Financial assets			
(i) Loans	6	51.46	85.91
(ii) Other financial assets	7	1,133.04	2,370.55
(h) Income tax assets (net)	22.1	403.06	433.45
(i) Deferred tax assets (net)	22	765.56	834.98
(j) Other non-current assets	12	2,537.48	1,580.04
Total non-current assets		43,467.33	38,287.64
2 Current assets			
(a) Inventories	8	47,453.62	41,070.65
(b) Financial assets			
(i) Investments	9.1	1,537.17	-
(ii) Trade receivables	9.2	17,533.26	18,529.87
(iii) Cash and cash equivalents	10	3,078.10	5,856.85
(iv) Bank balances other than (iii) above	11	5,342.32	4,759.49
(v) Loans	6	2,337.34	1,473.68
(vi) Other financial assets	7	4,336.83	1,924.90
(c) Other current assets	12	6,283.55	5,170.14
Total current assets		87,902.19	78,785.58
Total assets		1,31,369.52	1,17,073.22
B. EQUITY AND LIABILITIES			
1 Equity			
(a) Equity share capital	13	2,493.16	2,493.16
(b) Other equity	14	68,391.49	55,545.33
Equity attributable to owners of the Company		70,884.65	58,038.49
Non-Controlling Interests	15	(94.36)	(190.55)
Total equity		70,790.29	57,847.94
Liabilities			
2 Non-current liabilities			
(a) Financial liabilities			
(i) Borrowings	16	2,924.49	7,202.01
(ii) Lease liabilities	17	700.64	654.72
(b) Provisions	18	2,266.23	1,771.27
(c) Deferred tax liabilities (net)	22	44.75	-
Total non-current liabilities		5,936.11	9,628.00
3 Current liabilities			
(a) Financial liabilities			
(i) Borrowings	19	16,210.79	16,749.26
(ii) Lease liabilities	17	151.93	102.46
(iii) Trade payables	20		
- Total outstanding dues of Micro enterprises and small enterprises		1,589.29	1,933.94
- Total outstanding dues of creditors other than Micro enterprises and small enterprises		11,169.70	9,573.70
(iv) Other financial liabilities	21	2,636.57	1,241.30
(b) Provisions	18	521.53	458.33
(c) Other current liabilities	23	21,290.57	18,110.15
(d) Current tax liabilities (net)	22.2	1,072.74	1,428.14
Total current liabilities		54,643.12	49,597.28
Total equity and liabilities		1,31,369.52	1,17,073.22
Group information	1		
Material accounting policies	2		

See accompanying notes to the consolidated financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For Deloitte Haskins & Sells

Chartered Accountants
(F.R.N. : 008072S)

Madhavi Kalva
Partner
M.No. 213550

L.S. Patil
Chairman & Whole-time Director
DIN: 00731663

Padmaja Patil
Whole-time Director
DIN: 00731574

Aman Purohit
Company Secretary
Membership No.: A59345

Jawahar Lal Sinhari
Chief Financial Officer

Place: Bengaluru
Date: September 30, 2025

Place: Hyderabad
Date: September 30, 2025

Consolidated Statement of Profit and Loss

for the year ended March 31, 2025

All amounts are in ₹ lakhs, except share data and where otherwise stated

	Notes	For the year ended March 31, 2025	For the year ended March 31, 2024
I Income			
Revenue from operations	24	1,43,804.26	1,41,844.38
Other income	25	1,707.37	672.84
Total Income		1,45,511.63	1,42,517.22
II Expenses			
Cost of materials consumed	26	68,932.27	62,050.48
Purchase of stock-in-trade	27	14,173.20	9,034.78
"Changes in inventories of finished goods, stock-in-trade and work-in-progress"	28	(2,119.24)	3,908.57
Contract execution expenses	29	1,401.21	11,623.28
Employee benefits expense	30	11,723.80	9,406.18
Finance costs	31	2,233.53	3,296.88
Depreciation and amortization expense	32	2,674.58	2,193.22
Other expenses	33	28,985.09	24,451.21
Total Expenses		1,28,004.44	1,25,964.60
III Profit before tax (I - II)		17,507.19	16,552.62
IV Tax expense	22.3		
(i) Current tax		4,384.86	4,080.89
(ii) Taxation of earlier years		(202.11)	(120.95)
(iii) Deferred tax		18.76	247.85
Total tax expense		4,201.51	4,207.79
V Profit for the year (III - IV)		13,305.68	12,344.83
VI Other comprehensive income			
(i) Items that will not be reclassified to profit or loss:			
(a) Remeasurements of defined benefit plans		(437.48)	(145.27)
(ii) Income tax relating to items that will not be reclassified to profit or loss		110.23	36.55
Total Other comprehensive loss [(i)+(ii)]		(327.25)	(108.72)
VII Total comprehensive income for the year (V + VI)		12,978.43	12,236.11
Profit for the year attributable to:			
- Owners of the Company		13,220.83	12,354.50
- Non-controlling interests		84.85	(9.67)
		13,305.68	12,344.83
Other comprehensive loss for the year attributable to:			
- Owners of the Company		(326.86)	(108.72)
- Non-controlling interests		(0.39)	-
		(327.25)	(108.72)
Total comprehensive income for the year:			
- Owners of the Company		12,893.97	12,245.78
- Non-controlling interests		84.46	(9.67)
		12,978.43	12,236.11
Earnings per share (of ₹ 10 each)			
Basis and Diluted (₹)	39	53.03	49.55
Group information	1		
Material accounting policies	2		

See accompanying notes to the consolidated financial statements

In terms of our report attached

For Deloitte Haskins & Sells

Chartered Accountants
(F.R.N. : 008072S)

Madhavi Kalva

Partner
M.No. 213550

For and on behalf of the Board of Directors

L.S. Patil

Chairman & Whole-time Director
DIN: 00731663

Aman Purohit

Company Secretary
Membership No.: A59345

Padmaja Patil

Whole-time Director
DIN: 00731574

Jawahar Lal Sinhari

Chief Financial Officer

Place: Bengaluru
Date: September 30, 2025

Place: Hyderabad
Date: September 30, 2025

Consolidated Cash Flow Statement

for the year ended March 31, 2025

All amounts are in ₹ lakhs, except share data and where otherwise stated

	For the year ended March 31, 2025	For the year ended March 31, 2024
A. Cash flow from operating activities		
Profit before tax	17,507.19	16,552.62
Adjustments for:		
Depreciation and amortisation expense	2,674.58	2,193.22
Loss on sale/ write off of property, plant and equipment (net)	421.43	(0.21)
Provision for doubtful trade receivables	148.29	27.20
Provision for doubtful assets	72.05	1.25
Bad debts written off	-	40.00
Adjustment on account of disposal of subsidiary	(36.08)	-
Deposits, loans and other receivables written off (net)	3.73	66.46
Contingent consideration no longer required written back	(700.00)	-
Net gain arising on financial assets mandatorily measured at FVTPL	(26.83)	-
Gain on sale of investments	(29.23)	-
Investments written off	-	-
Liabilities no longer required written back	(190.72)	(65.39)
Provisions no longer required written back	-	(90.33)
Net unrealised foreign exchange gain (net)	(2.35)	(0.12)
Finance costs	2,233.53	3,296.88
Interest income	(548.99)	(417.44)
	4,019.41	5,051.52
Operating profit before working capital changes	21,526.60	21,604.14
Movements in working capital:		
Adjustments for (increase)/decrease in operating assets:		
-Trade receivables	1,378.35	(8,588.71)
-Inventories	(5,698.68)	6,666.45
-Other assets	(3,553.83)	967.36
Adjustments for increase/(decrease) in operating liabilities:		
-Trade payables	1,057.64	2,843.35
-Other liabilities	4,444.17	(11,879.08)
-Provisions	120.68	155.74
	(2,251.67)	(9,834.89)
Cash generated from operations	19,274.93	11,769.25
Income taxes paid (net)	(4,626.38)	(3,217.11)
Net cash generated from operating activities (A)	14,648.55	8,552.14
B. Cash flows from investing activities		
"Purchase consideration on business acquisition (net of cash acquired ₹ 15.09 lakhs) (Refer Note 49)"	(1,807.91)	(1,377.00)
Purchase of property, plant and equipment	(7,373.49)	(3,641.25)
Proceeds from sale of property, plant and equipment	539.11	304.94
Loans granted to related parties (Refer Note 38)	(0.44)	(3.67)
Loans recovered from related parties (Refer Note 38)	-	31.25
Loans granted to others	(4,764.27)	(1,067.59)
Loans recovered from others	3,863.45	1,429.15

	For the year ended March 31, 2025	For the year ended March 31, 2024
Bank balances not considered as cash and cash equivalents (net)	(8.89)	72.01
Purchase of investments in mutual funds	(2,236.33)	-
Proceeds from sale of investments in mutual funds	991.60	-
Interest received	542.32	1,028.69
Net cash used in investing activities (B)	(10,254.85)	(3,223.47)
C. Cash flows from financing activities		
Proceeds from long-term borrowings	683.33	11,393.65
Repayment of long-term borrowings	(5,644.37)	(14,674.14)
Short-term borrowings utilised/ (repaid) [net]	145.05	1,756.21
Loans repaid to others	-	10.39
Finance costs (including in relation to lease liabilities)	(2,238.41)	(4,603.42)
Repayment of lease liability	(118.39)	(87.71)
Net cash used in financing activities (C)	(7,172.79)	(6,205.02)
Net decrease in cash and cash equivalents (A+B+C)	(2,779.09)	(876.35)
Add: Cash and cash equivalents at the beginning of the year	5,856.85	6,733.02
Effects of exchange rate changes on the balance of cash and cash equivalents held in foreign currencies	0.34	0.18
Cash and cash equivalents at the end of the year (Refer Note 10)	3,078.10	5,856.85

Notes :

- The above statement of cash flows has been prepared under the "Indirect Method" as set out in the Indian Accounting Standard (Ind AS -7) - Statement of Cash Flows.
- Reconciliation of liabilities from financing activities for the year ended March 31, 2025

	As at March 31, 2024	Additions during the year	Cash Flows	Non-cash changes	As at March 31, 2025
Borrowings	23,951.27	-	(4,815.99)	-	19,135.28
Lease liabilities	757.18	213.78	(198.13)	79.74	852.57
	24,708.45	213.78	(5,014.12)	79.74	19,987.85

Reconciliation of liabilities from financing activities for the year ended March 31, 2024

	As at March 31, 2023	Additions during the year	Cash Flows	Non-cash changes	As at March 31, 2024
Borrowings	25,092.35	-	(1,513.89)	372.81	23,951.27
Lease liabilities	830.59	14.30	(166.33)	78.62	757.18
	25,922.94	14.30	(1,680.22)	451.43	24,708.45

See accompanying notes to the consolidated financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For Deloitte Haskins & Sells

Chartered Accountants
(F.R.N. : 008072S)

Madhavi Kalva
Partner
M.No. 213550

L.S. Patil
Chairman & Whole-time Director
DIN: 00731663

Padmaja Patil
Whole-time Director
DIN: 00731574

Aman Purohit
Company Secretary
Membership No.: A59345

Jawahar Lal Sinhari
Chief Financial Officer

Place: Bengaluru
Date: September 30, 2025

Place: Hyderabad
Date: September 30, 2025

Consolidated statement of changes in equity

for the year ended March 31, 2025

All amounts are in ₹ lakhs, except share data and where otherwise stated

Equity share capital	Amount				
Balance at March 31, 2023	2,493.16				
Changes in equity share capital during the year	-				
Balance at March 31, 2024	2,493.16				
Changes in equity share capital during the year	-				
Balance at March 31, 2025	2,493.16				

	Other equity (Refer Note 14)				
	Capital reserve	Securities premium	General reserve	Retained earnings	Total
Balance as at March 31, 2023	194.03	12,125.68	2,906.54	28,196.45	43,422.70
Profit attributable to owners of the Company	-	-	-	12,354.50	12,354.50
Adjustment on account of disposal of subsidiary	-	-	-	(123.15)	(123.15)
Other comprehensive income for the year, net of income tax	-	-	-	(108.72)	(108.72)
Total comprehensive income for the year 2023-24	-	-	-	12,122.63	12,122.63
Balance as at March 31, 2024	194.03	12,125.68	2,906.54	40,319.08	55,545.33
Profit attributable to owners of the Company	-	-	-	13,220.83	13,220.83
Adjustment on account of disposal of subsidiary	-	-	-	(47.81)	(47.81)
Other comprehensive income for the year, net of income tax	-	-	-	(326.86)	(326.86)
Total comprehensive income for the year 2024-25	-	-	-	12,846.16	12,846.16
Balance as at March 31, 2025	194.03	12,125.68	2,906.54	53,165.24	68,391.49

See accompanying notes to the consolidated financial statements

In terms of our report attached

For Deloitte Haskins & Sells

Chartered Accountants
(F.R.N. : 008072S)

Madhavi Kalva

Partner
M.No. 213550

Place: Bengaluru

Date: September 30, 2025

For and on behalf of the Board of Directors

L.S. Patil

Chairman & Whole-time Director
DIN: 00731663

Aman Purohit

Company Secretary
Membership No.: A59345

Place: Hyderabad

Date: September 30, 2025

Padmaja Patil

Whole-time Director
DIN: 00731574

Jawahar Lal Sinhari

Chief Financial Officer

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

1. Group Information

The consolidated financial statements comprise financial statements of Patil Rail Infrastructure Private Limited ("the Company, the Parent") and its subsidiaries viz. Daya Engineering Works Private Limited, Daya Technical Services Private Limited, Kallakal Foundry Casting Products Private Limited, Patil SMH JV Private Limited, Apna Technologies and Solutions Private Limited and Coromandel Concrete Products Private Limited; all together referred to as "the Group".

The Company and its two subsidiaries viz. Daya Engineering Works Private Limited and Coromandel Concrete Products Private Limited are engaged in the business of railway track engineering, manufacturing of various types of pre-stressed concrete sleepers, rail fittings for normal track, elevated and underground track for Metro Rail, Switches and Crossings (Thick Web Technology), Ballastless Track suitable for High Speed Lines, Bridges, Tunnels and Aprons, etc.

Kallakal Foundry Casting Products Private Limited, the subsidiary company is engaged in the business of manufacture of railway track component i.e. Spheroidal Graphite Cast Iron (SGCI) inserts of all types as per the design and specification of Research Designs and Standards Organization.

Patil SMH JV Private Limited, the subsidiary company is engaged in the business of track related welding works, flash butt welding of rail joints, specific construction works such as welding technology, track laying.

Apna Technologies and Solutions Private Limited, the subsidiary company is engaged in the business of designing, manufacturing, installation, commissioning and operation of safety and measurement products for transportation sector, especially for Indian Railways. The Company also caters to generic industries in design, conceptualization and technical consultancy in the field of test, measurement and automation.

The other subsidiary have not carried out any business activities during the year.

The registered office of the Company is situated at 6-3-1239/B/111, 4th Floor, Renuka Enclave, Raj Bhavan Road, Somajiguda, Hyderabad – 500 082, Telangana.

2. Material Accounting Policies

2.1 Statement of compliance

These consolidated financial statements which comprise of the Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Cash Flows and the Consolidated Statement of Changes in Equity along with notes thereon (together referred to as "consolidated financial statements") have been prepared in accordance with the Indian Accounting Standards ("Ind AS") notified under Section 133 of the Companies Act, 2013 ("the Act") read together with the Companies (Indian Accounting Standards) Rules, 2015 as amended. The consolidated financial statements have also been

prepared in accordance with the relevant presentation requirements of the Act.

The accounting policies are applied consistently to all the periods presented in the consolidated financial statements.

2.2 Basis of preparation and presentation:

These consolidated financial statements are prepared in Indian Rupees (₹) which is also the Company's functional currency and have been prepared on a historical cost convention and on an accrual basis, except certain financial instruments that are measured at fair values at the end of each reporting period, as explained in the accounting policies set out below.

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or liability, the Company takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these financial statements is determined on such a basis, except for leasing transactions that are within the scope of Ind AS 116, 'Leases' and measurements that have some similarities to fair value but are not fair value, such as net realisable value in Ind AS 2, 'Inventories' or value in use in Ind AS 36 'Impairment of Assets', as applicable.

In addition, for financial reporting purposes, fair value measurements are categorised into Level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which are described as follows:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 inputs are inputs, other than quoted prices included within Level 1, that are observable for the asset or liability, either directly or indirectly; and
- Level 3 inputs are unobservable inputs for the asset or liability.

2.3 Basis of consolidation

These consolidated financial statements incorporate the financial statements of the Company and its subsidiaries. Control is achieved when the Company:

- has power over the investee;
- is exposed, or has rights, to variable returns from its involvement with the investee; and

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

- has the ability to use its power to affect its returns.

The Company reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

When the Company has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The Company considers all relevant facts and circumstances in assessing whether or not the Company's voting rights in an investee are sufficient to give it power, including:

- the size of the Company's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by the Company, other vote holders or other parties;
- rights arising from other contractual arrangements; and
- any additional facts and circumstances that indicate that the Company has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be made, including voting patterns at previous shareholders' meetings.

Consolidation of a subsidiary begins when the Company obtains control over the subsidiary and ceases when the Company loses control of the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statement of profit and loss from the date the Company gains control until the date when the Company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income are attributed to the owners of the Company and to the non-controlling interests. Total comprehensive income of subsidiaries is attributed to the owners of the Company and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies.

All intragroup assets and liabilities, equity, income, expenses, and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

2.4 Changes in the Group's ownership interests in existing subsidiaries

Changes in the Group's ownership interests in subsidiaries that do not result in the Group losing control over the subsidiaries are accounted for as equity transactions. The carrying amounts of the Group's interests and the non-controlling interests are

adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to owners of the Company.

When the Group loses control of a subsidiary, a gain or loss is recognised in profit or loss and is calculated as the difference between (i) the aggregate of the fair value of the consideration received and the fair value of any retained interest and (ii) the previous carrying amount of the assets (including goodwill), and liabilities of the subsidiary and any non-controlling interests. All amounts previously recognised in other comprehensive income in relation to that subsidiary are accounted for as if the Group had directly disposed of the related assets or liabilities of the subsidiary (i.e. reclassified to profit or loss or transferred to another category of equity as specified/permitted by applicable Ind AS). The fair value of any investment retained in the former subsidiary at the date when control is lost is regarded as the fair value on initial recognition for subsequent accounting under Ind AS 109, or, when applicable, the cost on initial recognition of an investment in an associate or a joint venture.

2.5 Goodwill

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to each of the Group's cash-generating units (or groups of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in profit or loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

2.6 Operating cycle

All assets and liabilities have been classified as current or non-current as per the Group's normal operating cycle (not exceeding twelve months) and other criteria set out in the Schedule III to the Act and Ind AS 1 – Presentation of Financial Statements, based on the nature of the products and the time between the acquisition of assets for processing and their realization in cash and cash equivalents.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

2.7 Critical estimates and judgements

In the application of the Group's accounting policies, the Management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

The following are the critical estimates and judgements that have been made in the process of applying the Group's accounting policies that have the most significant effect on the amounts recognised in the consolidated financial statements.

(i) Revenue Recognition

In making their judgement, the management considered the detailed criteria for recognition of revenue from sale of goods and services set out in Ind AS 115 and, in particular, whether the Group has transferred control over the goods or services to the buyer.

(ii) Impairment of Trade Receivables

The Management estimates the probability of collection of accounts receivable by analysing historical payment patterns, customer concentrations, customer credit-worthiness and current economic trends. The impairment provisions for trade receivables are based on assumptions about risk of default and expected loss rates. The Management uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on the Group's past history, credit risk, and existing market conditions as well as forward looking estimates at the end of each reporting period. If the financial condition of a customer deteriorates, additional allowances may be required.

(iii) Impairment of Goodwill

Determining whether goodwill is impaired requires an estimation of the value in use of the cash-generating units to which goodwill has been allocated. The value in use calculation requires the directors to estimate the future cash flows expected to arise from the cash-generating unit and a suitable discount rate in order to calculate present value. Where the actual future cash flows are less than expected, a material impairment loss may arise.

(iv) Actuarial Valuation

The determination of Group's liability towards defined benefit obligation to employees is made

through independent actuarial valuation including determination of amounts to be recognised in the Consolidated Statement of Profit and Loss and in other comprehensive income. Such valuation depend upon assumptions determined after taking into account inflation, seniority, promotion and other relevant factors. Information about such valuation is provided in the notes to the consolidated financial statements.

(v) Contingencies

In the normal course of business, contingent liabilities may arise from litigation and other claims against the Group. Guarantees are also given in the normal course of business.

There are certain obligations which management has concluded based on all available facts and circumstances as contingent liabilities and disclosed in the Notes but are not provided for in the consolidated financial statements. Although there can be no assurance of the final outcome of the legal proceedings in which the Group is involved it is not expected that such contingencies will have a material effect on its financial position or profitability.

2.8 Inventories

Inventories are stated at the lower of cost and net realisable value after providing for obsolescence and other losses, where considered necessary. Net realisable value represents the estimated selling price in the ordinary course of business, less all estimated costs of completion and costs necessary to make the sale. The method of determination of cost of various categories of inventories is as follows:

(i) Raw materials	Weighted average cost which includes purchase price, inward freight and other incidental expenses net of refundable duties, levies and taxes, where applicable.
(ii) Finished Goods and Work-in-progress	Weighted average cost of production which comprises direct material cost, labour cost and manufacturing overheads absorbed on the basis of normal capacity of production.
(iii) Stores and Spares	Weighted average cost of input material plus conversion cost as applicable.
(iv) Stock-in-trade	Weighted average cost.

2.9 Property, plant and equipment

(i) Recognition and measurement:

Property, plant and equipment are measured at cost less accumulated depreciation/ amortization

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

and impairment losses, if any. Cost includes deemed cost which represents the fair value of property, plant and equipment recognised as at April 1, 2016 measured as per the Accounting Standards notified under Section 133 of the Act, read together with Rule 7 of the Companies (Accounts) Rules, 2014, which the Group elected in accordance with Ind AS 101.

Cost comprises the purchase price net of any trade discounts and rebates, any import duties and other taxes (other than those subsequently recoverable from the tax authorities), any directly attributable expenditure in making the asset ready for its intended use. Machinery spares which can be used only in connection with an item of property, plant and equipment and whose use is expected to be irregular are capitalised and depreciated over the useful life of the spares or the principal item of the relevant assets, whichever is lower.

The cost of a self-constructed item of property, plant and equipment comprises the cost of materials, direct labour and any other costs directly attributable to bringing the item to its intended working condition and estimated costs of dismantling, removing and restoring the site on which it is located, wherever applicable.

Capital work in progress are items of property, plant and equipment which are not yet ready for their intended use and are carried at cost, comprising direct cost and related incidental expenses.

(ii) Depreciation:

Depreciation is recognised so as to write off the cost of assets (other than freehold land and properties under construction) less their residual values over their useful lives, using the straight line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis. The estimate of the useful life of the assets has been based on technical advice, taking into account the nature of the asset, the estimated usage of the asset, the operating conditions of the asset, past history of replacement, anticipated technological changes, etc.

Assets individually costing ₹ 5,000 and below are fully depreciated in the year of acquisition.

The estimated useful lives of Property, Plant and Equipment is mentioned below:

Asset	Useful lives (in years)
Buildings	30 years
Roads	5 years
Computers	3-6 years

Asset	Useful lives (in years)
Software	6 years
Furniture & Fixtures	1-10 years
Office equipment	1-10 years
Plant & Machinery	5-20 years
Laboratory equipment	10 years
Vehicles	8-10 years
Railway Sidings	15 years

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the Consolidated Statement of Profit and Loss when the asset is de-recognised.

2.10 Intangible assets

Intangible assets that the Group controls and from which it expects future economic benefits are capitalised upon acquisition and measured initially for separately acquired assets, at cost comprising of the purchase price (including import duties and non-refundable taxes) and directly attributable costs to prepare the assets for its intended use. The useful life of an intangible asset is considered finite where there is a likelihood of technical and technological obsolescence.

Intangible assets that have finite lives are amortised over their estimated useful lives as per the straight line method unless it is practical to reliably determine the pattern of benefits arising from the asset.

All intangible assets are tested for impairment. Amortisation expenses, impairment losses and reversal of impairment losses are considered in the Consolidated Statement of Profit and Loss. Thus, after initial recognition an intangible asset is carried at its costs less accumulated amortization and /or impairment losses.

2.11 Impairment of assets

Impairment loss, if any, is provided to the extent, the carrying amount of assets or cash generating units exceed their recoverable amount.

Recoverable amount is higher of an asset's net selling price and its value in use. Value in use is the present value of estimated future cash flows expected to arise from the continuing use of an asset or cash generating unit and from its disposal at the end of its useful life.

Impairment loss recognised in prior years are reversed when there is an indication that the impairment losses recognised no longer exist or have decreased. Such reversals are recognised as an increase in carrying amounts of assets to the extent that it does not exceed the carrying amounts that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised in previous years.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

2.12 Foreign currency transactions and translations

Transactions in foreign currencies are initially recorded by the Company at their functional currency spot rates at the date of the transaction. The date of transaction for the purpose of determining the exchange rate on initial recognition of the related asset, expense or income (part of it) is the date on which the entity initially recognises the non-monetary asset or non-monetary liability arising from payment or receipt of advance consideration. Monetary assets and liabilities denominated in foreign currency are translated at the functional currency spot rates of exchange at the reporting date. Exchange differences that arise on settlement of monetary items or on reporting at each balance sheet date of the Company's monetary items at the closing rates are recognised as income or expenses in the period in which they arise. Non-monetary items which are carried at historical cost denominated in a foreign currency are reported using the exchange rates at the date of transaction. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

2.13 Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Finance expenses are recognised immediately in the Consolidated Statement of Profit and Loss, unless they are directly attributable to qualifying assets, in which case they are capitalised in accordance with the Group's general policy on borrowing costs.

All other borrowing costs are recognised in the Consolidated Statement of Profit and Loss in the period in which they are incurred.

2.14 Employee benefits

(i) Defined contribution plans

The Group's contributions to Provident Fund (Government administered) and Employees State Insurance Scheme, considered as defined contribution plans are charged as an expense in the Consolidated Statement of Profit and Loss when the employees have rendered services entitling them to the contributions.

(ii) Defined benefit plans

For defined benefit retirement plans (unfunded), the cost of providing benefits is determined using the projected unit credit method, with actuarial valuation being carried out at the end of

each annual reporting period. Re-measurement, comprising actuarial gains and losses, is reflected immediately in the Consolidated Balance Sheet with a charge or credit recognised in other comprehensive income in the period in which they occur and are not reclassified to the Consolidated Statement of Profit and Loss in the subsequent periods. Past service cost is recognised in profit or loss in the period of plan amendment. Net interest is calculated by applying the discounted rate at the beginning of the period to the net defined benefit asset or liability. Defined benefit cost are categorised as follows:

- Service cost (including current service cost, past service cost, as well as gains and losses on curtailments and settlements);
- Net interest expense or income; and
- Re-measurement

The Group presents the first two components of defined benefit cost in consolidated statement of profit or loss in the line item 'Employee Benefit Expense'. Curtailment gains and losses are accounted for as past service cost.

(iii) Short term and other long term employee benefits

Short term employee benefits as at the Balance Sheet date are recognised as an expense based on expected obligation on an undiscounted basis. The employees of the Group are entitled to compensated absences. The employees can carry forward a portion of the unutilised accumulating compensated absences and utilise it in future periods or receive cash at retirement or termination of employment. The Group records an obligation for compensated absences in the period in which the employee renders the services that increases this entitlement. The Group measures the expected cost of compensated absences as the additional amount that the Group expects to pay as a result of the unused entitlement that has accumulated at the end of the reporting period. The Group recognises accumulated compensated absences based on actuarial valuation. Non-accumulating compensated absences are recognised in the period in which the absences occur. The Group recognises actuarial gains and losses immediately in the Consolidated Statement of Profit and Loss.

2.15 Revenue recognition

(1) Sale of goods :

Revenue from sale of goods is recognised when the control over goods is transferred either when the product is delivered to the customer or when the product is shipped, depending on terms of the contract. However, for some contracts, control is transferred upon acceptance of goods, consequent to its inspection by the customers. In these cases, the customer obtains control over

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

the goods even though the goods remain in the Company's physical possession where delivery is kept pending at the instance of the customers.

Revenue is measured at the transaction price that the Group receives or expect to receive as consideration for sale of goods and also includes adjustments made towards price variations and liquidated damages where applicable. Escalation and other claims which are not ascertainable/acknowledged by customers are not taken into account. The portion of revenue recognised not billed to the customer is shown as contract asset i.e., "unbilled revenue".

(2) Construction Services:

The Group recognises revenue from Construction contracts over the period of time, as performance obligations are satisfied over time due to continuous transfer of control to the customer.

The performance obligations are satisfied over time as the work progresses. The method chosen by the Company to measure the value of goods or services for which control is transferred to the customer over time is the output method based on surveys of performance completed to date (or measured unit of work), according to which revenue is recognised corresponding to the units of work performed and on the basis of the price allocated thereto. In cases where the work performed till the reporting date has not reached the milestone specified in the contract, the Company recognises revenue only to the extent that it is highly probable that the customer will acknowledge the same. If the consideration in the contract includes price variation clause or there are amendments in contracts, the Company estimates the amount of consideration to which it will be entitled in exchange for work performed.

If the consideration promised in a contract includes a variable amount, this amount is recognised only to the extent that it is highly probable that a significant reversal in the amount recognised will not occur.

The portion of revenue recognised but not billed to the customer is shown as contract asset i.e. 'unbilled revenue'.

Contract costs related to work performed in projects are recognised on an accrual basis. Costs incurred in connection with the work performed are recognised as an expense.

Provision for future losses are recognised as soon as it becomes evident that the total costs expected to be incurred in a contract exceed the total expected revenue from that contract.

A contract liability is the obligation to transfer goods or services to a customer for which the Company has received advance payments from the customer. If a customer pays consideration before the Company transfers goods or services

to the customer, a contract liability is recognised when the consideration received.

(3) Other income:

Interest income is recognised using effective interest (EIR) method.

The "effective interest rate" is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- a. the gross carrying amount of financial asset; or
- b. the amortised cost of financial liability

2.16 Financial instruments

(i) Recognition and initial measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. The Group initially recognises financial assets and financial liabilities when it becomes a party to the contractual provisions of the instrument. All financial assets and liabilities are measured at fair value on initial recognition except for trade receivables that do not contain a significant financing component which are measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities [other than financial assets and financial liabilities measured at fair value through Statement of Profit or Loss (FVTPL)] are added to or deducted from the fair value on initial recognition of financial assets or financial liabilities. Transaction costs directly attributable to the acquisition of financial asset or financial liabilities at fair value through profit or loss are recognised immediately in the Consolidated Statement of Profit and Loss. Regular way purchase and sale of financial assets are accounted for at trade date.

(ii) Classification and subsequent measurement

(a) Financial Assets

Financial assets carried at amortised cost

A financial asset is subsequently measured at amortised cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at fair value through other comprehensive income

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

model whose objective is achieved by both collecting contractual cash flows and selling financial assets. Such assets are subsequently measured at fair value, with unrealised gains and losses arising from changes in the fair value being recognised in other comprehensive income.

Financial assets at fair value through profit and loss

A financial asset which is not classified in any of the above categories are subsequently fair valued through profit or loss. Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any gains and losses arising on remeasurement recognised in statement of profit or loss. The net gain or loss recognised in statement of profit or loss incorporates any dividend or interest earned on the financial asset and is included in the 'other income' line item.

(b) Financial liabilities

Financial liabilities at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in Statement of Profit and Loss. The net gain or loss recognised in Statement of Profit and Loss incorporates any interest paid on the financial liability.

Other financial liabilities are subsequently carried at amortised cost using the effective interest method.

(iii) Derecognition

Financial assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party.

Financial liabilities

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

The Company also derecognises a financial liability when its terms are modified and the cash flows under the modified terms are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and a new financial liability with modified terms is recognised in the statement of profit and loss.

(iv) Impairment

In accordance with Ind AS 109, the Company applies expected credit loss (ECL) model for measurement and recognition of impairment

loss. The Company follows 'simplified approach' for recognition of impairment loss allowance on trade receivables. The application of simplified approach does not require the Company to track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition. For recognition of impairment loss on other financial assets and risk exposure, the Company determines that whether there has been a significant increase in the credit risk since initial recognition. If credit risk has not increased significantly, 12-month ECL is used to provide for impairment loss. However, if credit risk has increased significantly, lifetime ECL is used. If in subsequent period, credit quality of the instrument improves such that there is no longer a significant increase in credit risk since initial recognition, then the entity reverts to recognising impairment loss allowance based on 12 month ECL.

(v) Offsetting

Financial assets and financial liabilities are offset and the net amount is presented in the balance sheet when, and only when, the Company currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or realise the asset and settle the liability simultaneously.

2.17 Leases

The Group assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assesses whether, (i) the contract involves the use of an identified asset (ii) the Group has substantially all of the economic benefits from use of the asset through the period of the lease and (iii) the Group has the right to direct the use of the asset.

At the date of commencement of the lease, the Group recognizes a right-of-use asset ("ROU") and a corresponding lease liability for all lease arrangements in which it is a lessee, except for leases with a term of twelve months or less (short-term leases) and low value leases. For these short-term and low value leases, the Group recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

Certain lease arrangements includes the options to extend or terminate the lease before the end of the lease term. ROU assets and lease liabilities includes these options when it is reasonably certain that they will be exercised.

The right-of-use assets are initially recognized at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset. Right of use assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

The lease liability is initially measured at amortized cost at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates in the country of domicile of these leases. Lease liabilities are remeasured with a corresponding adjustment to the related right of use asset if the Group changes its assessment if whether it will exercise an extension or a termination option.

Lease liability and ROU asset have been separately presented in the Balance Sheet and lease payments have been classified as financing cash flows.

2.18 Income Taxes

Income tax expense represents the sum of the tax currently payable and deferred tax. Current and deferred tax are recognised in the Consolidated Statement of Profit and Loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively.

Current Tax

Current tax is measured at the amount expected to be paid to or recovered from the taxation authorities based on the taxable profit for the year. Taxable profit differs from "Profit before tax" as reported in the Consolidated Statement of Profit and Loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible under the Income Tax Act, 1961. The tax rates and tax laws used to compute the current tax amount are those that are enacted by the reporting date and applicable for the period. The Group offsets current tax assets and current tax liabilities, where it has a legally enforceable right to set off the recognized amounts and where it intends either to settle on a net basis or to realize the asset and liability simultaneously.

Deferred Tax

Deferred tax is recognised on temporary differences

between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from the initial recognition (other than in a business combination) of assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of such deferred tax assets to be utilised.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. Deferred tax assets are recognised for all deductible temporary differences, unused tax losses and credits only if, it is probable that future taxable amounts will be available to utilise those temporary differences and losses. Deferred tax assets and liabilities are offset when there is legally enforceable right to offset the corresponding current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority.

2.19 Provisions, contingent liabilities and contingent assets

(i) General

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that the Group will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, the expense relating to a provision is presented in the statement of profit and loss net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

(ii) Contingent liabilities

Contingent liabilities are disclosed for (i) possible obligations which will be confirmed only by future events not wholly within the control of the Group or (ii) present obligations arising from past events where it is not probable that an

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

outflow of resources will be required to settle the obligation or a reliable estimate of the amount of the obligation cannot be made. Contingent assets are not recognised in the financial statements, but are disclosed where an inflow of economic benefits is probable.

(iii) Onerous Contracts

Provision for onerous contracts i.e. contracts where the expected unavoidable cost of meeting the obligations under the contract exceed the economic benefits expected to be received under it, are recognised when it is probable that an outflow of resources embodying economic benefits will be recognised to settle a present obligation as a result of an obligating event based on the reliable estimate of such an obligation.

2.20 Earnings per share

Basic earnings per share is computed by dividing profit or loss attributable to equity shareholders by the weighted average number of equity shares outstanding during the year.

Diluted earnings per share is determined by adjusting the profit or loss attributable to equity shareholders and the weighted average number of equity shares outstanding for the effects of all dilutive potential equity shares.

2.21 Cash and cash equivalents

Cash and cash equivalents for purposes of Consolidated Cash Flow Statement include cash on hand, in banks and demand deposits with banks, net of outstanding bank overdrafts that are repayable on demand, book overdraft and are considered part of the Group's cash management system.

2.22 Business combinations

Business combinations are accounted for using the acquisition method under the provisions of Ind AS 103, Business Combinations. At the acquisition date,

identifiable assets acquired and liabilities assumed are measured at fair value except deferred tax asset or liability and any liability or asset relating to employee benefit arrangements arising from a business combination are measured and recognised in accordance with the requirements of Ind AS 12, Income Taxes and Ind AS 19, Employee Benefits, respectively. Ind AS 103 requires the identifiable intangible assets to be fair valued in order to ascertain the net fair value of identifiable assets, liabilities and contingent liabilities of the acquiree. Significant estimates are required to be made in determining the value of intangible assets. These valuations are conducted by independent valuation experts.

Where the consideration transferred exceeds the fair value of the net identifiable assets acquired and liabilities assumed, the excess is recorded as goodwill. Alternatively, in case of a bargain purchase wherein the consideration transferred is lower than the fair value of the net identifiable assets acquired and liabilities assumed, the Company after assessing fair value of all identified assets and liabilities, record the difference as a gain in other comprehensive income and accumulate the gain in equity as capital reserve.

The transaction costs, other than costs relating to the issue of equity or debt securities in connection with a business combination are expensed as incurred

2.23 Recent Accounting pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules which are issued from time to time. For the year ended March 31, 2025, MCA has notified Ind AS – 117 Insurance Contracts and amendments to Ind AS 116 – Leases, relating to sale and leaseback transactions, applicable to the Company w.e.f. April 1, 2024. The Company has reviewed the new pronouncements and based on its evaluation has determined that it does not have any significant impact on account of this standards in its financial statements.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

3.1. Property, plant and equipment and capital work-in-progress

	As at March 31, 2025	As at March 31, 2024
Carrying amounts of:		
Land (Refer Note (ii) below)	5,208.28	5,106.40
Leasehold improvements	26.16	29.86
Buildings	6,569.54	4,832.16
Roads	148.62	161.97
Plant and equipment (including electrical installations)	16,243.05	16,362.58
Laboratory equipment	13.08	11.99
Furniture and fixtures	42.56	39.95
Vehicles	1,898.24	1,307.32
Office equipment	253.05	242.66
Computers	63.28	55.89
Railway sidings	16.64	22.22
	30,482.50	28,173.00
Capital work-in-progress (Refer Note (iii) below)	941.62	197.90

Details of Property, plant and equipment

Particulars	Land	Leasehold improvements	Buildings	Roads	Plant and equipment (including electrical installations)	Laboratory equipment	Furniture and fixtures	Vehicles	Office equipment	Computers	Railway sidings	Total
(A) Cost or deemed cost												
Balance at March 31, 2023	5,118.33	218.63	6,389.09	193.85	22,244.91	34.91	162.11	1,360.26	448.47	323.22	333.04	36,826.82
Additions	-	-	115.21	-	2,212.34	-	11.94	697.86	161.57	29.27	-	3,228.19
Disposals	-	-	-	-	(458.33)	-	-	(117.21)	(3.06)	(2.03)	-	(580.63)
Balance at March 31, 2024	5,118.33	218.63	6,504.30	193.85	23,998.92	34.91	174.05	1,940.91	606.98	350.46	333.04	39,474.38
Acquired through business combination (Refer Note 49)	-	-	55.14	-	184.45	4.09	0.25	0.05	-	2.21	-	246.19
Additions	101.88	-	1,957.18	-	2,112.56	0.44	14.54	825.47	84.59	38.58	-	5,135.24
Disposals	-	-	(126.68)	-	(1,674.28)	(0.14)	(22.26)	(31.73)	(63.62)	(79.77)	-	(1,998.48)
Balance at March 31, 2025	5,220.21	218.63	8,389.94	193.85	24,621.65	39.30	166.58	2,734.70	627.95	311.48	333.04	42,857.33
(B) Accumulated depreciation and impairment												
Balance at March 31, 2023	11.93	177.70	1,480.70	18.53	6,279.45	20.58	127.52	610.94	317.30	265.27	304.74	9,614.66
Disposals	-	-	-	-	(141.19)	-	-	(108.61)	(2.69)	(1.91)	-	(254.40)
Depreciation expense	-	11.07	191.44	13.35	1,498.08	2.34	6.58	131.26	49.71	31.21	6.08	1,941.12
Balance at March 31, 2024	11.93	188.77	1,672.14	31.88	7,636.34	22.92	134.10	633.59	364.32	294.57	310.82	11,301.38
Acquired through business combination (Refer Note 49)	-	-	0.29	-	13.02	0.54	-	-	-	0.50	-	14.35
Disposals	-	-	(73.65)	-	(774.12)	(0.10)	(21.01)	(30.11)	(60.23)	(78.72)	-	(1,037.94)
Depreciation expense	-	3.70	221.62	13.35	1,503.36	2.86	10.93	232.98	70.81	31.85	5.58	2,097.04
Balance at March 31, 2025	11.93	192.47	1,820.40	45.23	8,378.60	26.22	124.02	836.46	374.90	248.20	316.40	12,374.83
(C) Carrying Amount												
Balance at March 31, 2024	5,106.40	29.86	4,832.16	161.97	16,362.58	11.99	39.95	1,307.32	242.66	55.89	22.22	28,173.00
Balance at March 31, 2025	5,208.28	26.16	6,569.54	148.62	16,243.05	13.08	42.56	1,898.24	253.05	63.28	16.64	30,482.50

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Notes:

- (i) Refer Notes 16 and 19 for details of assets pledged.
- (ii) (a) Land admeasuring 1.17 acres amounting to ₹ 11.70 lakhs is registered in the name of M/s Isco Track Sleepers Private Limited; Land admeasuring 19.26 acres amounting to ₹ 113.32 lakhs is registered in the name of M/s. Rayalseema Concrete Sleepers Private Limited; Land admeasuring 3.00 acres amounting to ₹ 225.17 lakhs is registered in the name of M/s Annavaram Concrete Private Limited; erstwhile Companies that were merged with the Parent Company under Sections 391 to 394 of the Companies Act, 1956 in terms of the approval of the Honourable High Court of judicature of Andhra Pradesh at Hyderabad. The aforementioned land parcels are pending registration in the name of the Parent Company.
- (b) Land admeasuring 4.89 acres amounting to ₹ 75.90 lakhs is registered in the name of Mr. Lingaraj Shantalingappa Patil, Chairman and is pending registration in the name of the Parent Company.
- (iii) Capital work-in-progress ageing schedule *

Particulars	Amount in capital work-in-progress for a period of				As at March 31, 2025
	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	
Projects in Progress	941.62	-	-	-	941.62
	941.62	-	-	-	941.62

Particulars	Amount in capital work-in-progress for a period of				As at March 31, 2024
	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	
Projects in Progress	196.10	1.80	-	-	197.90
	196.10	1.80	-	-	197.90

* There are no capital work-in-progress where completion is overdue against original planned timelines or where estimated cost exceeded its original planned cost as on March 31, 2025 and March 31, 2024. Project execution plans are calibrated annually on the basis of Management's judgement and estimates w.r.t future business, technology developments / economy / industry / regulatory environment and all the projects are assessed as per rolling annual plan.

3.2 Right-of-use assets

	As at March 31, 2025	As at March 31, 2024
Right-of-use assets	1,448.67	759.79
	1,448.67	759.79

Particulars	Leasehold Land	Buildings	Total
(A) Cost or deemed cost			
Balance at March 31, 2023	1,312.79	-	1,312.79
Additions	10.00	14.30	24.30
Disposals	(19.11)	-	(19.11)
Balance at March 31, 2024	1,303.68	14.30	1,317.98
Additions	835.16	-	835.16
Disposals	(5.28)	-	(5.28)
Balance at March 31, 2025	2,133.56	14.30	2,147.86
(B) Accumulated amortisation and impairment			
Balance at March 31, 2023	452.27	-	452.27
Amortisation expense	124.73	0.30	125.03
Elimination on disposal	(19.11)	-	(19.11)
Balance at March 31, 2024	557.89	0.30	558.19
Amortisation expense	133.53	12.75	146.28
Elimination on disposal	(5.28)	-	(5.28)
Balance at March 31, 2025	686.14	13.05	699.19
(C) Carrying Amount			
Balance at March 31, 2024	745.79	14.00	759.79
Balance at March 31, 2025	1,447.42	1.25	1,448.67

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

4. Goodwill

	As at March 31, 2025	As at March 31, 2024
Cost	5,303.31	3,568.91
Accumulated impairment loss	(97.75)	(97.75)
	5,205.56	3,471.16
(A) Cost or deemed cost		
Balance at beginning of the year	3,568.91	3,568.91
Recognised on business combination (Refer Note 49)	1,734.40	-
Balance at the end of the year	5,303.31	3,568.91
(B) Accumulated impairment loss		
Balance at the beginning of the year	97.75	97.75
Impairment loss for the year	-	-
Eliminated on disposal of a subsidiary	-	-
Balance at the end of the year	97.75	97.75
(C) Carrying Amount	5,205.56	3,471.16

The carrying amount of goodwill was allocated to cash-generating units as follows:

	As at March 31, 2025	As at March 31, 2024
Manufacture of Pre-stressed Concrete Sleepers - Daya Engineering Works Private Limited	1,784.03	1,784.03
Manufacture of Pre-stressed Concrete Sleepers - Sholaka plant (Erstwhile Icon Sleeper Track Private Limited)	624.09	624.09
Manufacture of Pre-stressed Concrete Sleepers - Coromandel Concrete Products Private Limited	1,734.40	-
"Designing, manufacturing, installation, commissioning and operation of safety and measurement products for transportation sector - Apna Technologies & Solutions Private Limited (Refer Note below)"	1,063.04	1,063.04
	5,205.56	3,471.16

Note:

Impairment assessment of Goodwill:

The carrying amount of goodwill pertains to the acquisition of Daya Engineering Works Private Limited, Sholaka plant (Erstwhile Icon Sleeper Track Private Limited), Apna Technologies & Solutions Private Limited and Coromandel Concrete Products Private Limited.

Goodwill is tested for impairment annually and whenever there is an indication that the recoverable amount of a cash generating unit is less than its carrying amount. The Group generally uses discounted cash flow (DCF) method to determine the recoverable amount. The DCF method for the CGU is based on future cash flows using a terminal value growth rate of 3% (March 31, 2024 : 3%) and a pre-tax discount rate of 16.77% (March 31, 2024 : 16.77%) for periods beyond the forecast period of 3 years (March 31, 2024 : 3 years). Cash flow projections consider past experience and management's best estimates of future developments.

5. Other intangible assets

	As at March 31, 2025	As at March 31, 2024
Carrying amounts of:		
Software	147.34	197.10
Customer Contracts	351.04	-
	498.38	197.10
Intangible assets under development	-	183.76

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Details of Intangible assets

	Customer Contracts	Software	Total
(A) Cost or deemed cost			
Balance at March 31, 2023	-	1,084.36	1,084.36
Additions	-	11.95	11.95
Disposals	-	-	-
Balance at March 31, 2024	-	1,096.31	1,096.31
Additions	702.08	30.46	732.54
Disposals	-	-	-
Balance at March 31, 2025	702.08	1,126.77	1,828.85
(B) Accumulated amortisation and impairment			
Balance at March 31, 2023	-	772.14	772.14
Amortisation expense	-	127.07	127.07
On disposals	-	-	-
Balance at March 31, 2024	-	899.21	899.21
Amortisation expense	351.04	80.22	431.26
On disposals	-	-	-
Balance at March 31, 2025	351.04	979.43	1,330.47
(C) Carrying Amount			
Balance at March 31, 2024	-	197.10	197.10
Balance at March 31, 2025	351.04	147.34	498.38

Notes:

(i) Intangible assets under development ageing schedule

Particulars	Amount in capital work-in-progress for a period of				As at March 31, 2024
	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	
Projects in Progress	-	-	22.39	161.37	183.76
	-	-	22.39	161.37	183.76

6. Financial assets - Loans

	As at March 31, 2025	As at March 31, 2024
Non-current		
Unsecured, considered good		
(i) Employee advances*	51.46	85.91
	51.46	85.91
Current		
Measured at amortised cost		
Secured, considered good		
(i) Loans to other entities (Refer note (i) & (ii) below)	2,033.27	1,236.00
Unsecured, considered good		
(i) Loans to related parties (repayable on demand) (Refer Note 38)		
- Pagita Leasing and Finance Company Limited (Refer Note (iii) below)	72.05	71.61
Less: Allowance for doubtful receivable	(72.05)	-
(ii) Loans to others	223.80	5.40
(iii) Employee advances*	80.27	160.67
	2,337.34	1,473.68

*Includes an amount of ₹ Nil (March 31, 2024 : ₹ 26.70 Lakhs) receivable from related parties (Refer Note 38).

Notes:

- The loan had been advanced in accordance with the terms of the operating service agreement entered in March, 2021 with Swarnaa Techno Constructions Private Limited ('Swarnaa') carrying an interest of 10% p.a. The loan is secured by way of charge on the current and movable assets of the rail sleeper manufacturing division of Swarnaa which is pending registration. The parties have agreed to extend the period of the agreement which is pending execution.
- The Company has advanced during the year Inter corporate deposit to DTL Ancillaries Limited which is repayable on demand. The loan carries interest rate of 10.50% p.a. (March 31, 2024: Nil). The loan is secured by way of charge created on the 51% equity shares of the share holders of the Company.
- The Company has advanced working capital loans to Pagita Leasing and Finance Company Limited which is repayable on demand and carries an interest of 10% p.a. (March 31, 2024: 10% p.a.)

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

7. Other financial assets

	As at March 31, 2025	As at March 31, 2024
Non-current		
(a) Security deposits (EMD and other deposits)	800.33	688.89
(b) Balances with banks (With maturity period of more than 12 months from Balance sheet date)		
- In Margin money deposits (against guarantees given by them)	1.76	-
- In deposit accounts	24.69	-
(c) Incentives receivable	306.26	218.42
(d) Amount paid for purchase of securities	-	1,377.00
(e) Others	-	86.24
	1,133.04	2,370.55
Current		
(a) Interest accrued on deposits	59.59	53.25
(b) Interest accrued on loans to other parties	9.89	9.56
(c) Contractually reimbursable expenses	5.33	15.92
(d) Unbilled revenue (Refer note below)	886.40	977.94
(e) Security deposits (EMD and other deposits)	368.51	222.87
(f) Insurance claims	-	24.19
(g) Contract assets	3,007.11	617.68
(h) Other current financial assets	-	3.49
	4,336.83	1,924.90

Note: Unbilled revenue includes escalation claims/price variations as per the terms of the contract with customers which is billable upon determination of final price indices.

8. Inventories

(at lower of cost and net realisable value)

	As at March 31, 2025	As at March 31, 2024
(a) Raw materials and components*	12,449.60	8,665.06
(b) Work-in-progress	3,602.52	3,342.72
(c) Finished goods	28,826.14	24,568.08
(d) Stock-in-trade	627.23	2,488.78
(e) Stores and spares	1,948.13	2,006.01
	47,453.62	41,070.65
* Includes materials-in-transit	353.95	655.41

Notes:

- The cost of inventories recognised as an expense during the year has been disclosed in Note 26, Note 27, Note 28, Note 29 and Note 33.
- There are no inventories expected to be liquidated after more than twelve months.
- The mode of valuation of inventories has been stated in Note 2.8
- For details of inventories pledged refer Note 16 and Note 19.
- The cost of inventories recognised as an expense includes ₹ 40.92 lakhs (during 2023-24: ₹ 49.64 lakhs) in respect of write-downs of inventory to net realisable value

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

9.1. Investments

	As at March 31, 2025	As at March 31, 2024
Current Investments		
Investments in units of Mutual fund (unquoted) mandatorily measured at fair value through profit or loss (FVTPL)		
SBI Liquid Fund Direct Growth	1,227.55	-
30,265.66 units of ₹ 4,055.95 each (March 31, 2024: Nil)		
Baroda BNP Paribas Liquid Fund - Direct Growth (LQ-D2-G)	309.62	-
10,352.60 units of ₹ 2,990.69 each (March 31, 2024: Nil)		
	1,537.17	-
Aggregate book value of unquoted investments	1,510.35	-
Aggregate carrying value of unquoted investments	1,537.18	-

9.2. Trade receivables

	As at March 31, 2025	As at March 31, 2024
(a) Unsecured, considered good*	18,000.99	18,529.87
(b) Credit impaired	278.18	597.62
	18,279.17	19,127.49
Allowances for doubtful receivables	(745.91)	(597.62)
	17,533.26	18,529.87

* Includes amount receivable from related parties ₹ 849.55 lakhs (March 31, 2024: ₹ 217.96 lakhs). Also refer Note 38.

Notes:

(i) Trade receivables ageing schedule

Particulars	Not Due	Outstanding for following periods from due date of payment					As at March 31, 2025
		Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	
(i) Undisputed, considered good	3,403.58	10,892.76	2,182.53	1,058.03	201.28	298.88	18,037.06
(ii) Undisputed, which have significant increase in credit risk	-	-	-	-	-	-	-
(iii) Undisputed, credit impaired	-	-	-	-	-	-	-
(iv) Disputed, considered good	-	-	-	-	-	-	-
(v) Disputed, which have significant increase in credit risk	-	-	-	-	-	-	-
(vi) Disputed, credit impaired	-	-	-	-	-	242.11	242.11
	3,403.58	10,892.76	2,182.53	1,058.03	201.28	540.99	18,279.17
Less : Allowance for doubtful receivables							(745.91)
Total							17,533.26

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Particulars	Not Due	Outstanding for following periods from due date of payment					As at March 31, 2024
		Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	
(i) Undisputed, considered good	5,383.84	11,767.78	626.11	456.09	206.49	89.56	18,529.87
(ii) Undisputed, which have significant increase in credit risk	-	-	-	-	-	-	-
(iii) Undisputed, credit impaired	-	-	-	34.88	17.99	302.64	355.51
(iv) Disputed, considered good	-	-	-	-	-	-	-
(v) Disputed, which have significant increase in credit risk	-	-	-	-	-	-	-
(vi) Disputed, credit impaired	-	-	-	-	-	242.11	242.11
	5,383.84	11,767.78	626.11	490.97	224.48	634.31	19,127.49
Less : Allowance for doubtful receivables							(597.62)
Total							18,529.87

- (ii) The average credit period for invoices issued to Indian Railways ranges between 45 to 60 days and for sale to other customers ranges between 30 to 60 days. No interest is charged on overdue receivables.
- (iii) The Group has receivables amounting to ₹ 10,531.24 lakhs from three of the Group's large customers constituting 58% of the gross receivable balance. In the previous year the Group had a receivable of ₹ 12,785.95 lakhs from three of Group's large customers constituting 67% of the gross receivable balance. There are no other customers who represent more than 10% of the total balance of gross trade receivables.
- (iv) The Group has used a practical expedient by computing the expected credit loss allowance for doubtful trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and adjusted for forward looking estimates. The expected credit loss allowance is based on the ageing of the receivables which are due and the rates used in the provision matrix.
- (v) Movement in the expected credit loss allowance:

	As at March 31, 2025	As at March 31, 2024
Balance at the beginning of the year	597.62	573.12
Add: Impairment allowances recognised on receivables during the year	148.29	27.20
Less: Amount written off during the year as uncollectible	-	(2.70)
Balance at the end of the year	745.91	597.62

10. Cash and cash equivalents

	As at March 31, 2025	As at March 31, 2024
(a) Balances with banks		
- in current accounts	2,649.77	333.76
- in cash credit accounts	48.87	96.46
- in deposit accounts	365.40	5,420.00
- in EEFC accounts	1.07	1.02
(b) Cash on hand	12.99	5.61
Cash and cash equivalents as per Statement of Cash Flows	3,078.10	5,856.85

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

11. Other bank balances

	As at March 31, 2025	As at March 31, 2024
In earmarked accounts		
(i) Balances in current account*	-	15.86
(ii) Balances held as margin money or security against borrowings, guarantees and other commitments**	5,342.32	4,743.63
	5,342.32	4,759.49

* Represents amount in bank accounts attached by sales tax department in respect of demands which are under litigation.

**Includes deposit aggregating ₹ 834.87 lakhs (March 31, 2024 : ₹ 927.35 lakhs) with remaining maturity of more than 12 months from the Balance Sheet date.

12. Other assets

	As at March 31, 2025	As at March 31, 2024
Non-current		
(a) Capital advances	1,472.34	554.12
(b) Prepaid expenses	68.77	102.86
(c) Balances with government authorities	234.67	237.72
(d) Security deposits		
(i) With related parties		
- Mr. L. S. Patil	164.88	130.00
(ii) With others	596.82	555.34
	2,537.48	1,580.04
Current		
(a) Commercial advances	1,914.69	2,577.00
(b) Prepaid expenses	282.71	309.07
(c) Balances with government authorities (GST credit receivable)	2,993.75	2,020.73
(d) Security deposits	7.47	10.86
(e) Advances to employees	20.93	10.13
(f) CSR Asset	1,053.04	224.39
(g) Others	10.96	17.96
	6,283.55	5,170.14

13. Share capital

	As at March 31, 2025	As at March 31, 2024
Authorised share capital :		
4,90,00,000 equity shares of ₹ 10 each (March 31, 2024: 3,80,00,000 equity shares of ₹ 10 each)	4,900.00	3,800.00
Issued, subscribed and fully paid-up:		
2,49,31,601 fully paid equity shares of ₹ 10 each (March 31, 2024: 2,49,31,601 equity shares of ₹ 10 each)	2,493.16	2,493.16

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Notes:

(i) Reconciliation of number of equity shares and amount outstanding at the beginning and at the end of the year:

	Number of shares	Share Capital
Balance at March 31, 2023	2,49,31,601	2,493.16
Changes during the year	-	-
Balance at March 31, 2024	2,49,31,601	2,493.16
Changes during the year	-	-
Balance at March 31, 2025	2,49,31,601	2,493.16

(ii) Rights, preferences and restrictions attached to the equity shares:

The Parent Company has only one class of shares referred to as equity shares having a face value of ₹ 10 each. Each holder of equity share is eligible for one vote per share held. The Company declares and pays dividends in Indian rupees. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in the case of interim dividend. In the event of liquidation, the holders of equity shares will be entitled to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion to the number of equity shares held by the shareholders.

(iii) Details of equity shares held by each shareholder holding more than 5% of the equity shares:

	As at March 31, 2025		As at March 31, 2024	
	Number of shares	%	Number of shares	%
L.S. Patil	1,86,23,001	74.70	1,86,23,001	74.70
Padmaja Patil	41,96,923	16.83	41,96,923	16.83

(iv) Details of equity shares held by promoters at the end of the year

Promoter Name	As at March 31, 2025		As at March 31, 2024		% change during the year
	Number of shares	%	Number of shares	%	
L. S. Patil	1,86,23,001	75%	1,86,23,001	75%	-
Padmaja Patil	41,96,923	17%	41,96,923	17%	-
Kartikeyan Patil	8,33,738	3%	8,33,738	3%	-
Sangam Patil	7,11,666	3%	7,11,666	3%	-
Vaishnavi Patil	5,66,273	2%	5,66,273	2%	-

(v) Information regarding shares in last five years

- The Parent company has not issued any shares without payment being received in cash
- The Parent company has not issued any bonus shares
- The Parent company has not undertaken any buyback of shares

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

14. Other equity

	As at March 31, 2025	As at March 31, 2024
(a) General reserve	2,906.54	2,906.54
This reserve is created by an appropriation from one component of equity (generally retained earnings) to another, not being an item of Other Comprehensive Income. The same can be utilised by the Company in accordance with the provisions of the Companies Act, 2013.		
(b) Retained earnings	53,165.24	40,319.08
Retained earnings represents the cumulative undistributed profits of the Company and can be utilised in accordance with the provisions of the Companies Act, 2013.		
[Includes ₹ 2,109.74 lakhs recognised on account of fair valuation of property, plant and equipment and reduced by ₹ 68.61 lakhs on account of fair valuation of financial instruments as on the Ind AS transition date i.e. April 1, 2016 carried out under the exemptions available on first time transition to Ind AS in accordance with the Indian Accounting Standard (Ind AS - 101) - First-time Adoption of Indian Accounting Standards.]		
(c) Capital Reserve	194.03	194.03
This reserve represents the difference between the value of net assets transferred to the Company in the course of business combinations and the consideration paid for such combinations.		
(d) Securities premium	12,125.68	12,125.68
This reserve represents the premium on issue of shares and can be utilised in accordance with the provisions of the Companies Act, 2013.		
	68,391.49	55,545.33

15. Non-Controlling interests

	As at March 31, 2025	As at March 31, 2024
Balance at the beginning of the year	(190.55)	(133.39)
Share of profit / (loss) for the year	84.85	(9.67)
Disposal of subsidiary	11.73	(47.49)
Share of Other Comprehensive (Loss)/Income for the year	(0.39)	-
Balance at the end of the year	(94.36)	(190.55)

The non-wholly owned subsidiaries which have non-controlling interests are not material to the Group.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

16. Borrowings

	As at March 31, 2025	As at March 31, 2024
Non-current		
Secured-at amortised cost		
Term loans from banks [Refer Note (i)]	5,964.31	11,241.93
Vehicle and equipment loans from banks [Refer Note (ii)]	733.76	460.72
Vehicle loans from others [Refer Note (ii)]	256.08	81.33
Unsecured-at amortised cost		
Loans from others [Refer Note (iii)]	375.25	506.46
	7,329.40	12,290.44
Less: Current maturities of long term borrowings included in Note 19 under Short Term Borrowings	(4,404.91)	(5,088.43)
	2,924.49	7,202.01

Notes:

(i) Details of terms of repayment and security provided in respect of term loan from banks:

HDFC Bank Limited - Term Loans

The loan is secured by:

- Exclusive charge on the Plant and Machinery of Bokaro; fastening forging & plastic units of Medchal plant;
- Fixed deposits of ₹ 483.93 lakhs;
- Mortgage of property located at (i) Flat No 202, Second Floor, Krishna Apartments, Road No 4, Banjara Hills, Hyderabad owned by M/s. Pagita Leasing and Finance Company Limited and (ii) No 79/2, situated at Nandidurga Road, Division No 46, Sangam Towers, 2nd Cross, Ramaiah Reddy layout owned by Mr. L.S. Patil;
- Personal guarantee of Mr. L.S Patil and corporate guarantee of M/s. Pagita Leasing and Financing Company Limited.

Borrowing Repayable	Rate of Interest	Remaining Number of Instalments#	Balance amount as at March 31, 2025 (₹ lakhs)
(a) ₹ 1224 lakhs term loan repayable in 48 monthly instalments commencing from February 7, 2022 after moratorium period of 6 months	8.75%-10.20%	5	154.62
(b) ₹ 1700 lakhs term loan repayable in 42 monthly instalments commencing from June 7, 2022	8.75%-10.20%	10	408.23
(c) ₹ 3000 lakhs term loan repayable in 75 monthly instalments commencing from September 23, 2023	8.42%-9.85%	58	1,651.46

ICICI Bank - Term loan

The loan is secured by:

- First Pari-passu charge on all the movable fixed assets of the company other than the assets charged to existing lenders.
- Personal guarantee of Mr. L.S Patil and Mrs. Padmaja Patil.
- Corporate guarantee of M/s. Daya Engineering works private limited and M/s. Icon Sleeper track private limited.
- First charge over the immovable fixed assets situated
 - Industrial building located at Kaipadar, Odisha.
 - Industrial building located at Udvada, Gujarat.
 - Industrial building located at Pathri
 - Industrial land and building located at Tirumangalam, Tamil Nadu

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

- v. Industrial land and building located at Wadiyaram, Telangana
- vi. Industrial land and building located at Kargi, Chattisgarh
- vii. Industrial land and building located at Bhurwal, Uttar Pradesh
- viii. Industrial land and building located at Anara, West Bengal
- ix. Industrial land and building located at Badhikatu, Rajasthan.

Borrowing Repayable	Rate of Interest	Remaining Number of Instalments#	Balance amount as at March 31, 2025 (₹ lakhs)
₹ 5,000 lakhs term loan repayable in 36 monthly instalments commencing from May 31, 2023	9.95%-10.60%	13	1,805.56

Yes Bank - Term loan

The loan is secured by:

- First Pari-passu charge on all the movable fixed assets of the company other than the assets charged to existing lenders.
- Personal guarantee of Mr. L.S Patil and Mrs. Padmaja Patil.
- Corporate guarantee of M/s. Daya Engineering works private limited and M/s. Icon Sleeper track private limited.
- First Pari-passu charge over immovable fixed assets situated at
 - i. Railway Yard, Anara (S.E. Rly) Purulia 723126, West Bengal.,
 - ii. Bhurwal PO, Behind Burhwal Railway Station Dist. Barabanki, U.P 225002
 - iii. Railway Yard, Tirumangalam Madurai Dist 625 706, T.N
 - iv. Railway Yard, Wadiyaram, Chegunta Mandal Medak Dist 502255, Telangana
 - v. Opp. Railway Station, Kargi Road, Kota b 495113 Dist. Bilaspur, Chhattisgarh
 - vi. Survey No. 700, Badikhatu Rajasthan

Borrowing Repayable	Rate of Interest	Remaining Number of Instalments#	Balance amount as at March 31, 2025 (₹ lakhs)
₹ 5,000 lakhs term loan repayable in 36 monthly instalments commencing from June 30, 2023	9.95%-10.28%	14	1,944.44

- (ii) Vehicle and equipment loans taken from banks and others are secured by hypothecation of such vehicles and equipments. The loans carry an interest ranging from 7.50% - 13.40% and are repayable in equated monthly instalments ranging from 3 -5 years.
- (iii) These unsecured loans have been taken from the Directors and Shareholders prior to PRIL Investment into Apna Technologies And Solutions Private Limited ('Apna Tech'), in order to meet the working capital requirement of Apna Tech from time to time. These loans are repayable in five years from the end of the financial year 2020-2021 and carry interest rate at 10% - 16% p.a.

17. Lease liabilities

	As at March 31, 2025	As at March 31, 2024
Non-current		
Lease liabilities (Refer Note 40)	700.64	654.72
	700.64	654.72
Current		
Lease liabilities (Refer Note 40)	151.93	102.46
	151.93	102.46

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

18. Provisions

	As at March 31, 2025	As at March 31, 2024
Non-current		
Gratuity (Refer Note 36)	2,197.79	1,727.47
Leave encashment	68.44	43.80
	2,266.23	1,771.27
Current		
Gratuity (Refer Note 36)	478.71	408.90
Leave encashment	42.82	49.43
	521.53	458.33

19. Borrowings

	As at March 31, 2025	As at March 31, 2024
Current		
Secured-at amortised cost		
Loans repayable on demand from banks [Refer Note (i) & (ii) below]	8,252.30	7,460.69
Current maturities of non-current borrowings [Refer Note 16]	4,404.91	5,088.43
Short-term loans from banks [Refer Note (iii) below]	546.97	4,089.46
Short-term loans from others [Refer Note (iii) below]	483.17	-
Unsecured-at amortised cost		
Loans repayable on demand from banks	1,958.00	-
Loans repayable on demand from others [Refer Note (iv) below]	120.64	110.68
Loans from Others	444.80	-
	16,210.79	16,749.26

Notes:

- (i) The aforementioned facilities under cash credit are with SBI Bank, ICICI Bank, IDBI Bank, Yes Bank Limited, HDFC Bank and UBI Bank. These banks have entered into an inter creditor agreement on July 19, 2021 and amended and restated on October 20, 2022 per which these banks have formed a consortium with SBI Bank being the lead banker. SBI CAP Trustee Company Limited has been identified as a Security Trustee under this agreement. The lenders have renewed the credit facilities vide respective sanction letters and in relation to the credit sanctioned have pooled the securities on pari passu basis against the lenders. The details of security are as under:
- First pari-passu charge by way of hypothecation on all current assets of the Company, both present and future;
 - Lien on fixed deposits aggregating ₹ 4.62 crores;
 - Pari-passu charge by way of hypothecation on movable fixed assets at:
 - Unit 2 of Anara plant located at Purulia, West Bengal and Unit 2 of Kaipadar plant located at Khurda, Odisha;
 - Unit 1 & 2 of Bobbili plant located at Vizianagaram district, Andhra Pradesh;
 - Tirumangalam crusher unit located at Madurai, Tamil Nadu;
 - First pari-passu charge by way of equitable mortgage on immovable properties more particularly described herein below:
 - Property situated at Flat No. 104, 205 and 206, in Amar Chand Sharma Complex, 9-1-83 & 84, Sardar Patel Road, Secunderabad, 500012, owned by Pagita Leasing and Finance company limited;
 - Property situated at Flat No. 207, in Amar Chand Sharma Complex, 9-1-83 & 84, Sardar Patel Road, Secunderabad, 500012, owned by L. S. Patil;
 - Immovable property bearing survey no. 40/7, 40/9, 40/12, 40/13, 41/3, 41/5, situated at Habbatthanahally, KasabaHobli, Tumkur Taluk, Tumkur, 572107, admeasuring 8.13 acres;
 - Commercial Property bearing survey no. 93 and 93/3C: Plot No. 126 and 97 to 103, situated at Industrial

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Park, Jaggayapet Mandal, Tirumalagiri Village, Krishna District, Jaggayapet;

- Commercial property bearing survey no. 51/1, 51/2 and 51/3, Kilangulam Village, Kilangulam Panchayat, Peraiyur sub division, Madhuri District;
- Factory land and building bearing survey no. 700, 700/1, 700/2, 700/3, 700/4, 700/5, 700/6, 700/7 and 3170/700, Gram Roopangarh, Tehsil-Kishangarh, District Ajmer;
- Residential plot situated at survey nos. 179/C, 180/B, Yellampeta Village, Medchal Mandal, R.R District, Hyderabad, Telangana;
- Commercial plot bearing survey no. 6 and Plot no. 3B, 4 and 5 at Sitaramapuram, Bobbili, Vizianagaram District;
- Residential Property bearing survey no. 355, 355/A, 355/A7/AA & 384, Kallakal Village, Toopran Mandal, Medak District owned by L.S. Patil and Padmaja Patil;
- Residential property situated at Municipal No. 8-2-618/L/G/N-3 & 4, Lake view Apartments, Road No. 11, Banjara Hills, Hyderabad owned by M/s Pagita Leasing and Finance Company Limited;
- Residential Building bearing Flat No 40, Block A2, situated at no. A-2/40 Safdarjung Enclave, New Delhi-110016, (Urban), owned by L.S. Patil;
- Residential Plot bearing Survey number No. 102/1 situated at MPL No. 8-2-293./82/L/76/C/2 part of Plot No. 76C, Hakeempet Village, Shaikpet Mandal, M.L.A Colony, Banjara Hills, Hyderabad, Telangana 500034 owned by Smt. Padmaja Patil;
- The residential site bearing site Nos. 1-6 formed in Sy No. 55/3, situated at Kallipalya Grama, Kasaba Hubli, Tumkur;
- Immovable property situated at Plot No 155, 145, 152, 160, 151, 154, 153, 150 at Khurdha, Odisha, in the name of L S Patil;
- Company Corporate Office located at 4th & 5th Floors, Safe Legend, 6-3-1239/B/111, Renuka Enclave, Rajbhavan road, Somajiguda, Hyderabad-500 082 owned by M/s Patil Rail Services;

(e) First pari passu charge by way of hypothecation on unencumbered movable fixed assets of the Company, both present and future along with other working capital lenders in the consortium;

(f) Personal Guarantee of Shri. L.S. Patil and Smt. Padmaja Patil;

(g) Corporate Guarantee of M/s Pagita Leasing and Finance Company Limited and M/s Patil Rail Services;

(ii) Details of security against Borrowings in subsidiary companies:

Nature of borrowing	Details of security
Cash credit facility of ₹ 1450.00 lakhs and non-fund based credit limits of ₹ 1750.00 lakhs with ICICI Bank carrying interest rate as mutually agreed	(a) First pari passu charge on all current assets of the Company's subsidiary Daya Engineering Works Private Limited (DEW), both present and future with other working capital lender i.e., HDFC Bank Limited; (b) Collateral security on fixed deposits of ₹ 320.00 lakhs and fixed assets of the Company; (c) Pari passu first charge on plant and machinery of the Company. (d) Personal guarantee of Mr. L.S. Patil and Mrs. Padmaja Patil, Directors of the Company; (e) Corporate guarantee of the Company; The above facility is renewable on a yearly basis.
Cash credit facility of ₹ 1300.00 lakhs and non-fund based credit limits of ₹ 1200.00 lakhs with HDFC Bank carrying interest rate as mutually agreed	(a) First pari passu charge on all current assets of the Company's subsidiary Daya Engineering Works Private Limited (DEW), both present and future with other working capital lender i.e., ICICI Bank Limited; (b) Collateral security on fixed deposits of ₹ 250.00 lakhs and fixed assets of the Company; (c) Pari passu first charge on plant and machinery of the Company. (d) Personal guarantee of Mr. L.S. Patil and Mrs. Padmaja Patil, Directors of the Company; (e) Corporate guarantee of the Company; The above facility is renewable on a yearly basis.
	(iii) Includes bills discounted and outstanding as at March 31, 2025 and March 31, 2024. The Company, under the terms of arrangement with the customer, will be liable to make the payment against these bills discounted in the event of default.
	(iv) Loans repayable on demand includes loans availed by subsidiaries from their directors.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

20. Trade payables

	As at March 31, 2025	As at March 31, 2024
Acceptances	498.95	209.28
Other than Acceptances		
- Total outstanding dues of micro enterprises and small enterprises	1,589.29	1,933.94
- Total outstanding dues of creditors other than micro enterprises and small enterprises*	10,670.75	9,364.42
	12,758.99	11,507.64

* Includes amount payable to related parties ₹ 747.05 lakhs (March 31, 2024: ₹ 732.20 lakhs). Also refer Note 38.

Dues to MSME have been determined to the extent such parties have been identified on the basis of information collected by the Management. This has been relied upon by the auditors. Refer Note 35.

Notes:

(i) Trade payables ageing schedule:

Particulars	Unbilled	Outstanding for following periods from due date of payment					As at March 31, 2025
		Not Due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
(i) MSME	-	686.19	886.22	9.15	6.10	1.63	1,589.29
(ii) Other than MSME	1,477.46	4,307.38	4,869.71	265.04	102.94	147.17	11,169.70
(iii) Disputed dues - MSME	-	-	-	-	-	-	-
(iv) Disputed dues - Other than MSME	248.00	-	-	-	-	-	-
	1,725.46	4,993.57	5,755.93	274.19	109.04	148.80	12,758.99

Particulars	Unbilled	Outstanding for following periods from due date of payment					As at March 31, 2024
		Not Due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
(i) MSME	-	980.67	930.82	19.42	3.03	-	1,933.94
(ii) Other than MSME	1,949.45	3,192.17	3,801.58	217.95	98.26	314.29	9,573.70
(iii) Disputed dues - MSME	-	-	-	-	-	-	-
(iv) Disputed dues - Other than MSME	-	-	-	-	-	-	-
	1,949.45	4,172.84	4,732.40	237.37	101.29	314.29	11,507.64

21. Other financial liabilities

	As at March 31, 2025	As at March 31, 2024
Current		
Interest accrued but not due on borrowings	51.42	102.58
Payables on purchase of property, plant and equipment	64.26	187.56
Contingent consideration (Refer Note 50)	-	700.00
Contract liabilities (Refer Note below)	1,283.56	227.74
Employee related payables	902.44	-
Payable on purchase of securities in subsidiary	200.00	-
Other financial liabilities	134.89	23.42
	2,636.57	1,241.30

Note: Contract liabilities includes deescalation claims / price variations as per the terms of the contract with customers which is billable upon determination of final price indices.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

22. Deferred tax assets and liabilities

	As at March 31, 2025	As at March 31, 2024
Deferred tax asset relating to		
Property, plant and equipment	0.33	-
Provision for employee benefits	203.69	551.66
Allowance for doubtful trade receivable	9.08	-
Unabsorbed tax losses	615.07	416.36
Others	156.96	529.76
	985.13	1,497.78
Offsetting of deferred tax assets with deferred tax liabilities	(219.57)	(662.80)
	765.56	834.98
Deferred tax liability relating to		
Property, plant and equipment	881.75	-
	881.75	-
Offsetting of deferred tax liabilities with deferred tax assets	(837.00)	-
	44.75	-
Deferred tax (liabilities) / assets, (net)	720.81	834.98

2024-25	Opening balance	Acquired through business combination	Recognised in Profit and loss	Recognised in other comprehensive income	MAT credit utilised	Closing balance
<u>Deferred tax assets / (liabilities) in relation to :</u>						
Property, plant and equipment	(662.80)	(10.30)	(445.46)	-	-	(1,118.56)
Unabsorbed tax losses	416.36	-	198.71	-	-	615.07
Unabsorbed depreciation	92.43	-	(92.43)	-	-	-
Fair value of Investments	-	(16.31)	16.31	-	-	-
Provision for employee benefits	551.66	-	97.90	110.23	-	759.79
Others	435.00	(176.70)	206.21	-	-	464.51
MAT credit entitlement	2.33	-	-	-	(2.33)	-
	834.98	(203.31)	(18.76)	110.23	(2.33)	720.81

2023-24	Opening balance	Recognised in Profit and loss	Recognised in other comprehensive income	MAT credit utilised	Closing balance
<u>Deferred tax assets / (liabilities) in relation to :</u>					
Property, plant and equipment	(256.37)	(406.43)	-	-	(662.80)
Unabsorbed tax losses	361.85	54.51	-	-	416.36
Unabsorbed depreciation	116.70	(24.27)	-	-	92.43
Provision for employee benefits	616.39	(101.28)	36.55	-	551.66
Others	205.38	229.62	-	-	435.00
MAT credit entitlement	2.33	-	-	-	2.33
	1,046.28	(247.85)	36.55	-	834.98

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

22.1 Income tax assets (net)

	As at March 31, 2025	As at March 31, 2024
Non-current		
Advance tax/TDS receivable	403.06	433.45
	403.06	433.45

22.2 Current tax liabilities (net)

	As at March 31, 2025	As at March 31, 2024
Income tax payable (net)	1,072.74	1,428.14
	1,072.74	1,428.14

22.3 Income tax expense :

	For the year ended March 31, 2025	For the year ended March 31, 2024
(a) Amounts recognised in Statement of Profit and Loss		
Current tax		
- In respect of the current year	4,384.86	4,080.89
- In respect of the earlier years	(202.11)	(120.95)
Deferred tax expense		
- In respect of the current year	18.76	247.85
	4,201.51	4,207.79
(b) Amount recognised in other comprehensive income		
- Tax effect on remeasurement of defined benefit plans	110.23	36.55
The income tax expense for the year can be reconciled to the accounting profit as follows:		
Profit before tax	17,507.19	16,552.62
Income tax expense calculated at 25.168% (2023-24: 25.168%)	4,406.21	4,165.96
Difference in tax rates of subsidiary companies	(96.92)	43.76
Effect of changes in income tax rate for computation of deferred tax	-	-
Tax effects of amounts which are not deductible in determining taxable profit (net)	(158.03)	152.96
Effect of changes in deferred tax on unabsorbed losses	0.06	0.06
Others	248.22	(34.00)
	4,399.54	4,328.74
Adjustment recognised in the current year in relation to tax of prior years (net)	(202.11)	(120.95)
Income tax expense recognised in the Consolidated Statement of Profit and Loss	4,197.43	4,207.79

23. Other liabilities

	As at March 31, 2025	As at March 31, 2024
Current		
Statutory remittances	882.71	1,126.21
Advances from customers (including mobilisation advance received)	20,407.86	16,983.94
	21,290.57	18,110.15

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

24. Revenue from Operations

	For the year ended March 31, 2025	For the year ended March 31, 2024
a. Sale of products (Refer Note (i) below and Note 38)	1,34,477.43	1,28,446.67
b. Income from contracts and services	4,912.67	11,364.25
c. Other operating revenues (Refer Note (ii) below and Note 38)	4,414.16	2,033.46
	1,43,804.26	1,41,844.38
Notes:		
(i) Sale of products comprises:		
<u>Manufactured goods :</u>		
- Concrete Sleepers	91,387.89	1,01,681.68
- High Tensile Steel Wires	16,866.64	13,193.83
- SGCI Inserts Sales	3,339.17	4,874.54
- Fasteners	6,114.63	744.32
- Others	18.84	-
	1,17,727.17	1,20,494.37
<u>Traded goods :</u>		
- Track Components & Composite Sleepers	16,501.23	7,793.07
- Other (comprising SGCI Inserts, PVC Dowels, etc.)	249.03	159.23
	16,750.26	7,952.30
	1,34,477.43	1,28,446.67
(ii) Other operating revenue:		
- Sale of scrap	374.35	380.14
- Service commission	1,559.29	453.30
- Sleeper transportation income	2,480.52	1,200.02
	4,414.16	2,033.46

Significant change in contract liabilities is explained as follows:

	For the year ended March 31, 2025	For the year ended March 31, 2024
Balance at the beginning of the year	389.94	388.52
Revenue recognised during the year	(389.94)	(388.52)
Contract liabilities recognised during the year	1,723.55	389.94
Balance at the end of the year	1,723.55	389.94
Expected revenue recognition from remaining performance obligation		
- within one year	1,723.55	389.94

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

25. Other income

	For the year ended March 31, 2025	For the year ended March 31, 2024
a) Interest income		
Interest income earned on financial assets that are not designated as at FVTPL		
-Bank deposits (at amortised cost)	365.56	289.17
	365.56	289.17
b) Other non-operating income		
(i) Interest income on loans and other deposits *	183.43	128.27
(ii) Rental income (Refer Note 38)	53.28	25.39
(iii) Liabilities no longer required written back	190.72	65.39
(iv) Provisions no longer required written back	-	90.33
(v) Others (Including bad debts written off realised)	158.32	74.08
	585.75	383.46
c) Other gains and losses		
(i) Net gain arising on financial assets mandatorily measured at FVTPL	26.83	-
(ii) Gain on sale of investments	29.23	-
(iii) Net gain on sale of property, plant and equipment	-	0.21
(iv) Contingent consideration no longer required written back (Refer Note 50)	700.00	-
	756.06	0.21
	1,707.37	672.84

* Includes ₹ Nil (March 31, 2024 : ₹ 1.85 lakhs) on loans and advances to related parties. Refer Note 38.

26. Cost of material consumed

	For the year ended March 31, 2025	For the year ended March 31, 2024
Opening stock	8,665.06	11,747.30
Acquired on business combination (Refer Note 49)	147.19	-
Add: Purchases	72,569.62	58,968.24
Less: Closing stock	12,449.60	8,665.06
	68,932.27	62,050.48

27. Purchase of stock-in-trade (traded goods)

	For the year ended March 31, 2025	For the year ended March 31, 2024
Stock-in-trade - track components & composite sleepers	14,167.95	8,521.82
Stock-in-trade - others (SGCI inserts, PVC Dowels etc.)	5.25	512.96
	14,173.20	9,034.78

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

28. Changes in inventories of finished goods, work-in-progress and stock-in-trade

	For the year ended March 31, 2025	For the year ended March 31, 2024
Inventories at the beginning of the year		
Finished goods	24,568.08	32,160.00
Work-in-progress	3,342.72	2,017.46
Stock-in-trade	2,488.78	130.69
Acquired on business combination (Refer Note 49)	537.10	-
[A]	30,936.68	34,308.15
Inventories at the end of the year		
Finished goods	28,826.14	24,568.08
Work-in-progress	3,602.55	3,342.72
Stock-in-trade	627.23	2,488.78
[B]	33,055.92	30,399.58
Increase in finished goods, work-in-progress and stock-in-trade [A-B]	(2,119.24)	3,908.57

29. Contract execution expenses

	For the year ended March 31, 2025	For the year ended March 31, 2024
Contract execution expenses	1,401.21	11,623.28
	1,401.21	11,623.28

30. Employee benefits expense

	For the year ended March 31, 2025	For the year ended March 31, 2024
(a) Salaries and wages	10,132.90	7,960.41
(b) Contribution to provident fund and other funds	586.06	524.18
(c) Staff welfare expenses	677.39	657.57
(d) Gratuity expenses (Refer Note 36)	327.45	264.02
	11,723.80	9,406.18

31. Finance cost

	For the year ended March 31, 2025	For the year ended March 31, 2024
(a) Interest expense (Refer Note below)	1,627.85	2,593.63
(b) Interest expense on delayed payment of Income-tax	46.28	127.54
(c) Interest on lease liability (Refer Note 40)	79.74	78.62
(d) Other borrowing costs	479.66	497.09
	2,233.53	3,296.88

32. Depreciation and amortisation expense

	For the year ended March 31, 2025	For the year ended March 31, 2024
Depreciation of property, plant and equipment (Refer note 3.1)	2,097.04	1,941.12
Amortisation of right-of-use assets (Refer Note 3.2)	146.28	125.03
Amortisation of intangible assets (Refer note 5)	431.26	127.07
	2,674.58	2,193.22

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

33. Other expenses

	For the year ended March 31, 2025	For the year ended March 31, 2024
Consumption of stores and spares	3,043.58	3,294.55
Power and fuel	4,517.27	4,075.94
Rent	512.12	316.64
Crane and machinery hire charges	267.76	381.16
Repairs and maintenance		
- Plant and machinery	2,285.46	2,071.58
- Buildings	167.83	156.60
- Others	356.03	265.73
Insurance charges	245.44	150.38
Rates and taxes	234.83	440.18
Communication	118.42	110.07
Travelling and conveyance	948.62	919.25
Printing and stationery	41.85	109.96
Manpower charges	7,490.39	6,350.60
Sleeper/insert inspection expenses	400.92	409.08
Sleeper transportation expenses	2,787.00	962.70
Outward freight and handling charges	1,200.94	953.79
Advertisement and sales promotion	68.91	83.04
Donations [Refer Note (ii) below]	8.76	7.34
Legal and professional fees	2,644.27	2,465.67
Payment to auditors [Refer Note (i) below]	64.34	60.12
Expenditure on Corporate Social Responsibility (Refer Note 45)	300.21	269.60
Bad debts written off	-	42.70
Less: Provision released	-	(2.70)
Deposits, loans and other receivables written off (net)	3.73	66.46
Loss on sale/write-off of property, plant and equipment (net)	421.43	-
Net foreign exchange loss	2.49	44.45
Provision for doubtful trade receivables	148.29	27.20
Provision for doubtful assets and loans	72.05	1.25
Miscellaneous expenses	632.15	417.87
	28,985.09	24,451.21
Notes:		
(i) Payment to auditors comprise (net of GST)		
(a) To statutory auditors		
- Statutory audit fee	62.30	51.25
- Reimbursement of expenses	1.54	0.77
(b) To cost auditor for cost audit	-	1.80
(c) To tax auditor for tax audit	0.50	6.30
	64.34	60.12

(ii) Donations include ₹ 0.05 lakhs (March 31, 2024: ₹ 0.71 lakhs) given to a political party.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

34. Contingent Liabilities and Commitments:

Sl No	Particulars	As at March 31, 2025	As at March 31, 2024
(i)	Contingent Liabilities (to the extent not provided for):		
	Claims against the Group not acknowledged as debt		
	Guarantees given by bank	372.81	-
	Matters under dispute* :		
(a)	Excise Duty	344.22	344.22
(b)	Sales Tax / Value Added Tax/ Entry Tax	480.85	473.83
(c)	Customs Duty	86.06	86.06
(d)	Income Tax	151.59	151.59
(e)	Civil Suits	23.98	23.98
	* Balances as at March 31, 2025 exclude interest computed on the aforementioned demands.		
	It is not practicable for the Group to estimate the closure of these issues and the consequential timings of cash flows, if any, in respect of the above.		
(ii)	Commitments:		
	Estimated amount of contracts remaining to be executed on capital account and not provided for (net of capital advances)	4,788.90	432.48

35. Based on and to the extent of information available with the Group under Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act), the relevant particulars as at the reporting date are furnished below:

Sl No	Particulars	As at March 31, 2025	As at March 31, 2024
(i)	Principal amount due to suppliers under MSMED Act, as at the end of the year	1,589.29	1,933.94
(ii)	Interest accrued and due to suppliers under MSMED Act, on the above amount as at the end of the year	30.56	24.87
(iii)	Payment made to suppliers (other than interest) beyond the appointed day, during the year	-	-
(iv)	Interest paid to suppliers under MSMED Act (other than Section 16)	-	-
(v)	Interest paid to suppliers under MSMED Act (Section 16)	-	-
(vi)	Interest due and payable to suppliers under MSMED Act, for payments already made	-	-
(vii)	Interest accrued and remaining unpaid at the end of the year to suppliers under MSMED Act (ii) + (vi)	30.56	24.87

Dues to Micro, Small and Medium Enterprises have been determined to extent such parties have been identified on the basis of information collected by the Management. This has been relied upon by the auditors.

36. Employee Benefits

(a) Defined Contribution Plans

The Group makes Provident fund and Employees' State Insurance Scheme contributions which are defined contribution plans, for qualifying employees. The Group recognised ₹ 490.82 lakhs (Year ended March 31, 2024: ₹ 428.04 lakhs) for provident fund contributions, and ₹ 95.24 lakhs (Year ended March 31, 2024: ₹ 91.43 lakhs) towards Employees' State Insurance Scheme contributions in the Consolidated Statement of Profit and Loss.

(b) Defined Benefit Plans

The Group provides to the eligible employees defined benefit plans in the form of gratuity. The gratuity plan provides for a lump sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 days' salary payable for each completed year of service. Vesting occurs upon completion of five continuous years of service. The measurement date used for determining retirement benefits for gratuity is March 31.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

These plans typically expose the Group to actuarial risks such as investment risk, interest rate risk, longevity risk and salary risk.

Risk Management:

Investment risk: The probability or likelihood of occurrence of losses relative to the expected return on any particular investment.

Interest rate risk: The plan exposes the Group to the risk of fall in interest rates. A fall in interest rates will result in an increase in the ultimate cost of providing the above benefit and will thus result in an increase in the value of the liability.

Longevity risk: The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk: The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. Increase in salaries due to adverse inflationary pressures might lead to higher liabilities.

(i) **Balance Sheet :** The assets, liabilities and surplus / (deficit) position of the defined benefit plans at the Consolidated Balance Sheet date were:

Particulars	As at March 31, 2025	As at March 31, 2024
Net Liability / (Asset) recognised in the Balance Sheet	2,676.50	2,136.37

(ii) **Movement in Present Value of Obligation:**

Particulars	As at March 31, 2025	As at March 31, 2024
Present value of defined benefit obligation at the beginning of the year	2,136.37	1,849.50
Current service cost	186.37	145.64
Interest cost	141.08	118.38
Actuarial (gain)/loss arising from changes in financial assumptions	350.95	16.38
Actuarial (gain)/loss arising from changes in demographic assumptions	-	1.74
Actuarial (gain)/loss arising from changes in experience assumptions	86.53	127.15
Actual Benefits Payments	(224.80)	(122.42)
Present value of defined benefit obligation at the end of the year	2,676.50	2,136.37

(iii) **Statement of Profit and Loss:** The charge to the Consolidated Statement of Profit and Loss comprises:

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Employee Benefit Expenses		
Current service cost	186.37	145.64
Interest cost	141.08	118.38
Net impact on profit before tax	327.45	264.02
Remeasurement of the net defined benefit plans		
Actuarial (gain)/loss arising from changes in financial assumptions	350.95	16.38
Actuarial (gain)/loss arising from changes in demographic assumptions	-	1.74
Actuarial (gain)/loss arising from changes in experience assumptions	86.53	127.15
Net impact on other comprehensive income before tax	437.48	145.27

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

(iv) Assumptions:

With the objective of presenting the plan assets and plan obligations of the defined benefits plans at their fair value on the Balance Sheet, assumptions under Ind AS 19 are set by reference to market conditions at the valuation date.

Particulars	As at March 31, 2025	As at March 31, 2024
Patil Rail Infrastructure Private Limited		
Discount rate	6.60% - 6.80% p.a.	7.20% p.a.
Salary escalation rate	5.00% - 7.00% p.a.	5.00% p.a.
Attrition rate	7.00% - 8.00% p.a.	7.00% - 8.00% p.a.
Daya Engineering Works Private Limited		
Discount rate	6.60% p.a.	7.15% p.a.
Salary escalation rate	7.00% p.a.	4.00% p.a.
Attrition rate	4.00% - 12.00% p.a.	4.00% - 12.00% p.a.
Kallakal Foundry Casting Products Private Limited		
Discount rate	6.60% p.a.	7.20% p.a.
Salary escalation rate	5.00% p.a.	5.00% p.a.
Attrition rate	5.00% - 25.00% p.a.	5.00% - 25.00% p.a.
Coromandel Concrete Products Private Limited		
Discount rate	6.70% p.a.	-
Salary escalation rate	4.00% p.a.	-
Attrition rate	4.00% - 12.00% p.a.	-
Apna Technologies and Solutions Private Limited		
Discount rate	6.70% p.a.	-
Salary escalation rate	9.00% p.a.	-
Attrition rate	9.80% p.a.	-

The estimates of future salary increases, considered in actuarial valuation, takes into account inflation, seniority, promotion and other relevant factors such as supply and demand factors in the employment market.

Demographic assumptions Mortality in Service: Indian Assured Lives Mortality (2012-14) table.

(v) Sensitivity analysis

The sensitivity of the overall plan obligations to changes in the weighted key assumptions are:

Particulars	As at March 31, 2025		As at March 31, 2024	
	Increase	Decrease	Increase	Decrease
Discount rate (0.5% movement)	2,458.06	2,700.43	2,045.08	2,153.72
Salary escalation rate (0.5% movement)	2,692.66	2,553.49	2,150.58	2,047.26

The sensitivity analysis above have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the year and may not be representative of the actual change. It is based on a change in the key assumption while holding all other assumptions constant. When calculating the sensitivity to the assumption, the same method used to calculate the liability recognised in the Balance Sheet has been applied. The methods and types of assumptions used in preparing the sensitivity analysis did not change compared with the previous year.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

(vi) Maturity Analysis

Maturity profile of defined benefit obligation:

Particulars	As at March 31, 2025	As at March 31, 2024
Year 1	467.81	404.75
Year 2	297.16	280.08
Year 3	367.35	250.67
Year 4	260.81	314.14
Year 5	233.94	195.43
Next 5 years	1,066.49	864.97

37. Segment Reporting

The identification of operating segments is based on and consistent with performance assessment and resource allocation by the Chief Operating Decision Maker (CODM). The Group's Chairman & Managing Director who has been identified as the CODM examines the Group's performance on the basis of its business units and has identified two reportable segments:

i) Rail components and allied products:

Rail components business includes Manufacture and trading of rail components and manufacture of safety and measurement products for transportation sector.

ii) Others:

The others segment includes primarily manufacture & installation of precast boundary walls alongside the railway track and installation of Metal Beam Crash Barrier (MBCB) alongside of the railway track.

Segment revenue, segment results and other information

	For the year ended March 31, 2025	For the year ended March 31, 2024
A. Segment revenue (Revenue from Operations)		
Rail components and allied products	1,40,312.38	1,31,695.35
Others	3,491.88	10,149.03
Revenue from Operations	1,43,804.26	1,41,844.38
B. Segment results		
Rail components and allied products	15,874.06	18,133.81
Others	930.38	(1,581.19)
Total Profit before tax	16,804.44	16,552.62
	As at March 31, 2025	As at March 31, 2024
C. Segment assets		
Rail components and allied products	1,28,249.58	1,10,624.26
Others	3,075.19	6,448.96
Total Assets	1,31,324.77	1,17,073.22
D. Segment Liabilities		
Rail components and allied products	54,698.84	50,735.39
Others	5,835.64	8,489.89
Total Liabilities	60,534.48	59,225.28
E. Capital Employed (C-D)	70,790.29	57,847.94

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Geographical information

The Group operates in India and makes certain sales to customers situated outside India. The revenue from external customers by location of customers is detailed below. All the non-current assets of the Group are situated within India.

Revenue

	For the year ended March 31, 2025	For the year ended March 31, 2024
India	1,43,798.49	1,41,682.26
Outside India	5.77	162.12
Total	1,43,804.26	1,41,844.38

38. Related Party Disclosures:

(a) Details of related Parties

Key Management Personnel (KMP)	
Lingaraj Shantalingappa Patil	Executive Chairman and Whole-time Director
Padmaja Lingaraj Patil	Whole-time Director
Kokkonda Subrahmaniyam	Managing Director (Resigned w.e.f. July 20, 2024)
Devasigamani Prince Arumairaj	Wholetime Director (Appointed w.e.f. July 20, 2024)
Durga Prasad Subramanyam Anapindi	Independent Director (Resigned w.e.f. May 14, 2024)
Chandra Gupta Venkata Arisetty	Chief Financial Officer (Resigned w.e.f. July 29, 2024) Executive additional Director (Appointed w.e.f. December 01, 2024)
Jawahar Lal Sinhari	Chief Financial Officer (Appointed w.e.f. July 29, 2024)
Manish Kumar Tripathi	Company Secretary (Resigned w.e.f. October 4, 2023)
Aman Purohit	Company Secretary
Manish Ishwarlal Panchal	Executive additional Director (Appointed w.e.f. April 01, 2024) Executive Director (Change in Designation w.e.f. September 27, 2024)
Relatives of KMP	
Tekalkode Kalyani	Wife of Kokkonda Subrahmaniyam (Retired w.e.f. July 20, 2024)
Sangam Patil	Daughter of Lingaraj Shantalingappa Patil and Padmaja Lingaraj Patil
Vaishnavi Patil	Daughter of Lingaraj Shantalingappa Patil and Padmaja Lingaraj Patil
Kartikeyan Patil	Daughter of Lingaraj Shantalingappa Patil and Padmaja Lingaraj Patil
Shashank Srivaths Ravindra	Son in law of Lingaraj Shantalingappa Patil & Padmaja Lingaraj Patil
K. Parameswari	Sister of Kokkonda Subrahmaniyam, (Retired w.e.f. July 20, 2024)
Entities in which KMP / Relatives of KMP exercise significant influence	
Pagita Leasing and Finance Company Limited (Converted into Private Limited Company named Pagita Leasing and Finance Company Private Limited w.e.f. May 06, 2025)	
Rayalseema Concrete Sleepers Private Limited Patil Rail Services	
Sangam Wires	
LS Consulting Services LLP	
Patil Rail Agro Tech	
Dynalektric Euipment Pvt Ltd	
Maanaveeya Kalyana Trust	

Note: Related parties have been identified by the Management to the extent of transactions with such related parties.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

(b) Transactions with the above related parties during the year were:

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Sale of goods/services (Net of Sales Returns)		
Sangam Wires	25,000.97	24,746.66
Rayalseema Concrete Sleepers Private Limited	1,216.57	1,792.62
Interest Income		
Kokkonda Subrahmaniyam	-	1.85
Rental Income		
Sangam Wires	1.42	1.42
Purchase of goods/services (including Stock-in-Transit)		
Sangam Wires	26,906.70	26,996.94
Tekalkode Kalyani	19.95	19.96
LS Consulting Services LLP	1,969.42	2,089.50
Reimbursement of Expenses		
Lingaraj Shantalingappa Patil	14.25	12.04
Kokkonda Subrahmaniyam	0.57	8.67
Padmaja Patil	11.23	8.42
Sangam Patil	8.54	-
Kartikeyan Patil	0.95	-
Manish Ishwarlal Panchal	0.09	-
Vaishnavi Patil	4.30	-
Rent Expense		
Lingaraj Shantalingappa Patil	-	33.60
Padmaja Lingaraj Patil	3.18	1.80
Corporate Social Responsibility (CSR) Expenses		
Maanaveeya Kalyana Trust	1,121.33	486.99
Professional fees & Remuneration		
Lingaraj Shantalingappa Patil	500.00	350.00
Kokkonda Subrahmaniyam	137.28	121.89
Padmaja Lingaraj Patil	500.00	200.00
Sangam Patil	150.00	150.00
Vaishnavi Patil	200.00	100.00
Kartikeyan Patil	200.00	100.00
K. Parameswari	19.95	17.12
Manish Ishwarlal Panchal	48.00	-
Chandra Gupta Venkata Arisetty	36.25	-
Devasigamani Prince Arumairaj	83.49	-
Manish Kumar Tripathi	-	6.67
Aman Purohit	12.98	5.80
Jawahar Lal Sinhari	50.74	-
Director Sitting Fee		
Durga Prasad Subramanyam Anapindi	0.50	3.00

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Commission		
Durga Prasad Subramanyam Anapindi	-	8.50
Sale of Property, Plant and Equipment		
Rayalseema Concrete Sleepers Private Limited	4.95	-
Loans/Advances granted		
Padmaja Patil	50.00	3.47
Pagita Leasing and Finance Company Limited	0.44	0.20
Loans/Advances recovered		
Padmaja Patil	50.00	17.95
Kokkonda Subrahmaniyam	26.70	13.30
Sangam Wires	-	713.20

(c) Balances receivable or payable to related parties are as follows:

Particulars	As at March 31, 2025	As at March 31, 2024
Loans & Advances		
Sangam Wires	-	69.87
Kokkonda Subrahmaniyam	-	26.70
Pagita Leasing and Finance Company Limited	72.05	71.61
Dynalektric EuiPMENT Pvt Ltd	50.00	50.00
Trade receivables/ Other assets		
Lingaraj Shantalingappa Patil	130.00	130.00
Rayalseema Concrete Sleepers Private Limited	369.20	217.96
Sangam Wires	480.35	-
Trade payables/Other payables		
Lingaraj Shantalingappa Patil	-	20.58
Padmaja Patil	-	10.83
Kokkonda Subrahmaniyam	-	2.14
Tekalkode Kalyani	-	1.50
Sangam Patil	-	8.25
Kartikeyan Patil	-	5.69
Vaishnavi Patil	-	5.72
LS Consulting Services LLP	113.94	326.60
Sangam Wires	633.11	350.84
Chandra Gupta Venkata Arisetty	13.07	
Devasigamani Prince Arumairaj	6.93	
Aman Purohit	0.91	0.85
Jawahar Lal Sinhari	1.53	
Corporate Guarantee taken		
Pagita Leasing and Finance Company Limited# Patil Rail Services #	35,217.00	35,217.00

#Joint guarantee of ₹ 35,217 lakhs from Lingaraj Shantalingappa Patil, Padmaja Lingaraj Patil, Pagita Leasing and Finance Company Limited and Patil Rail Services taken for the credit facilities under Consortium arrangement with State Bank of India, the lead bank, ICICI Bank Ltd, Union Bank of India, Yes Bank, IDBI Bank Ltd and HDFC Bank Ltd.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

39. Earnings Per Share

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Profit for the year (in ₹ lakhs) [A]	13,220.83	12,354.50
Weighted average number of equity shares outstanding during the year (No's) [B]	2,49,31,601	2,49,31,601
Earnings per share (Face Value of ₹ 10 per share)		
Basic and diluted (in ₹) [A/B]	53.03	49.55

40. Leases

Particulars	As at March 31, 2025	As at March 31, 2024
(i) The following is the breakup of current and non-current lease liabilities		
Current liabilities	151.93	102.46
Non-current liabilities	700.64	654.72
Total	852.57	757.18
(ii) The following is the movement of lease liabilities during the year ended March 31,		
Balance at the beginning	757.18	830.59
Additions during the year	213.78	14.30
Finance cost during the year	79.74	78.62
Payment of lease liabilities	(198.13)	(166.33)
Balance at the end	852.57	757.18
(iii) Maturity analysis of lease liabilities		
Less than one year	151.93	102.46
One to five years	675.43	532.85
More than five years	25.21	121.87
Total	852.57	757.18

41. Financial Instruments and Related Disclosures

A. Capital Management

The Group's financial strategy aims to support its strategic priorities and provide adequate capital to its businesses for growth and creation of sustainable stakeholder value. The Group determines the amount of capital required on the basis of annual operating plan and long-term strategic plans. The funding requirements are met through internal accruals and long-term/short-term borrowings. The Group aims at maintaining a strong capital base largely towards supporting the future growth of its businesses as a going concern. The capital structure of the Group is based on Management's judgment of its strategic day-to-day needs with a focus on proper mix of total equity and debt so as to maintain investor, creditors and market confidence.

The Management and the Board of Directors monitor the return on capital as well as the level of dividends to shareholders. The Group may take appropriate steps in order to maintain, or if necessary, adjust its capital structure.

For the purpose of capital management, capital includes issued equity capital, securities premium and all other resources. Net debt includes all long and short-term borrowings. The following table summarises the capital of the Group:

Particulars	As at March 31, 2025	As at March 31, 2024
Equity [A]	70,884.65	58,038.49
Borrowings - Non-current	2,924.49	7,202.01
Borrowings - Current	16,210.79	16,749.26
Net debt [B]	19,135.28	23,951.27
Net debt to capital ratio [B/A]	0.27	0.41

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

B. Categories of Financial Instruments

Particulars	Carrying Value		Fair Value	
	As at March 31, 2025	As at March 31, 2024	As at March 31, 2025	As at March 31, 2024
Financial assets				
Measured at Amortised Cost				
(i) Cash and cash equivalents	3,078.10	5,856.85	3,078.10	5,856.85
(ii) Other bank balances	5,342.32	4,759.49	5,342.32	4,759.49
(iii) Trade receivables	17,533.26	18,529.87	17,533.26	18,529.87
(iv) Loans	2,388.80	1,559.59	2,388.80	1,559.59
(v) Other financial assets	5,469.87	4,295.45	5,469.87	4,295.45
(vi) Investments	1,537.17	-	1,537.17	-
Total financial assets	35,349.52	35,001.25	35,349.52	35,001.25
Financial liabilities				
Measured at amortised cost				
(i) Borrowings	19,135.28	23,951.27	19,135.28	23,951.27
(ii) Trade Payables	12,758.99	11,507.64	12,758.99	11,507.64
(iii) Lease liabilities	852.57	757.18	852.57	757.18
(iv) Other financial liabilities	2,636.57	1,241.30	2,636.57	1,241.30
Total financial liabilities	35,383.41	37,457.39	35,383.41	37,457.39

C. Financial risk management objectives

The Group has a system-based approach to risk management, anchored to policies and procedures and internal financial controls aimed at ensuring early identification, evaluation and management of key financial risks (such as market risk, credit risk and liquidity risk) that may arise as a consequence of its business operations as well as its investing and financing activities. Accordingly, the Group's risk management framework has the objective of ensuring that such risks are managed within acceptable and approved risk parameters in a disciplined and consistent manner and in compliance with applicable regulation. It also seeks to drive accountability in this regard. The key risks and mitigating actions are overseen by the Board of Directors and Management of the Group.

D. Liquidity Risk

The Board of Directors and Management of the Group have established an appropriate liquidity risk management framework for the management of the Group's short-term, medium-term and long-term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows, and by matching the maturity profiles of the financial assets and liabilities. Cash flow from operating activities provides the funds to service the financial liabilities on a day to day basis.

The following table details the Group's remaining contractual maturity for its financial liabilities with agreed repayment periods. The table has been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Group can be required to pay. The table includes both interest and principal cash flows. To the extent that interest flows are linked to floating rate, the undiscounted amount is derived from interest rate at the end of the reporting period. The contractual maturity is based on the earliest date on which the Group may be required to pay.

	As at March 31, 2025				
	Carrying Amount	Upto 1 year	1-3 years	More than 3 years	Total
Borrowings *	19,135.28	16,671.26	1,862.48	1,081.24	19,614.98
Lease liabilities	852.57	229.95	443.73	410.47	1,084.15
Trade payables	12,758.99	12,758.99	-	-	12,758.99
Other financial liabilities	2,636.57	2,636.57	-	-	2,636.57
Total	35,383.41	32,296.77	2,306.21	1,491.71	36,094.69

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

The table below provides details of financial assets as at March 31, 2025:

	Carrying amount
Loans	2,388.80
Trade receivables	17,533.26
Cash and cash equivalents	3,078.10
Other bank balances	5,342.32
Other financial assets	5,469.87
Investments	1,537.17
Total	35,349.52

	As at March 31, 2024				
	Carrying Amount	Upto 1 year	1-3 years	More than 3 years	Total
Borrowings *	23,951.27	17,948.64	6,559.01	1,384.77	25,892.42
Lease liabilities	757.18	173.14	360.18	468.34	1,001.66
Trade payables	11,507.64	11,507.64	-	-	11,507.64
Other financial liabilities	1,241.30	1,241.30	-	-	1,241.30
Total	37,457.39	30,870.72	6,919.19	1,853.11	39,643.02

The table below provides details of financial assets as at March 31, 2024:

	Carrying amount
Loans	1,559.59
Trade receivables	18,529.87
Cash and cash equivalents	5,856.85
Other bank balances	4,759.49
Other financial assets	4,295.45
Total	35,001.25

* Included in above in Borrowings and interest thereon are certain borrowings which are subject to variable interest rates. Amount included in the above maturity analysis assumes interest outflows based on the year end benchmark interest rates, the actual interest rates may differ based on the changes in the benchmark interest rates.

The Group has access to various fund/non-fund based bank financing facilities. The unutilised limit of fund based and non-fund based limits available as at March 31, 2025 is ₹ 16,057.00 lakhs (as at March 31, 2024: ₹ 19,145.56 lakhs).

E. Foreign Currency Risk:

The Group is not exposed to any material foreign currency risk on account of the fact that the major sourcing of raw materials, stores and spares and items of property, plant and equipment is indigenous.

There are no foreign currency exposures as at March 31, 2025 and March 31, 2024.

F. Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. The Group is exposed to credit risk from its operating activities (primarily trade receivables) and from its financing activities, including deposits with banks and other financial instruments. The Group's major customers includes Indian Railways. For private customers, the Group evaluates the creditworthiness based on publicly available financial information and the Group's historical experiences. The Group's exposure to its counterparties are continuously reviewed and monitored by the Chief Operating Decision Maker (CODM).

The credit risk on cash and bank balances is limited because the counterparties are banks with high credit ratings.

G. Interest rate risk:

The Group is exposed to interest rate risk because the Group borrows funds at both fixed and floating interest rates.

Interest rate sensitivity

The sensitivity analysis below have been determined based on the exposure to interest rates for non-derivative instruments at the end of the reporting period. For floating rate liabilities, the analysis is prepared assuming the amount of the liability

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

outstanding at the end of the reporting period was outstanding for the whole year and using the interest rate applicable at the end of the reporting period. A 50 basis point increase or decrease is used for the purpose of sensitivity analysis.

If interest rates had been 50 basis points higher/lower and all other variables were held constant, the Group's profit for the year ended March 31, 2025 would decrease/increase by ₹ 39.59 lakhs (for the year ended March 31, 2024: decrease/increase by ₹ 31.53 lakhs). This is mainly attributable to the Group's exposure to interest rates on its variable rate borrowings. During the year, the Group's sensitivity in interest rate has decreased due to decrease in variable debt instruments compared to previous year.

H. Fair Value Measurement

The following table presents the fair value hierarchy of financial assets and liabilities that are not measured at fair value (but fair value disclosures are required):

Particulars	Fair value hierarchy (Level)	As at March 31, 2025	As at March 31, 2024
Financial Assets			
Measured at amortised cost			
(i) Cash and cash equivalents	Level 3	3,078.10	5,856.85
(ii) Other bank balances	Level 3	5,342.32	4,759.49
(iii) Trade receivables	Level 3	17,533.26	18,529.87
(iv) Loans	Level 3	2,388.80	1,559.59
(v) Other financial assets	Level 3	5,469.87	4,295.45
Financial Liabilities			
Measured at amortised cost			
(i) Borrowings	Level 3	19,135.28	23,951.27
(ii) Trade Payables	Level 3	12,758.99	11,507.64
(iii) Lease liabilities	Level 3	852.57	757.18
(iv) Other financial liabilities	Level 3	2,636.57	1,241.3

- In case of trade receivables, cash and cash equivalents, trade payables, other financial assets and liabilities it is assessed that the fair values approximate their carrying amounts largely due to their short-term nature.
- The fair values of the financial assets and financial liabilities included above have been determined in accordance with generally accepted pricing models based on a discounted cash flow analysis, with the most significant inputs being the discount rate that reflects the credit risk of counterparties.
- There were no transfers between level 1 and level 2 during the year.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

42. Additional information as required by Paragraph 2 of the General Instructions for preparation of Consolidated Financial Statements to Schedule III to the Companies Act, 2013

Name of the Entity	Relation-ship With Parent Company	Country of incorporation	Percentage of voting power as at March 31, 2025	Net assets		Share in profit / (loss)		Share in other comprehensive income		Share in total comprehensive income	
				March 31, 2025		March 31, 2025		March 31, 2025		March 31, 2025	
				% of consolidated net assets	Amount	% of consolidated profit / (loss)	Amount	% of consolidated other comprehensive income	Amount	% of consolidated total comprehensive income	Amount
Patil Rail Infrastructure Private Limited	Parent	India	-	77%	54,738.73	72%	9,147.04	69%	(226.04)	73%	8,921.00
Daya Engineering Works Private Limited	Subsidiary	India	100.00%	21%	14,896.81	13%	1,630.77	30%	(97.81)	13%	1,532.96
Kallakal Foundry Casting Products Private Limited	Subsidiary	India	88.66%	1%	711.98	8%	984.97	1%	(3.01)	8%	981.96
Patil SMH JV Private Limited	Subsidiary	India	100.00%	1%	615.50	2%	283.06	-	-	2%	283.06
Daya Technical Services Private Limited	Subsidiary	India	100.00%	-	109.37	-	(2.06)	-	-	-	(2.06)
Apna Technologies And Solutions Private Limited	Subsidiary	India	86.63%	(1%)	(928.22)	(2%)	(266.18)	-	-	(2%)	(266.18)
Coromandel Concrete Products Private Limited	Subsidiary	India	100.00%	1%	740.48	6%	740.48	-	-	6%	740.48
Subtotal				100%	70,884.65	99%	12,518.08	100%	(326.86)	100%	12,191.22
Non-Controlling Interests				-	(94.36)	1%	84.85	-	(0.39)	-	84.46
Total				100%	70,790.29	100%	12,602.93	100%	(327.25)	100%	12,275.68

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

43. Specific note related to Subsidiaries:

Patil SMH JV Private Limited

- a) There is no difference in the contract price negotiated and the revenue recognised in the statement of profit and loss for the current year.
- b) The transaction price allocated to the remaining performance obligations is ₹ 4,352.43 lakhs (March 31, 2024: ₹ 4,797.28 lakhs), which will be recognised as revenue over the remaining project duration. Generally, the project duration of contracts with customer is 1 to 2 years.

44. The Code on Social Security, 2020 ('Code') relating to employee benefits during employment and post-employment benefits has been enacted. However, the date on which the Code will come into effect has not been notified. The Group will assess the impact of the Code when it comes into effect and will record any related impact in the period the Code becomes effective.

45. As per Section 135 of the Companies Act, 2013, a Company, meeting the applicability threshold needs to spend at least 2% of its average net profits for the immediate preceding three financial years on Corporate Social Responsibility (CSR) activities. Accordingly, the gross amount required to be spent by the Parent company and its wholly-owned subsidiary company, Daya engineering works private limited and Coromandel Concrete Products Private Limited during the year is ₹ 300.21 lakhs (March 31, 2024: ₹ 242.22 lakhs). Against the amount required to spent, the Parent company and its wholly-owned subsidiary company, Daya engineering works private limited and Coromandel Concrete Products Private Limited had spent an amount of ₹ 1,128.86 lakhs (March 31, 2024: ₹ 493.99 lakhs) on activities specified under Schedule VII of the Companies Act, 2013 and has been disclosed under Note 33 of the Consolidated Financial Statements.

	Particulars	For the Year ended March 31, 2025	For the Year ended March 31, 2024
(i)	Gross amount required to spent by the Company during the year	300.21	242.22
(ii)	Amount spend during the year	1,128.86	493.99
(iii)	Shortfall at the end of the year	-	-
(iv)	Related party transactions in relation to Corporate Social Responsibility	1,128.86	493.99
(v)	Balance brought forward from previous year	224.39	(22.70)
(vi)	Excess amount spent and eligible carried forward	1,053.04	224.39
(vii)	Nature of CSR activities undertaken by the Company:		
	- Setting up of Old age homes	1,128.86	486.99
	- Protection of culture	-	7.00

As part of the shortfall of previous years, the subsidiary company Daya engineering works private limited is yet to contribute the amount to the specified fund under Schedule VII of the Companies Act, 2013. Therefore, a penal provision of ₹ 45.42 lakhs has been accrued in the books amounting to twice the amount of shortfall.

46. Loans and advances in the nature of loans granted to promoters, directors and related parties that are repayable on demand or have been granted without specifying any terms or period of repayment as at March 31, 2025:

Particulars	Promoters	Related Parties	Total	% of total loans and advances in the nature of loans
- Repayable on demand	-	2,105.32	2,105.32	88%

47. As per the proviso to Rule 3(1) of Companies (Accounts) Rules, 2014, for the financial year commencing on or after the 1st day of April 2023, every company which uses accounting software for maintaining its books of account, shall use only such accounting software which has a feature of recording audit trail of each and every transaction, creating an edit log of each change made in the books of account along with the date when such changes were made and ensuring that the audit trail cannot be disabled.

The Group used accounting software for recording all the accounting transactions viz., sales, purchases, production/costing, fixed assets, other expenses, cash and bank transactions, journal entries and all other general ledger accounting transactions for the year ended March 31, 2024. Such accounting software has a feature of recording audit trail (edit log) facility. However, the edit logs were not enabled at application level for direct data changes to transaction tables and master tables throughout the year.

The Management has adequate general information technology controls including access controls, change management controls, and manual controls which are operating, to prevent inappropriate/unauthorized changes to the accounting software(s). The Management will work towards enabling edit logs in the aforesaid software(s) in the near future.

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

48. Other Statutory Information

- (i) No proceedings have been initiated on or are pending against the Group for holding benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder.
- (ii) The Group has no transactions or balances with the companies struck off under Companies Act, 2013 or Companies Act, 1956.
- (iii) No Schemes of Arrangements have been applied or approved by the Competent Authority in terms of Section 230 to 237 of the Companies Act, 2013.
- (iv) The Group has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Group shall:
 - (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
 - (b) provide any guarantee, security or the like on behalf of the ultimate beneficiaries
- (v) The Group has not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
 - (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Group (Ultimate Beneficiaries) or
 - (b) provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries
- (vi) There are no charges or satisfaction yet to be registered with the Registrar of Companies beyond the statutory period.
- (vii) The Group has complied with the number of layers prescribed under the Companies Act, 2013, read with the Companies (Restriction on number of layers) Rules, 2017
- (viii) There is no income surrendered or disclosed as income during the current or previous year in the tax assessments under the Income Tax Act, 1961, that has not been recorded in the books of account
- (ix) The Group has not traded or invested in Crypto Currency or Virtual Currency during the financial year.

49. Acquisition of Coromandel Concrete Products Private Limited

Consequent to the Share Purchase Agreement dated April 01, 2024, entered into between the Daya Engineering Works Private Limited and Mr.M.S.Raju, Ms. M.Padma Satyavathi, Mr. M.Sunil Varma, Mr. M.Rahul Varma, Ms. M.Lalitha, Ms. M.Usha Rani, Mr. M.Anirudh Varma and Ms. M.Ramya Sri, M/s Daya Engineering Works Private Limited had acquired 100% stake in Coromandel Concrete Products Private Limited ("CCPL") for a cash consideration of ₹ 3,400 Lakhs.

Accordingly, CCPL became a wholly-owned subsidiary of the Daya Engineering Works Private Limited with effect from April 01, 2024. The transaction was accounted as per acquisition method of accounting in accordance with Ind AS 103 – "Business Combinations". CCPL is primarily engaged in the business of manufacturing of pre-stressed concrete sleepers. The fair value of net assets acquired on the acquisition date amounted to ₹ 1,665.60 Lakhs. The excess of purchase consideration over the fair value of the net assets acquired has been attributed towards goodwill. Goodwill is not tax deductible.

A. The Fair Value of identifiable assets acquired, and liabilities assumed as on the acquisition date:

Particulars	Amount
I. ASSETS	
(1) Non-current assets	
Property, Plant and Equipment	231.84
Other intangible assets	702.08
Investments	251.47
(2) Current assets	
Inventories	684.29
Trade receivables	530.02
Cash and cash equivalents	15.09
Bank balances other than cash and cash equivalents	598.77
Other financial assets	40.54

Notes to the consolidated financial statements

All amounts are in ₹ lakhs, except share data and where otherwise stated

Particulars	Amount
Other current assets	81.90
Total Assets (A)	3,136.00
II. LIABILITIES	
(1) Current liabilities	
Borrowings	195.72
Other current liabilities	996.70
Current tax liabilities (net)	74.67
Deferred tax liabilities (net)	203.31
Total liabilities (B)	1,470.40
III. Value of Identified Net Assets at fair value (C) = (A)(B)	1,665.60

B. Amount recognised as Goodwill:

Particulars	Amount
Fair value of consideration transferred	3,400.00
Less: Fair value of the net assets acquired	1,665.60
Goodwill	1,734.40

50. As part of the acquisition of Apna Technologies and Solutions Private Limited ('Apna Tech'), a contingent consideration of an amount of ₹ 700 lakhs has been agreed to be paid to Apna Tech as additional equity infusion in two tranches –

- ₹ 233.33 lakhs upon Apna Tech receiving supply / service order from RITES ;
- ₹ 466.67 lakhs upon Apna Tech receiving supply / service order from COFMOW.

The fair value of contingent consideration as on March 31, 2024 has been taken as equal to ₹.700 lakhs as the Management is of the view that the additional equity infusion will occur within one year.

Since it is no longer required, same has been written back during the required.

51. These consolidated financial statements are approved for issue by the Board of Directors at its meeting held on September 30, 2025.

For and on behalf of the Board of Directors

L.S. Patil

Chairman & Whole-time Director
DIN: 00731663

Aman Purohit

Company Secretary
Membership No.: A59345

Padmaja Patil

Whole-time Director
DIN: 00731574

Jawahar Lal Sinhari

Chief Financial Officer

Place: Hyderabad
Date: September 30, 2025



Patil Rail Infrastructure Pvt. Ltd.

Smarter Track Solutions - Safer Mobility

The Safe Legend, 3rd & 4th Floor, 6-3-1239/B/111, Renuka Enclave, Raj Bhavan Road,
Somajiguda, Hyderabad - 500082, Telangana, India.

Phone: +91 40 3955 6700/6800, Fax: +91 40 3955 6750/6790

E-mail: info@patilgroup.com

www.patilgroup.com